

DCB Bank (DCBBANK)

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Call: May 2023

DCB Bank Limited

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May 08, 2023

BSE Limited

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1st floor Dalal Street.

Mumbai 400 001 National Stock Exchange of India Limited

Listing Department,

Exchange Plaza, 5th floor, Plot No. C/1,

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Bandra (East), Mumbai 400 051

Script Code: 532772 NSE Symbol: DCBBANK

Dear Sirs,

Re: Transcript of Earnings Conference Call held on May 05, 2023

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Conference Call held on May 05, 2023 with respect to the Financial Results of DCB Bank Limited ("the Bank") for the quarter and year ended March 31, 2023. The same has also been uploaded on website of the Bank and can be accessed at the link given below:

<https://www.dcbbank.com/upload/pdf/DCB-Bank-Q4-FY23-Earnings-Call-Transcript-May-5-2023.pdf>

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubi Chaturvedi

Company Secretary &

Compliance Officer

Encl: As stated above

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"DCB Bank Limited Q4 FY23 Earnings Conference Call"

May 05, 2023

MANAGEMENT : MR. MURALI M NATRAJAN – MANAGING DIRECTOR
AND CEO

MR. SATISH GUNDEWAR – CHIEF FINANCIAL OFFICER

MR. AJIT KUMAR SINGH – CHIEF INVESTOR
RELATIONS OFFICER

MR. RAVI KUMAR – CFO IN-CHARGE & HEAD
OPERATIONS & SPECIAL PROJECTS

MR. PRAVEEN KUTTY – HEAD RETAIL BANK ING

MR. SRIDHAR SESHADRI – CHIEF RISK OFFICER

MS. MEGHANA RAO – HEAD BRANCH OPERATIONS

MR. VENKATTESH R – HEAD OPERATIONS ,
TECHNOLOGY , HUMAN RESOURCES & CIO

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Moderator : Ladies and gentlemen, good day and welcome to DCB Bank Limited Q 4 FY23 Earnings Conference Call.

Joining us on the call today are Mr. Murali M Natrajan – Managing Director and CEO, Mr.

Satish Gundewar – Chief Financial Officer and Mr. Ajit Kumar Singh – Chief Investor Relations Officer .

As a reminder, all participant lines will be in the listen -only-mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on the touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Murali M Natrajan . Thank you and over to you, Sir.

Murali M Natrajan : Thank you very much for joining this call. I am talking to you from our board room in the corporate office. We have Satish Gundewar – our Chief Financial Officer then we have Praveen Kutty our Head of Retail Banking then we have Meenakshi who is our Relationship Head for FI and Investors , we have Meghana who is our Branch Operations Manager , we have Venky who is our Operations , HR, and Technology Head, we have Sridhar who is our Chief Risk officer, we have Ravi Kumar who is our CFO in charge and currently handling our operations and special projects then we have Ajit who is the Head of our Treasury and FI. Thank you very much for dialing in, we also have our support staff from finance.

So, this is a Q 4 Results and Full Year 2022 -23.

I believe that we have a very robust quarter. Our balance sheet has crossed Rs. 50,000 crores now it is about Rs. 52,000 odd crores. The total business has crossed Rs. 75,000 crores, deposits have crossed Rs. 41,000 crores, CASA is about Rs. 10,500 crores. So, we personally feel very happy and proud of achieving these numbers and we are putting the Bank on a trajectory to double the balance sheet in about 4 years. Our intention is to reach Rs. 100,000 crore of balance sheet in about four years' time .

The performance or net interest income has been good at 27.7%. What is very important to know about our income is that there are two big income streams which was present last year which was more or less nonexistent this year, for example, PSLC we made very decent amount of revenue in the year FY2021 -22, but in 2022 -23 because of market conditions and regulatory changes there has been a steep fall and despite that the overall fall in the other income category has been very limited primarily because of the good work that is happening in third party distribution fee , on processing fees and other items which are all the core items. So, that is really something we are very happy about.

Operating profit is pretty much flat to last year of course the year FY2021 -22 had some one-off items, but nevertheless the operating profit for four quarter has been very good at 11 % higher than previous year same quarter, but again important thing is that as we have made investments

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in the front line and in one of the chart in the investor presentation you can clearly see the quarterly disbursement without considering the co-lending and how smartly it has moved up and we are confident that given the frontline capacity and the productivity that we are working on and also some of the frontline investments we are doing in technology. We should be able to consistently improve this number further.

From a cost-to-income ratio point of view the fourth quarter was 59.9 usually the fourth quarter is far better than the previous quarter because of the momentum that we have and if you look at the same quarter previous year again you have seen that we have delivered 113 crore s of profit which was all time high. This year we have done Rs. 142 crores which is again all ti

me high.

We believe that profitability in a steady manner will continue to improve. One of the other things that has gone off very well throughout the year for us is that our upgrade and recoveries have been consistently equal to or higher than our slippages and that is one of the reasons why we have been able to substantially reduce our provisions for this year in fact compared to previous year. The other point to note here is that pre-COVID our operating profit divided by provision used to be in the range of four to five times. We are back to that level which clearly demonstrates the robustness and the strength of the business model. The net NPA is pretty much close to 1%. Our intention is to bring it down further overtime. Initially our target was 1.5, but we have been able to surpass that target for the fourth quarter ROA is 1.1% and ROE is almost close to 14%, which has been our intention. Again, usually, as you know in the first quarter their cost comes in terms of salary increases. So, I expect some impact of that in the quarter in 2023-24.

However, we are confident that if you consistently improve our performance the way it has been seen now we should be able to deliver the kind of results that are coming through. So, those are some of the details I wanted to share with you and we have declared a dividend of 12.5% this year and we also raised the capital of about 300 crores Tier-2 in the fourth quarter which is also reflected in our capital adequacy. Our capital adequacy continues to be strong, and we believe that given the efficiency of usage of capital we should be able to grow our book without having to raise capital for at least another year maybe 15 months that is our current thinking. So, with those observation and with those comments I would like to hand over for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Darpin Shah from Haitong India. Please go ahead.

Darpin Shah : So, couple of questions first is on margins so you have mentioned that in the PPT that you are targeting margins of 365 to 375 basis point we are already at roughly around 420 basis point of approx. margins, so do we see that kind of sharp drop in 24 or this is just the long-term target which we are looking at?

Murali M Natrajan : See our business model and the product mix and the kind of slippages and upgrades that we expect and the kind of deposit profile that we are working on. We have built a business model which can deliver higher than 1% ROA and closer to 14% maybe higher than 14% ROE with 365-375 basis points of NIM. Now the methodology always there are so many moving parts in DCB Bank Limited
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this NIM the methodology of passing on the increase of interest rate in EBLR is that as soon as the Reserve Bank of India changes the repo rate we pass on that to the customer. However, the deposit cost would be actually coming through. So, I do believe that the deposit cost that is coming through in fact fourth quarter deposit cost was high especially for retail term deposit, I believe that it will have an impact on margin and even for this current year at least from a business model point of view, we are not assuming margins of 4.18. Also, we have had some benefit, there has been an interest that we consider in the margin the 3 crore of tax no., so we did not consider that then it does not really matter. So, I think the upgrades and recoveries were very strong and that also results in some amount of reversal of that is the recognition of the income which was not previously recognized. So, that also impacts the margin in a positive way.

Darpin Shah: So, I was seeing this how much deposit repurchase has already happened for our book and how much more it can happen and lead to increase in cost of deposit

then?

Murali M Natrajan : See the cost of deposits last week it changed the cost of deposit must have been at least what a month ago somewhere in March we changed I think the deposit since then I do not think we have changed the deposit rate. It is published on our website and I do not believe that deposit rates are coming up, but what I am trying to say is that all the new deposits will come in the higher rate that has been when I say all the deposits most of the retail deposit and we are taking longer term deposit because of our mortgage book. We target 20 months, 24 months kind of bucket for our deposit. So, that will have an impact on the cost of funds and we would not be able to pass on further only in MCLR we can pass on, but not in EBLR portfolio. So, that that will impact NIM.

Darpin Shah: And Sir lastly on the on the asset quality front we have seen a sharp improvement in slippages during the quarter, what trend you see for FY24 as well?

Murali M Natrajan : We should be in similar trend, but there may be some month up, down and all, but if I remember right I had mentioned in the first quarter of last year itself that is about two to three quarters the slippages should go back to pre-COVID levels and I think without gold our slippages are about 2% which is what 2%, 2.5% was slippages there. If the way we have analyzed our portfolio if slippages do go up in any particular quarter we are pretty confident that our collections and our recoveries effort would bring it down. So, we do not see any issue with our portfolio only if you see an issue with the portfolio then consistently your credit slippages and all will increase. There may be some up and down in one or two months here and there, but other than that we do not see any challenge at the moment.

Darpin Shah: Just one data keeping question if I can get the breakup of provisions for the quarter and full year?
Satish Gundewar : I have the data for the quarter. I think for the earlier calls we had given the data for the respective quarters. NPA provision is about 39 crores, floating provision is about 4 crores and the provision relating to restructured standard assets and other things are the rest of it. The total provision for the quarter was 52 crores .

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Murali M Natrajan : See Darpin I want to tell you something. I looked at IBA publishes all the private Bank and SFB results of course they are one year late . They have published that for 2021 -22 and I looked at the floating provisions. We are the only Bank I repeat we are the only Bank for the last several years consistently have been making floating provision quarter -on-quarter and our floating provision apparently is about 137 crores which is considered in the calculation of provision coverage and touchwood we have never had to use the floating provision. Some of the Banks have used the floating provision , so that is a very important strength which is there in our Bank .

Moderator: Thank you. The next question is from Jai from ISEC . Please go ahead.

Jai: First, on asset quality , the slippages we have had high slippages on gross front because of the some daily recognition and some of the gold related products or OD related product has that at now normalized with this quarter slippages coming down significantly, so can we say that the entire whatever technical reasons that has now ended?

Murali M Natrajan : See if a customer does not pay their interest and on principal like three installments or 90 days there is nothing technical about it that is an NPA then November 12 circular what we were impacted the gold loans were impacted by that is because we are giving an OD product many of those OD product customers have after what is that called closing their current loan have switched to installment loans . So, in installment loan that 90 day p

roblem on November 12

circular does not happen because even if they service one interest they will still be alright as long as they do not slip to 90 days past due. So, to that extent I think a lot of that issue has been addressed, but I do believe that while addressing that issue we may have lost some target market who were only wanting to have OD kind of product, but we did a cost analysis the cost of chasing them and collecting workers losing the business, we took a call saying let us just do this because its impact productivity of bank's staff, they have to chase of these customers. Regarding mortgages and commercial vehicle and rest of the other kind of retail product like KCC tractors and all we very much believe that those portfolios seem to be intact barring any unforeseen situation the slippages should be pretty much close to if not better to pre-COVID levels.

Jai: And Sir in this quarter how much were the slippages from the restructured book?

Murali M Natrajan : We do not present those information the entire whether it is from slippages from restructured book or non-restructured book everything is the slippages and that is how it has been every quarter and the recoveries and upgrades are also from both restructured and normal thing. So, you know we are not presenting that information, do not worry about the restructured book if for one year it has performed so you should worry about that we do not, so you should not also.

Jai: And almost entirely has come out of moratorium ?

Murali M Natrajan : Only a very small fraction is less which will come out by I think July, but it is almost very, very small portion is left everything else is out of the moratorium and when they come out of the moratorium we have to struggle with the customer for about two to three months and their muscles of repaying has atrophied. So, despite our pushing and whatever does not work. So,

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finally, when the collections team is constantly following up with them they start repaying and then it gets almost normalized in about two, three months. So, that part will be there even for the ones that come out in July, but overall portfolio includes slippages from restructurings and recoveries and upgrade also includes slippages from restructure.

Jai: And sir if you have the number for ECLGS as I mean how much is the ECLGS ?

Murali M Natrajan : You know ECLGS slippages also in this, ECLGS recoveries from government also in this thing, everything is all inside this and we did not give ECLGS to any unsecured customer and all very this thing even I do not look at it by the way.

Jai: And on the cost of deposit Sir would it be fair to assume that your card rate on TD would have peaked or you think you may still have to increase the card rate of TD, so while cost of deposit may keep going up because of as deposits reprise, but the fresh TD in your review in the card rates would have peaked or that is?

Praveen Kutty : So, currently the peak rate we have on term deposit it has remained there all through Q4 and there is no reason to believe why we should increase the rate of getting the kind of term deposit, the kind of deposits that we got I mean Q4 by convention the particular quarter where the most

highest amount of renewals and highest amount of acquisition happens. We have been through it and I do not see at least personally do not see that increasing any further for the kind of loan demand that we have going forward.

Murali M Natrajan : But in between buckets in between buckets based on our ALM profile and things like that we do keep doing that. For example, let us say we decide that we want to attract more deposit in say one year bucket or more deposit in three-year bucket that ALCO will keep doing some changes depending upon the profile. So, overall peak does not seem like an issue

at the moment at least.

Jai: And last two questions Sir first is in the last one, two years we have added a lot of capacity in terms of branches and headcount, so if you can share if there is any qualitative improvement in the loan sourcing also I mean if one were to club connectors as let us say outside Bank channel, so is there any meaningful change in the way we would be sourcing business just because we have added lot of branches and employee in the last one year, two years?

Murali M Natrajan : In the metros like I mentioned in many of my previous calls almost 70 odd percent of the business come from connectors, but in AIB and non-metro business almost 70%, 80% will come from our own sourcing and that mix is how it is proceeding, but to give you some more sense if we look at the total dispersals without co-lending in Q4 of 2021-22 versus Q4 of the year that has just gone by there is a 50% improvement in the disbursements whereas our average headcount has gone up only by 27%, 28% that quality in terms of what we have put in and I am quite sure the more work that we do in terms of improving productivity, improving product, the process system and that is a continuous process we believe that we can improve it further, we put up a software called Cubes which is for processing current and savings account and a few other deposit products. We have been able to reduce 98% of the errors that were being committed by frontline, DCB Bank Limited

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we invested say 1 in that software, we have been able to save 4 because of that software of various categories like printing, stationary, productivity, rework blah, blah, all that put together. Also the number of applications that being processed by Cube which started let us say at about 100 has gone to let us say about 10,000 that is the kind of volume that is being. So, frontline improvements that I keep talking about has power to improve the productivity and we are working on it.

Jai: And last question Sir maybe it is too early, but if you can share thoughts on the succession planning when do when do the Bank starts to do that, would the Bank have a parallel run and when does this entire process starts?

Murali M Natrajan : What is the parallel run?

Jai: I mean the new guy whoever it is either external, internal who does a parallel run with you, understanding Bank culture if it is more important if the person is outsider, but just to the handholding kind of thing the parallel run?

Murali M Natrajan : So, the nomination committee will decide the agency, the head-hunting agency that would be appointed and the search panel I believe all that should get completed soon. We believe that we need to put in the application for the new CEO talk by the end of November because our RBI needs about four, five months to process this thing. So, I believe that we are well on track both internal and external candidates will be evaluated and then NRC and Board will take a decision.

Moderator: Thank you. The next question is from the line of Akshay Gupta from Investec Capital. Please go ahead.

Akshay Gupta : Sir just two questions from my side Sir currently there is 33% year-on-year growth in OPEX, so what is the OPEX growth for the next year we are expecting?

Murali M Natrajan : It will be much less than 33% because we have already built the capacity. So, for example, we have added the average headcount of 27% year-on-year. I do not expect the increase to be I mean it would not be more than maybe 14 maybe 12%, 14% that is what the current trends are indicating. So, that would result in whatever because headcount is our biggest cost and the number of branches would continue to be about 25, 30 that is that is unlikely to change.

Akshay Gupta: And Sir second question on like what is your PSL income for FY23 versus FY22?

Murali M

Natrajan : No, we are not disclosing that income, but.

Satish Gundewar : So, last year the overall PSL's income was close to 80 crores and this year the entire year full year PSL income is about 20 crore, so there has been a big fall and as MD mentioned in the initial comments I think despite severe fall in the passes income as well as we are not having the opportunity to have any treasury gain. The overall fall in the non-interest income has been really

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contained through a robust disbursements and a very good growth in our processing fee income as well as a very good trajectory that we have seen in insurance and investments income.

Akshay Gupta: And Sir last question on gross slippages like I missed your commentary on the gross slippages, so just I want to know like when will they go below to the pre-COVID level or something?

Murali M Natrajan : At pre-COVID we were doing very well on slippages and going back to pre-COVID we are pretty much there at pre-COVID level if you just exclude the gold and gold I told you is not a problem at all, gold will slip and gold will get upgraded that is not a problem at all. So, I would say that our slippages are about 2% without gold pre-COVID it used to be about 2.25, 2.4 like that. So, I think we are there already.

Moderator: Thank you. The next question is from the line of MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh: Just couple of questions one in terms of the demand side for loans how is the situation today?

Murali M Natrajan : Well, we have not got any resistance from our sales side and we have not loosened our credit policy to accommodate more target or more customers or anything like that, that all has remained as it was. If any we probably may have kind of refined it further based on the learning and so and so forth. So, we are not getting any resistance from our front line. We still hold that we should be able to grow the core products do not include the corporate because corporate is a very opportunistic kind of business that we run. So, without that we are still pretty confident that we should be able to double the loan book in about 3 and half years line.

MB Mahesh: Second question on your outstanding stock of NPS on the mortgage book has the situation improved in terms of resolution timelines?

Praveen Kutty : Mahesh, so what we are seeing is that the 2020 first half 2020 NPA have got in to a 24-month kind of cycle. So, by now judicial proceedings are really giving us results in terms of verdicts from the court and that is helping us kind of tempt the customer to make the adjustments and sell the assets on his own and then give us back the money. So, we are seeing incrementally what we can collect that we are collecting that early vintage NPS have been giving us a result and that is how the momentum had happened in the first initial months. Now we are seeing that the older vintage where ability to pay over the problem where asset sale had to happen you are getting the resolutions of DRT and SARF AESI coming in as a influencer to help us convince the customer to sell the property and then move on. So, the early vintage clearly is behaving like pre-COVID and the later with that NPA you are getting the benefit of the court orders to help recover.

Murali M Natrajan : One important thing is some of the target margin that we have which is like a small ticket home loan like a 15 lakh, 20 lakh kind of customer or even those ticket size LAP customers. We do not have to do repo and all just a legal notice and all can actually result in recovery proceedings

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taking shape. So, we do not really have to go to court, repossess and all these things. So, those customers are I mean we do not have to push them to that extent.

MB Mahesh: Murali we

have hit about 50 basis points credit cost for FY 23 in terms of the outlook that you are looking for the next let us say one or two years does this number go below this or you think this is a bottom that we can reach?

Murali M Natrajan : The collection team and the analytics team believes that it can go below that, but there are so many things that happen in our country that does not give me the confidence there could be any event that can actually cause the issues. So, I believe our business model is back to the same what it was before COVID which is at 40, 45 basis point top -50 basis point type of credit cost. The intention is to do better because I think during the COVID one benefit that we have got is you got better at some of the collection process mechanism and we are also introducing some technology there to improve productivity those should come in hopefully in the next few months. We definitely got better in collection during COVID I mean capacity-wise, planning wise all that has happened quite well I must say.

Moderator: Thank you. The next question is on the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: So, firstly just one question to understand how much spread that we are making on cost of deposit in EBLR regime and in MCLR regime, so if you can share that what is the spread in each of the regime that we make?

Murali M Natrajan : No, all that is a composite number that has been reflected in our financials and it is very hard to calculate all that because there is a part of MCLR, there is part which is an EBLR book, there is a book which is semi fixed which over a period of one year and all will come into either EBLR MCLR depending upon what was the contract at the time of booking that customer that deposit profile itself keeps changing. So, I do not believe that I can even attempt to answer that question, but all we are saying is that our business model is somewhere around 370, 375 basis points and we believe that with the mix of products on both deposits and the loan side we should be able to

achieve that.

Rakesh Kumar: Secondly Sir on the gold book side which is close to 8% of our loan portfolio, so did we have double digit gross delinquency rate in this quarter?

Murali M Natrajan: Means what?

Rakesh Kumar: In the gold loan book the gross delinquency rate was annualized number was double digit this quarter?

Murali M Natrajan: What worries you in gold if you can explain to me then you know.

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Rakesh Kumar: No, Sir first thing is that like at the first place why should we have this kind of a gross delinquency rate, so recovery happens as you were telling that recovery happens in this book, but at the first instance what is the reason for such a high delinquency in the book?

Murali M Natrajan: Gold loan book will be high delinquency and I would not apologize for that. The reason is the size are small customers 1 lakh, 2 lakh, 3 lakh, 5 lakh small customers who use gold loan for their business purposes and for emergency purposes sometimes even for putting money for their property margin, money or whatever all these things. These are small customers, they do not have great discipline. Many of them are serviced by NBFC where they actually would have taken a bullet loan and they do not have to service on a monthly basis whereas when they take it with the Bank we have to kind of bring in the credit discipline of making them pay. As long as we have taken good quality loan and our LTV is intact we do not worry about the gold loan portfolio and we have very good safeguards to ensure that we are not taking either some syndicated fraud gold or some spurious gold in our branches and wherever we find any issues in terms of process and all we try to address it very quickly so that it does not become a problem for us. So, gold

loan delinquency goes up I do not think any of us worry about it.

Rakesh Kumar: Sir, what is the LGD that you are mentioning in this book?

Murali M Natrajan: In Gold.

Praveen Kutty: See it is virtually nothing. There is actually gold loan business I mean look in this way 133 crore was NPA stock when we started the year that has come down to 19, so during the year gold NPA stock has come down from 133 to 19.

Moderator: Thank you. Next question is from the line of Rishikesh Oza from RoboCapital. Please go ahead.

Rishikesh Oza: Sir, my follow up is with regard to the uptake you just indicated that the next year OPEX growth would not be more than 14%, 15%?

Murali M Natrajan: No that is not what I said. I said that it will be much lower than 33 or whatever 32% that we have this year and I also said that we have added 27% average headcount year-on-year. I do not believe that it will be more than 10% to 14% or something else. So, I did not say that operating expenses will increase only by 14% so please correct that.

Rishikesh Oza: Basically, my question was regarding the cost structure, so basically at what OPEX level will our cost structure flatten and by when?

Murali M Natrajan: Cost structure will not flatten. We are running a retail and SME business and it is a very people-oriented business. The business is about continuously adding people to grab more and more business geographically our target or whatever I mean different target market and so on and invest in frontline technology, process systems and all to make them productive, have good credit controls and collection mechanism so that your NPA that is our basic model. This is not a corporate bank model, this is a absolute retail model. Our average ticket size is about 30 lakh,

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for example, you take any of the small finance Bank their business for employee will become 2 crores, 3 crores and they probably will have about 25,000, 30,000 people for similar or slightly bigger balance sheet than us you can verify what I am paying here. So, we will continue to add people, but we lost out momentum in COVID years. So, we took the courage to invest in a huge amount of frontline like 2,000, 3,000 people we invested and that is showing in our disbursement volume Quarter 4, 2021-22 versus Quarter 4 2022-23. Hereon, we may not have to have such a step change in increasing our headcount. I hope that provides you with some clarity.

Rishikesh Oza: Just one last point on this in your PPT you have said that your target cost to income you want to maintain around 55%, can you attach a timeline to it?

Murali M Natrajan: We believe that we should be able to do it within one to one and half years and we are working towards that. We have said that we are targeting 1% ROA and 14% ROE. This quarter we have been pretty close to it, of course cost would come out first and then business grows very slowly in Quarter 1. If you see our last year fourth quarter ROA and ROE we are better than that and last year we may add some one-off income, but this year even that is not there. So, we are moving in the right direction exact timeline and all is not so easy to give because there

are many variables, but directionally it looks like in about a year and a half we should be consistently delivering it if not earlier.

Moderator: Thank you. The next question is from the line of Drashti from T Hinqwise Wealth Managers . Please go ahead.

Drashti : My question is with regards to our cost to income ratio and more to do with the productivity of our branches, Sir you have mentioned in a lot of calls that it takes two years for a branch to breakeven after which we start seeing income coming in but when I map up total income per branch over last few years we have not seen a significant improvement in our total income per branch

branch metrics despite most of our branches are already three to five years old, so if you could just help me understand this and how can we see this going forward?

Murali M Natrajan : So, if you see that last year we had last year means I am talking about 21 -22 I think we added about 52 branches is something we added there and this year we have added 27 branches. A lot of the branches last year came towards the later part of the year . So, we review branches to say how they are performing, there are branches which are already broken even in about 8 to 9 months' time I mean I just visited a branch in Gujarat it is just remarkable that we have been able to build a very strong book in a matter of just 8 months, but there are branches one or two of them I can say remember in South that is in Tamil Nadu where even after about two and a half years they have still not crossed the line. So, there are variations in within the set we have a very strong focus, we can actually pinpoint the revenue per branch and the cost per branch and track it productivity per person we are able to track it and we are pretty confident that on an average when you put a bunch of branches we can break even in about 22 to 24 months of course there will be some outliers on both sides, but generally that is the direction in which we are proceeding. On cost income ratio please look at any Bank which has got a retail portfolio . If you have cost price book definitely cost-to-income ratio can be much below 50% , but if you just look DCB Bank Limited

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at only the retail kind of book and probably some of the smaller finance bank can give you a clue on what is pure retail. Our retail book is about 85% of our book there to manage cost -to-income ratio below 60 is a very tough ask, but still, we are targeting a 55% cost -to-income ratio over a period of time and we are confident.

Drashti : But if you leave aside the last two years where we have again started increasing our branch count if we leave aside these two years even before that since three, five years we have seen this total income per branch at a very stagnant level?

Murali M Natrajan : I would say revenue per branch and all because we have to put when we add 100 branches we have to put 25% of those branches in unbanked locations where the population will be 2000, 3000 so that is not a metric that we can look at, but I can tell you that we are looking at our business per employee which is about 8 something like what is the number in this 7.8 so it is close to 8 and we will be able to improve that. The second point that I want to tell you is that we have added substantial number of headcount last year and many of that headcount has not yet completely given the peak productivity for us. So, all that also has to kick in.

Drashti : And Sir second question is regarding competition, so there are a few NBFCs which have got very active in Tier-2, Tier-3 cities and specifically in the MSME segment, so do you face too much competitive pressure from these and how do you look about it ?

Murali M Natrajan : One of the advantages that NBFC has is that they can open branches and they do not have to worry about unbanked and all the other constraints that Banks have like us because if I open a branch in a small location then some percentage of those branches have to be opened in non-bank location. So, they do not have that thing other than that from a cost of fund point of view we have a much better advantage. I do not believe that some small NBFCs have cost of fund like what we have because we lend to many of those NBFC. So, we know exactly what their cost of fund is, those kind of competition has not given us any dampener from expanding our business or achieving the kind of disbursal goals that we have been pursuing for the last four quarters.

Moderator : Thank you. Next question

question is from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal : But is there any non-recurring expenses that we are incurring currently in other expense and because what will drive this cost income reduction we are also looking at?

Murali M Natrajan : No you guys have a framework saying that cost -to-income ratio should be 50% or 45% and then trying to fit all Banks into that. It does not work for us as I want to tell you right away because if you compare our business of 85% retail with 50% retail of another Bank obviously and we do those comparisons in our boardroom and see what the impact on that is . What I am saying is we have invested in frontline heavily last year and that is because for two years our average CAGR growth on '21 and '22 was only 7 % or 8%. Now we lost the balance sheet of at least 5,000 crores because those two years of COVID because we pursue SME business. Now the option in front

of us is okay, should we just go back to trying to grow the cost by only 10 %, 12% and invest or put in the investment because we know the business model, we knew how to make it work and
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grow the business which is the option we have taken and it is already demonstrating results. So, this year our cost increase is unlikely to be in the 32% range it will be much lower than the 32 % range and we hope that income growth is higher than our cost growth and that is how our cost income ratio will keep coming towards 55%.

Nitin Agarwal : Actually, I was just asking because we are building in some compression in margins also which may limit the improvement by FY25?

Murali M Natrajan : We have been running this model and we did it very successfully pre-COVID . You guys were worried about the operating cost increase. We have demonstrated that in our growth, look at our mortgage growth it is 27%, look at our AIB growth it is 30%, look at the co-lending growth it is I think about 50%-odd. So, everywhere we are growing very, very strongly with the investment it takes time and we are pretty confident and they are flexible cost in the sense they are not sticky cost. If a set of sales people or frontline do not perform there is a clear scorecard which helps us address those costs.

Moderator: Thank you. The next question is from the line of Krishnan ASV from HDFC Securities. Please go ahead.

Krishnan ASV : My question is little more on just the MSME business and where they are at given the kind of rate cycle or the steep acceleration in rates that we have seen over the past few years I mean and given that you tend to be kind of banking predominantly with the MSME in India, could you just throw some light on where we are at , we tend to think that housing and autos are typically rate sensitive that has been proven to be the truth, are MSME reflecting any sense of rate sensitivity at all.

Praveen Kutty : I just tell you with the particular segment that we are looking at and that is the micro part of the MSME, our average ticket size hovers around the 30,00,000 mark. The products that we that we do either cater to the capital requirement of the customer or specific business loans for those installment loans for those particular customers that is what we are looking at . where this particular book is concerned we are seeing that there is an increasing demand coming in and the early delinquencies for this customers of a similar vintage is actually better than the pre-COVID levels so good demand reasonably good performance thus far. It is a pretty large market ; lot of this particular segment is an assessment based on an ability where the people are still not having recorded verified income . Quite a lot of these customers are new to credit as well and it is a growing market. In India the MSME segment that we are speaking about is 63 million base and

over a period of time they will get formalized and when they get formalized our ability to assess income will be better and we will be able to give a higher loan rate where you are very conservative you give a higher loan. So, there are built in modes for these customers, there is an ability that the Bank has we have gone through a couple of credit cycles of average of let us say 5 years, 6 years, two 6 years cycles we have pass through, we have gone through headwinds of pandemic and demonetization, what have you GST multiple headwinds and now you are seeing the results of that in terms of the NPS stock post pandemic decreasing the way it has been

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decreasing the absolute sense forgetting the percentage sense. So , it a very thriving market where there is expertise the Bank has.

Krishnan ASV : Because what I think I am trying to just make sense of reconcile the macro headwind with the micro tailwind because at an enterprise level it seems that companies have almost infinite capacity to absorb rate hikes, it is also reflecting in fairly superior recoveries and upgrades, organic upgrades that you yourself are seeing and the rest of the Banking system as well. So, what gives here is all I am trying to?

Praveen Kutty : The parallel you can draw is this, So, these are customers primarily in the service industry. So, you take an example of something like a marriage hall the business has been virtually nil from March 2020 to a good part of 2021. They have definitely become NPA because there is no revenue coming in, but what you see happening currently and that is the proof of the puddings in the stock numbers not only are many of them, most of them servicing their EMIs, but also have had a benefit of increased business which is allowing them to pay back their entire overdue otherwise they will continue to be in NPA. So, if you were take mortgages 342 crores NPA stock is now 270 crores that movement you see is because there is a resilience and robustness of the business. Some people have gone completely out of the business , started new businesses which are income generating and that income generating resilience is what is key to this MSME SME segment which is allowing them to come back into the regular installment paying

capability plus knocking off the overdues in most cases. Another point which I want to tell you Krishnan is that if you see our recoveries it has got two components in it. There is an upgrade component and there is a recovery component in it. Recovery is when the customer throws up his hands and says look there is no way. I cannot repay this particular loan my business is not working. Upgrade is where the customer finds an alternative revenue stream or an increased revenue stream where he clears overdues and becomes a normal customer. One of the reasons why you are seeing this improvement in NIM is because the NPA customer continues to be a revenue generating, revenue accruing customer and is giving us a flow. So, you are getting the overdue flow minimum of three months maximum could be as high as about 12 months. So, there is a very big resilience in this particular segment. So, we talk about the demand, we talked about the size of the particular market across geographies and we talked about the ability of the customer to find to come back normal. So, I am not 100% sure of the micro tailwind that you are speaking, we do not see that, we see the clear resilience in the kind of customer selections that we had of this particular segment to not only to service installments, but to service installments and clear overdues so far.

Krishnan ASV : So, just one other question which is more about the target segment that you have been going after very consistently for the last 15 years and I am asking this to you only because you have kind of reengi

neered the Bank from the time that it was in trouble and we have seen all the difficulty years and now it seems the kind of engineers ahead and so all credit to you and the rest of the team that has been through with basically all these years, but I just wanted to understand has that addressable market that DCB wants to go after how much has India stack helped you to kind of expand your own target universe we just kind of index it for us just to understand the addressable market just for DCB Bank looking at it inside out?

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Murali M Natrajan : I think a lot of the items has helped us, Aadhaar has helped us no question about that because it makes life so easy in terms of doing KYC and all the items that are linked with Aadhaar. The GST has helped us immensely many of the customers at least our partly in the GST bracket our own ability to kind of all the digitization that has happened whether in electricity bill or supplier bill and all those things all that has given us the confidence of looking at things a lot more carefully and be confident of what we are doing and then we also have learned a lot about the target market. Some of the target market which we did not understand by doing little bit small experiment and all we have been able to go into those target markets as well I mean when we started this journey I do not think our ticket price was 20 lakh, 30 lakh we probably we would have been 50 lakh, 60 lakh, but over time we have been able to kind of successfully enter these target market and create at an individual level very profitable kind of loans.

Praveen Kutty : Geolocation, digital collection the ecosystem in the country has significantly changed it is really helping us in big time. We know where the customers are, we know the customers have an ease of payment 40 kilometers away to the nearest branch to payback the money there is a change.

Moderator: Thank you. The next question is on the line is Sohail Halai from Antique Stock broking. Please go ahead.

Sohail Halai: Sir my question actually relates to from the provision coverage issue, so we have reached on books PCR of around 68 % and closer to 80% including technical write off, so from a book perspective which has around 25 % in terms of the mortgage here, is it relatively fair to assume that all the legacy NPL provision in other books have been basically taken care of and probably in terms of this was a question asked in the past also that can you actually undershoot the credit cost probably because of the increase in the provision that you have made so far?

Murali M Natrajan : So, I do not know what you mean by legacy we are the legacy right now whatever we have created we own it that is what it is. So, I do not know how to respond to you on that legacy part of it. All I want to say is that 85% odd of our book is secured, 50%-odd of our book is mortgages even the entire SME book is most of the SME book is secured except what TReDS, TReDS is not secured. If I look at our tractor KCC all that has security and each of that we understand the loss given default and probability of default all these also have improved post COVID also because of our collection efficiency as well as various other kind of analytics that we put into improve our performance on that. So, I believe our coverage ratio is pretty strong. We do not have any target coverage ratio we wanted to be above 70% and we are about 70%. We keep making provision as per RBI norms or more like in mortgage and all our provision norms are higher than what is expected by RBI. So, we will continue to build on that provision while trying to do the best that we can in terms of recoveries and upgrades on these slippages. So, I do think that our credit cost should be in the range of 45 to 50 basis points, which was our pre-COVID level number.

Sohail

I Halai: So, another question pertaining to this only in terms of write offs is something that we are doing it for the last three quarters around Rs. 40 crore to Rs. 60 crore range and is it fair to assume that DCB Bank Limited
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some of these write offs has also started flowing through the P&L from the income level. So, recoveries from written-off has actually improved over the last two, three quarters?

Satish Gundewar : Sohail I am not able to relate to the question exactly, what exactly you want.

Sohail Halai: Probably in terms of one that you are actually writing off around 40 to 50 crores per quarter now and historically also in terms of last two, three years you have written off some amount of these loans. If I just back calculate in terms of write off and the cumulative write off book that we have, so is recoveries from written off account also started picking up in the last two, three quarters?

Satish Gundewar : So, you are seeing the recovery from the written-off account?

Murali M Natrajan: So, the recoveries that are coming from written-off account also come in the provision line not in the income line.

Sohail Halai: Sir, is the trend improving there as well?

Murali M Natrajan : See the collection team does not have any idea what we have written-off at the head office. They do not have any idea about it. They are collecting on the account as though it is an NPA. I mean like collection team will have no clue which item which account we have written-off and which account we have not written-off.

Sohail Halai: And Sir final question in terms of from the yield on loans and understand that some amount would be because of the upgrades and recovery as well, but post three or four quarters yield on loans actually moved up, so is the pricing environment better as compared to what we have seen in the last year any qualitative comments on this?

Murali M Natrajan : No, the competition is as tough as big. We keep doing analytics and making sure that we are pricing as much as possible from a credit risk point of view. So, that we do not lose the margin and the margins for both making money as well as absorbing the credit losses. The mix of portfolios that we have on the deposit and the loan side we are targeting a NIM of about 370, 375 basis point. If will do very well on collections recoveries and all you may see some improvement in our NIM, which is what you have seen here in this particular quarter. Also the EBLR it works like this that you actually make the change in EBR as the RBI announces its repo rate changes and the deposit cost follows. So, we do expect some compression in our name in the coming quarters.

Sohail Halai: And Sir this basically in terms of if you could just quantify how much of the yield benefit would be because of upgrades and recovery, any ballpark number?

Murali M Natrajan : We do not have that information; everything is comprised in the NIM so we do not have that information.

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Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande : Just wanted to understand what would be our term deposit cost right now currently and what would be the share of the deposits which get a special rate above the card rate in the deposit mix?

Murali M Natrajan : Why would we give a special rate over the card rate, but bulk rate is also published for us. See some of the Banks are not publishing bulk rate. We published all the rates, what do you see in our website is all the rates that you see and I think our bulk rates have been brought down probably in April or something like that some date I do not remember we brought it down. So, there are no rates that are not published all the rates are what you see.

Pallavi Deshpande :

And second on the co-lending side which is you are seeing very good growth the take rates, what is the kind of take rates you have to offer to the Fintech partners?

Murali M Natrajan : What rate?

Pallavi Deshpande : The take rate for the Fintech partner?

Murali M Natrajan : What is rate split between us, you are saying?

Pallavi Deshpande : I understand 80-20 is that right?

Murali M Natrajan : 80% of the loan is with us and 20% of the loan, you want to explain that Praveen will explain hold on.

Praveen Kutty : So, Pallavi what we do is we have co-lending partnerships where there is minimum skin in the game of 20% for the originator and depending upon what kind of product it is it can go higher. So, the reward and the risk are shared equally so try with 20% everything is shared 80% of book comes to us at our agreed pricing and the customer pays whatever the origination pricing is to the originator.

Pallavi Deshpande : In case your partner cannot have the book like somebody like a Paytm or something they can't

keep the book on that this thing, so you would not have those kind of partnerships I am assuming?

Praveen Kutty : I am not too sure whether I got the question , can you say that again.

Pallavi Deshpande : Some players in the market the Fintech players cannot keep those things on their books and so 80-20 may not work with those players, so would that prevent you being with those players talking of the likes of Paytm?

Praveen Kutty : So, Pallavi there are two things. One is co-lending what I explained to you was the concept of co-lending, we have a sizable book on co-lending, what you are talking about is a referral

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arrangement with Fintech . Most of the Fintech referrals are coming under the buy now pay later or personal loans mostly in the unsecured segment that is how the industry currently operates check out financing etc . that is an area which we are not invested in . where there are Fintech which are providing you with mortgage or SME lead, we take that, but that follows a similar to the connector model. So, it is more a lead referral thing than there is no identification etc . of the customer Aadhaar identification of the customer at the Fintech end. We take it full on and then do the appraisal entirely ourselves reject or accept as per our criteria and move on.

Moderator: Thank you. The next question is from the line of Akshay Gupta from Investec Capital. Please go ahead .

Akshay Gupta: My question is like you received lower PSL income compared to the last year, so why the PSL rate fallen, and do we expect it to recover?

Praveen Kutty : So, on PSLC the Bank's priority sector lending book as a percentage of the total advances that we have remained as healthy as it is. So, there is no supply problem, but the rate at which the PSLC is being purchased in the year 22 -23 has plummeted as compared to 21 -22 and the reason for this is not a demand issue , it is a supply issue. Earlier for the customer to become to be eligible for private digital lending you had to necessarily get a Udyam certificate which had to meet certain norms of what kind of activity the customer is doing and it is a stringent way of ensuring that that particular customer is meeting the particular norms and getting a certificate call Udyam , that has been significantly relaxed in last year which has resulted in an increased supply. The moment supply has increased two things have happened many institutions which were deficient in PSL has by virtue of easier norms fulfilled the PSL criteria or near fulfill the criteria. Secondly, the need for purchase also has become significantly less which has resulted in a drop in the price. What will happen in the future depends upon how much PSL is required by whom in the market and that will drive the price. So, right now there is no clear visi-

bility of

what the price is going to be .

Akshay Gupta: And my second question is related to our new CFO appointment like when we are expecting a new CFO in our system and it will be from internal or external some comments on this ?

Murali M Natrajan : So, as of now Ravi Kumar is going to be taking charge from Satish. Satish is here with us until June third and the NRC and Board will work with the management team and we will finalize the candidate in about a few weeks which is what we have represented in the stock exchange.

Thanks very much for dialing in to this call. It has been a pleasure interacting with all of you and look forward to talking to you again next quarter. Thank you very much.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of DCB Bank Limited concludes today's call. Thank you all for joining us and you may now disconnect your lines.

Call: Aug 2023

DCB Bank Limited

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Scrip Code: 532772 NSE Symbol: DCBBANK

Dear Sirs,

Sub: Transcript of Earnings Conference Call held on July 28, 2023

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing

Obligations and Disclosure Requirements) Regulations, 2015, please find attached the

transcript of the Earnings Conference Call held on July 28, 2023 with respect to the Financial

Results of DCB Bank Limited ("the Bank") for the quarter ended June 30, 2023. The same

has also been uploaded on website of the Bank and can be accessed at the link given below:

<https://www.dcbbank.com/upload/pdf/DCB-Bank-Q1-FY24-Earnings-Call-Transcript-July-28-2023.pdf>

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubi Chaturvedi

Company Secretary &

Compliance Officer

Encl: As stated above

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July 28, 2023

MANAGEMENT : MR. MURALI M NATRAJAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER

MR. RAVI KUMAR – CHIEF FINANCIAL OFFICER

MR. AJIT KUMAR SINGH – CHIEF INVESTOR

RELATIONS OFFICER

MR. PRAVEEN KUTTY – HEAD RETAIL BANKING

MR. SRIDHAR SESHADRI – CHIEF RISK OFFICER

MR. VENKATESH R – HEAD OPERATIONS,

TECHNOLOGY, HUMAN RESOURCES & CIO

DCB Bank Limited

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Moderator : Ladies and gentlemen, good day and welcome to DCB Bank Limited Q1 FY24 Earnings Conference Call.

Joining us on the call today are Mr. Murali M Natrajan – Managing Director and CEO, Mr. Ravi Kumar – Chief Financial Officer and Mr. Ajit Kumar Singh – Chief Investor Relations Officer.

As a reminder, all participant lines will be in the listen-only-mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on the touchtone phone. Please note that this conference is being recorded.

I now have the conference over to Mr. Murali M Natrajan. Thank you and over to you, Sir.

Murali M Natrajan : Thank you very much. Good evening all of you. Welcome to the Quarter 1 FY2024 Investor Call.

First of all, let me sincerely apologize to all of you for delaying this call by 15 minutes. The reason is that we had some technical difficulty in uploading the information and that took us a while to sort out that technical problem. Otherwise would have given you more time to go through all the information.

I'm joined by our Management Team here. Praveen Kuttu, who is the Head of Retail Banking, we have Ravi Kumar, who's CFO, we have Shridhar who's the CRO, we have Venkatesh who's Operations, Technology and HR Head and then we have the rest of the Management Team. This is about Quarter 1 FY 2024. So, in the first few minutes I'll give some highlights and then

we will open up for questions.

Our interest income growth has been in line with our average balance sheet growth on a year-on-year basis. As I had mentioned to you in the last call that in the EBLR methodology, we increase the interest rate of customers as the EBLR is changed by RBI and whereas the cost of fund impact comes through later and that is why you see some level of reduction in our NIMs, but it is still higher than and in line with our business model, which is what we have been talking about.

Core fee income seems to be growing in line with the balance sheet. What I would like to mention is that one and half years ago we used to have a substantial amount of income from PSLC. Unfortunately, that whole income stream has more or less disappeared. Although we do sell PSL but the rates are so weak that the income is not substantial anymore. But still we have been able to make up through other income stream.

We've had reasonably good control over the speed at which expense is growing. You will notice that our total income growth, which was lower than that total expense growth last year, this year we are more or less in line with that. Of course, we will continue to make investments in the DCB Bank Limited

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frontline in order to double our balance sheet in the timeframe that we had mentioned in the strategic areas, core areas like mortgage, co-lending, AIB, Construction Finance and SME. In terms of credit cost, we are still very much in control of credit cost, although there has been a slight increase in NPA. This is primarily on account of now most of the loans have come out of moratorium, a very small portion is left which also would be finished by July and we had some delays in terms of recovery and upgrades, but we are confident that over the next one to two quarters, we'll be able to catch up on that. And as you know, last year every quarter we have been able to deliver almost equal to the slippages and we expect our recoveries and upgrades to pick up momentum in the coming months.

Overall, usually the 1st Quarter is slightly lower, but if you look at our year-on-year deposit growth, it has been about 22.6%. And if you look at our loan growth is about 19%. This is despite the fact that TReDS portfolio, which is the invoice discounting portfolio that

that we were doing on

the platform that disbursement was very low in the 1st Quarter. We hope to pick up because the rates were not so good and we decided not to participate in an unprofitable kind of thing but we think that this momentum will pick up in Quarter 2 or Quarter 3. And other than that, of course the rest of the businesses are functioning well and we are seeing momentum in that.

We have opened about 8-odd branches in line with our 25 to 30 branches approach.

Our capital adequacy continues to be strong. The entire banking industry, many of the results that have been declared have had some struggle on CASA because the interest rates have been high on term deposit. There has been some flight of money from CASA to term deposit. We have also experienced such a situation but we are putting more efforts on CASA ratio to try and reach our long term stated goal of 30% above.

The cost of funds increase is in line with our expectation and we think that there may be a little bit more increase in cost of funds, although not at the same pace at which it has happened in the last two quarters.

Those are some of the highlights I wanted to share with you, I am happy to take questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We take the first question from the line of Mr. Suraj Das from B & K Securities. Please go ahead.

Suraj Das: A couple of questions are from my side. On the disbursement, I can understand there is seasonality in the 1st Quarter as you mentioned in your opening remarks as well. Just wanted to check one specific line item MSME and SME disbursement. I think that is very low compared to last quarter it was something around 840 cores and now it is only 384. So, is this because the TReDS portfolio has come down as you mentioned in the opening remarks or there are any other thing that has caused this? That is the first question, Sir.

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Murali M Natrajan: So, there are two parts to our MSME /SME lending. The substantial part of our MSME /SME lending is the normal CCOD term loan type of product, which is the largest portfolio. Then we had embarked upon trade about 1.5 to 2 years ago and it has performed very well without any NPAs. And it has helped us to park our excess liquidity as you generate because there's always a mismatch between generation of deposits and like for example while some refinance from NHB, it comes in a big quantum and it takes time for you to disburse those money. So, those kind of excess liquidity we park in TReDS. For whatever market reason from March 2023 to almost till June 2023, we found that the interest rate that was prevailing in the TReDS was not something that we wanted to participate that is no. 1 and no.2 also there was some change that we still have to understand in regulatory guidelines, in terms of what is the risk weight that you

can assign to the loans that you generate because our understanding of the guidelines seems to indicate that we have to have a specific rating of the principal else we'll have to keep 100 % risk weight . So, with the lower interest rate and the higher risk weight , it doesn't make sense because it will not beat our 14%, ROE. So, we backed off from that. So, the disbursement that you see in low volumes on SME/MSME is almost 90 %-95% because of TReDS .

Suraj Das: The next question is on the yield on advances , this quarter if I see on quarter -on-quarter basis, so it has declined by around 12 basis point. So, just wanted to know what are the reasons probably behind this because ideally, other banks, they are seeing Q oQ rise in the yield on advances.

Murali M Natrajan: See, it depends on the mix of products. There has been no change in our strategy or any issues regarding that. Supposing we disbursed a little bit more of corporate or let's say for example, co -lend

ing, we might end up having slightly lesser average yield on advances. So, we don't expect any major issues in terms of the product mix and the yield on advances. So, as we pick up more momentum in our core products like AIB and Mortgages in the coming months, I believe that unless there is some substantial competitive issue or something we should not have any problem in this and we still want to maintain that our business model is in the range of. 370-375 basis point NIM .

Suraj Das: And last couple of questions from my side is Sir one on the slippages side, so there has been QoQ rise in the slippages, I just wanted to check is this still driven by gold or if there has been rise in non -gold slippages as well. So, if you can give any qualitative color or if there is the amount handy if you can break up the whole slippages into gold and non -gold and the last question would be on the management transition side. So, if you want to make any comments or anything ?

Murali M Natrajan: So, you can have a look at Page no. 25 of the Investor Presentation where we give you the fresh slippages, some amount of slippages have happened in the mortgages , especially home loans.

And this has come from the last bit of moratorium kind of customers that came out of moratorium . Now the end of August we probably have near zero in terms of moratorium. Also , what happened is that in April we did have a few holidays so when some chunk of portfolio comes out of moratorium and you have holidays, it hasn't given us enough time to kind of get these customers to perform, but our collection team has looked at it. We have analyzed the DCB Bank Limited

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portfolio. We don't see any long -term challenges or anything like that in this portfolio. And as a problem also our recovery and upgrades did not fully keep pace this quarter with the slippages which used to be the case for us in the last four or five quarters.

Suraj Das: And the last one, the management transition if you want to make any comment?

Murali M Natrajan: You are talking about CEO transition because management transition is very big because I'm not aware of any management transition, CEO transition Korn Ferry has been appointed as the search firm. A search panel has been formed of the board and we are in the process of shortlisting both internal and external candidate and we hope to conclude the process well in time for us to be able to make our application to Reserve Bank of India.

Moderator: Thank you, Sir. We take the next question from the line of Mr. MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh: Just one question . I didn't get the answer that you gave to the previous one and the opening explanation on the margin side, while you alluded to the fact that it is the E BLR timing differences on the margin impact but there seems to be a drop in the yield as well. How do you explain that?

Murali M Natrajan: Yield is a quarterly from some product mix change. For example , if we have done more of a co-lending, which is coming at a lower rate but lower capital this thing and less of let's say business installment loan, that mix can impact yield . So, I don't see any concern in our yield. If you recall, kindly look at my last quarter transcript, the E BLR was like this that as soon as RBI changes the repo rate, we change the EBLR plus the margin of course is standard. So, we change the rate in our system, right . So, which is what I said that you get the benefit of the interest income.

However, the cost of funds takes time to catch up, so cost of funds in fact it started increasing , our cost of funds increase s probably from the end of February to March itself, and then we see that cost of funds is playing out. That is why last quarter also I said that we should not say that the NIM of 4% plus is kind of a sustainable NIM so that is what my explanation is.

MB Mahesh: And looking at your funding mix today and the term deposit book, we are currently at about a 6.7 on the cost of funds where do you see this peaking out in the next two quarters?

Murali M Natrajan: I feel right now, the interest rates are not increasing at the same pace as it was increasing last two quarters and we also have done some work on changing the profile that we go and target in terms of deposit . And third point is one more thing that you have to see is that we repaid a lot of

our Tier -2 bonds I think by December and then we took 300 crores of this thing in almost by end of March. A little bit of the cost impact is coming from Tier -2 also. That is why the 4th Quarter NIM was slightly higher than the previous quarters. Also, we have had a slightly higher slippages, so that also would have had some 3 -4 basis point of hit in NIMs for this quarter.

MB Mahesh: My last question on the reduction in employee headcount from 9900 to 9579 Any color to it?

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Murali M Natrajan: In order to scale up our business, we had a particular methodology by which we were giving headcount to all our business managers and respectively to the functions that are supporting this front line. So, in our internal meeting, we wanted to raise the bar and improve the productivity so we agreed on a new set of productivity norms for the various units and we impose that productivity. In that productivity now what happens is that if a particular unit does not meet the productivity, they get less replacement of headcount till they reach that type of productivity. So, the whole adjustment period is going on in terms of everyone working towards a better productivity in terms of disbursement, in terms of the number of files they process and so on. This headcount increase should start to pick up again from this quarter.

MB Mahesh: Just to clarify, as a consequence of this, does it have an impact on growth but improvement in cost-to-income?

Murali M Natrajan: See what happens is when you hire a set of 100 people in the front line, X percentage is anyway unproductive for a while. That means if we don't replace that, that doesn't mean that our disbursement or volume is impacted so that will be very sensible about how we want to do these replacements. It doesn't affect our businesses anyway.

Moderator: Thank you, Sir. We take the next question from the line of Mr. Darpin Shah from Haitong India. Please go ahead, Sir.

Darpin Shah: So, on the asset quality front while you explained about mortgages that there was slippages because of moratorium. There is a slight increase in NPAs in the corporate book as well. So, if you can just highlight what happened there.

Murali M Natrajan: See, there are two things that I find very difficult all these years to explain. One is any slippages from a very small corporate portfolio that we have. Another is NIMs because it has got so many moving parts. But having said that, what happens is that if any account is even under some stress where they are paying with delay and then if there is any creditor goes to NCLT then automatically the account becomes NPA even the monies that are coming through from the customer to bank gets stopped because it's all controlled by the R P, I'm just describing the process loosely that is what happens in that. So, one such account has flown into this thing and we are working towards getting recoveries. Corporate recoveries are usually the very difficult ones because you have to work with several banks to make that happen, and that's what it is. Other than that, on mortgage I explained that last of the moratorium and all people are coming out of the moratorium and we had very less number of days to collect from this both from a recovery and upgrade as well as slippages. Therefore, we went deep dive into the portfolio to see whether there are any challenge

s. We haven't found any major issues or concerns for us and we hope to pick up momentum on this in the coming quarters.

Darpin Shah: Sir, just one last data keeping question. If you can provide the breakup of provisions, standard assets and NPAs and floating provisions?

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Murali M Natrajan: So, we have floating provision of 4 and standard asset provision of 4 and the rest of it, NPA provision of 30.

Moderator: Thank you. We take the next question from the line of Mr. Rakesh Kumar from B&K Securities. Please go ahead Sir.

Rakesh Kumar: Sir, on the PSL thing like we have seen that in PSL Agri, micro enterprises and PSL general also, weighted average premium has actually come down. But PSL small and marginal farmer, the weighted average premium is close to 2% and remains the same across the last 5 -6 years. So, are we trying anything to do on the small and marginal farmer PSL to sell any PSL possibly there? And what is the reason that rates have dropped so much?

Murali M Natrajan: The rates have dropped too much. What we understand from the market information is that the Udyam certificate, which was one of the difficult thing to get and we had done a fantastic job of getting all the Udyam certificates on the MSME, also was helpful for us to get revenue plus I think there was some more time given by the regulation in terms of obtaining these certificates, so that is also the reason why I think it has dropped and probably there are more sellers in the market because of which the price is reduced. On small and marginal farmers there, we do have a separate unit within the Agri unit working on that. But the challenge there and not that I'm saying it is not doable but the challenge is the collection costs for these small customers is very high because we are talking about ticket size of like 5,00,000 and maybe 3,00,000 and 4,00,000,

that's kind of marginal and the holding will be less than 5 acre, Ajit, right for marginal farmers. So, therefore it is also a challenge in terms of both operating costs and collections. But having said that, we are working on it. We are also tying up with some what you call as Agri tech kind of companies who have been able to scale up to some level for giving to these marginal customers. We are trying to tie up with them to see how we can improve that. We are putting some money into technology to make this whole process a little bit better so that we don't fall short of this small and marginal farmer thing because that seems to be getting the maximum amount of pricing in Agri, you're right.

Rakesh Kumar: Yes, because it fulfills for couple of other categories shortfall also.

Murali M Natrajan : And see the way it works; I think is that something can be countered in Agri weaker section and small and marginal farmer depending upon the size of the loan and the category.

Moderator: Thank you. We take the next question from the line of Mr. Gaurav Jani from Prabhudas Lilladher. Please go ahead, sir.

Gaurav Jani: Can you quantify the slippages from the restructured pool that came through this quarter?

Murali M Natrajan : Yes, I have mentioned even in the past calls that there are slippages from restructured. There are slippages from the non-restructured standard. There are slippages from ECLGS. So, all that put together is 340 crores. There are also possibilities that there are customers who have paid all their dues, upgraded maybe 6 months ago, one year ago who may have slipped into NPA because

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that is the nature of the SME business. If they have got some cash flows, they may have slipped into NPA. To give you a sense, on our restructured portfolio, we are already holding at least about 14 %-15% of provision. And when restructured moves to NPA, the provision also moves along with that right? Second point is we did

not restructure anything which is on unsecured, probably miniscule of our portfolio unsecured would have restructured. It is a secured portfolio. And I can say that much of the slippages in this quarter at least have come from home loan kind of business and self-occupied property. So, we don't see any concern in terms of its recoverability over time. And also, Gaurav, if you have seen that we have shown demonstrated ability in terms of our recoverability of this portfolio over a long period of time.

Gaurav Jani: Sure. Sir, where I was coming from is we have a restructured pool remaining of 1600 crore.

Basis your opening remarks, I think we expect this to come up for repayment by July, right the entire portfolio.

Murali M Natrajan : No. We have been giving you some numbers, not all the portfolio is in moratorium. By August, even the small amount of portfolio which is like maybe 150 or whatever crores would be out of the moratorium. When we restructured, it is not that all the portfolio was given moratorium. So, please correct that in your thinking X percent of the portfolio, I think I've given some number in the past. I think a couple of quarters ago you would see that number and all the portfolio restructured is not in moratorium. Please understand that, right. Some part of the restructured was in moratorium, and that is also getting over by August end.

Gaurav Jani: I understood. And sir if I had to question you on the recoveries, right? So, could you elaborate as to what led to slower recoveries this time around and how should we look at?

Murali M Natrajan : I would say combination of things. I think we dealt with a few extra holidays in April. Usually, the first quarter is a bit slow. Second thing, some part of the North was not accessible because of the disruptions in flood. But when we look at the portfolio comparison with what we have done recovery in the past and there is no difference in that. So, over a period of next 1 to 2 quarters, we will pick up speed on this portfolio as well.

Gaurav Jani: So, lastly on the margin, if I look at your data disclosures correctly for the entire of FY 23, would we have made about 3.9% overall margins for FY23?

Murali M Natrajan : Yes, 3.93. Yes, the full year was 3.93.

Gaurav Jani : Sir when I was coming from basis this how should we look at entire of FY24 and while you did mention your guidance of 3.65 to 3.75....

Murali M Natrajan : I stick with my guidance. There was some advantage we had last year also because when you get a recovery of a NPA, you also get the overdue interest and so on, which helps in your NIM.

So, we had some advantage. In the early part of last year also was cost of funds was much lower than what it is currently. Our intention is always to make sure that the mix of products on the loan side and the mix of products on the deposit side is such that we make at least 365 to 375

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basis points. Our intention is to make it at the higher end of the 370 -375 basis point NIM because that is how our business model works. Also keep an eye on always this meeting the agri target, small and marginal farmer target and all so that we don't get penalties from NABARD and SIDBI which results in reduction in NIM. That's basically how we kind of work on this.

Moderator : Thank you, sir. The next question is from the line of Mr. Rishikesh Oza from RoboCapital.

Please go ahead, sir.

Rishikesh Oza: Sir, my question is with respect to the OPEX. So, what OPEX growth do we project for FY24?

Murali M Natrajan: We don't give guidance on OPEX growth. Our intention is to grow OPEX slower than our income. Our intention is to continuously work on frontline productivity. I gave some details on how we are trying to work on frontline productivity. So, over time, we want to have at least difference of 2% to 3% between the income growth and cost growth, that's the way we are functioning.

Our intention is to reduce the cost to average assets. So, this year, this quarter you would see that there has been a slight dip in cost to average assets. Over time, we believe that we can achieve a 55% cost income ratio given that we are a pure retail SME and you can see anyone who is very retail and very SME like examples are there and now their cost income ratio is nothing less than 60% right. So, that is how we are functioning.

Moderator: Thank you, sir. We take the next question from the line of Mr. Ram Kumar from Madhuram Capital. Please go ahead, sir.

Ram Kumar: My first question is on guidance. A few quarters back you have mentioned about doubling the income and profit by 3 to 4 years. So, are we still in line with that? Is there any change on that?

Murali M Natrajan: I want to say that I don't think we have ever given any profit guidance. So, you may want to check what guidance we have given on profit. I don't believe that we give any guidance on profit. Our intention is to double the balance sheet every 3 to 4 years. We are very much on that track is what I would like to believe. The kind of investment we are doing and the kind of investment we have done in frontline without changing any of our strategy in terms of granular retail and SME and Agri portfolio, we believe that we can double our balance sheet.

Ram Kumar: And my second question is on recently Tata Asset Management and DSP planning to double their holding around 9 in DCB Bank. So, do we have any details on when that is going to happen?

Murali M Natrajan: The details have been published on the Stock Exchange and it is public information. What the strategies of these companies are in terms of acquisition, you may have to ask them because we don't have any visibility on their plan on this. Whatever the plan they have exhibit, we have put it on the website.

Moderator: Thank you, sir. We take the next question from the line of Mr. Sameer, an individual investor.

Please go ahead, sir.

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Sameer: Just one question. Mr. Murali you covered the slowness in the SME, MSME business in this quarter, so thanks for that. So, from the current quarter perspective in Q2 and Q3, do you see it kind of normalizing the disbursements in that area or the two problems that you mentioned about risk weight and the low interest in that portfolio still passes?

Murali M Natrajan: My answer was very specific to TReDS, not SME, MSME. TReDS is part of SME, MSME. Would you like me to explain it in a little bit more detail?

Sameer: Sure.

Murali M Natrajan: So, TReDS is a platform as you know where large companies and medium companies put up their bills, which is basically some kind of material supplied by SMEs to those companies. So, we have recourse to that principal in case the SME does not pay the bill. So, we immediately give the money to the SME with some fee and some interest income and then at the expiry of say 90 days or 120 days depending upon the tenor of the bill, the SME pays. If the SME doesn't pay, the principal has to pay that outstanding. So, it's a very good product for short-term financing for SMEs and it is PSL and we have been very successful in this for the last almost 1.5-2 years. Of course, we use this as a short-term measure to soak up the excess liquidity that we may have. Now, if you find some other avenues for putting our excess liquidity rather than in TReDS where we get a little bit better margin, we do that. We found that for the last 3-4 months, the interest rate that we were expecting based on our cost of fund was not something we were able to command in TReDS. The second problem that was there was there is some clarification, we just need to know as to what are the risk weight of these loans because if it is going to be 100% risk weight,

that kind of margin that we are making doesn't make sense because

that won't give us the return on equity. So, that is what I explained. We do hope that that will happen, but irrespective of that, our core business in terms of Mortgage, SME, MSME, CC and OD, construction, finance, Agri, co-lending, tractor, all that is all moving pretty much on track.

Moderator: Thank you. We take the next question from the line of Mr. Darpin Shah from Haitong, India.

Please go ahead, sir.

Darpin Shah: Sir, I just need the data on collection efficiency on the Slide no. 27. So, if you can just highlight generally what we hear on the ground is that things are significantly better, collection efficiencies are better. But if I look at our numbers on a YoY basis also from June to June, it looks largely similar or slightly lower especially in the home loan part. So, if you can throw some light there?

Murali M Natrajan: You see, if you look at 2 aspects, one is bucket zero. Bucket zero, 99.1 versus 98.6, I wouldn't

really lose so much sleep over that, even in business loan you see current 98.3 versus 98.4 , yes, I don't see too much of a difference. In home loans, since almost like 100 or 150 crore or something like that portfolio came out of moratorium in April and we had very less number of days. If you see April is the one where you see a lower collection efficiency in home loans at 96.5. I don't see any long-term issue and all , it is basically timing issue. Customers who come out of the moratorium even in the past I have explained . They need few months to kind of get adjusted to this whole thing because we have not paid in the past and not all our portfolio is in DCB Bank Limited

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moratorium and all the moratorium will get over by August end, so very little of the moratorium is left, and despite loans coming out of moratorium last year, you can see that there has been very decent performance on slippages and recoveries and upgrades. So, it's more of a giving a little bit more time for this matter and these are all self-occupied property. So, on the ground , the situation as far as I know is very similar. There is nothing alarming in the ground situation. I don't know what other information that you have which you are referring to.

Darpin Shah : So, what I was referring is when we talked to other lenders, they seem to be quite positive in terms of slippages or recoveries and in terms of the ..

Murali M Natrajan : Darpin , please show me one bank that has done 100% recovery and upgrade last year. Everyone is very positive. I understand that. But what is the demonstration of the recovery and upgrade?

You know, even this quarter , we are at about 62%. This is probably one of the lower ones as compared to what we did last 4 quarters. We are confident of improving it further .

Moderator: Thank you, s ir.

Murali M Natrajan: Operator, if there are no questions, then we can wrap up this call.

Moderator: Sure, s ir. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

Murali M Natrajan: Thank you very much for logging in. Again, my apologies for delaying this call. Look forward to talking to you again next quarter. Thank you very much.

Moderator: Thank you. On behalf of DCB Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"DCB Bank Limited Q2 FY24 Earnings Conference Call "
October 31, 2023

MANAGEMENT : MR. MURALI M NATRAJAN – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER
MR. RAVI KUMAR – CHIEF FINANCIAL OFFICER
MR. AJIT KUMAR SINGH – CHIEF INVESTOR
RELATIONS OFFICER
MR. PRAVEEN KUTTY – HEAD RETAIL BANKING &
AGRI BANKING
MR. SRIDHAR SESHADRI – CHIEF RISK OFFICER
MR. VENKATTESH R – HR, OPERATIONS , IT & CIO

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Moderator: Ladies and gentlemen, good day, and welcome to the DCB Bank Limited Q2 FY '24 Earnings Conference Call. Joining us on the call today are Mr. Murali M. Natrajan, Managing Director and CEO; Mr. Ravi Kumar, Chief Financial Officer; and Mr. Ajit Kumar Singh, Chief Investor Relations Officer. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Murali M. Natrajan. Thank you, and over to you, sir.

Murali Natrajan : Thank you very much for joining this call. We also have Sridhar Seshadri, our Chief Risk Officer, R. Venkatesh, our HR, Operations and IT Head; and then we have Praveen Kutty, who is our Head of Retail Banking and Agri Banking.

So let me just give you a few points, and then we will open up for questions. Our advances growth was about 19% and deposit growth was 23%. The market conditions were tough. So the cost of funds went up and were not easy to grow CASA balances. That had some impact on NIM, and we expect this to stabilize over the next two quarters. We will explain in detail a little bit more.

Collection efficiency continues to be strong. While there were slippages in mortgages, primarily coming from customers who have just now come out of moratorium, and there are no more moratorium left. Everything is billed as of now. Our collection upgrades and recoveries have started picking up. For example, if you see in Page 25, last quarter was INR 211 crores of upgrade and recoveries this year -- this quarter is INR 289 crores, which is 73% of the slippages. We expect this number to continue to build. And we think that we should be able to reach similar levels to what we were able to do last year in about maybe two quarters or so.

If I look at slippages without considering gold, it is at about 2.69%, which is lower than last quarter slippages. And we think that step-by-step as we intensify our collections on customers in the restructured pool, we should be able to contain the new slippages, essentially coming from mortgages, that is one.

In terms of disbursal, again disbursal has picked up and we expect this number to improve in the coming quarters. We started growing our headcount again. Last quarter, you may have seen a lower number on headcount. This quarter is an increase in headcount. And we are building this capacity, so that in the coming years, we can achieve higher than 20% growth rate on a year-on-year basis. And our intention is to double the balance sheet in 3-plus years, that still is how we are proceeding.

In terms of cost to average assets, that is declining with growth, and we expect that to keep coming down as we continue to grow our portfolio. So those are some of the things that I wanted to mention. Top 20 deposits is just about 7%. And we continue to be very granular in our loan

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portfolio. 85% of our loan book continues to be at INR 3 crores or below. Credit cost is at 28

basis points. And our capital adequacy remains strong to support our growth ambition.

I'll open up for the questions.

Mod erator : Thank you very much. The first question is from the line of Darpin Shah from Haitong India.

Please go ahead.

Darpin Shah : So when you explain about the slippages being lower ex gold. But if I see the no NPAs segment - wise, there has been a rise most of the segments, whether it's corporate, which you mentioned - - sorry, whether it is for mortgages or even the SME segment. And even in the other segment, etc, excluding gold. So if you can just throw some light there as well? And second

question is

on other income. I'll ask that later.

Murali M. Natrajan Yes. So mortgages, all portfolio has come out of moratorium, all portfolio is billed. If you see our collection efficiency, including restructures, we are in pretty good shape in terms of restructures. What happens I think in customers who have come out of moratorium is that it takes about, like, I think, explained last quarter also, it takes about three , four months for them to come into the rhythm of paying on a regular basis.

As you know, even if they miss -- once they miss three payments , and then even if they are making one, one payment, it remains as NPA. And it takes time for them to kind of bring back to normalcy. You will see that usually, our upgrades are higher than recoveries, that suggests that we are able to get the customer back into regular -paying customers through upgrades more than we do on recoveries.

So from that point of view, I think we should expect the recoveries to pick up, and we have demonstrated that this quarter also because it's already at 73% . Last year, we were demonstrating about anywhere from 98% to 100%. And we expect that because we have adequate capacity in collections to achieve that. SME and all, even if some two accounts slips into NPA that might show as an uplift.

Again, these are cases where we have full security customers who have missed, for example, that November 12 circular of not servicing interest slip into it and then they come and repay and then come back to normalcy. On corporate, it's a very small slippage of some addition to some existing NPAs. So I don't think there has been on challenge on that. So that is how the things look.

Gold loans, it is at INR 42 crores. You don't worry about gold loan too much. Like I said, we have full security, and we have been able to demonstrate that we can reduce gold loan NPAs at any point in time as the customer comes and settles the loans with us.

Darpin Shah : Okay. And just to -- if you can tell -- when do you see that slippages coming below 2% ex gold, like you were pre -COVID or slightly prior to that as well.

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Murali Natrajan: I think we have to give ourselves another two quarters, at least, I feel. The reason for that is that all these small customers who had gone into restructure and moratorium, some part of them take time to come back to the rhythm of repaying their loans. So we are on top of it.

We have -- the good news is that we used to actually have a separate team reminding customers in the moratorium. Now that they are not in moratorium, we have kind of brought them into regular collections, which is also helping , I think because now we can be a lot more confident in asking the money to -- from the customer when there in moratorium for example. We have collected a lot of money while they were in the moratorium also to make sure that they don't get into a habit of losing touch with payment schedules and so on.

But some of them prefer to stay in moratorium. So -- but overall, I don't see any issues with the portfolio. And our recovery upgrade performance on some of these customers who have come out of moratorium , who are restructured also indicates that we have a pretty good handle on the situation.

Darpin Shah : Okay. And sir, my second question is related to margins. In your initial comment, you mentioned about cost of deposits stabilizing over the next two quarters. So if you can throw some light there, how much deposits have already been repriced? What's coming next or what will be coming in the next couple of quarters? How do you see that shaping up?

Murali Natrajan: So let me talk about margin and cost of deposits. We are tracking cost of deposit on a daily basis. And we have a good understanding on how the deposit pricing is moving. The deposit repricing of the existing term deposit and all should complete in

about 2 quarters, Ravi?

Ravi Kumar: In another two quarters.

Murali Natrajan: In another two quarters, it should get completed. But while that is happening, Darpin, what is happening also is that -- you have -- we have different types of portfolio, right? For example, tractor and gold loan will be in the fixed category. So that will not see any improvement in yield

except for new loans that we originate. The portfolio cannot be repriced there in some of those. Like for example, CV is about INR 250 crores or INR 200-odd crores and some tractor, which is -- which can't be repriced. Then we have a portfolio where -- which is essentially mortgage, LAP and home loans where we give a small period of fixed and then we make it variable, to help us to kind of make sure that the customer retention is intact, at least in the initial period. Many of those portfolios are coming up for repricing in the coming months and start to pick up even more in the next year.

MCLR portfolio, which is a declining portfolio, also has a fixed schedule of every quarter passing on the increase. So net-net, what seems to be happening is that we just have to bear with the cost of fund increase for about two quarters. And then the entire benefit of volume starts to -- we start to gain that post, say, about 1.5 to 2 quarters. If I look at our month-on-month basis. So that's how our indications are. And we are pretty confident that unless there is some major issue in market in terms of liquidity and cost of ongoing haywire, we seem to be in that path at the moment.

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Darpin Shah: Okay. Just related to it, how much was the margin impact because of slippages during the quarter, and that will be -- that's it from my end?

Murali Natrajan: We don't have that, but some recoveries happens, some slippage happens. So I don't think I have that stuff. But I don't think it is a very material number. Because a big story upgrades as well. And in recovery, I've seen the slippages, say, for example, in slippages I sacrificed 3 months interest, as an example, I'm just saying. But if I recover some old NPA, which is 6, 7 months, I might actually gain interest of 6, 7 months. So it's like a lot of plus and minus on that.

Moderator: The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: I have a couple of questions. So first, on your savings rate, right? At the end -- at the fag end of the quarter, we had increased the SA rate from -- in INR 10 lakhs to INR 2 crores bucket to 8% versus I think slightly below 7%. So, a, of course, this is maybe at the top end of the industry offering. Other banks that offer such kind of rates, they have very high yielding micro finance portfolio or some other unsecured portfolio, whereas our blended yields are around 11.5%.

You had some landed cost on top of this 8% regulatory costs, etc. Then the incremental margins that would come out of this liability would be much margin dilutive, I mean, broad mathematics.

So (a), what led to this kind of a pricing strategy? (b), what could be the proportion in this bucket, so because this is -- this has come at the fag end of the quarter, so ideally the full impact should come in third quarter. So a, why this change? Of course, other banks are -- also have such pricing, but they have very high proportion of -- or a significant proportion of MFI unsecured loan. So your thoughts there?

Murali Natrajan: Yes. So first of all, bulk for our savings account balances come at the lower end of the pricing band. To be able to -- let's say, for example, we have 100 RMs in the frontline. Not more than 15 RMs can actually be really phasing up to high-ticket HNI kind of customers. The rest of the guys all get ticket price of INR 1.5 lakhs, INR 2 lakhs, INR 2.5 lakhs, INR 3 lakhs, like that. So the pricing on the savings account for ma

ny of these customers are in the aspirational zone as

opposed to actually them earning. But it is slightly better than, say, for example, a public sector bank, and also we are able to attract customers.

Besides that, we also offer some cash back kind of opportunities in some of the products, so that also attract customers. So even after pricing at an 8%, I don't believe that, that is our price that we pay in overall SA balances, that is point one.

Second point I want to mention is many times the customer retention strategy is that you have to offer a slightly higher rate in savings because the customer instead of giving it at the term deposit, wants to have the flexibility of keeping it at the savings account. So those are the customers that are attractive in that high ticket -- high pricing.

And frankly, the customer is paying us less than the term deposits in this particular case, because he will actually get all the band pricing, so it will probably come at less than 8%. So I would like to argue that for retention of those customers, we are actually paying less than term deposit rates. So that is our approach on those things.

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Jai Mundhra: Okay. But this will be a very -- I mean, this could be a significantly margin dilutive strategy, right? Because even if...

Murali Natrajan: You compare, Jai Mundhra, you compare what is the cost of fund increase on a marginal basis

on the last quarter, that is a quarter that has come by for all the banks. I mean we have done the comparison. Our cost of fund has grown up by 15 basis points. You can check that and check with all other banks who may actually be showing different -- maybe lower rate in the car or something and how their cost of funds have gone up, then we can obviously have a discussion on that.

Jai Mundhra: No, no. So this quarter, the impact would have been only for 3 to 4 days, right? Other banks have seen cost of funds increased by 30 to 40 basis points, we are much better off...

Murali Natrajan: Even 80 basis points, even 80 basis points.

Jai Mundhra: Yes. So we are much better off. But I think the full impact will come only in third quarter, right?

Murali Natrajan: Not because of the savings rate. Like I said, savings rate at 8% is more of a retention strategy of customers who are getting cannibalized on the term deposits because some other bank is offering that kind of flexibility to them at the savings rate. So better that we actually retain them by this, where we actually end up paying less than 8% because of the various rates that appear in the band.

Jai Mundhra: Okay. And are you seeing very healthy inflows because of this and retention? I mean...

Murali Natrajan: So you don't want to lose some of the customers. So -- and like I said, the customers who are acquired by us are all in the smaller band -- all the branches. I mean, it's very difficult to get customers at INR 2 crores, INR 3 crores, INR 5 crores, it's not easy because there are a lot of opportunities for those customers. So bulk of our customers come in the smaller balances...

Jai Mundhra: Okay. That's good. Second question is, sir, on your disbursement trend and loan growth, right?

So loan growth has been very healthy at 18%, 19% Y-o-Y. But if I look at our disbursement in the last 2 quarters, that has been negative Y-o-Y. The growth has been negative Y-o-Y.

Murali Natrajan: What is negative Y-o-Y?

Jai Mundhra: The disbursement growth is negative. I mean there is a Y-o-Y decline in the disbursement amount?

Murali Natrajan: So the answer to that is very simple. We had a product called TReDS, and we have toned down that product substantially because there is a huge amount of competition that we are facing in -- from public sector who are possibly offering far lower rate than us. So if you back off the TReDS out of it, Y-o-Y quarter-on-quarter, our growth will

be quite impact on that. And that

was a low yielding one. So we really don't worry about it. Part of it has got shifted to better yielding short-term corporate loans.

Jai Mundhra: Right. Okay. And then, sir, on your gold loan strategy as a product, right? So this has been a core -- I mean this has been a key focus product. But if I see the portfolio is reducing in

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percentage terms, and I think in absolute terms also. And at the same time, slippages, at least in the last few quarters have risen, right? Maybe the next slippages would be miniscule because you would end up recovering everything. But the proportion is reducing and the slippages are rising. So what is -- what wrong is happening in this product? Worth of this marketplace...

Murali Natrajan: Nothing wrong is happening in the product. Gold loan slippages are sometimes can also be seasonal. Sometimes it can be that some inefficiency in the branches in terms of following up on the gold can cause slippages. As long as we ensure that there is no fraud or any poor valuation kind of thing in the gold origination -- gold loan origination, we really don't worry. From a timing point of view, NPA is a problem.

But other than that, we don't worry. As of now, we are focusing a lot also on gold co-lending and other co-lending. And diverting some of our branch resources to getting deposits because you would appreciate that last quarter has been tough for the entire market on deposits, and we have grown deposits by 23%, and we want to keep a healthy growth of deposits.

So what we -- when we do gold loan co-lending with the different entities, we don't incur the operating costs and the margin is also very healthy. So part of the capacity has been diverted to getting more deposits. And gold loan is something that we will continue to push and -- as we improve our deposit momentum.

Jai Mundhra: But sir, the proportion in overall loans is reducing for gold loan, at least...

Murali Natrajan: Co-lending has been doing well.

Jai Mundhra: So co-lending gold does not come in the gold, right? Is that the understanding?

Murali Natrajan: No, no. There is co-lending gold and co-lending other products. Co-lending gold is not reflected in our gold loan, probably. Separately shown as co-lending.

Jai Mundhra: Okay. Okay. So -- but why -- I mean, our own sourcing of gold loan, why is it not growing? I mean, considering...

Murali Natrajan: We have put some of the capacity for deposits in many of our branches because we want to make sure that our deposit momentum -- retail deposit momentum is -- so that kind of balance we have done to make sure that without giving them additional capacity, make sure that they focus on

gold. So we change the scorecard here and there to make sure that the deposit momentum is strong. And also you see the fee momentum because all the branches are performing quite well on core fee income, which you would have noticed in our presentation.

Jai Mundhra: Yes. Yes, noted, sir. And last question, sir, on your opex to assets, right? So in the last 2, 3, 4 quarters, that ratio is improving. And we are steadily making an improvement there towards our goal of 2.4%, 2.5%. There is no -- I mean, that trajectory should be maintained, right? I mean is a fair way to look at it? I mean there is no, let's say, I mean, this quarter, the starts have increased, but ideally that trajectory should sustain improvement that is a broader question.

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Murali Natrajan: Yes. The way we have been looking at our projections for the next three years, making certain assumptions, we will continue to invest in frontline. As you know, in quarter 1, all the cost of salary increase and all comes in, whereas there is no balance sheet to support. So usually, our first quarter cost would be higher without the corresponding

ing balance sheet, the growth.

At that time, you may see some here and there increase in cost to average assets. On a long-term trend basis, year-on-year, we expect cost to average assets to come down. While we are continuing to invest in frontline -- increase of frontline staff for us to continue to grow. And our intention is to increase the growth to above 20%.

Jai Mundhra: Right. And sir, if I may ask, I have one last question. So (a), the status or the -- any status update on the MD, CEO appointment. And secondly, there was an RBI notification which said that bank has to have more than one whole-time director. So your timeline on the appointment of another whole-time director? Thank you.

Murali Natrajan: Whatever RBI guidelines, we will comply with it. So we have to engage with the NRC and Board to make that happen. So I think the guideline has just come about 4, 5 days ago or a few days ago. So we are on top of it.

As far as the MD CEO appointment is concerned, the application has already been put into RBI, and we will wait for RBI to revert to us.

Moderator: Thank you. The next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: So firstly, you mentioned when you're opening -- in one of the comments about the mortgage book first coming at a fixed rate and then repricing at high level. So could you just explain what exactly happens in the product? And is the entire portfolio in the same format?

Murali Natrajan: I did not catch your question. What is same format?

Mona Khetan: So on the mortgage portfolio, you mentioned that you first give these loans at a fixed rate, mortgage loan...

Murali Natrajan: Small-ticket loans, see, we incur legal costs, we incur valuation costs. Some of the small-ticket customers, at least for a small period of time to prefer fixed EMI. And these small-ticket customers, our yield is higher than our average yield that you see in our portfolio, depending upon their credit risk profile. Because we have certain bands, depending upon the type of product and location, etc, we have a pricing grid, which we administer on that.

So when you originate these loans, they come up for -- they're all fixed for a small period of time, and then they come for repricing. So we see that whatever loans we have booked in the last year or so, all that is now coming up for repricing month-on-month. And that starts to build up further next year because our new originations have also started improving since the last many months. So all that all starts to come for repricing in the calendar year of next year itself. That is what I mentioned. And this happened only in small-ticket loans. For a slightly bigger-ticket loan and all, it is fully variable, right from day one.

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Mona Khetan: Got it. So the fixed rate is typically for a year, and then it moves to the...

Murali Natrajan: It depends on customer preference, it can be six months, it can be one year. It depends on the customer's preference.

Mona Khetan: Got it. And if I have to understand of your mortgage book, how much of this is -- this kind of -- how much of the portfolio is...

Murali Natrajan: Because our mortgage book is very old now, it's INR 18,000 crores, we've been doing mortgage for -- I don't have that number readily. All we monitor is how much coming up for repricing and what is the impact of that on basis points on -- so in our projection, we keep adding those changes.

Mona Khetan: So in the next six months, for example, how much could be coming up for the repricing of the

mortgage, sir?

Murali Natrajan: I don't have that. But I think it keeps building up because we started booking more loans, if you see in the last 12 months, right? So it starts to build -up much more by February, March of next year.

Mona Khetan: Okay. Got it. And secondly, on the restructured book

ok. So I understand some of the flow -through

is happening over the last two quarters. So two things here. One, do you expect this to continue?

And secondly, when these loans become an NPA, is the interest reversion typically more than three months because they were restructured and were not paid? Or is it typically the similar three -month format?

Murali Natrajan: Usually, it is only three months. But when we upgrade some of these loans, so it could be more than three months because two things happen. If a customer goes into NPA, and we have to, let's say, initiate all the legal process and all, the legal process and everything takes about anywhere from three months to six months to kind of fructify, maybe even seven months to fructify. But in the meantime, if you are able to negotiate with the customer and get into upgraded accounts settle etc, then you actually gain a few more months, I mean, all the months, the interest that he has not paid.

Mona Khetan: Sure. Got it. And just finally, on your ROAs what would be the guidance? And what could be the drivers here on from the -- for the ROAs?

Murali Natrajan: I think two, three drivers are there, but not in any particular order. We are slightly, I would say, delayed on that because of the sudden cost of fund increase that we had to grapple with in the last three months. But we see that situation stabilizing in about two quarters or so. First of all, the growth would help us to improve the cost to average assets, for example, would improve and we get the balance sheet. In line with balance sheet, our fee income also is expected to grow, that is one.

Secondly, although it is difficult to grow CASA, what we have done is we have kind of put a lot of -- shifted some of the capacity, like I mentioned to Jai Mundhra, to CASA and term deposits because we want to make sure that we don't allow the cost of funds to get too much out of control

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despite the market conditions. We don't believe that our credit cost should go out of control. I used to give a guidance of 45 basis points, 50 basis points. But from the current portfolio, it looks like it can even be like 35 basis points, 38 basis points. That is how it looks from whatever reading that we have of our portfolio.

And lastly, we are also changing some of the product mix, and this is important for us to know is that prior to COVID, we used to do lot more business loans and our proportion of home loan was like maybe 20%, 25%. During COVID, we shifted our focus to home loans. Again, the same segment. Segment remains the same as self -employed. And slowly now, we are shifting it back because now we are pretty confident of the current market situation on our own portfolio. We are shifting this direction to more business loan. That also should help us to give us a few basis points on the NIM. These are the actions that we are taking to get to ROA of 1% and 14%.

Moderator: Thank you. The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise: Just on the restructured portfolio, as you said that none of the current restructured accounts are under moratorium now. So how does one expect the upgrade trajectory here?

Murali Natrajan: If you look at our slippages, more slippages are coming out from the restructure and much less on the overall non -restructured book. However, from upgrade and recoveries, there is no challenge in any of the slippages. So recent slippages, which has happened because of customers coming out of moratorium in, say, for example, early calendar year this year and maybe April, June, etc whosoever has slipped out of it will take about six months at least to mature into either a settlement or an upgrade or a recovery action.

So we expect and we have demonstrated. Again, if you see our absolute recovery and upgrades this quarter, I think it is about INR 29

5 crores. And if you look at March quarter, we probably

were at about INR 300-some crores. I think it is on Page 25, if I'm not mistaken. Yes, Page 25.

So again, INR 306 crores, we are at INR 289 crores. So we have demonstrated ability to do upgrade and recovery of tool. So I expect this number to continue to improve. And we don't use any collection agency and all. All our collections are in -house. Even lot of lawyers we have in -house. So we feel that we have pretty decent handle of this.

Sameer Bhise: And of the balance pool of restructured loans, how much would be mortgages?

Murali Natrajan: I think much of the pool is either home loan or LAP and very small part will be commercial vehicle. Other than that, we don't have anything. So that's the other thing. We've never

restructured any unsecured loan and all. We probably would have restructured maybe CV -- we never restructured BC loans. The only loan that we restructured was customers who have good track record with us and who are having temporary difficulties, which was mostly in mortgages, home loan and commercial vehicles.

Sameer Bhise: So 80 -20 split across mortgage and CV would be a...

Murali Natrajan: No, no, no. CV will be much less than that, much, much less than that. Our CV portfolio itself is very small, as you can see.

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Moderator: Thank you. The next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: Sir, first question is probably I missed the comment. The fee income looks a bit bumped up this quarter. Is it because of PSLC and if you could quantify this, sir?

Murali Natrajan: There are no PSLC, now a days. Two years ago, we earned INR 80 crores of PSLC, right? Last year, I think PSLC was some INR 20-odd crores, right? This year, I think, PSLC will be maybe INR 3 crores, INR 4 crores. We have taken a hit of INR 80 crores on our chest on the PSLC.

PSLC which looks like every year, it will improve for whatever reason, and we have been continue to generate good quality PSL and all, but the demand supply has been a challenge on this particular -- this thing.

So it's not PSLC income. A lot of work done on third -party fee income. If you recall, we have told you in the past, maybe few quarters ago that we have a separate team, which is training the front line in all the branches, giving them training, the analytics team giving them support on the kind of customers they should contact all that is happening, and we hope to continue to build the momentum on this.

Gaurav Jani: Appreciate this. Just want to clarify that there are no one -offs out, right? I mean, so could we assume, INR 90 crores, INR 95 crores sort of run rate to be in normal?

Murali Natrajan: There is no one -off on this at all, and we hope to grow fee income in line with our balance sheet growth year -on-year.

Gaurav Jani: Understood. Sir, secondly, coming to the funding profile, right? If you could just quantify the LCR, the reason I'm asking this is because over the last one year to 1.5 years, we increased our share of wholesale deposits. So a sub -question to that is would be the -- our NIMs are between...

Murali Natrajan: So from where are you getting the information that we have increased the sale of the wholesale deposits?

Gaurav Jani: Sir, the interbank deposits have gone up by from 9% to 13.3%. So that is the number?

Murali Natrajan: Yes. So we have the following -- all top 20 deposits you see, it has been below 7%. This quarter, it has just slightly increase to 7.06% or something like that, right? That is number one. We have a number of customers in the co -operative bank category, small co -operative bank categories, who give us non -callable deposits, okay? And that has been our core customer was, probably 10-odd years.

At the same time, you see, we

have continued to grow our retail term deposits as well. So from a profile of liquidity, and LCR, I think, are in pretty good shape, except that market has not been very easy for us to grow our CASA balances and we are putting that effort by shifting some capacity -- more capacity into CASA.

Gaurav Jani: Sir, just a sub -question to that. I mean in terms of funding costs, right, the interbank deposits and retail term deposits, the cost of funds, funding would be similar?

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Murali Natrajan: For what and what?

Gaurav Jani: For retail term deposits and interbank deposits?

Murali Natrajan: No, there are bulk deposits and retail deposits. That's the way the interest rate works. So -- and those are all items published in our website, and you can have a look at that. We probably are one of the banks which publishes all the rates, including bulk and everything in a very transparent manner. And I am looking at the deposit rates across this thing. Of course, each bank has to choose which is the bucket in which they want to have what is called, the peak rates versus the sweet spot. So we keep choosing that depending upon our asset profile.

Moderator: Thank you. The next question is from the line of Prabal from Ambit Capital. Please go ahead.

Prabal: Sir, my first question is on the PCR provision coverage ratio. So that has come down from 68% in March to 64% now. So how are you thinking about this ratio because our net slippages continue to be greater than 1%?

Murali Natrajan: Our intention is to take it up to 70%, over time. But when I look at different categories of loans, where we see the recovery is taking time, first of all, okay let me just backtrack. Let us say, RBI has certain IRAC norms on what type of provision has to be done on secured, unsecured, etc. Our provision is ahead of the RBI norms and it has been like that for many, many years. So if they say x percent will be provided in a particular time, our provision would be higher than that. So our provision is always higher than what is required by RBI guidelines, and I'm very confident about that. That is point number one.

Point number two, we also have something called a specific provision for certain assets. So wherever we see in terms of some large ticket, especially, let's say, corporate NPA and all, we see that the recovery efforts are taking time. We have an overlay of provision on that to make sure that we appropriately kind of represent our risk on that to our Board and our Audit committee.

So as an example, corporate bank will have far higher coverage ratio for the NPA that is there up to INR 228 crores. Whereas in mortgages, we don't believe that we are going to lose money on mortgages or home loans. So even if our coverage is say, for example, 35% or 40%, we feel that it is far higher. It doesn't mean that we'll stop making provision of that. That aging provision will continue to happen in that.

Prabal Gandhi: So let's say, till the time net slippages normalize and parallelly, if we try to raise our coverage to 70%, there could be a possibility that credit cost might overshoot 50, 60 basis point guidance that we typically use to?

Murali Natrajan: I've never given 50, 60 basis points guideline. I don't know from where you are getting. Just now I gave a guideline where we think that it probably will be 35, 40 basis points. So I don't think, pre-COVID and post-COVID, my guidelines have been in the range of 40, 45 basis points only. So I don't think we have any 50, 60 basis points. Even pre-COVID barring maybe some aberration in commercial vehicle and all, I don't think we've had any issues on that. That is point one.

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Point two is please also look at Page number 29, okay? So for restructured advances, we have a separate provision of about INR 194 crores. There is another conti

ingency provision of another

INR 43 crores, right. So that INR 43 crores, for example, is not counted in net NPA. It's a contingency provision that is there, while floating provision is counted in. So I think our provision coverage, obviously can be better, but I think we are very strongly provided at this point in time. And Prabal your question is, why it may not exceed this because our recoveries and upgrade also, we expect it to improve. If you don't recover an upgrade, then obviously, the credit costs will go up.

Prabal Gandhi: Understood. Sir, my second question is that our agri and inclusive banking seems to be growing at a faster clip, 30%, 31% Y-o-Y growth. So is this going to be the focus area going forward as well?

Murali Natrajan: Agri inclusive banking has been a focus area for us. If you look at our strategy document and what we have been mentioning, retail, SME, MSME and agri inclusive banking has been our focus area for past many years. Corporate has not been something that we wanted to grow, but we keep it only for liquidity reasons. And there are multiple products in agri inclusive banking, like KCC, tractors, mortgages, MFI and so on. We have separate teams working on each of this. And given that we have almost 190-odd branches in AIB, we believe that we should do very well in AIB.

Prabal Gandhi: And the yields on the AIB portfolio is it better compared to, let's say, overall edge of...

Murali Natrajan: It depends on product to product. In certain cases, the yields are also higher and even credit cost could be higher.

Prabal Gandhi: Understood. Sir, you mentioned that to improve our yields, or we might start focusing more on business loans. So is this the lap, loan against property that you were speaking about?

Murali Natrajan: Yes. So we started this journey with the loan against the property, which we call as business loan, many, many years ago. We used to be at -- almost 85% of our business used to be in the LAP 10%, 15%. Towards end of 2019 and early 2020, given the market conditions, we changed some mix. And what we are seeing is now that we have much more, what is it called, data points and the thing post-COVID, we want to kind of focus a little bit more on BL, which will add a few more basis points to overall yield and NIM, that's our intention. And we know this business backward. So shifting some of the capacities or adding some of the capacities into business loans is not something that we would have difficulty in doing.

Prabal Gandhi: Okay. So let's say within mortgages, the share of LAP could increase compared to home loans because now we are more comfortable on this businesses?

Murali Natrajan: Yes, in a step-by-step manner. Like over a period of next one year or so, we will keep increasing

the share of it, so that we get better yield. Nothing wrong with the home loan and it also comes at a lower risk weight. But we would -- now that we have a stronger understanding of post-COVID issues and all, so we are kind of shifting some focus into loan against property.

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Moderator: Thank you. The next question is from the line of Manish Agarwalla from PhillipCapital. Please go ahead.

Manish Agarwalla: I have a question about the quarterly repayment rate. So if I do a back-of-the-envelope calculations, your quarterly the repayment rates have been coming down despite the fact that a lot of loans have come out of the moratorium. What can be the reason around this?

Murali Natrajan: What is quarterly repayment rate?

Manish Agarwalla: So if I give you the disbursement number and give the loan number, so if I just turn to a reverse calculation to see what is the quarterly repayments, so it to be, say, 10%, 11% every quarter.

And right now, that number has come down to 7.5%?

Murali Natrajan: No. First of all, I'm not sure what that number indicates or something because we have a full

handle on the repayment of each and everything. And you can see our collection efficiency has been pretty good. So I don't think we have any quarterly repayment issues. But let me put it this way. If you are building a portfolio of installment loans, which is what most of our loans are in mortgages, which is what it is.

What happens then is when the new loan proportion keeps increasing, you should expect smaller repayment in the early stage for term of loans, because that is how it would be. So I don't see any major issue with our quarterly repayment and we are confident that the kind of capacities and the disbursal target that we are pursuing, which we are able to pursue 20% kind of growth rate.

Manish Agarwalla: Sir, I got your point. The point I was trying to understand that is as a strategy, are we renegotiating the rate in order to stop balance transfers?

Murali Natrajan: There is a separate team and I haven't seen any major problems in our monthly pre-closures. The pre-closures are in similar range as it was in last quarter or previous quarter. Usually, pre-closure rate increase in a declining-rate environment. We have not seen pre-closure out of our ordinary kind of whatever modelling that we have done. So we don't have any concern on that.

But having said that, the mortgage team has a separate team which discusses with the customer.

And it's actually been done without causing any pain to the customer because we don't want them to complain to ombudsmen and think that we are trying to hold back their loan and so on and so forth. They very trained kind of frontline people who try to understand what are the reasons that they are going. And we have some model by which they decide what kind of price break that has to be given to the customer for retaining the customer. That activity has been going on for quite some time, and it's a separate team that works on it. In our call center, and I don't know, Praveen, where else they have -- the call center -- call centers, yes.

Manish Agarwalla: Okay. So there was one more related to this. As we pass the rates in, are we increasing just a tenure significantly or how it is working?

Murali Natrajan: Up to a point, it's always a tenure increase. In some rare outliers and all, we may increase the installment. But generally, in mortgage business, since I've been part of for the last several,

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several years, you just simply increase that tenure. And where the interest rate comes down, the tenure comes down, simple.

Manish Agarwalla: Got it. And finally, sir, your thoughts on CV and microfinance. So when do we expect the CV business start growing again? And there has been some you know?

Murali Natrajan: Microfinance, we have signed up a couple of more BC partners. And unfortunately, some of our BC partners got acquired by some banks and so on. So therefore, we suddenly were without some BC partner, but we have kind of rebuilt that BC partner. And we are looking for more high-quality BC business associates.

So that is all in process. So I think in the coming months, we should do better than how we have done in the last few months on this thing. And as far as CV is concerned, we feel that we'll count just to cross sell to our existing customers on CV and concentrate more on business loan and home loan, which we seem to be having a pretty decent understanding and handle. And we expect that to contribute almost 60% in the coming years.

Moderator: Thank you. The next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Just one clarification on the Slide 35, other income line. You can see one line of -- line item on

the fee income line, which has gone up on the commission exchange. There is a corresponding drop in others?

Murali Natrajan : Page 35?

M.B. Mahesh: Yes, this is not -- the breakup of the noninterest

income. Can see commission exchange and brokerages have gone up?

Murali Natrajan: So it is 97 versus 77.

M.B. Mahesh: Great. But the overall non interest income is unchanged?

Murali Natrajan: Just hold on for a second. Okay. We have to come back to you on that. There is some reclass, but nothing -- you are looking at this 75 versus 97, you are saying, no?

M.B. Mahesh: Correct. The total noninterest income is 107. Commission has done exceptionally well, but others has not done. So just trying to explain what explains that?

Murali Natrajan: Okay. Mahesh, I'll come back to you. I think it has got to do with the changes in the IRDA regulations, right? Yes. In terms of how they...

M.B. Mahesh: Usually, that line item will have recovery from written off?

Murali Natrajan: No, we don't have any -- written off recoveries have been miniscule for us. I don't think this quarter, they have had any major recoveries on that. I don't think that is an item. But I think some IRDA regulation change is what is reflecting some part of it here.

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M.B. Mahesh: Okay. That explains a big drop in the, I mean the Q-o-Q change that seems to be on a line item, which is of an aberration here in this quarter?

Murali Natrajan: Yes. So that is basically something to do with the IRDA regulation. I don't think there is anything else on that. The actual amount of business that we are doing on third party also has gathered steam and we are hoping that we will build further momentum on this because we are really putting in a lot of effort from the corporate office to train and get everyone to focus on the products that we are distributing for two or three of these companies.

Moderator: Thank you. The next question is from the line of Darshil from Crown Capital. Please go ahead.

Darshil: Yes. So just I think most of my questions have been answered. Just wanted to know that our outlook that you mentioned in the presentation of ROA 1%, that we would target to move it by what time period?

Murali Natrajan: Okay. So what we know from whatever we have been able to achieve post-COVID is 85 basis point, 90 basis points and 11.5% to 11.75% is consistently possible in that. Now unfortunately, last quarter and the year has started, we have had some cost of fund increase and some of it is still to be passed on to the customer based on the portfolio profile, which I explained, right? So that all should -- hopefully, in the next couple of quarters, we should be able to do that.

The way we are thinking about it is that keep growing at, at least, 20% per annum, and we know that the kind of capacity that we have built, we should be able to achieve that perhaps more, but at least 20% is something in the core products that we are concentrating on without messing around with any of the liquidity profile and so on.

The other focus is, I know difficult times on CASA, but we are thinking that, this is a time when we have to put more effort on CASA to help not let the cost of fund go out of control. So that is the second point. Third is, we believe that our credit cost is actually improving from whatever previous projection that we have said based on our understanding of the portfolio.

And we think that recoveries upgrade should continue to pick up pace. So all in all, most of the parameters and cost to average assets also steadily come down. All in all, all the parameters are moving in the right direction. And we want to target at least in the next three quarters to four quarters of consistently delivering 1% and 14%. And this is a plan that we have. And I also mentioned to you about some of the product mix change that we are hoping to do, which is already started.

Darshil: Okay, sir. And, sir, clarification for 20% growth, you mean in our loans, right, sir?

Murali Natrajan: We believe the capacity that we have created, we should be able to

achieve it. Our intention is

to double it in the three years to 3.5 years, and we seem to be on track so far.

Darshil: Okay. Perfect. Thank you so much. All the best.

Moderator : Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

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Rakesh Kumar: Yes. Thank you, sir. So just one question with respect to the provisions that we are holding on the NPA and non -NPA book, that number as a proportion has been coming down. So just to understand that is it that like sort of comfort that we are deriving from the nature of the characteristics of the loans? Or there is any other reason that we are...

Murali Natrajan: Main reason is when an account moves from restructured to NPA, the provision also moves with that. And we have recovery and upgrades, you don't need to keep that provision. We have to make provision only for the newer NPAs, right?

From a coverage point of view, I also mentioned that over time, we're going to take it up to 70%.

And in that -- at the moment, even that INR 43 crores that we have separate as a contingency provision is not considered. So -- and I also mentioned to you that from a provision point of view, we are -- our provision policy is ahead of the minimum IRAC norm that's prescribed by RBI. So from a provision point of view, I don't have any concern on our portfolio.

Rakesh Kumar: Understood, sir. But just from a modelling perspective, just to see that what provision that we hold at the end of, say, '24 or '25. So this provision, is it like for non -NPA provision for the performing advances, which is 140 bps now. So where should this number go to?

Murali Natrajan: I can't predict that for you. These are all the provisions that created, if you remember during COVID times. And during those times, the whole focus was on strengthening your provision because it was not very easy to predict how things are going to be moving.

Now we have a lot more -- I know, there are still uncertainties and all. But COVID type of big challenges is not there. So therefore, these provisions will continue to come down. And -- but we'll continue to make provision on the NPA portfolio or any other portfolio which we think could be in stress .

Rakesh Kumar: Understood. Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Saikiran Pulavarthi, who is an Individual Investor. Please go ahead.

Saikiran Pulavarthi: Hi, sir. Just one question. Sir, just one question from my side. I think, you will be completing 15 years pretty soon. If you have to look back in the journey, how do you -- what I can say, evaluate what has gone right? What has gone wrong? Or probably where you are leading this bank, how do you look at this in terms of the platform for someone to come and take it over. Just your thoughts that will be really helpful, sir? Thank you

Murali Natrajan: Why don't you call me separately and we can discuss, because I'm not sure this is a forum where we can. And if I share my personal views, and I don't believe that it will be appropriate for this audience...

Saikiran Pulavarthi: It's nothing personal, sir, but just as a CEO of the bank because you would have certain thoughts and everything, right? So this thought of checking on that, if you're comfortable, that's it?

Murali Natrajan: No, I'm comfortable, but on a one -on-one basis as opposed to be in a group.

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Saikiran Pulavarthi: Got it, sir. And one more question, sir, if I have to see since last two years, you had significantly added capacity in terms of the number of employees and the branches. How do you evaluate the productivity of these employees? And how -- whether some more productivity is expected going forward, sir?

Murali Natrajan: Praveen, would you like to answer it? Praveen is a person who

adds a lot of capacity, so he is the best person to answer this.

Praveen Kutty: Hi, Sai, good to hear from you. So let me tell you what we're doing is two, three things. At a very broad level, there is the feet -on-street led productivity increase that we're doing. At a partnership level, we are increasing the footprint, which allows us to get the desired assets at the rate required through affiliates and partnerships, both on the deposit front as well as on the loans front. And the third leg, slow but emerging is the digital do -it-yourself leg. So three levels to which we are adding on to our top line and also the income.

On the feet -on-street, we have mentorship program where we ensure that early success is got by our employees because that's a very, very good indicator which will arrest attrition. The single biggest problem that we have with new hires, feet -on-street, etc, they are extremely mobile and they get job at a drop of a hat and they keep hopping around all the time.

So the best way to arrest that is to ensure that they become successful early in their career.

Otherwise, it becomes a revolving door. Are we successful at it? We can be better at that, but we are much better than what we were before.

So there is progress happening on that front. We are -- while on the productivity front, we are also seeing improvement in terms of partnerships. I'll give you two examples very quickly. One is on co -lending, which we do on the asset side. And the other is where we do partnerships with, let's say, Niyao, for example, it's basically use your card abroad proposition through which we -- thought partnership which we get underlying savings account. So that's how we are looking at

productivity clearly.

To sum it up, feet -on-street improvement, more partnerships, more judicious partnerships and thereby digital proportion.

Moderator: Thank you. The next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah: Yes. Thank you for the opportunity. Most of my questions are answered. Sir, just one data - keeping question on the provisions breakup for the current quarter, if you could just help with that?

Murali Natrajan: He asked about provision breakup wise? Hold on a second...

Ravi Kumar : Hi Chintan, the provision breakdown is -- the NPA provision is about INR 25 crores. The standard provision is INR 7 crores. We have floating of INR 4 crores and the other is about INR 3.7 crores. So that totals up to about INR 39.7 crores for the quarter.

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Chintan Shah: Sure. And sir, just one on the opex same quarter, we have been saying that on the branch, we have significantly added our maintained -- build the capacity and now with the time for expansion. So going ahead, any ballpark number on what kind of expansion would be seeing in the -- so kind of the branch expansion in the branch and headcount would be relatively quite slower as compared to the loan growth, is that a fair assumption to make?

Murali Natrajan: I've said this even in the past. For the market opportunity that we see and for the kind of understanding that we have of this segment and also the fact that we have so many years of experience on this, if we had more headroom in our cost to income ratio, we would add a lot more people because that is the kind of expansion we have.

But we have to pace it out because on a near -term basis, also, you can't sacrifice too much of operating profit and so on. So this opportunity is there to add a lot of frontline employees. And like Praveen mentioned, because of attrition, we also have to be -- make sure that we don't lose capacity and keep adding resources.

So I don't think we are going to slow down adding our number of employees on a year -on-year basis. Of course, as we have cross play, for example, 10,000 , if we add 1,000 that will look like at 10%. But

when if we add 6,000, we had 10,000, it will be like a 16,000. So from a percentage point of view, it will keep coming down. But we'll keep steadily adding frontline in order for us to continue this growth momentum.

However, cost to average asset, we expect step -by-step to come down because of growth and productivity. In terms of branches, I don't think we will add more than 25, 30 branches per year. I think we are quite happy with that addition.

Chintan Shah: Yes. Sure. Thank you for that. And sir, just one last thing on the margins part again. So sir, as we have -- as you told most of the SA, which comes is in the lower pricing band and the rates which we have increased beside that there won't be much rise in the SA cost. So if you could just share the number of blended cost of SA. If possible, if you would just share say that number for this quarter and the past -- previous quarter as well, if you could help with that?

Murali Natrajan: Which number are you talking about? I'm not getting it.

Praveen Kutty : Savings account blended cost...

Chintan Shah: Overall cost of saving account, blended cost of saving account?

Murali Natrajan: We don't present that number. We are giving you the cost of deposit, which all includes. But the reason why we pursue savings accounts, so although success have been a little low because of the market condition is because it is much more beneficial for us to pursue savings account than term deposits, despite the various bands of cost because most of it comes from the lower band of deposits, lower band of average balance.

Chintan Shah: Sure, sir. And sir, just one last thing to your follow -up on this. So if you could just help with any broad margin guidance on this and so where should we expect the margins to settle and...

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Murali Natrajan: Our business model is at 365 to 375 basis points. But there are near -term challenges, which I mentioned at the start. And then, there is a balance of portfolio that needs to get re -priced over a period of time in the contracted time frame, which is starting to build up, which will help improve the margin, but some of it will get taken over by cost of fund. What we believe is that over the next quarters, we still have to deal with this cost of fund, which is coming through re -pricing, renewals and so on. But post which volume growth should give us the full benefit of interest income growth is what our thought process is.

Chintan Shah: Sure, sir. This is very helpful. Thank you for answering all my question. Yes, thanks.

Murali Natrajan: Okay. Thanks very much.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the management team for closing comments.

Murali Natrajan: Thank yo u very much for dialing -in. I look forward to talking to you next quarter. Thank you.

Moderator: Thank you very much. On behalf of DCB Bank Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Jan 2024

DCB Bank Limited

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January 31, 2024

BSE Limited

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Listing Department,

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Dear Sirs,

Sub: Transcript of Earnings Conference Call held on January 24, 2024

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Conference Call held on January 24, 2024 with respect to the Financial Results of DCB Bank Limited ("the Bank ") for the third quarter and nine months ended December 31, 2023. The same has also been uploaded on website of the Bank and can be accessed at the link given below:

<https://www.dcbbank.com/upload/pdf/DCB-Bank-Q3-FY24-Earnings-Call-Transcript-Jan-24-2024.pdf>

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubi Chaturvedi

Company Secretary &

Compliance Officer

Encl: As stated above

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"DCB Bank Limited Q3 FY24 Earnings Conference Call "

January 24, 2024

MANAGEMENT : MR. MURALI M. NATRAJAN – MANAGING DIRECTOR
& CEO

MR. PRAVEEN KUTTY – HEAD RETAIL BANKING &
AIB BANKING

MR. RAVI KUMAR – CHIEF FINANCIAL OFFICER

MR. R. VENKATESH – HEAD HR, OPERATIONS &
TECHNOLOGY

MR. AJIT KUMAR SINGH – HEAD TREASURY &
FINANCIAL INSTITUTIONS
MR. SRIDHAR SESHADRI – CHIEF RISK OFFICER

DCB Bank Limited
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Moderator: Ladies and gentlemen, good day and welcome to DCB Bank Limited Q3 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal operator by pressing * and then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Murali Natrajan – Managing Director and CEO.

Thank you and over to you, Sir.

Murali M. Natrajan: Thank you. Good evening. Thank you for joining this call. We are talking from the boardroom of DCB Bank corporate office.

I have our CFO – Ravi Kumar. I have R. Venkatesh – our Head of HR, Operations and Technology. We have Ajit Singh – Head of Treasury and Financial Institutions and also we have Praveen Kutty who is a CEO designate, which you would have read in the announcement that we have made recently.

So, what I would like to do today is to get Praveen to give you a few opening remarks and then we will open up for questions. We also have Sridhar Seshadri, our CRO and we have the support staff of the bank assisting us today here in this meeting. So, I hand over to Mr. Praveen Kutty.

Praveen Kutty: Thank you, Murali. So, without any further ado, I'll just take you through some of the highlights of Quarter 3.

We've grown our advances by 18% Y-o-Y, deposit by 19% and balance sheet by a tad under 20%. We continue our focus on growing the deposit base at a higher pace than the advances base and during these times we've seen that our CASA ratio has improved by 1.09% over the previous quarter to end at 26.13%. We had a fairly decent quarter on the fee front or core fee being Rs. 98 crores and the total fee being Rs. 124 crores for Quarter 3. If we were to look at our provisions, GNPA has come down from 3.62% last year same quarter to 3.43% and net NPA from 1.37% to 1.22%. This also resulted in the provision coverage increasing from 74.68% to 76.42%. Between the last quarter and this quarter, our credit cost has been flat at 0.28%. Net-net, this has resulted in 11.18% Y-o-Y growth on PAT. These are the highlights which we have on the financial performance.

During the quarter, our NIM has come at 3.48%. Our outlook for the future continues to remain at 3.65% to 3.75% of NIM. We believe that the reason why the NIM at 3.48%

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is because of the increasing cost of funds which would persist for maybe a quarter more before it stabilizes.

As far as the ROA is concerned, we closed the quarter at 0.86% and ROE at 11.30%. We believe that going forward, we've consistently brought down cost to average assets.

Last quarter, the cost to average assets was 2.63% and if we were to see the last five quarters because of scaling as well as because of management action, we brought down the cost to average assets from 2.87% four quarters back, all the way to 2.63% and there has been a decline every quarter over the last five quarters.

So, this is a summary of the quarter that has passed, and we could take any questions that you probably may have.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Sir, this is again on the NIMs. Just wanted to get a sense from you, the NIMs are currently at 3.48% and normalized guidance is around 3.65 to 3.75 and with cost of funds likely to increase, so how do we see the NIMs going back to that guided range and what is the time period during which it can move?

Praveen Kutty: So, effectively Rohan, what would happen is that the incremental cost to deposit has got two components

to it, which is new deposit that the bank takes and the renewal of existing deposits. So, considering the tenure of our deposits, the deposits we have taken, let's say 18 months back, 24 months back have come up for renewal and that

gets repriced at the current rate. So, that story is reaching its ebb now, so effectively new renewals will be renewed at marginally increased rate or similar rates. So, you'll find that the cost of funds would stabilize over the next 4 to 5 months in the current environment. So, once the stabilization happens, we would be back to the 3.65 % to 3.75% NIM that we have been talking about.

Murali M. Natrajan: So, also Rohan, if I may add couple of more things. Last quarter also I mentioned we are consciously making a shift from home loans to loan against property. That transition is not complete. Prior to COVID, we had almost 80 %-85% of our loans in loan against property business loans and only 15% in home loans. Because of COVID and lack of opportunity, we shifted a lot of focus to home loans, remaining in the similar category. Now the transition is happening which gives us additional yield. And the second point is that also we have been able to deal effectively with all the restructured moratorium the thing, so we expect some further slowdown hopefully in the NPA and therefore that any reversal of interest also would reduce. And the third

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point is we are changing the score card and the frontline focus to CASA and we believe that CASA is coming at a much lower rate for us than the term deposit, that mix change also should help us with restating our NIM back to that. Effectively what will happen is in about 4 to 5 months, whatever volume benefit, volume growth is there that will entirely result in benefit in interest income. Right now, if you see our gross interest income is growing much higher than actually even the loan growth rate, but it is being taken away because of the drop in NIMs or the basic increase in cost of funds, that's low, has already started slowing down and is expected to improve after 4 to 5 months.

Rohan Mandora: Was there any one-off in NIMs in terms of interest reversals, what would be the component of that?

Murali M. Natrajan: No, there is no one-off at all in this thing. Every quarter there will be some Rs. 2 crores, Rs. 3 crores adjustments happening because of any issue, but nothing material.

Rohan Mandora: Sure. And like if you see the ROA from say 4th Quarter 23 to 3rd Quarter 24, a good amount of compression has been absorbed at the OPEX level and last year we added almost 2000 employees in FY23, whereas this year nine months you have added 100 employees. So, how should one look at for FY25 the OPEX trajectory in terms of employee addition and whether we'll see this OPEX trajectory continuing to fall into FY25 as well?

Murali M. Natrajan: Our target is to grow our balance sheet by 20% at a minimum year-on-year, double it in 3 to 4 years. So, depending upon the productivity that we achieve the focus area for our growth, which is AIB, tractor, gold loan, mortgages, LAP, we will continue to add resources. I have said this in the call previously also if we had bigger headroom in cost of acquisition, we will add 10,000 more people because we know that the business segment that we are present in has huge opportunities. So, we will continue to add resources. I can't tell you the exact number or what exactly I will add. All we know is that we are pursuing a very steady growth which should result in doubling the balance sheet in between 3 to 4 years and we are pretty confident about that.

Rohan Mandora: Sir, lastly on asset quality like if you look at the GNPA in Mortgage, AIB and SME. Also, you're seeing an uptick, so any comments around here and also if you look at slide 23, are SME and MSME disbursements

on a quarterly run rate have fallen this year vis-à-vis the last year 3Q-4Q run rate?

Murali M. Natrajan: Yeah. So, Praveen will comment on the SME disbursement, but on gross NPA, all our NPA slippages are in line with our expectation because when you have a restructured book and moratorium, all billing happens, it does take some time for customers to come back

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to a particular payment rhythm and cycle. So, that is what we have dealt with. And I think now we are pretty confident that all are billed, all are falling into the rhythm. And if you see the recoveries and upgrade, we started with some 62% odd in quarter one. It is now up to 79%. Last year, whole of the year, we delivered almost average 100%, right. So, therefore at the moment looking at our portfolio, we don't have any concerns. There are some seasonal issues in Agri portfolio like your tractor and KCC which resulted in some NPA and over time, it gets recovered. So, we don't have any major concern on that. On disbursement, Praveen can give you his comments.

Praveen Kutty: So, on the SME front, there are two components to the SME. About a year back last

year, a large component of the disbursement of SME came from TReDS, which is a small tenure loan which is given on invoice discounting mode. The yield which you get on that is fairly minimal and the capital accretion on that has had an impact in terms of rating. So, we have stopped doing that TReDS business altogether and diverted those particular resources to higher yielding lower risk products that we have. So, effectively SME by itself is contributing to the disbursement of Rs. 300 odd crores, which you see here in disbursement. The Rs. 600 crore difference is primarily coming from TReDS. So, it's a migration to high yield, longer tenure secured deposits.

Moderator: Thank you. Next question is from the line of Drashti from Thinqwise. Please go ahead.

Drashti: Any particular reason why the yield on advances has been declining since quarter 4,23 if I see, so any one-off in this particular line item?

Murali M. Natrajan: I just answered the question, I'm not sure you were in the call. A) there are no one-offs of any material one-off that are there number 1. Number 2, the way EBLR structure works is EBLR increases have happened a few months ago which was passed on to the customer. The cost of fund is catching up. We just said that the cost of fund catching up will get finished in about next maybe about 3 to 5 months, which means that the further increase in cost of funds should stop and the product mix that we are putting together in terms of home loans and ...

Drashti: No, I'm referring to the yield on advances, not on the NIMs

Murali M. Natrajan: Yield on advances is product mix changes happen from quarter to quarter. So, that there is no one-off or anything in that thing.

Drashti: Since three quarters we are seeing this on a declining trend, that is why I'm asking this question?

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Murali M. Natrajan: Yeah, but you look at the thing, the product mix also like for example, if you do more co-lending, which comes at a lower capital that might have an impact on the yield, but it has a much less impact on risk weighted asset for example, right.

Drashti: Correct, but you also mentioned that we are doing more LAPs versus mortgages. So, what would be the yield differential in LAP versus mortgage portfolio?

Murali M. Natrajan: We are aiming for 100 basis point differential between LAP and home loans. It is a journey which has restarted. We used to do a lot of LAP, it has restarted, it might take about 1 to 2 more quarters for us to reach a higher level of LAP than what we are doing today.

Drashti: Correct. And my second question is when I look at the disbursement number, our corporate banking disbursement

ents, although not material, but since last three quarters, it started going up a bit although our outstanding corporate loans are almost stagnant, so is it that we are seeing a lot of repayments from lower yielding corporate and so what will be the nature of this corporate disbursement is what I'm trying to understand?

Praveen Kutty: So, it's a combination of short-term loans which we use as a liquidity management tool. So, you will find increasing corporate loans coming in, then to absorb the excess liquidity at a reasonable yield or go forward position on corporate remains the same, which is that we will be in the proportion of corporate loans to the overall book consistently remains around where it currently is at 8% to 9% and that will continue in the future. So, that is the way the corporate book strategy is for us.

Moderator: Thank you. The next question is from the line of Prakhar Agarwal from Elara. Please go ahead.

Prakhar Agarwal: Just a couple of questions. One is in terms of co-lending, so we have reached around Rs. 3,300 odd crores of portfolio, what is exactly the nature of this portfolio plus where do you think that it can go in a year's time? How do you look at this portfolio?

Praveen Kutty: Prakhar, on co-lending, what we do is it's a mixture of our co-lending philosophy is based on having partnerships with the originators who are either in a different segment, different product or different geography from us, that's core platform on which our co-lending origination works. So, we do go to loan, home loan, school finance, business loans, there are multiple partnerships that we have on multiple products across different geographies. So, there is a selection process of getting the originators in and then we manage the book where you would see similar kind of growth happening on the co-lending book as well. We don't expect this co-lending book to be as a percentage of the

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total asset to increase from where it currently is. So, if you're talking about 18% to 20%

growth in the asset book, similar growth will happen on the co-lending book as well.

Prakhar Agarwal: So, just a follow up on this and in question to what last participant also asked, in terms of yield on advances and going forward while we have on e trigger wherein we are saying that LAP proportions we are increasing versus mortgage but given the fact that my co-lending will be 8 % to 10% of the entire book, which is where it is. How do you see that yield on advances moving on? What are the levers apart from right mixture that we are told about in terms of LAP and home loans that yield on advances will go up?

Praveen Kutty : So, 53% of book is mortgages, right? And half of it is home loans, half of it is LAP give or take one way. Moment you make changes in the product mix , you will find that there's an incremental 100 basis points plus which you would get on LAP originations over home loan originations , that process started and that will continue in the future as well. So, that's one lever on the product piece . The second portion here obviously is how do we ensure that the slippages are continuing to get controlled the way it is so that reversal of accrued interest does not happen. That's a second point out here . The third is we plan to ensure that the incremental loans that we get are priced right going forward which will result in higher, you know our incremental yields being reflective of yield in advance .

Murali M. Natrajan: And to add to that , in co-lending right now most of the co-lending is skewed towards gold loan which is coming at a slightly lower rate. Now the kind of partnership that we are doing where we are doing products which are coming at a higher rate. So, even within the co-lending product mix will change, which should help us in the improvement in yield and this all should

play out in the next 4 to 5 months is what our aim is.

Prakhar Agarwal: Is there an FLDG arrangement with co-lending partnership?

Praveen Kutty: It is not possible. We cannot have an FLDG arrangement on co-lending. It's equal reward sharing and risk sharing and that's the way the policy is.

Murali M. Natrajan: On DA and co-lending , there can't be FLDG.

Prakhar Agarwal: And just one last question on CV, if I were to just look at and what is happening around that portfolio because that is something which is still struggling for us, not able to pick up to , any thoughts on what is happening on CV side?

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Praveen Kutty: So, CV portfolio is a declining book. We have discontinued that pre pandemic onwards. So, March '20 onwards that's declining . So, we're not actively increasing that book, it's mainly recovery and upgrades which happen on that particular book.

Moderator: Thank you so much. The next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah: Firstly , on the saving rates , so I think last quarter around September and we had the saving rates on to around 8% . And so we believe there has been some traction also seeing in the CASA deposits due to that decision in the current quarter. So, just any ballpark number, how would the saving cost for Q3 versus Q2, any impact meaning how much bps would have it increased? That also would be helpful. Any comments on that?

Murali M. Natrajan: It seems like your favorite question on savings. I remember answering this question last quarter also. Anyway, I will answer it again. First of all , the 8% and all we say it comes only in higher ticket and HNI. Second , the branch focus is on getting ticket price of our average ticket price I think is probably 1.5 lakh or 1.75 lakh where we pay very little interest, not the kind of interest rate that you see at the top. It is more aspirational for these customers as opposed to really getting that . Third, recently we have introduced a product called DCB Happy, which has got a unique feature which I don't think is there in any bank called cash back on UPI transactions and that is also attracting quite a lot of customers . And fourth and more importantly , we have tweaked the balanced score card of branches to focus on retail CASA , not the HNI CASA , which is higher ticket , retail CASA and we have a separate team also which is focusing on retail CASA . So, I don't believe that there has been any increase in cost on a quarter-to-quarter basis on our savings deposit.

Chintan Shah: So, that means that the large part of the decline in margins of the rise in the cost of deposits can be attributed to the rise in the TD cost that would be my assumption ?

Murali M. Natrajan: Yes, absolutely. Rise in the TD cost and the repricing done by the refinancing agencies like NHB or anybody. Since we have a huge mortgage book which gets refinanced also by NHB, they also repriced their loans.

Chintan Shah: Sir, considering that the TD rates , the cost of deposit stays around the current level for

the next 2 or 3 quarters, if it is so, then how do we expect margins to improve from here on? Would it be due to rise in yields, due to the change in the loan mix, would that be the reason?

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Murali M. Natrajan: Yes. Because like Praveen explained, the previous deposits, most of it has got repriced. The new deposits anyway were coming at the new price. Most of the repricing of the old deposit has happened. There is one more thing, the part of the book which has still not been repriced yet in mortgages also will get repriced where we will get the benefit of yield.

Moderator: Thank you. Next question is from the line of Krishnan ASV from HDFC Securities. Please go ahead.

Krishnan ASV: First of all, congrats Murali

on an excellent stint with DCB Bank. I know we are nearing the sunset stage there, but what you inherited versus what you're leaving behind, it has been an incredible journey, right? So, congrats on your tenure. Congrats also to Praveen who is now stepping into your shoes. I think these are big shoes to fill. I just wanted a flavor of we talk a lot about liquidity in the system and while we are obsessed about liquidity in the financial system, I just wanted to understand how are SMEs and MSMEs coping with liquidity in the system right now the fact that there is limited liquidity. How much of the pricing power are you able to exercise? What are these SMEs currently up to when it comes to their working capital cycle etc.? Could you just give some color on that?

Praveen Kutty: So, Krishnan, we'll talk about the kind of straw man that the bank has as a common customer is a 20 to 25 lakh loan customer and in that particular segment, we see continued demand coming in. It's true when you speak to others in the industry also, we find that there is clear demand coming from that particular segment both on the business loan front and the home loan front and also on the SME front. And across geographies we are seeing heightened demand for the business loan, LAP, SME customer. And this same thing is being you can see in terms of the GST numbers which are coming out. What we also see is that the rejection rates across has increased but as far as the working capital cycle of the self-employed customers that we see, we are seeing there's a demand for those, the consumption led demand clearly in urban areas which is resulting in this need for loans and overdrafts from the banking system. What we don't see, however, is there is a slowdown in terms of takeover and that's pretty much typical because the rate of interest that you see has been stable for a period of time, so one would tend to see the similar kind of demand and loan growth happening for the segment that we speak about.

Krishnan ASV: Right. And so just continuing on this, it's reasonable to assume that if large banks, small banks, large NBFCs, everyone through the financial system is facing this pain of tight liquidity environment, I mean it would be reasonable to assume that these SMEs are not immune to that and that kind of reflects why this demand seems a little more

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picky at this point of time. Just wanted to get your thoughts on how easy or difficult has it been to exercise your pricing power given that these are core customer segments for you, where in which pockets is it easier and which pockets is it now getting a little more difficult where you believe NIMs might then come at the cost of asset quality?

Praveen Kutty: So, let me give you an example. I mean this will help you understand the current situation much better. There is a chunk of a customer base which has a self-employed customer base which enjoyed the benefit of moratorium for a period of 24 months. So, effectively, if you talk about 20 lakh customer, you're talking about a customer who's got let's say Rs. 20,000 EMI. And if you have Rs. 20,000 EMI, typically you will have Rs. 40,000 income per month. This customer enjoyed all the Rs. 40,000 which he or she used to generate without having to pay the EMI so long. Now, when the moratorium is over and when you have to start repaying the EMIs, the EMI is no longer 20,000 because there is a time value of money and the 20 would have become something like Rs. 25,000. What we are seeing is even NPA customers, the recovery that we see, the 79% recovery, which Murali spoke about earlier, you're seeing the ability of this customer to come back and make a higher payment even in these times post moratorium and these are customers who have been really, really impacted by the pandemic. So, what we are seeing is the resili-

ience about this customer segment and even in this market, they are finding ways in paying a much higher obligation than they would have otherwise paid. And you can clearly see that in the current set of customers that we have.

Murali M. Natrajan: So, let me add to that. Thanks, Praveen. Krishnan, thanks for your kind words. See what I want to say is we have on a monthly basis 4 to 5 meetings with both deposit and loan business managers. And we take feedback from them in terms of segment, market, productivity, sales, hiring, all kinds of things. We are in the market where the average ticket size is like 30-40 lakh. Majority of our competition we see in from the NBFC segment here, so many times I feel that we are actually an NBFC with banking license with all the responsibilities of a bank like PSL and so on. So, we don't see any major resistance when we talk about expanding and we talk about growing and so on. That is point number one. Point number 2 is the income this year we have been majorly impacted by the NIM compression, but as it is bottoming out, we are very clear that the discipline would be you grow the deposit and in line with your loan growth ambition and we think that at about 18%-20%, we don't seem to be stretching our balance sheet in any and you can see that we have grown our CASA as well and we think we're reasonably confident that we'll start moving in the right direction in CASA from now on. And even if we were to assume that there is a marginal improvement in NIM from here on, but the entire benefit of volume should play out after 4-5 months, is what our projection seems to indicate.

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Krishnan ASV: Understood. Just one last question, how large within your MSME core customer segment would be a part of the larger enterprises value chain, given the kind of linkages that are now building up across the ecosystem. Just wanted to understand how many of these MSMEs are actually part of a large enterprise value chain and hence what I'm trying to get at is large enterprises are deleveraging and they look at every opportunity to be more efficient. And the first thing they do in a tight liquidity environment is to use the smaller enterprises. Is that something that you see visible on ground when you talk to your borrowers, when you talk to your depositors and....

Praveen Kuttty: We'll talk about the borrowers first, Krishnan. If you look at the self-employed base that we have, you can actually divide into three. You have a manufacturing base, you have a retail space and you have a services space. The services and trade, service and retail accounts for the bulk of our self-employed book. So, this linkage to a larger organization is fairly limited. We are talking about wedding halls, bakers, typical whoever earns 5,00,000 a year of income that is the kind of base you're talking about, which is really dominated by the service trade retailer, that's kind of network across geographies is a very significant portion constituent of our customer base. So, the manufacturing part is fairly limited and even there, there would be people who do value adds like welding and those kind of stuff. So, real linkage with a large company fairly limited.

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Sir, a few questions. First is on the loan growth, so if you look at the loan segments that we report and so we basically report 8 segments. Out of those eight, four are growing Y-o-Y and four are declining. So, this is a very skewed growth that we have had over the years and now to deliver 20% loan growth, the growing segments need to continue growing at 50% to maintain a 20% growth on the overall portfolio. So, how do you really look at the skewness of this and by when do you envisage to have a

more
uniform growth across portfolios?

Murali M. Natrajan: So, which are the segments that you are noticing as not growing just for my understanding?

Nitin Aggarwal: So, gold loans, CV, corporate banking, SME, MSME. They are collectively almost 17%-18% of the loan book, and they're all declined.

Murali M. Natrajan: Yeah. So, corporate, I have never claimed that we will grow and we continue to be maintaining at the same level and despite that, we grow our book by 20%. CV is

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already bottomed out at about Rs. 200 crores or something, so it is not part of the base for it to make any difference. We are growing AIB at about 28%-30%. We are growing co-lending almost at 25%-30%. We are growing mortgage at about 25% and further

scope for improving. And SME -MSME, we explained that the TReDS portfolio is almost bottomed out, so the organic portfolio that we have is starting to now have monthly what are called disbursement and starting to show growth. We have combined it here. That is why you don't see that. So, when you put it all together, for us upwards of 20% growth in line with our deposit momentum seems to be entirely possible.

Praveen Kutty: So, Nitin, look at it this way, you probably look at the disbursement chart, look at the product mix chart and you can compare Q3 with Q2 or even earlier. 53% mortgages right, 45% retail mortgage, AI B contributing another 24%. There is 8% of gold, 8% of SME. Plus you have co-lending. And these will continue to be the engines of growth for us. So, what probably is not growing is a less than Rs. 500 crore book of commercial vehicle and corporate also, the growth will be proportionate to the book. So, effectively what will not grow is in the larger scheme of things is commercial vehicle because every other construction finance is a growth area for us. SME is a growth area for us, retail mortgage you can see what's happening there, right? Gold loan clearly is a growth area for us. So, even leaving co-lending aside, organic growth engines are multiple different products. All mostly are secured, but other than that, they are very homogeneous.

Nitin Aggarwal: And second question is on the savings deposit side. We have reported a 10%-11% Q-on-Q growth in savings deposits, probably the highest in the last many quarters. So, anything to read into this, what has really driven this strong inflow this quarter?

Praveen Kutty: The savings account growth primarily is because of the new products that we have launched. We have also done a lot of technology adoption. We've increased the frontline. So, there are multiple ducks aligned for this savings accounts to grow. So, there is a large feet-on-street channel. There is a very effective fintech tie up which has resulted in pure retail, small ticket savings account growth. There is a completely seamless onboarding through the Zippy platform is helping us increase our productivity significantly. Our feet on street channel, we have introduced a separate vertical with workforce working on this. Murali spoke about this UPI cash back product called Happy which is again our belief is the industry first and so far industry only. So, there are multiple things that we said we would do to grow the CASA ratio and this is what you're seeing is the beginning of what we hope will be a consistent increase in the CASA ratio as we go along.

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Murali M. Natrajan: Nitin, majority of it is coming from retail growth, not bulk. Otherwise our cost of funds will go up on savings also.

Nitin Aggarwal: Right. And lastly on the mortgage GNPA wherein we are reporting like a 16% odd sequential growth in the mortgage GNPA. So, how do you really look at that. And should we expect a more moderate growth here? So, any more color here actually?

Murali M. Natrajan: Growth

of what the NPA?

Nitin Aggarwal: Yeah, the GNPA and the mortgage, which are running high on Y-o-Y.

Murali M. Natrajan: So, Praveen and I do reviews of collection almost every week of all products and especially of course mortgage occupies because that is almost 50% of our book. So, most of the loans that were in moratorium, almost 80%-90% of them came in moratorium, came out of moratorium between April and June. And the team had started working on this last December itself to make sure that they don't suffer from muscle memory to start. So, we did a lot of work. So, that kind of helped, but yet it takes time for customers like the reasons explained by Praveen. See, one of the challenges is that in a moratorium a year of principal and interest would have been capitalized and therefore his installment will go up prior to what he was before moratorium. So, those are all things that are slightly shocking for the customer to cope with initially. So, all that we have dealt with and it takes about 6 to 9 months for the pool to mature for our recoveries and upgrades to kick in, which we have demonstrated that if you see our recoveries was 73% or something this year, this quarter it is about 79 and our upgrades are usually more than recoveries that tells you the underlying quality of the portfolio and the fact that customers are able to find cash flows to repay us.

Praveen Kutty: Nitin, if you were to look at the recovery and upgrades. We were 62% in quarter one which is consistently gone up in quarter 2 and now in quarter 3 also, now we have reached 79%. So, that's one part of it. And secondly, almost two-thirds of whatever recovery that we get is happens to upgrade, which means that the customer stays with us. It's an income accruing customer and we also get the benefit of reversal, the reversal of whatever reversals which are done on the interest accrual. So, it's important. So, effectively there is a resilience of this particular customer, so we would rather have

upgrades than recovery and that trend is clearly coming in. Leave aside this moratorium, even during COVID, even during the pandemic, we have seen this customer behavior where once the customer comes to the billing cycle, it takes some time for the customer effectively to get into the discipline of payment. So, we've gone through this cycle for the last 2 years, the last two chunks were in January and July.

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And we are reasonably confident about getting recoveries and upgrades from this customer base as well.

Moderator: Thank you. The next question is from the line of Neel Mehta from Investec Capital. Please go ahead.

Neel Mehta: My first question is on slippages. Sir, we've seen our slippages ratio being elevated over the last few quarters. Would you give a target level to which you will try to bring the slippage level down over the next couple of quarters in a medium term? That's my first question. And then secondly, on the NIMs, we've seen our NIMs decline over the last few quarters and if there is a rate cut, then it is likely that they may fall even further. Would there be a level of NIMs that you would say at a steady state we'll be able to achieve going forward? These are my two questions.

Murali M. Natrajan: Steady state, we are targeting 3.65 -3.75. We have not changed that at all. We used to say that our credit cost will be 45 basis points, but we are actually operating on 28. We said that we will consistently reduce our cost to average asset. We are doing that clearly. The design of EBLR is such that you get the benefit of EBLR first and then your deposit portfolio keeps repricing, which is what we are experiencing. So, I do believe that this should get stabilized and even assuming that the NIM goes up only slightly slowly over the next whatever because the cost of fund issues are getting bottomed out. Over the

the next 4-5 months, we believe that the entire benefit of volume should start coming to us barring any change in environment. Having said that, if there is an EBLR cut, we have savings portfolio, which we can reprice and all the new deposits that comes in, which is substantial for a growth book like this also gets repriced. We also have a fixed-rate book which will get the benefit of a lower rate. So, there are balancing factors in it. Slippages, excluding gold is 2.55% and it was 2.69% in the previous quarter. So, gold loan and some co-lending slippages which is predominantly gold, doesn't bother us too much at all because they're all absolutely secured. As long as there is no fraud sitting on the gold loan, we don't worry about it. We don't lose one single night's sleep on that slippage.

Praveen Kutty: Just to add on to what Murali said, the slippage ratio of non-gold has come down and guess what, the NPA stock of gold has also come down from 42 crores to 32 crores.

Moderator: The next question is from the line of Prabal from Ambit Capital.

Prabal: My first question is on operating expenses. So, last three quarters, we have seen the pace of growth in OPEX decelerate versus what it was in last year. Last year, OPEX every quarter was growing 6 to 7 percentage points versus this year growing at 1% to

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2%. Would it be fair to assume that the infrastructure that we have now is it good enough to fund the loan growth aspirations that we are guiding for 18% -20% for next 2 to 3 years?

Murali M. Natrajan: Our business model is such that and the opportunities, we have to look at business model and the opportunity, when we look at both, we have to continuously add some level of capacity in our front line for us to grow. Of course, we are supporting it with technology, operations, automation and so on, so that the rate at which we have to add these resources is not the same as it was 2 years ago and so on. So, our intention is to grow our OPEX slower than our income growth. Look at our impact on NIM compression. I estimate NIM compression itself this year has robbed us of a lot of income. Despite that, we have been able to kind of deliver a reasonable set of operating profit and profits keeping many of the items in control. So, that is what is the resilience of this business. So, you will expect our headcount to be growing consistently because our ambition is to double our balance sheet, we need the CASA. So, therefore, we have to add people to our front line. We have to add branches, which will be at least about 25-30. We need to within our existing locations we have to go to new areas, open up new cities and so on because we see opportunities for our SME, mortgage and LAP business. So, this will be a continuous expansion but in a very methodical manner so

that we continue to deliver profitable growth.

Prabal: So, would it be fair to say that the OPEX ratio, if it is at 2.6% today as the productivity kicks in that can come down by 10 -15 basis point every year?

Murali M. Natrajan: Intention is to operate around 2.45 -2.5. But it may not be linear like exactly will come down in this thing. It will be like there may be some few ups and downs but directionally it will move like that and we have demonstrated that for you over the last few quarters.

Prabal: My second question is on slippages. So, while I do understand that on the gold loan side our LGDs are virtually zero, we don't need to be concerned there. But have you identified because of what factors were these slippages higher from the co -lending side and were we able to tweak those factors?

Praveen Kutty: Where is it mentioned that the slippages happen on the co -lending side? There is no slippage. There is no material slippage on the co -lending side. But having said that...

Prabal: I was referring to the slide that overall slippages were based,

and ex of gold slippages

were these. So, I was assuming that these slippages would have come from the co -lending side.

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Praveen Kutty: No, let's explain this to you. So, 4.63% is the overall slippage and 2.55% is the slippage excluding gold loan and where does slippage come from, it's fairly simple. So, like we explained earlier, the large chunk of restructured mortgage book was...

Prabal: Actually, my question was on the gold slippages. Is it our core book which is throwing these slippages or is it the co -lending model which is throwing these slippages?

Praveen Kutty: It is similar because there is hardly any difference between one and the other. So, it's a common segment and therefore the slippages on own book as well as the co -lending book is similar.

Murali M. Natrajan: See, the gold loan customer thing and probably because of the habit forming and I'm not saying it's wrong or right, I'm just giving you how it operates. Mostly NBFCs don't press too hard on the recoveries and collections and customer thinks that since the gold is with the bank, if I do delay because he's taking it mostly for some emergency or personal use or so on or even for some business expansion and so on. So, the habit is that, okay, bank has got the gold. Even if I slip into NPA or something like that, I will be able to retrieve it before the auction. Most of our gold loans get paid off before the auction. Very rarely, the threat of auction works but the fact is that they pay off. And they pay off, including some extra charges and so on and so forth. So, the learning for that is a segment is like that where there is a higher slippage and higher kind of delay in payment. So, other than that, I don't see any major lesson. It's not like credit cards, they pay exactly on time so that they produce. They don't really worry about it.

Prabal: Just last question. We are growing at around 20% and our ROEs are around 10% to 11%. Do you see a risk of higher capital consumption getting us to the market for a capital raise because our Tier I has dropped to 13.5%?

Murali M. Natrajan: So, first of all, we have one of the most efficient risks weighted asset consumption business model I would argue. We consume about 53% to 55% of whatever loans we book. That is point number one. Point number two, we do expect RBI to give us a favorable response on the capital infusion of \$10 million by promoter which would be quite encouraging for us. Secondly, the current profit that we have delivered so far is not included in the Tier I as of now. It is without the current year profit and whatever else we perform in Quarter 4. So, given all that we believe that we have sufficient capital to grow the book at least for the next 12 months or so and then we will take a call on what is the capital raising plan that we should come up with.

Moderator: The next question is from the line of Jai Mundhra from ICICI Securities.

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Jai Mundhra: First question is on margins and the way our business model works. We had a very broad range, let's say a business model which is thrown by business model 360 or 375.

Nothing seems to be unusual in this quarter in terms of sudden movement in the rate at the system level and we have come below that threshold and that seems to be a negative surprise. So, of course, things move in a quarter or two, but we have breached the usual business threshold. Of course, it has a combination but that was one observation that and despite that, in general, I think you had mentioned about the yield. But I wanted to check the loan mix thing that you had said that there's some unfavorable

loan mix and hence the yield is not rising. But if I look at AIB is growing at a much faster pace and then the core mortgage book is more or less similar and within that the proportion of LAP is also rising. So,

I'm failing to understand what suddenly happened in this quarter which was not envisaged earlier to suggest that the NIM may breach the usual business case.

Murali M. Natrajan: No. If you recall our last quarter call as well, I have guided saying that the NIM compression is likely to continue for one to two more quarters before it starts to become better. I think I'm pretty confident that is the kind of guidance we had given last quarter also. The second point is, I had said right at the beginning of the start of the year itself, that the NIM of some four point whatever is not real because the moment EBLR is increased, you pass it on to that customer. But the portfolio, which is essentially the term deposit portfolio, gets repriced over time based on the competitive term deposit rates that are offered in the market. We are probably comparable to some of the banks that are also growing their book at about 20% or higher like that. Now what we are saying is that and the plan that we had in terms of the product mix, which is essentially moving more towards LAP versus home loan, is taking time to get roots in the market because it has been almost 2 years since we have operated at about 40 - 60, 50 - 50 kind of thing, we are trying to move it to a 70 - 75 towards LAP which is taking time and there has been some slippages from mortgage. So, we understand what are the various explainable reasons. I don't believe quarter-on-quarter our cost of fund increase is out of line with the market. We have seen the results that have been declared. We have looked at some have increased by 10 basis points, some have in 20 and some in between. So, we are in that range, and we believe that in about 3 to 5 months is where we will find the bottom of this as we see our portfolio. Beyond which our benefit of our volume should start to kick in. That is our answer.

Jai Mundhra: In terms of mix, incrementally LAP is getting better. The pace may be different but incrementally that is getting better. AIB is higher yielding and is growing.

Murali M. Natrajan: No, not all AIB is high yielding. AIB has got a mix of products. It's got tractors, it's got KCC which is very competitive. It's got, what's it called MFI loans, it's got lending DCB Bank Limited
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to MFI institutions and it also has got some bit of mortgages and SME. So, the highest yielding in that would be probably tractors, which will probably come at maybe 12.5 or maybe 13, depending upon old tractor, new tractor and so on. KCC and all is very competitive. So, you had to be there offering the same level of pricing as other banks, otherwise we'll have adverse selection.

Jai Mundhra: Lastly, we have had a very significant increase in the headcount. But similarly, the same pace is somehow not visible in disbursement or in fee on a cumulative basis, the disbursement for the last two -three quarters even if I exclude the TReDs or the SME altogether, the growth is 10% -11%, 10% -12% kind of a number excluding SME whereas the employee headcount have been much higher. So, is this a good comparison to start with because the additions may have been happened to CASA or some other thing or you think that kind of a throughput should come even if you were to exclude the TReDS etc.?

Praveen Kutty: So, Jai, with the increase in headcount has got an impact on deposits, it has got an impact on loans, it has got an impact on collections. There are multiple areas in which the frontline hiring that we do has an impact. So, the 19% growth in deposit, I want to just bring your attention to one thing. Our top 20 has come down from 7.06% if I remember right, to 6.75% in a tight liquidity market where people are running after bulk. How did that happen, where does the growth come from, it comes from retail. Where does retail deposit growth come from, it comes from people with the aligned technology and the zippy and the

products which we spoke about in the earlier answer.

Our collection efficiency on bucket zero has gone up to 98.8 for LAP and 98.9 for home loan, 98.8 and 98.9. That collection efficiency is coming in because of the incremental input that has come in there. There are people, the third component, what you said is right but that's a subsegment. So, there has been an increase in our mortgage frontline. There has been an increase in our AIB tractor, KCC frontline as well. But this 9% increase from 9,600 to the current employee base over a year has been across all these frontline segments.

Murali M. Natrajan: Let me add some more color to very important that what Praveen mentioned. When we crystallize all these headcounts and everything what we come to is that an average

account which comes in and of course all banks suffer from attrition, so we do. So, it takes about 3 to 6 months for the RM on the front line to become productive. And in the deposit side they actually deliver about 1 to 1.5 crore of retail volume per year. In a loan depending upon the loan, they deliver anywhere from 2 to 4 crores depending upon the product and so on. So, we add headcount such that we are able to make sure that they are all ready by April, May, June to deliver the volume that is required for that next year. If we start hiring in April or May, it may not give us the benefit before

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October or November which would not be useful. That's the way we plan our headcount.

Moderator: The next question is from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: I just want to understand with respect to that RBI circular on risk weight. What was the impact for us?

Murali M. Natrajan: I think it's about 20 basis points for us.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for the closing comments.

Murali M. Natrajan: Thank you very much to all of you for attending this call. We look forward to talking to you again. Thanks for your participation.

Moderator: Thank you. On behalf of DCB Bank Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"DCB Bank Limited Q4 FY '24 Earnings Conference Call"

April 24, 2024

MANAGEMENT : MR. MURALI M. NATRAJAN – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , DCB BANK LIMITED
MR. PRA VEEN KUTTY – DESIGNATED MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , DCB BANK LIMITED
MR. RA VI KUMAR – CHIEF FINANCIAL OFFICER , DCB BANK LIMITED
MR. AJIT KUMAR SINGH – CHIEF INVESTOR RELATIONS OFFICER , DCB BANK LIMITED
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Moderator: Ladies and Gentlemen, Good Day and Welcome to DCB Bank Limited 's Q4 FY '24 Earnings Conference Call.

Joining us on the call today are – Mr. Murali Natrajan – Managing Director and CEO ; Mr. Praveen K utty – Designated MD and CEO ; Mr. Ravi Kumar – Chief Financial Officer; and Mr. Ajit Kumar Singh – Chief Inv estor Relations Officer.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal a n operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mur ali Natrajan – MD and CEO. Thank you and over to you, Sir.

Murali M. Natrajan: Thank you. Welcome to this Annual Results Call and the 4th Quarter Results Call . I also have in the room here , our Chief Risk Officer, Mr. Sridhar S eshadri, Mr. Gaurav Mehta – our Head of PR and Marketing and Mr. Pankaj Sood, who 's our Head of Retail Branc hes and then of course, some of the support staff that we have.

So, I just want to highlight a few points and then we will open up for questions. I hope all of you have received the "Results, " the "Press Release" and also the "Investor Presentation" and ha d time to go through the same.

What we are quite satisfied with the way things are progressing is that I think we are on a way to keep doubling our balance sheet b etween 3 to 3 .5 years, which is what we were achieving till March 2020 and we got a little in terrupted by the COVID -19 pandemic.

Second thing is that deposit growth is ahead of loan growth, which is our intended approach. We have ensured that the top -20 deposits remains within 7%. The overall approach is how do we bring it down below 5%. So, we have invest ed some more head count in our frontline branches. When you invest in resources in the frontline, it takes time to get the productivity up.

We are moving in the right direction on Gross NPA and Net NPA. Once again we have demonstrated that our recovery and upgrade is very strong, which is also one of the reasons why our credit costs are lower, and we haven 't had much of a problem just as we expected on the standard restructured book. The gross NPA slippage s, recover ies, all that includes the stand ard restructured book as well .

Again, in terms of provision coverage, things are moving up. We also had a small uptick in them. Our intention is to have a NIM of around 365 to 375 basis point s, which we will be hopefully able to achieve by the mix change a nd mix of products both on the deposit side and on the loan side.

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The headcount increase this year has been about 1,500-odd. We will continue to invest in our frontline is what our intention is.

Overall, we are moving in the right direction and we believe that the kind of investments we are doing and the business model that we have, we should continue to grow and improve our profitability.

With those words, I would like to take questions.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Mona Khetan from D olat Capital. Please go ahead.

Mona Khetan : Firstly , on the fee side , if I look at this full year, the traction on fee growth has been fairly strong at 28%. So, I just want to understand one, what are the levers and two, could it continue growing at a faster rate versus assets?

Murali M. Natrajan: So, I will have Praveen – our CEO -Designate to answer the question. But what I would like to highlight to you is that last year, the PSLC income, when I say last year means FY'23, our PSLC income was about Rs.25 crores. And before that, our PSLC income was Rs.75 crores. This year we are almost like may be Rs.2-

3 crores so which means that we are still generating PSL assets, but the market has kind of been very weak on the fee and we've been able to make it up with the rest of the activities and initiatives. So, I would like to ask my colleague, Praveen Kutty, to talk about the fee and what he expects.

Praveen Kutty: Hi, Mona. So, if you look at the core fee income, there are five components to it, which primarily comes from insurance distribution, processing fee, trade fee income and FOREX and cards and other charges. Now, other charges more for behavior changes, it's not a revenue mechanism, but it adds to the fees anyways. So, we had a decent insurance distribution fee coming up, which has offset the opportunity loss from a PSLC perspective, what Murali spoke about earlier, right far lesser number, it's a single-digit number. So, it's virtually gone out of the market. So, it's been replaced by insurance distribution income. The higher disbursements which you seen has resulted in higher processing fee generation, the trade finance and FOREX income looks sustainable and repeatable. We have income coming from our debit card, travel card more, which is also contributing reasonably well. These are the components and these would be the components going forward also which would be giving us the fee growth that we are aspiring for.

Mona Khetan: So, would it be fair to assume that your fee growth will continue to be higher than the overall growth in assets?

Murali M. Natrajan: I think it will be in line with balance sheet and that is what we have been maintaining all through. Of course, if our cross-sell percentage improves in the branch banking and all, we could perform better than balance sheet growth.

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Mona Khetan: Also, just want to double check through this PSLC income. Does it fall under commission income in your case because for most others it's not part of the core fee?

Murali M. Natrajan: It's not part of our core fee. One point in time it was like a core fee because we were making it every year, although we call it trading kind of a fee, but our answer is no.

Mona Khetan: Then the core fee would be 388 crores for the full year and it will fall in non-core other income part?

Murali M. Natrajan: In non-core also we are working hard. It's not that we are going to destroy value there. But what we are focusing is the one that moves with the balance sheet or ahead of it. That kind of an approach.

Mona Khetan: Again, when I look at the CASA traction this year is of a low base, has been fairly good and unlike what we're seeing for the rest of industry. So, just wanted to understand what is helping in this case and could there be further traction from here?

Praveen Kutty: So, if you see our deposit growth, it has been near 20% growth. Our CASA growth has been around 18% mark. From a savings account perspective, we are one of the banks which gives both -- one of the higher rate of interest as well as perhaps the lowest rate of interest; at the lower end, our rate starts at 2.25% and the higher end it goes all the way up to 8%. So, it gives you a whole spectrum. The rate is not the real reason why you get the incremental savings account going. What keeps it going are certain innovative products. We have launched something called "DCB Happy." We spoke about it in the Q3 call also. That has really improved in Q4 in terms of customer savings accounts coming through. Effectively, you get a cash back on UPI transactions, subject to a particular number of transactions, value of transaction and the balance people keep with us. So, new products have helped. DCB Bank has now got full capabilities on all kind of tax payment, CBDT and GST. This got rolled out in the last quarter and the initial take up adoption rate has been very, very heartening. What this basically means is that customers doesn't

't have to go to another bank for doing this critical transaction because as you are aware, we concentrate mainly on the SME , self-employed segment. So, having GST into our armory has really helped our savings account growth. We will continue to be savings -focused rather than CASA -focused . Small ticket savings account would be the way we 'll be going and we have also lastly added extra manpower , feet-on-street has been significantly increased to get the CASA new to bank customers going . So, it 's a combination of three, four factors is what is helping our CASA. A gain to sum up , the new innovative products which we are giving . Number 2, this whole new set of services that we are able to give to existing customers on the tax front . Number 3, increased feet-on-street and to a certain set of people who have short -term large amount of money to be kept without really knowing when they want to utilize it , there's a higher rate which is given in the savings account also.

Moderator: The next question is from the line of M B Mahesh from Kotak Securities. Please go ahead.

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M B Mahesh : Just to come back on the quarter, a couple of things. One, you have seen yields improving and so has the cost of deposits. If you can just directionally tell us where you are on this journey ?

Praveen Kutty: So, what 's happening is that our NIM increase has happened. We are for the full year at 3.65% and for the quarter at 3.62%. It is driven by a few factors you can actually see that . One is the yield on our investment and on our assets have significantly had an uptick in Q4 as compared to the previous quarters. Number 2 is that from our collection efficiency perspective, our GNPA has come down which has really helped us in terms of getting the accruals going. There has been a small change in the mix also . In Q3 we had said that we are realigning and would like to do more of LAP within the mortgage umbrella as compared to home loans. That ship is slowly turning. So, that also has had an incremental advantage coming through. So, these three things are on the yield side . May be some element of hybrid fixed rate loans coming into the floating rate is giving us a positive buoyancy, because whatever the EBLR change that will happen , the 2.4% if you remember over a six month period , that pass on happens only at the time of fixed rate loan becoming floating rate. So, these four factors have helped our yield grow. And from our deposit cost perspective, possibly we are seeing the tail end of that particular curve . Over the next 1 , 1.5 quarters , we could see a stabilization happening based on the historical trends which we see . We have to extrapolate that probably about another month , month and a half, we would continue to have repricing of the deposits on renewal at a higher rate.

M B Mahesh: If I were to just kind of complete the entire conversation , directionally , margins will be down in the next couple of quarters because some of these one -offs is unlikely to repeat. Is that the way to see?

Murali M. Natrajan: Remember, last quarter and the previous quarter also we said that we have taken the benefit of the repricing of the EBLR and the catch -up on cost of fund is happening. We believe that that should bottom out in about a quarter or two quarters maximum . Beyond which we should hopefully get the entire benefit of the volume increase .

M B Mahesh: The second question is OPEX has now kind of more or less kind of slowed down there. Directionally , revenue line grows faster than cost from here onwards ?

Praveen Kutty: On OPEX , if you review cost -to-average assets, we 're at 2.69 % . So, traditionally what happens is that the increments in employee cost uptick happens in Q1 as normal and then we would see our go -to-position is we want to be at 2.5 kind of percentage cost -to-average asset over three to four

kind of quarters going through . And where will it come from . Primarily come from increased productivity , as you can see disbursements are going up and there are quite a lot of activity happening on the digital space, which is helping us cut down the operating cost.

Murali M. Natrajan: For example , Mahesh , one area is collection . We probably have operated with a flat headcount in the last or maybe even slightly reduced headcount in the last six months or so, primarily on account of productivity improvement in portfolio and digital intervention. We will continue to add about 1,000, 1,200 people because we want to keep adding frontline so that we keep building capacity to grow because there 's an opportunity out there.

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Moderator: The next question is from the line of Prabal from Ambit Capital. Please go ahead.

Prabal : My question was on the MFI business that saw an uptick this quarter. What 's the approach here and how should we think about this business going ahead ?

Murali M. Natrajan: So, in MFI we have two types of business. One is lending to MFI company and lending to end customers through the BC route. The end customer BC route has seen a steady growth , I don 't think there 's been any major uptick, but MFI lending to BC, we have seen opportunities emerging because of our understanding of that NBFC, MFI and we have been able to kind of improve our lending to that particular segment. If I was to look back last many years, we

probably were the first or second lender to most NBFC, MFI which came into the industry.

Praveen Kutty: Prabal, from a thought process sense, MFI business that we do is to ensure that we meet all the PSL categories and subcategories. We are picky and choosy which state we go with. Currently, it is far less than 5% of the overall book. So, you would see the growth in line with the overall balance sheet growth.

Prabal: When we link to MFI, NBFC, is the yield commensurate with still lending to individual customers in the MFI business or what's the differential there?

Praveen Kutty: I don't think the lending rate to MFI and MFI consumers through the BC route, that's not a n information that is publicly revealed. So, I don't think we could answer that question.

Prabal: Because the reason I was asking was a 1% increase in MFI shares can have a positive impact of 10 basis points on the overall yield, going for NBFC lending that impact might not be that much?

Murali M. Natrajan: We are in the MFI BC business and MFI business in order to meet the difficult part of our agri PSL and the SF MF and things like that, right. As you know, MFI business looks very good for three, four years and then suddenly it has a problem. We want to have lot more consistent results and not want to deal with that kind of situation. So, we are very focused on keeping it at about 5% to 6% of our exposure. Your point is valid, if you say that if you increase by X and then you can get a yield, we can increase by multiple times and still get a lot but, is that what we want to do is the question. So, we have other opportunities which are much better so which is where we will focus.

Prabal: Second question was on the co-lending. So, one of our partners had to stop disbursement. So, how are we sort of navigating that because the co-lending book has come down from 35 million to 30 to 33 million?

Praveen Kutty: You're right, one of the gold loan co-lending partners, that volumes have stopped coming in for reasons which are known. But we have about close to eight different co-lending partners across different products and customer segments in multiple geographies. So, what we're doing is while the dust settles and whatever the right action will be taken over a period of time, the time being indefinite, we will wait for that opportunity to come back. There are other partners with w

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we are engaged. This particular co-lending guideline came in May '21 and I think in the year '21-22 itself, we have kickstarted the co-lending business. So, we are one of the early prime movers in this particular segment and we have multiple relationships. So, there are incremental originators coming online and that will continue, that whole affiliate-driven business is something will continue. But would it replace volume-for-volume what has stopped in the market? No. So, in the short term, there would be a reduction in co-lending, but there are many many other partners who we are working with and we should see the co-lending book coming back to the kind of levels that we have seen.

Murali M. Natrajan: And this happened in 4th of March and it happened in a very abrupt manner. So, we haven't had much time to kind of the thing, but we have other tie-ups. Hopefully, some of the tie-ups will come through to compensate for some of the volume.

Prabal: Just last one clarification. This uptick in yield, so 11.71, this is organic in nature, there is no one-off in this?

Murali M. Natrajan: No one-offs. Even last quarter, we never said there have been one-offs or anything. We track one-off problems separately or opportunities, but there is no one-offs.

Moderator: We'll take the next question from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: The first question is on your SA growth strategy. You have a staggered rate when you offer as you mentioned in the opening remarks also that you offer lower and maybe at another spectrum you offer one of the highest rates in the industry. On a QoQ basis, the SA balances have grown at 2%, right, despite we are offering one of the highest rates. Is that satisfactory or you think there is some one-off and hence because of this pricing strategy, we should see slightly better outcome or this is more or less in line with your strategy?

Murali M. Natrajan: Jai, we discussed this in our last quarter call also. Praveen has mentioned to you that SA rates are very low at the low end and high at the high-end catering to completely two different segments. So, the reason why we are getting higher rate on one end is to make sure that the flexibility that is required by some of the HNIs instead of keeping in term deposit are keeping in there. The actual growth is always coming from the low to mid end because there we are offering innovative products. For example, we launched a product where we give cash back on UPI, both incoming and outgoing, and the information that we have from our frontline team is that product is doing very well and the average ticket sizes have improved better than what had we not offered that thing. So, we are monitoring the SA cost very carefully. Because we are offering that 8%, I don't think you should think that that is where our SA rates are. We don't publish our SA composite rate, but I can tell you that our SA strategy is actually helping us to reduce the cost of funds and cost of deposits.

Jai Mundhra: No, I wanted to get a comment on the growth . The product is very good because it should take more but the QoQ growth of 2% was slightly not so , I mean , it look s like it could have been
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done better. That is what I wanted to have a comment on this 2% is satisfactory in your view or you think hence it can grow up is the question .

Praveen Kutty: So, in this year, what has happened is that there has been tightening of liquidity in most part of the year. There are two things which we are very cognizant of. Our CD ratio has remained at sub-83 levels, right , and we have grown deposits by almost 20%. Third thing, we need to keep in mind is that our top 20 has decreased to 6.57% , at one point in time was over 7 % . So, effectively what is happenin

g is there is a granulation of the book and that 's what is growing . In an environment where the retail term deposit rates are attractive , there is a propensity in the market for savin gs account customers to move their money into retail term deposit in the same bank, some amount of ca nnibali zation happens that we are very comfortable with it. Now how we're countering it is that a lot of the increase in people which Murali spoke about ea rlier has come in the front -line deposit mobilization unit, which is solely focused on getting CASA going . Number 2 is that we have partnership with some relevant fintechs, which is contributing pretty well in terms of good profile, new -to-bank savings account customers. So, there 's a partnership we have with NIYO and you probably would have seen advertisements in some of the media . So, I talked about feet-on-street, we talked about partnerships. The third element which comes into play on th e savings account piece is from new accounts that we are providing. There 's a very large cross -sell machinery which is at work . If you see. 54% today of our asset book is mortgages, right? So, there is a very active cross -sell happening to these customers where we 're getting incremental savings and most of them are SMEs , so they open their personal savings account with us. So, that activity has come up to a different level. So, three verticals are working on this and we expect in line with the balance sheet growth of savings account to happen during the course of time.

Jai Mundhra: My second question is if you look at slide 31, that gives the yield on advances on YoY basis. So, that increase in yield on advances in FY'23 where most of the r edemption happen , that is somewhere around 35 basis points and in F Y'24, at least the policy rates were very stable, yield on advances has risen even further by more than 50 basis point s. Of course, I can understand some lead back . But I what is driving this better rise in yield on advances in a year where there is no policy action because part of that could be explained by some of the lower Net NPA that we had, but if there is anything if you can say please ?

Praveen Kutty: Perhaps it's not correct to assume that the entire advances book is comprising of EBLR a nd therefore benchmark rate change alone will change the rate of the existing portfolio. So, you continue to have fixed rate loans and you continue to have marginal cost lending rate loans plus you have EBLR loans also. So, some of these EB LR-linked loans are fixed in nature for a certain period of time , after which it becomes floating as well. So, there is a composition of the asset book which is there in most banks and in our bank also , that's one point we have to keep in mind. As and when this hybrid part fixed E BLR -linked loans come into the floating rates scenario , then the repo rate increase of 2.4%, which all of us knew of between September '22 and March '23 kicks in , in some form or other depending on when those particular loans you got . So, that's one part of it. The second part of the yield increase is coming fro m improved sourcing yield. The third part of this is coming from better mix. If you remember , last quarter also we spoke about
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this, we are kind of shifting, at that point of time 52% mortgage , now 54% mortgage , more into LAP than from home loan . Going int o home loan was a part of the COVID safeguard fortification strategy. Now , COVID is done and dusted. So, now we 're going back to the pre - COVID levels of higher business loan. So, there is a n increase happening on that count also. Lastly , the point which we just now mentioned, l ess slippage, more upgrade, not just recovery , which means the NPA customer continues to bank with you. You get the benefit of the X number of months of interest a ccru al, which you derecognized , thus incremental revenue

also come

because the customer is post NP A regular with us. So, all these factors contribute to what is resulting in the change in the yield . Long answer for a short question.

Jai Mundhra: You said that there are a few products wherein the starting rate is fixed, but over the ten or it will increase, it will turn into a floating rate product for the customer . Is that understanding correct?

Praveen Kutty: That's right .

Jai Mundhra: This would be business loan or mortgages, I mean because

Praveen Kutty: Could be something else also. It's available across various products, most floating rate loans have the part hybrid floating facility available.

Jai Mundhra: It will necessarily turn into floating rate, right, because the customer may not want that, right, because it is a subject to customer discretion, then

Praveen Kutty: At the beginning, the customer can choose a fully fixed rate loan or a fully variable rate loan or a hybrid loan.

Murali M. Natrajan: But fully fixed is only in a commercial vehicle like tractors, very less.

Jai Mundhra: The hybrid at some point of time necessarily will turn floating, right?

Praveen Kutty: Yes.

Jai Mundhra: If I total the disbursement in this year and last year, there is more or less similar disbursement, but there is a drop in the calculated repayment and that seems to be driving or at least contributing to the loan growth. Is there anything within the loan product which is keeping the repayment rate lower or that is the kind of a general thing that a year, two years repayment rate may differ or there is something structurally within the product segment that repayment rate seems to be declining?

Praveen Kutty: Essentially, Q4'23 had a reasonably high composition of TReDS, which forms a part of SME. TReDS are typically average 45-day loan, which gets turned around. It's a liquidity management tool for the bank. So, as and when there is a short-term opportunity available, you go into threads, if it is not, you go into longer-term loans. So, that's why if you see if you're looking at the page number 22 there is a 838 crore disbursement coming under the SME, that is now reduced to 500 crores. So, effectively what's happening is the longer term loan is coming to play.

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Moderator: We'll take the next question from the line of Rohan Mandora from Equirus Capital. Please go ahead.

Rohan Mandora: Just wanted to understand the frontline people that we are adding. But this is the liability accretion incrementally. So, as an external entity, if we have to track how effective they have been in terms of generating liabilities over next one, two years, sir, what are the metrics that we should track, so obviously total deposits per branch or per employee can be one metric, but anything else that you can indicate would be a better metric other than this?

Murali M. Natrajan: Total business per employee and total deposits per branch is, I think, effective because when we our product team and our frontline team makes continuous comparison on through the door acquisition capability and productivity of various banks. And it's not very difficult to do because you conduct a lot of interviews, and you know what kind of scorecard they are operating in various different banks. So, we know where we are and where they are. Of course, there are some differences here and there, but we know that. So, I think that is the best metric overall to keep tracking.

Rohan Mandora: In terms of the KRAs that these people would have who are focused on liabilities, would that be different from normal branch employee or they would have all the KRAs on asset as well as liabilities that a branch employee would have?

Murali M. Natrajan: They're all part of the branch.

Rohan Mandora: So, just trying to understand in terms of the focus, has there been any change

in the KRA with

respect to the liability accretion vis-à-vis last year?

Murali M. Natrajan: There are some employees who do multi-product. Like mortgage, we have a separate team, and for loans generally, we have a separate team, the branch team always has deposits, CASA, term deposit, fee and gold loans. Of course, within this there are employees who only do deposits and do nothing else. So, the scorecard would be different for them. So, there are all types like that. For example, a person who paid 6 lakhs or 10 lakhs could be having a slightly different scorecard from somebody who is an entry point kind of an employee.

Rohan Mandora: Is there any guidance for slippages next year?

Praveen Kutty: So, if you look at our model, we essentially work on a model of NIM of 3.65 to 3.75. Fee tending towards 1% of average assets and the credit cost typically around 28 to 30 bps mark. What you see now is at 16 bps, I think it is not a sustainable kind of credit cost number. It typically will range somewhere around 28 to 30 bps kind of mark on a ongoing basis. But having said that, we have about 1,300 crore of NPA pool to work on. Most of them matured from a legal perspective. So, SARF ESAI orders in many cases have come through or in the process of coming through. All are secured. In fact, that's one thing about the bank and most of it is secured by self-occupied property. Effectively, the moment orders come in, customers find a way of reprioritizing their payment towards keeping the house than to some other activities. That's

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how most of our credit cost reduction is coming from. But on an ongoing basis, I think the model you should assume a 0.3% kind of model to go with.

Murali M. Natrajan: So, the approach is that we are running a very capital-efficient model. So, our risk weight asset consumption is pretty low as you can see, and it has been low over the year because that's how we refined the model is. And given the current capital situation, I think we probably will look at our capital and we have a proposed enabling resolution. On Tier-2, the bank has always had an approach of being slightly opportunistic and as an end when there is an opportunity to pick up some Tier -2, I think the team will work on that.

Rohan Mandora: And Sir, to the previous participant's question, we told that we were having on the fixed/floating rate in terms of hybrid loans. Just wanted to understand what would be the proportion of total loan mix right now that would turn floating in the due course of time?

Murali M. Natrajan: We don't disclose on that. But, if we disclose, we'll disclose it for the entire set of investors.

Moderator: We'll take the next question from the line of Krishnan ASV from HDFC Securities. Please go ahead.

Krishnan ASV: Given the kind of regulatory environment where the RBI has been fairly stringent on looking at partnerships between banks and anything that they do on the digital side, you have a partner which is not just helping you digitally acquire NBT customers, but also in the field where it is for FOREX cards, which is not being very kindly taken to by the RBI in the past. So, just wanted to understand what kind of safeguards do you have in place to make sure that DCB Bank does not fall foul of the RBI now because no matter how conservative lenders are or how they push the envelope at times. It seems that the RBI is scrutinizing a lot of these relationships with very fine comb. So, just want to understand what is it that makes you feel comfortable that you're on the right side of regulations here? I mean, is the bank currently being investigated or scrutinized for this relationship at all?

Praveen Kutty: So, this may sound like a repeat of the master circular and master direction, but then that's a question you asked. So, here's the answer. How does it work?

The video KYC-based customer identification process is done by the bank. The audit of that particular process happens currently and that is done by the bank. Once the customer is onboarded, it's a savings account customer just like any other digitally acquired customer of the bank. When these customers either use the account domestically or internationally, the AML flags which are in the system come into play. We are reasonably confident about our AML flags which are there in the system and we look for anomalies including one to many, many to one, usage of the debit card abroad with the app showing that the customer is in other country and a whole host of things is something which we have. We are not wholly predicated on one partnership for our program. Why we are part of this particular partnership is because there's a space which we want to be in and if done right can considerably help the bank. So, effectively it's about how strong your customer identification and onboarding processes is fully in-house. Second is about how well you manage the transactions of the customer and is as per what we believe the customer is capable. Third is the DCB Bank Limited
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technology angle to ensure that the transactions which happen internationally matches with the GPS, etc., of that particular customer in the same place. And fourth, this data is exclusively with DCB Bank and not with the partner. The partner does not have visibility to any of the information. It's tunneled through. So, there are various things that we have done. And the last piece is from what the letter of the master directions are concerned in this regard of both co-partnerships as well as digital account opening and partnerships, it meets the conditions that we have currently. But what you said is right, there is a heightened scrutiny of the regulator not only on this area but in multiple areas, and our belief is that we will always play conservative than go by the philosophy of being aggressive. We internally say that anything grey is black.

Krishnan ASV: The other bit was very often lenders don't walk into this or let's assume that lenders don't want this with their eyes open, sometimes they think they're doing the right thing, and they are going by the letter and the spirit of the regulations but still the RBI seems vigilant and a bit stringent on making sure that digitally whatever is happening digitally is something completely above board. So, just to reiterate the earlier query is DCB Bank currently being probed or investigated on this?

Murali M. Natrajan: So, first of all, I want to say that we can't comment on what is the regulators approach and what they are planning to do and how they are doing. When you talk about digital lending, I am not aware of any digital lending that we are part of. I think we have examined several, several fintech and probably didn't feel comfortable in terms of their approach and what are the regulations and so on. The digital thing that Praveen was referring to was on the deposits side on NIYO, and as far as we can see, we seem to be following all the guidelines, but the regulator has the right to keep raising the bar on these and we have to make sure that we follow. You are using the word

investigative and things like that. I'm not aware of any investigation and so on. But you know that in the risk-based supervision, at any point in time any of the regulated entity can be called upon for any information and so on. And that is a new way of how the regulations are being applied and managed. So, that is my response to your question.

Moderator: We'll take the next question from the line of Rakesh Kumar from B &K Securities. Please go ahead.

Rakesh Kumar: I had a question similar to what previous participant had on this ex-floating EBLR, T-bill, or may be repo. So, if we can get the breakup of

EBLR, MCLR and fixed rate loan breakup in this

quarter March-end and December quarter, that would be really of great help.

Murali M. Natrajan: We are not presenting those details; I don't think we have ever presented those details. The way we approach is, there is a mix of products that is there on the deposit side, and we know that in the model, it yields about anywhere from 365 to 375 basis points. Of course, if you have in any one quarter, some more NPA or we end up having some repricing issue, even for that matter, let's say we have borrowed money from NHB or SIDBI and they happen to fall due for some repricing and that quarter gets impacted. So, these are all so many nuances that go on. The other one that happens is we obviously meet all the PSL norms, for example, there is a shortage there and we have to subscribe to RIDF bond which come at a very low rate, that also has an impact

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on NIM. So, overall, I think we would like to go by saying that the Bank is targeting a NIM between 3.65% to 3.75%. So, the sales team may decide that "Look, we are spending a lot of money on acquiring these customers. So, therefore we need to offer a six-month fixed rate or a one-year fixed rate so that we have some more stability. Those kinds of decisions are taken in ALCO on a very ongoing dynamic basis. So, I don't think we are ready to present that number to you.

Rakesh Kumar: Just wanted to reconfirm that as per the RBI guideline on the EBLR, so all the floating MSME loans should be on EBLR. So, what part of MSME loan or maybe any other loan that you are offering at the fixed rate at the initial time and then converting it to the floating rate later?

Murali M. Natrajan: That is going back to the same your first previous question, no, which is what we are saying that we don't offer that information and that information may differ from month-to-month, quarter-to-quarter depending upon various meetings of ALCO, our balance sheet, our liquidity position, the way we are generating our deposit profile and so on. So, suffice to say that we have offered smaller customers the flexibility of taking fixed rate loan. Those fixed rate also might change, six month fixed rate, one year fixed rate, maximum two year fixed rate, those kind of things.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: My question is related to the cost-to-income and also the growth. So, you mentioned that we are on a course of doubling up our balance sheet over the next 3, 3.5-years. So, for that kind of growth, what kind of branch addition we are looking at or is it the branch addition will not be a significant and it will be more like sweating our existing branch network which can help our cost-to-income in a way?

Murali M. Natrajan: We are a pure retail SME bank. Our corporate loan book is about less than 10%. And when we started this journey 15-years ago, I remember the corporate book was about Rs.1,500 crores on a loan book of some 3,000-odd crores. If you have lot of big-ticket loans, your cost-to-income ratio will be lower. Please compare our cost-to-income ratio of 63%, 64% to more pureplay banks that you may be aware of who are into lot more retail on the loan side. So, the cost-to-income ratio will continue to be high in that model. What you should focus on in my opinion is look at cost-to-average assets. At one point in time when we were adding people. I think our cost-to-average assets was even 3.3% or something, which has now come down to 2.69%. As Praveen mentioned, we are working towards bringing it down to a steady 2.5%. If that results in results in reduction in cost-to-income ratio so that whatever would that be. We don't look at cost-to-income ratio, we look at cost-to-average assets, that is point

one. Second thing is our model

is such that there is so much opportunity. If we add headroom, we probably will add 10,000 more resources and still we will be able to generate business, but we are pacing it out. So, I think we have stated in the past that number of branch addition would be 15-to-20 per year and if the new management team finds more sooner success in implementing branches, they may even step it up to 30, 40 or whatever that number is, and I think we are fully capable of making those branches. And we are not some regional banks or something like that. We can put up a branch

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in Odisha, make it a success, we can put up a branch in Madhya Pradesh, we can make it a success, we can put up a branch in Bombay and yet not succeed where we are very good because we have not got it right on say for example, some people or something. So, we are pretty good, we have a lot of products, we can make it work. So, that's the way the model is.

Dixit Doshi: So, in terms of ROA, where do we target over the next say two or three years?

Murali M. Natrajan: The intention, as we have stated in our presentation also, we are moving towards greater than 1% ROA and greater than 14% ROE. You may see some banks which are having an ROA of 1.5%, but they have a 20% capital adequacy at Tier -1. We have 14.59% and we are giving 0.9%.

You may want to normalize and see where that, because if you have lot of capital you can definitely get more far away. We are trying to be more capital efficient. This quarter ROE has been 13.48%. I think steady state we have clearly a 0.9% ROA and about 12% ROE. And I think the team will be working towards getting this up through improvement in productivity of the existing resources and growth which is what would be and not messing up any of the other parameters like credit costs and so on.

Moderator: Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, Sir.

Murali M. Natrajan: So, thank you. That would be my last call and I'm happy to tell you this is my 61st quarter where I've been able to interact with you guys, I just realized. So, thank you very much for your support and encouragement and it's been a pleasure interacting with you all these years. And I wish the new management, Praveen, and his team all the very best and look forward to catching up with you at some other forum. Thank you very much.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of DCB Bank Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

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DCB Bank Limited

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Ref. No.CO:CS:RC:202 4-25:142 July 30, 2024

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Mumbai 400 001 National Stock Exchange of India Limited

Exchange Plaza, 5th floor, Plot No. C/1,

G Block Bandra – Kurla Complex,

Bandra (East), Mumbai 400 051

Scrip Code: 532772 NSE Symbol: DCBBANK

Dear Sirs / Madam,

Re: Transcript of Earnings Conference Call held on July 24, 2024

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Conference Call held on July 24, 2024 with respect to the Financial Results of DCB Bank Limited ("the Bank") for the quarter ended June 30, 2024. The same has also been uploaded on website of the Bank and can be accessed at the link given below:

<https://www.dcbbank.com/upload/pdf/DCB-Bank-Q1FY25-Earnings-Call-Transcript-July-24-2024.pdf>

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubi Chaturvedi

Company Secretary &

Compliance Officer

Encl: As stated above

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"DCB Bank Limited Q1 FY25 Earnings Conference Call "

July 24, 2024

MANAGEMENT : MR. PRAVEEN KUTTY – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , DCB BANK LIMITED

MR. SRIDHAR SESHADRI – WHOLE TIME DIRECTOR , DCB BANK LIMITED

MR. RAVI KUMAR – CHIEF FINANCIAL OFFICER , DCB BANK LIMITED

MR. AJIT KUMAR SINGH – CHIEF INVESTOR RELATIONS OFFICER , DCB BANK LIMITED

MR. GAURAV MEHTA – HEAD MARKETING & PUBLIC RELATIONS , DCB BANK LIMITED

MR. PANKAJ SOOD – HEAD RETAIL & EMERGING BRANCH
BANKING , DCB BANK LIMITED

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Moderator: Ladies and Gentlemen, Good Day and welcome to DCB Bank Limited Q1 FY'25 Earnings Conference Call.

Joining us on the call today are Mr. Praveen Kutty – Managing Director and CEO, Mr. Sridhar Seshadri – Whole -Time Director, Mr. Ravi Kumar – Chief Financial Officer, and Mr. Ajit Kumar Singh – Chief Investor Relations Officer.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to the management. Thank you and over to you.

Praveen Kutty: Thank you very much and good evening, everybody. This is Praveen here.

I want to take you through the highlights of the last quarter, starting with deposits. Our deposit growth has been slightly above 20% YoY , and the CASA growth was about 18% YoY . Our focus on CASA is savings account and savings growth has been 21% YoY .

During the last quarter, we crossed the 50,000 crores total deposit mark. In a market which there is a tightening liquidity, we improved our CD ratio to 81.6%, and our LCR is well over 120% threshold that we kept for ourselves internally.

On the loans front, we have had a loan growth of 18.9%. Our restructured book now is 2.34% net, considerably less than what we started off with. Our credit cost is very comfortable, though there is a slight elevation in the NPA ratios, and our provision coverage ratio is 76%. These are top line numbers.

On the profitability front, our NIM has come down to 3.39% in this quarter and our fee has hit a high of 143 crores. The core fee income is robust at 114 crores. The cost -to-average assets in Q1'25 is 2.71%, slightly less than the 2.73% of the same quarter last year.

On the non -financial front, we had two very important technology upgrades during the quarter. One was that we upgraded our treasury system. We have a new TCS system which is there for our treasury, and also from a cyber security perspective, we have an upgraded SIEM system.

In the last quarter, we have made some basic rejig which I think is important for the Bank from a future growth perspective. This is mainly on the assets front.

Mortgage is undergoing a bit of a revamp. It's a bit of a rejig. We are reorienting ourselves to business loans. Mostly, if you look at our mortgage book, it is cut half in home loan and business loans. Increasingly, we would be pursuing business loans within the framework that we currently have.

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The second element in the mortgage revamp is that we are reclaiming the 50 lakhs to 1 crore space, very well within the MSME, self -employed segment. Over a period of time from 2016 to now, there has been a steady decline in our ticket size. So, we have moved, there was a skew favoring affordable housing and small ticket LAP. Nothing wrong with that. The only thing is that from a productivity perspective, there is a market out there, specifically the 50 lakhs to 1 crore range which is a space that we are comfortable with. So, there is a greater thrust on getting that going in addition to the affordable housing and the small ticket business loan that the Bank anyway does.

The second area of modification is focus on engagement. Our SME book will be more focused on the overdraft product that we have. Currently, the SME that you see if you were to look at the investor presentation, it comes as a combination of TReDS and the traditional SME, MSME products that we have. In the future you would see the reliance on TReDS coming down and overdraft coming into play. It will help the yield, it will also help cross sell, it will also help increase the fees.

The second part of the engagement is on the CASA front. While we have grown savings account by 21% YoY and CASA also by 18%, whereas increased thrust on improving the CASA even further as we go a long. And this would come from focusing on engagement at multiple levels both digitally as well as relationship manager -based engagement.

The third element is the greater use of data analytics to deepen and widen relationships within the Bank . So, we have a dedicated team solely focused on increasing product penetration within the Bank .

This, ladies and gentlemen, is some summary of the last 90 -days and if you have any questions, feel free to ask. My leadership team also here is with me. Feel free to ask the questions and we will provide you with the answers.

Moderator: We will now begin the question -and-answer session. First question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Want to understand on NIMs and the compression that has happened this quarter especially on the yield 20 basis decline. So, is there any one -off here or how should we look at the yields trajectory going ahead?

Praveen Kutty: The NIM compression primarily comes from two components. We are at the last leg of the term deposit renewals, the long -term deposit that we booked in the past has come up for renewal and now they are repricing themselves to the current rate, which is obviously higher than what it was got booked two to two and a half years back. So, we are in the last leg of it. Probably it will flatten out by middle of third quarter. What you also can see is that if you see the trend line of the cost of deposits, the rate of increase is coming down from 6.77, it has increased by 18 bps from Q2 to Q3 and then subsequently became 13 bps from Q3 to Q4, and from Q4 to the 1st Quarter of this year you're seeing a 2 bps increase. So, we will see a stabilization of that coming

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through. So, that's one element to it. The other element, Rohan, is that there has been some regulatory changes on the loans front, which has resulted in interest reversal, which we believe is a one -time thing. This also includes the change from penal interest to penal charges which the circular of the Bank has come with. We implemented that and we have also ensured that incremental disposals on loans, the interest charge is from the DD handover date. So, on an ongoing basis we can see the NIM rising up because we don't expect too much of one -offs to continue in the future.

Rohan Mandora: So, here so if you can quantify what was the total impact due to the regulatory changes on the yield?

Praveen Kutty: That's something which I don't think we can tell you right now. The only thing is that there are two components we can speak about. One is about being the penal interest component being replaced with penal charges and we see a slightly elevated fee income also coming through correlated to that. And the second part is for ensuring that the loan disbursement interest are accrued from the handover date and not necessarily from the disbursal date.

Rohan Mandora: Sir, with these changes like the NIM guidance that we typically give 365 to 370 basis points, does that change for a steady state?

Praveen Kutty: Not really. On an ongoing basis, we should. As you know, NIM has got multiple components, yield, cost of funds, the slippages, aging of provision, right, plus any one -offs that may happen. The June booking may have some bit of spill over into July. But beyond that, I don't think that will happen.

Rohan Mandora: But for the current financial year, would it be fair to assume that the NIMs would undershoot the guidance?

Praveen Kutty: Not because of any particular reason. We don't expect that.

Rohan Mandora: Then, so what will be the drivers for NIM expansion from the current levels like the cost of funds would go

up, on the advances side like we had explained that certain part of the mortgages book is on the fixed or floating thing, so that may have some impact and

Praveen Kutty: Three elements. I repeat. The rejigging of the of the mortgage book which would result in higher quantum of business loan over home loan. So, the kind of onboarding rates on business loans are significantly higher than that of housing loan. The second thing is that we are focusing on SME overdraft at the expense of SME TReDS . TReDS obviously is a smaller tenor loan at a lower yield. So, we will compensate that with an overdraft facility. So, you will see that there is a difference in the yield that that one gets. And the third element, what you said is not a new element. As and when the hybrid loans come up from fixed to floating, the Bank gets the benefit of the increased EBLR which has not been passed on because of the benchmark changing post the customer coming into the fixed rate criteria.

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Rohan Mandora: Secondly, on the other OPEX piece, what kind of a trajectory should we expect for FY'25?

Praveen Kutty: Our cost -to-average assets is 2.71%. We would expect that to come down steadily to 2.5%.

Rohan Mandora: And over what timeframe?

Praveen Kutty: In the very near future.

Rohan Mandora: Just if you can quantify the amount of construction finance book?

Praveen Kutty: About 4%.

Moderator: Next question is from the line of Viraj from SIMPL. Please go ahead.

Viraj: Just a couple of questions. First is, as per our presentation we have a stated guidance for 1% ROA and 13%, 14% ROE. This would imply average of 13 to 14x. So, if I look at the last 14, 15 year history of our Bank, we are operating with such a high leverage and also we would have also to achieve this kind of ROE we have one of the highest leverage among private sector banks. So, if you can just help us understand if we and the board are comfortable operating at such a high level and what is the thought process to have such a high level?

Praveen Kutty: Sorry, can you repeat your question?

Viraj: What I am saying is that, if I look at our presentation, we have a stated guidance to achieve 1% ROA and 13% to 14% ROE. Now implied working would be that this would have a leverage of 13 to 14 times. And if I look at the 14, 15-year history of our Bank, we have been operating at such a high leverage. So, in fact to operate this kind of leverage, we are among the highest in private sector banks. So, if you can just help us understand if we and the board are comfortable operating at such a high leverage and what is the thought process to have such a high leverage?

Praveen Kutty: See, if you look at our net worth of 5,000 plus crores, we work on a RWA at 53%. So, what you're seeing is a very efficient use of capital so effectively and this has consistently been done from 2018 onwards, you would see that RWA's are primarily in the less than 55% category. So, there is considerably lower usage of capital and that has resulted in the ROE being close to 12.5 times the ROA.

Viraj: So, you will be talking about increasing it further from 12.5 to almost 14 times to achieve the kind of ROE, do you want to achieve over next few years?

Praveen Kutty: You would continue to see that the risk weighted assets would be in the region of 54%. So, the internal accrual capital at a 17% to 18% growth will come from within because our ambition is not to grow 17%, but we are looking at a 20% growth, then fresh infusion of capital would certainly happen.

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Viraj: What will be the proportion of fixed rate and floating rate loan book for us and if rate cuts were to happen at the end of the year, how do you see the impact of rate cuts on our NIM?

Praveen Kutty: I can answer the second part. So, we have three types of loans, so one is a fixed rate loan, other

is a hybrid loan and third is a floating rate loan. In case a rate drop happens, one of the things which we can do is to ensure that there is a simultaneous drop of a similar rate on a savings account book where the proportions would be similar, we got 11,000 crores book on savings account, and if that particular portion of 42,000 crores of asset book were to have a benchmark - related reduction, we would see a similar reduction and a similar timeframe happening on the savings account book also. Because savings account is more or less retail in nature, it is reasonably priced and elastic, maybe at the top end we could have a bit of a customer movement happening, but then the benchmark affects most players in the industry as well.

Viraj: In the budget, there's been an announcement of credit guarantee scheme for MSMEs. So, if you can just help us understand what this scheme is and if in any way it is beneficial for our Bank to underwrite a higher number of loans or underwrite better quality loans?

Praveen Kutty: So, there is a program called "Tarun" which has been extended to 20 lakhs. Our team is looking at the budget proposals and studying it and then we'll come back with an action plan on whether that makes long-term viable sense for us or otherwise.

Viraj: One is on the fee income growth. I think if you can just elaborate more, are we driving that to increase I think historically it used to be close to 1%, but it's been trending though for the last few quarters. So, how are we looking at driving that better in the coming quarters? And second is on the promoter preferential issuance. If you can give an update by when do we expect that to happen?

Praveen Kutty: So, on the first question which is the fee income, we had a 33% YoY growth on fee Q1'24 versus Q1'25. There was some bit of inorganic fee also there, but from a core income perspective, 114 crores of fee income have been enhanced primarily by some good performance from the third-party distribution, processing fee, etc., which is a repeatable fee income revenue. So, that's one part of it. The second part of it is that some amount of elevation is there because what would have otherwise come in NIM has come in fee on account of the penal charges being coming to play instead of penal interest. But on an ongoing basis, where will the fee come from, how would we go more towards 1%? The answer to that is that the whole engagement model which I spoke about in the beginning is to drive overdraft and CASA. And what is common between overdrafts and CASA on either side of the balance sheet is that these are high engagement products and when engagement happens there is an opportunity to cross-sell and as a Bank we have multiple avenues to cross-sell both physically as well as through the net. So, effectively this shift to CASA and you've seen some parts of it already with the savings account growth of 21%, some part of that is still bearing fruit. There's lots more one can see going forward and movement from

TReDS , which is a fairly anonymous system -based lending to overdraft -based lending of SME would result in higher opportunities to come by both on the funding front as well as on the Bank guarantees and other fee revenues which we get from.

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Viraj: On the promoter fund -

Praveen Kutty: Promoter capital, there are a few more documents that have been sought for. We are in the process submitting it and once that happens we would get the clearance and once the clearance comes in the capital inflow should happen in a few days, if not weeks.

Viraj: So, maybe by Q2 we expect the closure?

Praveen Kutty: We expect it by Q2 definitely. So, usually it's a iterative process, some documents are asked for and some more are asked. So, assuming that particular process is complete, then the infusion should happen practically immediately.

Moderator

tor: Next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: The first question is on margins again. So, you mentioned of the impact on NIM partly being offset by higher fee lines that penal interest got converted to penal charges. So, to that extent, shouldn't the NIM going forward settle at lower level or simply because there'll be levers on yield from changing loan mix, you believe that the guidance will be maintained?

Praveen Kutty: Three things in this. One, what you said of penal interest coming back as penal charges. Second is about refund of interest for loan disbursements from the time of the demand draft being made to the time the demand draft is handed over. These are one-time events. A bit of spill off may happen into July as well, but beyond that I don't see that one-off coming into play as far as the NIM is concerned. From a slightly longish perspective, the repricing of long tenor term deposits would continue to middle of third quarter, after which you would see a stabilization of the rate of cost of deposits. I would draw your attention to the key ratio sheet page 30 if you have it with you. And if you were to look at the cost of deposit, it is on increasing curve, but the rate of increase is decreasing in every quarter. So, from 16 bps, 18 bps, 13 bps, it's now come to 2 bps and you probably will see it stabilizing before tapering. So, then in reality happen is that the percentage increase in the interest income would reflect the percentage increase in the top line growth.

Mona Khetan: And secondly, again coming to the yield space, so what would be the share of hybrid? If I recollect last quarter there was a big gain from some of the fixed rate loans being converted to floating, etc., So, do these gains continue this quarter and in the ensuing quarters as well or the benefit has largely already played out?

Praveen Kutty: The benefit has not gone fully. There is some more pending. It is like we spoke about term deposits, right. The old term deposits are coming up for renewal right now. Similarly, there are hybrid rate loans which are continuing as fixed where in the future you would see them becoming floating and there will be a upside as and when the movement to floating happens. Story is not over yet.

Mona Khetan: But roughly how big would be that book on a steady state basis?

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Praveen Kutty: That's not a publicly revealed information. One of the ways you can look at it is that we told you that in case we have to immunize ourselves against a rate cut, we said that we will look at the savings account book as a buffer for making similar kind of changes kind of gives you an indication as to how much will be floating.

Moderator: Next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Wanted to check on the slippages, Sir. Excluding gold loan, the slippages are +2%, still looks on a bit higher side. What is driving this and how should one look at this number going ahead?

Praveen Kutty: Please have a look at the bottom table on the right-hand side of page 25. So, you can see that there is an increase in the mortgage book from 445 crores, the stock has increased to 486 crores. So, within that, home loan is one area where there is an elevated slippage happening, but then it's not something which keeps us awake in the night. I see that more as episodic rather than as a continuous problem to handle.

Jai Mundhra: And then secondly, sir, I you have partly integrated this, but if you can quantify the yield change in this quarter or how much of the yield decline was due to penal charges flowing from NII to fee income and maybe because of the higher slippages, just to understand the yield movement correctly?

Praveen Kutty: So, it is not those two items alone first of all, Jai. Those two items are there, but there

is also a

third item which is that refund of interest from the day of disbursement to the day of handover of the

demand draft. So, there are three elements to it which contribute to about... if you were to compare with Q4, 11.71 was our yield and now it is 11.50. We don't give the individual break up. What I can say with confidence is that the penal interest to penal charges is a one-time that is done and dusted. The refund of interest on booking is something which is there for the June 30th booking also which would practically be for maybe two weeks or three weeks, but on an incremental basis, we don't have that problem. So, the day on which the disbursement happens is the day on which the handover happens in that sense. So, those two one-offs will not happen. And the rest of the yield is a question of the mix, and I told the group on a go-forward basis three items where we are increasing the yield. One is thrust movement from 50:50 home loan - business loan to a higher business loan. Second is reduction in the TReDS outstanding more than compensated by genuine SME overdrafts which happen. So, these two elements would result in higher yield and we don't expect any other "one-offs" to happen on a go-forward sense.

Moderator: Next question is from the line of Prakhar Agarwal from Elara Capital. Please proceed.

Prakhar Agarwal: Just wanted to get a sense on cost-to-OPEX that you probably said that is 2.7 to 2.5. What is the reason for this being elevated this time around and what will lead to the changes that you probably said that in the near-term, you'll probably see from 2.7 going to 2.5?

Praveen Kutty: So, I personally think that it is the reduction on the NIM which has resulted in the elevation, it's not necessarily from a cost-income perspective. On cost-average assets, we have increased the

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number of people and how well we squeeze the productivity from the team and how we build the book will also determine how the cost-to-average assets will decrease. The third element to that is a lot of investments have been made in technology. The impact of it is yet to come, is happening in the future, which involves reduction in multiple costs including courier charges, stationary charges. So, in fact we have a system called "My Docs" where more than 80-odd dispatches to customers have been replaced with electronic communication where customers can get information at will by going into the website, not necessarily through logging into the app. So, the three elements to this. The biggest element, of course, is productivity because we have invested in the people and we need to sweat the returns from some people that we invested. The second element is the focus on higher ticket size, which also will... because the same cost, you're getting a higher ticket size with similar kind of yield. And the third element like I told you is the operational cost reduction because of investments in technology.

Prakhar Agarwal: Just one more qualitative comment on how has been the behavior of your co-lending book on FLDG side, have you seen any deceleration in there or -

Praveen Kutty: First of all, FLDG and co-lending cannot coexist. You cannot have FLDG for co-lending. That's against the law. So, there is no FLDG. So, good that you asked the question. So, on March 4th, one of our big co-lending partners has had an embargo on sourcing a particular product and they were one of the biggest co-lending partners by a long chalk. We have had near perfect recovery from that in March, April, May, June and July so far. In addition to that, this also meant that no fresh sourcing for the originator, means no fresh co-lending for that originator's partner. But that has not impacted our book, because if you were to see the previous quarter end, our co-lending book was 7.5% of the total assets, now it is 7.2% or 7.1%. So, there is hardly

any difference. So, the Bank has very nimbly worked out on our other co-lending partners to make up for the shortfall of co-lending. Otherwise, we would be sitting on a massively low asset growth, both for the quarter and for the YoY basis. So, net, net, short answer, quick compensatory action on other co-lending partners, impact on portfolio quality, negligible so far.

Moderator: Next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Sir, once you clarify with respect to notes-to-accounts detail, so we have acquired around 800-odd crores loans with a residual period of 4.6 years or something and out of that, close to 600 crores number is on the secured side. So, just wanted to get some detail? And also, what is the full year credit growth internal target that we have, Sir?

Praveen Kutty: So, last question first. Credit growth target, we intend to double the book in about 3.5 years. So, you can work backwards out on that. So, anywhere between 19%, 20% growth is a good number to target. More importantly, as far as the transfer of loan exposure is concerned, from our side the Bank has always been playing a key role in alliance and partnerships. In May 2021, when the co-lending circular first came out, we started evolving and we got almost 10-odd co-lending partners right now. And we built a co-lending book which is my guess is about 5% of the industry, whereas from an overall perspective, we are about anywhere between 0.25 to 0.3% of the total lending book from an overall banking sense. So, we are punching much above our weight in co-

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lending. The reason I am telling you this is, the Bank has always been partnership focus. So, we have had relationships with multiple financial institutions both on the pass-through certificate front as well as on the direct assignments. So, securitization and PTCs play an important role. The number of players that we deal with is vast, which has helped us migrate into co-lending also very, very quickly, but the ticket size are usually pretty much low bite sized units which we have. So, this is important for us. We will continue on the journey. It gives us insight into new products. We are non-predatory by nature which helps us also have multiple relationships within the same product, same segment or same geography. So, it is important for us, and we'll continue with it and that will be in a proportion sense, it will be the current proportion to that overall book the Bank has.

Rakesh Kumar: So, the total maturity of the book is around six years, correct, the book that have taken on our book.

Praveen Kutty: Door-to-door. About 4.74 years is the current weighted average residual maturity and the holding period at the originator is about 1.14, but that frankly you should look at 4.74 rather than 1.14.

Rakesh Kumar: Correct. And Sir, the originator is holding just around 10 % of that book, correct me sir?

Praveen Kutty: There is a minimum, see it depends upon what product it is, there is a minimum holding period and an MMR, minimum retention. There's a portion which is retained by the originator as well.

Rakesh Kumar: So, just wanted to understand that 6 years spoke from door to door and unsecured. So, what are the characteristics of these loans or if you can like...?

Praveen Kutty: It's a combination. So, you have combination. It's not entirely is not unsecured. There are multiple loans within that where there are long-tenure loans and there are short-tenure loans. And unsecured typically are short-tenure loans. And the average which you see is the weighted average residual maturity.

Rakesh Kumar: And how much credit yield you mentioned on this book?

Praveen Kutty: See, we don't give individual yields for the TLEND book.

Moderator: Thank you. Next question is from the line of Shreya Pimple from J M F

financial. Please go ahead.

Shreya Pimple: So, I wanted to ask about the recoveries. Recovery this quarter has been really good. What kind of pipeline that we are looking at, and how do we build the quantity of recovery for this full year? Can you give some sense on that?

Praveen Kutty: So, we have a fairly large book of NPA stock of Rs. 1400 odd crores. If you were to look at the page number 25, you will find that a substantial portion of that has matured. So, when an NPA happens, either you get the recovery fairly quickly or you get it after a period of, let's say, 2.5 to 3 years. Why I say that is because the judicial process in India usually takes that about a time

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for the position order to come in etc. And when the position order comes in, that's when people rummage and arrange for the loan repayment to happen or sale of asset to happen. Usually in our case, the borrower himself or herself ensures the sale of the property happens in cases where the position orders come through. So, we have a reasonably big pickled pool, vintage pool from which we are expecting recovery to happen. So, effectively, if you were to look at it, Rs. 486 crore is mortgages, Rs.176 crore is SME and MSME, which frankly, the collateral for both are practically the same. And then we have a small book of commercial vehicles where probably the recovery factor is not very high. But if you were to look at mortgage and SME, close to about Rs.700 crore of high recovery pool is there with us. In the passage of time, we are confident that we will be able to make significant recovery. The trend line should continue.

Shreya Pimple: Understood. Thank you so much. And secondly, on the unsecured business, we have seen in the industry credit costs normalizing. How do you see the unsecured lending part, the credit costs going up or how's the book seasoning? Can you give some sense on that also?

Praveen Kutty: So, on the unsecured book, what we are concerned about is our customers having an unsecured book, and how does that impact our secured customer behavior? So, we also do not have an organic book of unsecured lending, unless you include MFI. And we'll talk about MFI in some time. So, on a normal SME mortgage book, what we are clearly looking out for is that is our customers, our secured customers' behavior in the market from a, if you have taken unsecured lending. So, based on scrubs with the credit bureau, you understand which customers to proactively act upon. So, far we haven't had any issues on that particular account. The other unsecured book that we have is MFIs. Our repayments are as per plan, as per our expectations rather, and we haven't seen any worsening of the MFI book in the quarter.

Shreya Pimple: Understood sir. And the last question Sir, on the business loan part, what is the delta in the yields that we are looking at as far as increasing proportion of business loans is concerned?

Praveen Kutty: Roughly if you were to look at it today, I can give you a general example. If you're a customer and you're taking a business loan, vis-à-vis your customer taking a housing loan, there is anywhere between 1.5% to 2% difference at the time of sourcing itself.

Moderator: Thank you. Next question is from the line of Ravi Purohit from Security Investments

Management Private Limited. Please go ahead.

Ravi Purohit: So, this refers to our PPT and this one and the earlier guidance also that we have been mentioning lately about hitting 1% ROA and 14% ROE. So, just wanted to understand the mathematics as to if you hit 1% ROA, how does that translate into a 14% ROE? Because I think at one of the conferences, you were referring to the Deep Pond formula. And you said that if we look at the constituents of that and when I worked on that, I kind of struggle with the math right 1% ROA translating to 14% ROE. If you could just kind

of help us give an insight into what's our paths

to this 14% ROE. Is it higher leverage to net worth in terms of more loans, is there higher NIMs, what is the path towards hitting this 14% ROE because there's something over the last 15 years we have never done right. We have probably achieved within like a hairline distance, maybe

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about 8 years back or 7 years back, but apart from that, we have never hit like even 13% ROE or 12%. So, in that sense, like where does this confidence for 14% ROE, is it an aspiration or is it something that can happen over the next year, year and a half?

Praveen Kutty: Yes, good question. So, is it an aspiration? Of course it's an aspiration. Will it happen? We are very confident. Why will it happen? There are 2-3 components to it. We believe that the investments have been made, okay? And there is a product mix change that is required in some areas. So, I spoke about this earlier, BL more business loan-oriented growth, which may have a higher capital impact, but not a higher credit impact, the segment remains the same. So, that's one element to it. Second, I told you, TReDS currently you can guess what kind of returns you make on that, vis-à-vis a regular overdraft on the SME platform. So, without changing the growth numbers, you're talking about a higher yield coming from in there. There are two areas management is working upon, which will ensure that the aspirational number of 14% will be realized. One is on the fee front. We have a task ahead of us from our late 86 to 90 bps, we have to move towards a 1% of fee. Where will it come from? What is working for us currently? Is the third party distribution? Is the processing fee? Is the ATM charges. Some amount of tailwind will come from the penal charges which is coming to play. But be it as it may, we want to put our emphasis and thrust on the engagement model that we spoke about which would result in NFB non-fund based fee income coming through. That's a key area of change for us from the way we used to operate, nothing wrong with mortgage. I mean, we are very comfortable with that. But the opportunity to serve customers is fairly limited because the interaction is perhaps 2 to 3 times during the entire life term of the particular loan. The second area where work has to happen is what I told you from the beginning, the investment has been made, that is the people cost has been incurred. And now how well we squeeze the productivity out of that investment that has been made would help us bring down the cost to average assets down. Over the last 15 months, we brought it down from a high of 2.87 to current levels of 2.71. A similar kind of work would result in us getting closer to 2.5, which is the aspirational figure from a cost-to-average assets perspective. Lastly, on the credit costs, on a steady state, one would expect it to be around 35 bps, which is considerably higher than the 18 bps that we currently have. But the model would assume that we would be at around 35 bps on a steady state basis.

Ravi Purohit: Right, so this probably all of these initiatives will help us get a higher ROA, right? And ROA would probably hit one or maybe cross little above one, right? So, the other element of that is how much leverage we can do on our net worth, right, which will effectively be made up of deposits and borrowings, right? How much that come to be or how much does the balance sheet actually allow us to go because if you multiply one for one ROA to get a 14% ROE, you need a leverage of 14 times. Where would that, because again, if I go back in history, we have not seen that number ever. The max that we have hit is like 12, maybe once or twice. So, ROA piece is I think very well communicated. I think you had indicated earlier as well. This ROA translating into 14% ROE, if you could explain or just help us un-

derstand.

Praveen Kutty: I will give you a construct on this. So, the construct is this, the model that we are working upon is that when you utilize the capital fully, we would be operating closer to 15 and when fresh supply of capital comes in, we will be operating close towards 13. So, that's the aspirational

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model that we have built in where the range of ROE will be in 13 and 15 depending upon how well the utilization of capital happens. But from a risk weighted asset modeling perspective, we will continue to be in the future also, continue to be in the 53%-54% range unless some dramatic regulatory change happens on the risk weightages that we currently operate which we cannot

foresee.

Moderator: Thank you. Next question is from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal: Like one is on the fee growth, like, which has been very strong. So, how structural is this because it's a very sharp improvement that we are looking at. If you can like provide more color on this number that we have reported this quarter.

Praveen Kutty: So, we have had Rs.114 crores of core fee growth which kind of resonates with the Rs.117 crore of core fee growth which we had in quarter four. So, from a Q1 perspective, we are reasonably happy with the fee income growth that has come through. There has been a couple of one-offs, one is of investment sales that's happened. And also opportunistic income coming in from IPO has also helped the cost. But on a clear -cut go-forward basis, I expect the core fee to continue on its momentum towards getting to the 1% mark, which is an important landmark for us to get to the ROA and ROE which we have spoken about in multiple questions earlier Nitin.

Nitin Agarwal: Right. And the other question is on the network expansion. While we have been adding employees at a very aggressive rate, so if I look at last one year, our employee count has gone up by more than 20%. But the branch increases like very measured, like 9 branches in last one year, 3 branches this quarter. So, how do you correlate the two and how will this fit in your medium-term cost income, cost to asset guidance?

Praveen Kutty: Effectively, one of the ways we are looking at it is that where is the growth of 20% of liabilities coming in from or 19% asset coming in from? Partly it is fueled by the increase in manpower.

Most of the deployment of people has been on the front line. One of the reasons why it is about cost to average assets has climbed up is because of the increased expansion of people. Now, there are two things in this. One is that our strategy of hiring is a lever to us to sort out the good from the bad in the environment that we currently work. So, it is a process of ensuring that the productive people stay and we fail faster on people who are not cutting it. So, to some degree that is happening because there's a constant churn. So, some bit of attrition in that sense is welcome because you don't want to carry freeloaders on the book. So, this is not the most effective way of hiring, but we are getting increased emphasis on getting people on board. And then there is this productivity focused movement of people who are not making the cut. And that will continue to happen, Nitin, in the future also. So, I am not saying the growth, but this process because getting the right sort of people on the front line is a bit of a cumbersome process.

Nitin Agarwal: Right. And lastly, on the CD ratio, like while the Bank has condition in control, we have reported a decent deposit growth. So, but what is the optimal number that you are looking at in terms of CD ratio and what is the SLR ratio for the Bank?

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Praveen Kutty: So, look, see, my belief is our CD ratio is one of the better ones in the market today and getting into

a sub 80 level may not be a bad idea. We are at 81.6 currently, declining from the previous quarter also. So, there is sufficient cushion that we have, but under 80 would be a good number for the shorter term.

Nitin Agarwal: Under 80, but why so conservative like under 80 because most private banks are above 80 only?

Praveen Kutty: Yes, essentially it's good to have the liquidity, it gives you the raw materials to go ahead and get the right, I mean, today's market, having a strong liquidity backup is pretty much useful. We saw that in quarter four, we saw that in Q1 also. We don't want to be scrambling for deposits at any point in time. Being solvent, being liquid is absolutely critical. It's good to be a bit conservative. Having said that, we are also very conscious about the LCR. We keep an internal LCR benchmark higher than what the regulatory mandatory minimum is. One more thing, one more quick one on that, is that we are also looking at improving our liability profile by focusing more on the individuals than on entities and institutions.

Nitin Agarwal: And so this like under 80 CD ratio guidance, are we breaking it in when we look at like 19% sort of advances, 19%-20% advances growth and like overall deposit attrition that we will need to deliver on that while improving CD ratio? So, are we looking at that sort of deposit inflow?

Praveen Kutty: We should be able to. There is no reason to believe otherwise. We should be able to do that.

Moderator: Thank you. Next question is from the line of Rishikesh from Robo Capital, please proceed.

Rishikesh: So, first question is with respect to the NII growth. If I got it correct, we are indicating that our NII growth will be similar to loan book growth Y-on-Y around Q3 or Q4. Is that a fair understanding?

Praveen Kutty: We expect the one-offs to get completely eliminated in the next quarter and then the term deposit rates to stabilize thereafter. So, effectively what we mean is that beyond from middle of quarter 3, you probably see the volume growth reflecting in the NII growth.

Rishikesh: So, by Q4 we should maybe see the numbers reflecting in our P&L. Is that correct understanding?

Praveen Kutty: Yes. Currently what's happening is that we are growing 19% on the assets. We are growing 20% on the yield. And however, the NII is growing only by 5%.

Rishikesh: I was asking about the LAP book, what is it as a percentage of our mortgages, mortgage book?
Praveen Kutty: If your question is what is the business loan as a percentage of a total mortgage book, it is about 50-50 currently.
Rishikesh: It is 50 -50 and what is the target going ahead?
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Praveen Kutty: We want to increase it. Not that we have a problem with the home loans, but we will keep that. See what you are currently seeing is a reorientation of the team and we are doing some verticalizations within the organization to ensure that there is greater focus on the 50 lakh to 1 crore segment and also on business loan segment. So, there is a bit of a rejigging of the asset structure as we speak and we should see the benefit of that coming in from maybe quarter two or definitely from quarter three onwards.
Rishikesh: And one last question with respect to the OPEX. Our OPEX has been high for this quarter. So, is there any one-off or any particular exposure that we have taken? And we have a cost to income target of 55%. So, by when are we going to achieve it and how would that take place?
Praveen Kutty: The single largest component of our cost is the people cost. And like I explained earlier, we have invested heavily in the people. And not all of them will be productive, but we are really working hard on making them productive. Those who are productive, so be it, we would ensure that the cost does not continue in the future. Getting the productivity up is a number one challenge in

getting the cost to income ratios down. In addition to that, you have some changes which are technology driven. So, effectively, some components of OPEX including couriership, stationary cost, storage cost, all these are coming down dramatically because of digitization that we have done on both the liability systems as well as the asset system. So, that will continue. Those benefits we will get plus we are working on rejigging the sourcing model by giving more emphasis and more weightages to organic sourcing as compared to DSA based sourcing. So, these are the elements which will ensure that the OPEX is in control, but the single largest element, what will really move the needle is about the productivity. If the number of people who are being paid salary and what is the disbursal output from them. We could also include the liabilities which is the CASA and term deposit output from them.
Moderator: Thank you. Next question is from the line of Shrinjana from RatnaTara Capital. Please proceed.
Shrinjana: I have two broad questions. So, one is on the OPEX side. Currently, the OPEX in this quarter is a little bit on the higher side. So, can you just throw some light on what items and what headers have led to that? And the second is that, is this more of a run rate OPEX for the full year? Should we think of it like that?

Praveen Kutty: So, what you should look at is that in Q1 is where the salary increases happen. We also have the full impact of the source, the incremental frontline workforce that we have hired. So, the number of people that we have is now closer to 12,000. So, I would like to think of it like an investment, which would result in both better quality loan book growth and better retail small ticket deposit growth to come in. So, effectively, the OPEX that you currently see elevated on account of incremental people and also in Q1 where the increases of emoluments are being given.
Shrinjana: Sorry, I didn't get the second part, the increase in..
Praveen Kutty: The increments that typically happens in quarter one.

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Shrinjana: And on the other expenses side, I understand employee costs. This other expenses side?
Praveen Kutty: Other expenses side is fairly static in nature except for costs which are being replaced by technology. So, there is, most of the costs are frontline costs. You see that the improved use of digitization has helped us in reduction of multiple costs like stationary costs, postage costs, courier costs, storage costs. So, there is a clear -cut improvement coming in there. The third element we are looking at is in terms of sourcing, where there is greater emphasis on organic sourcing, self-sourcing, than by relying on connectors and DSAs.
Shrinjana: Yes, I understood. And this expense is also more of a run rate number. We will continue to do such technology investments.
Praveen Kutty: We would tend to think that this 2.71% cost to average assets would steadily drop as we move forward, both from the numerator sense as well as the denominator sense.
Shrinjana: Understood, thank you. Just one more question. So, you mentioned that like some portion of the fixed rate loan book which will come out that will also help in the yield expansion because those loans would get repriced. So, can you just give some sense of like what proportion would that be or how much impact would that have on the yield and the NIMs?
Praveen Kutty: So, look even in this quarter one where the NIMs are subdued that what you said happened okay because every month there are loans which you book 3 years back, 2.5 years back, 2 years back

which is hybrid in nature coming up for movement from fixed to floating. So, that is a monthly accrual sort of change in rates that happens on a steady state basis. What I can tell you is that , that is not done and due yet. In the future also,

there are loans, hybrid loans, which are currently fixed, which will in the future turn to floating unless closed earlier.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for the closing comments.

Praveen Kutty: Thank you so very much for your patience and for your questions. If you have any further questions at any given point in time, you can reach our Invest or Relations team. Thank you very much and look forward to hearing from you in any of your conferences or in the next quarterly update meeting. Thank you so very much.

Moderator: Thank you. On behalf of DCB Bank Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

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DCB Bank Limited

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Ref. No.CO:CS:RC:2024 -25:227 October 29 , 2024

BSE Limited

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Exchange Plaza, 5th floor, Plot No. C/1,

G Block Bandra – Kurla Complex,

Bandra (East), Mumbai 400 051

Scrip Code: 532772 NSE Symbol: DCBBANK

Dear Sirs / Madam,

Re: Transcript of Earnings Conference Call held on October 24, 2024

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Conference Call held on October 24, 2024 with respect to the Financial Results of DCB Bank Limited ("the Bank") for the 2nd quarter and half year ended September 30, 2024. The same has also been uploaded on website of the Bank and can be accessed at the link given below:

<https://www.dcbbank.com/upload/pdf/DCB-Bank-Q2FY25-Earnings-Call-Transcript-October-24-2024.pdf>

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubi Chaturvedi
Company Secretary &
Compliance Officer

Encl: As stated above

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"DCB Bank Limited Q2FY25 Earnings Conference Call "

October 24, 2024

MANAGEMENT : MR. PRAVEEN KUTTY - MANAGING DIRECTOR & CEO,
DCB BANK LIMITED
MR. SRIDHAR SESHADRI - WHOLE -TIME DIRECTOR , DCB
BANK LIMITED
MR. RAVI KUMAR - CHIEF FINANCIAL OFFICER , DCB BANK

LIMITED
MR. AJIT KUMAR SINGH - CHIEF INVESTOR RELATIONS
OFFICER , DCB BANK LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to DCB Bank Limited Q2FY25 Earnings Conference Call.

Joining us on the call today are Mr. Praveen Kutty – Managing Director & CEO ; Mr. Sridhar Seshadri – Whole -Time Director ; Mr. Ravi Kumar – Chief Financial Officer ; Mr. Ajit Kumar Singh – Chief Investor Relations Officer.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to the management. Thank you and over to you.

Praveen Kutty: Thank you very much and good evening everybody in this call. I want to tell you that we have had a steady Quarter 2 .

Our growth trajectory both on assets and on liabilities remain in the same curve. We have grown the balance sheet by 19.49%. Similar kind of percentage growth in advances and deposits. On the deposit front, the growth of 19.86% YoY has been recorded in reasonably tough times of liquidity, I should say. And what is heartening is this growth is in a scenario where our top 20 depositors remain at a very comfortable 6.89%, very similar to the 6.88% we had last year . The structure of the deposit franchise remains the same. We continue to look at small ticket, build it the hard way, small brick -by-brick, and then to get the kind of growth which we have achieved in the last one year augurs well for the future as well. Similarly on the advances side also, the ticket size is consistent. In fact, we will be happy to even increase the ticket size going forward. But it's a very steady growth on advances deposits and balance sheet.

One of the things I want to tell you is that our CASA ratio has marginally improved from 25.04 to about 25.61 in the year. But that may be unremarkable as it is, but what is remarkable is our savings growth. Savings has grown by 27% year -on-year clearly showing the effort leading to the desired result.

Another area where I want to highlight is our core fee. I've spoken about engagement as a big idea, even in the last quarter. We want to have engagement as the key differentiator from the way we were to where we want to be. And that translates to doing products which are less of fill it, shut it, forget it, and more of customer interaction, electronic, as well as normal, traditional face-to-face. And a big element of that is CASA, specifically savings account, and on the asset side, overdraft accounts.

Now, we made a good beginning and this good beginning has also seen the core fee increasing from Rs. 114 crores last quarter, which was a high in itself for Quarter 1 , to Rs.139 crores in Quarter 2 . This along with benign NPA numbers, Gross NPA coming down from 3.36 % to

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3.29% over the last one year and Net NPA shedding 11 bps, 1.28% to 1.17%, has resulted in an overall profit of the bank in excess of Rs. 155 crores.

I want to draw your attention to two things here :

- One is that it is on our area of focus, which is NIM. Our NIM is down to 3.27% and primarily because of 3-4 elements, some which are uncontrollable and some which are controllable , we have had an extension of some of the one -offs, which I said would happen in my Q1 call also, where we had to do some reverses that continued into July. So, those one -offs we have taken on the NIM. Going forward, those types of one -offs will not happen.
 - Second is that we kind of foresaw the weakening microfinance environment and we have gone slow on it. And going slow on microfinance also means that the earnings that you would have got from that book also dropped, this is a high yield book. So, the
- re
- has been a bit of drop on that count as well.
- Thirdly, on the NIM front, we have done some opportunistic co -lending activity during the quarter, which comes at a lower yield , albeit at a lower cost also, as compared to our organic business. So, some of these activities give us time to build the kind of structure that we want on a steady state go forward basis. And I am repeating what I told you earlier , to build a strong overdraft proposition, to build a higher ticket size

mortgage proposition, marginally higher than what is currently today within the risk framework that we have.

- And the third point is improve the LAP to home loan ratio. We made some strides on it, but there's more way to go. So, these are three key areas that we are working on. All this gives us the time to build it as we go along.

Our cost to average asset is at 2.75%. So, we have put in the people, we have put in the technology, and I'll talk about both. And over the next six quarters, we should see the increased sweating of both the people and the technology that you have invested in. The bank has upgraded Finacle system, the transaction banking system, the lending system, FinOne, the treasury management system from TCS, the SIEM system for cyber security, a compass system for AML, behavioral biometrics. We have put in the hard yards on technology over the last 12 to 18 months, and we will see the benefit of that on a go-forward basis. Likewise, we have about 12,000 odd people in the bank currently. 11,901 to be precise, as of September 30th and we will see the benefit of that increased manpower resulting in a higher organic business.

So, I believe that the cost to average asset is more of investment in nature, the benefit of which we will see over the next few quarters. Having said that, it is important to know that the cost income ratio quarter-on-quarter has reduced by almost 3%, from 67.8 or to 64.3. Net-net, we have had 11 bps improvement in ROA. In our journey where the next stop is a yearly ROA of 1%. Our ROE has moved from 10.93% in Q1 to 12.65%. So, you are seeing some of the effort converting it to result, and you'll be able to see more of it in the not-too-distant future.

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That's my brief summary, and I look forward to questions and clarifications from your side. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: My first question is, you mentioned in the opening remark that there was some impact due to one-offs in the NIM. So, if you can broadly touch upon how much impact would that be and going forward do you feel that this is almost bottom of the NIM and we can see the improvement from here on. And my second question is regarding the OPEX. So, obviously we are doing investments on the people side and as well as technology side, but it has grown almost 26% year on year whereas our top line is growing at 20%. So, when do you see that our topline will grow faster than the cost or when do you see the cost going up slowly?

Praveen Kutty: On the first question, let me tell you this. The one-off we had to have was based on a particular RBI circular, and that has been taken into effect fully between Quarter 1 and Quarter 2. So, that is done and dusted. So, that impact is not going to happen in the future. There has also been some structural change which has happened where some part of the penal interest is now coming in as penal charges. That's the second component which also has resulted in a slightly higher core fee and a slightly lower NIM. The second part will continue the way it is. The first part is done and that's over. When would you see the OPEX coming down? You have seen some benefit of it coming through on the c

ost to income ratio decrease. What we are working on is to ensure that the incremental manpower that is put in we're sweating it out to ensure that there is better login and better conversion to disbursement happening on the ground. We're also working to ensure that this, the average ticket size which currently hovers around 28 lakhs to 30 lakhs is hitched up to between 40 lakhs to 50 lakhs. So, there is work happening on that ground. And third item is, if you see the stock of mortgage book that we have, it's almost divided half and half between home loans, which is low yield and LAP, which is higher yield. So, that engine is turned and you are seeing a higher business loan coming through the door. We want to increase that so that the percentage of throughput would see a higher LAP as compared to home loan. So, having put all these people in, we will see the benefit and we're very confident that we will see the benefit of it coming through in Q3 and Q4.

Dixit Doshi: And just a follow up. Historically we have always maintained that our business model is around 3.65 to 3.75 kind of NIM in the longer run. So, due to this change in the penal interest regulation, do you feel that structurally that range will come down?

Praveen Kutty: Like I told you, you can't charge penal interest anymore, so it will come as penal charges and as soon as you collect it, you will get it. So, you will have a single digit bps change happening between NIM and fees

Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

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Rohan Mandora: Just on the MFI piece, if you can just let us know, what is your total exposure there?

Praveen Kutty: If you have the investor presentation, then for the benefit of you and all other people on the call, you could go to page number 22. 16% of the AIB book is MFI plus BC and that book is 25% of the overall book. So, you can do the math yourself, 16% and 25%. And I'll tell you how to read this. You look at the previous investor presentation and see what the MFI and BC percentage was and I'll tell you what it was. It is actually 18%. That 18 has come down to 16 now. So, that gives you an idea of what the book was a quarter back and how we have reduced it over a period of time.

Rohan Mandora: And if you can share the asset quality trends in this portfolio for us?

Praveen Kutty: So, publicly what we share is what you see in page number 26. So, you could possibly see that, you know, the momentum changes on AIB. So, not so far 322 to 333, that's not a big movement yet.

Rohan Mandora: Sure, nothing much in the early delinquencies also. That would be a fair assumption.

Praveen Kutty: Look at it this way. We took the call on this pretty much early. Sure. And that's why you are seeing a drop in the pie chart, right, it is not a late movement happening and the environment is what it is. Right. So, we are also hopeful for this. The book size also you have seen how it is, so how material and significant it can be.

Rohan Mandora: And Sir, on the same slide 26, the mortgages GNP As have been rising in the last two quarters. So, what is the reason for this uptick? Like, some customer behavior point of view?

Praveen Kutty: No, actually, our sourcing in '23 was not the quality that we aspire for. We have made some changes. And the new vintages are behaving better. But specifically, within home loans, the mortgage sourcing in 12 to 24 month bracket was not the kind of quality that we wanted it to be.

Rohan Mandora: But what were the kind of issues that we are trying to correct in that? Just to get an understanding. We had seen certain segments of portfolios like CV, gold loans earlier, where we had seen a spike up on NPAs and then normalizing.

Praveen Kutty: So, in mortgages, we have made some changes on our LTV and income assess

ment norms for

certain segments. So, that change we made about four to five months back. But the errors that we made earlier will have an impact. And we will have to go through it. So, there will be a delay, but I don't think there'll be a denial.

Rohan Mandora: And lastly, Sir, on the CEB, Commission Exchange and Brokerage Revenue, the core fee income, what will the contribution from the penal fees?

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Praveen Kutty: Like I said, the person who called earlier, the net structural change between NIM and fee would be single digit. So, what used to be penal interest earlier becoming penal charges now, which is an incremental change because of the norm, will be single digit basis points.

Moderator: Thank you. The next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Praveen, just a first question on the margin side or the NI line side. If you could tell us on a like-to-like basis, how much is the NI kind of growing at adjusting for these penal interest charges changes?

Praveen Kutty: Mahesh, there are four components to the difference between the NIM of September and NIM of say March. So, there is a penal interest to penal charges conversion, which is a single-digit basis point. You have a reduction in the MFI sourcing, which is you are getting a much higher yield, which has been compensated for by other products. The third is, there is an increase in co-lending disbursements, which comes at a lower yield albeit a lower cost. And the fourth element of the lower NIM was one-offs, which you had taken in Quarter 1 and in Quarter 2. So, these are four components which has resulted in the NIM reduction. The last item will not occur in the future going forward. The penal interest, penal charges will continue on an ongoing basis, that will be on a continuous basis. We don't expect the organic book to pick up at a faster pace than a co-lending as we go forward.

M.B. Mahesh: Just to continue on this point, if I look at the interest expense line, that is still kind of growing at a pace much faster than the loan growth, suggesting that the cost of funds is still kind of inching up. Just trying to understand, how does this move from here onwards?

Praveen Kutty: Mahesh, I want you to look at a cost of deposit page and a cost of fund page. I can read it out. It's on page number 31. So, this is pretty much in line with the predictions that we made in the previous quarter and also in March that by September we should be able to see a stabilization. So, cost of fund is kind of flattened out at 7.19 coming down to 7.17 and cost of deposit is 7.10 coming to 7.09. I don't see this falling off. I mean even now if we have to look at the way the liabilities, the deposit market is, the reduction happening in the cost of deposit. So, probably we will see a longer play of similar lines. The good news you want to look at it is that it has flattened finally. There's no reason to believe that it will go up also because if you see the kind of growth

that we have got in the quarter, it has been 19% based on whatever results I've seen is at the higher end of growth. So, that kind of growth trajectory, if you are able to get at the kind of stabilized kind of cost, which is here, you would possibly see the cost of deposit is pretty much at its peak. Now it's a question of improving the yield to get the NIM back to where it belongs .

M.B. Mahesh: Second question, Sir, on the asset quality line. There are a couple of banks and NBFCs, who are kind of starting to highlight, saying that there is stress now starting to emerge in the SME portfolio as well. Do you kind of concur with this view based on the data that you are seeing? Or you say that, look, it's still too early to say that?

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Praveen Kutty: Not really, and I'll tell you why.

Look at the collection efficiency chart , for bucket zero and for all buckets put together. That's a very revealing chart. Okay, that is page number 28. Yes, yes. Right, I'll tell you why it's so revealing. You look at bucket zero behavior. Bucket zero behavior across three big products, I am not including SME in it, but 54 %, maybe 55% of the entire book is there in these three lines. This basic ally determines our overall performance. So, bucket -zero performance has been fairly steady. So, between 98.9 to 98.5, you had a deterioration of four bps. And in home loans, you have a deterioration of 3 bps. I would tend to take that as business as usual and not as a harbinger of a problem. So, we haven't seen that really coming through. Having said that, if you look at the overall efficiency, we are seeing that some of the restructured, particularly restructured book has kind of had a problem in September. But I would tend to think of it as a one -off rather than as an indicator of things.

M.B. Mahesh: And this final question on the OPEX line, which is currently running at about slightly higher than 20%, it continues at these levels or you think you can extract a little bit here as well ?

Praveen Kutty: Are you talking about OPEX?

M.B. Mahesh: OPEX, yes.

Praveen Kutty: You have seen the cost to income decreasing. The 275 is frankly unsustainable. And if you see most of our efforts are in , we are thin king it's investment. Time will tell if it's investment or cost. A lot of work is happening in the bank and bulk of our focus is going into ensuring that this money that has been put in is giving us outcomes. The easy thing to do will be to cut the cost. It's really simple to do. It's not very difficult. But that's not the whole idea. I mean, we want to continue growing at this kind of pace for the foreseeable future. We see a good enough market for it. And the question is h ow do you make these guys success ful rather than how do we go by the fast route .

Moderator: Thank you. T he next question is from the line of Aditya Khandelwal from Securities Investment Management. Please go ahead.

Aditya Khandelwal: I have a question on our NIM s. So, this quarter we had an impact of that one -off reversal. But going forward with increasing share of LAP in our mortgage book and increasing the proportion of OD in place of spreads and with the cost of deposits and funds stabilizing for us , would it be fair to say that the NIMs have bottomed out in this quarter and should be in an improving trajectory going forward?

Praveen Kutty: Yes, you succinctly put it, yes. I would like to say what you said. So, the one -offs being gone and some of our executions starti ng to show results, I strongly believe that we are at the bottom end of the NIM and cost to d eposit s is continuing to hold at the current levels. We don't have any indication to believe it is going to go up or go down in the future. It's remaining where it is.

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Aditya Khandelwal: And second question was on our fee income. So, year-on-year, I understand there has been a big jump because of classification from penal charge and penal interest. But even on a Q oQ basis, the fee income has increased by mor e than 20%. So, if you could just understand what has led to this big jump ?

Praveen Kutty: See, I want you to look at the last five continuous quarters of core fee income growth. It is somewhere in this book. It is page number 34. Core fee income was 107 g oing up to 124 to 136 to 143 to 205. Such quarter -on-quarter for five continuous quarters, that kind of rise does not happen by coincidence. It is because of specific actions that we have implemented on the ground while you are seeing the growth happening on the overall fee line. On the core fee line also, you see 97 going to 98 going to 118. In Q1, which is traditionally a very difficult low performing quarter

, 114 going to 139. So, effectively what has happened is since March and I can say even since Q4 of last year, we really worked on getting engagement going big time in both assets and liabilities. There was a tendency for the bank to be more, for want of a better phrase , fill it, shut

it, forget it kind of mode with 55% of our book being mortgages, LAP and home loan where opportunity to interact with customers also is limited and also retail term deposits on the other hand, retail and bulk also for the matter where interaction with the customer is fairly on the lower side. But when you are seeing a savings account, Y oY savings growth of 27%, we are seeing the beginnings of the overdraft strategy coming to light, there is far more engagement the bank has with its customer. And one area where it's really seeing the light of the day is in the core fee income. Our ability to cross-sell has improved. Is it where we want it to be? No. I think there is a further strong long play involved. But we, as in me and the management team, strongly believe that this focus on engagement resulting in products which demand engagement will result not only in the core fee income increasing, but also in terms of better retention and a stronger bond with the bank. TPD has got a big play in it. We have launched our wealth distribution vertical still early days. These things have helped the bank, get a better grip on the fee income. And this is traditionally a weak, it still is an area of improvement for us honestly if I were to ask myself. And we are making some progress on it.

Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: First on this fee income only, the Y oY growth looks very impressive on the core fee side. And it is clearly higher than the loan growth and assets growth. Is there any, there's no one -off here, right? I mean, there's no one -off and ideally one would expect that fee growth to be higher than asset growth. Is that the way to think about this?

Praveen Kutty: The way to think about is look at the core fee income growth. That is where you need to focus upon and that's where we are really focusing upon this that is much more repeatable, sustainable linked in. There is there are some core fee income here, which also has some leg on the cost side. The classic example is something like a processing fee. Your volume goes up, your processing fee goes up, but there's a sourcing cost that you are going to pay for it. But having said that, even after taking that into consideration, there has been improvement in the margin between the fee that we get and the cost that we may have to incur on those slides. But much
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more importantly, the third-party distribution system is kicking in. I am repeating, the wealth distribution setup that we have put up is starting to work. The overdraft product that we are looking at, which brings in slightly higher ticket size by itself. The one we're looking at is slightly higher ticket size, but look 30 lakhs going to 50 lakhs is frankly a 66% improvement on productivity, whereas it is very well within the risk framework that we have. So, there are multiple things that's happening which is helping us improve our core fee income. And honestly, yes, you are seeing the result of it, but there is much more to come.

Jai Mundhra: And Sir, the SA growth that we have seen is very impressive, defining the industry growth and even the previous trajectory at our bank, fair to say that, you know, part of this is driven by your differentiated SA rates or this is something else that you would like to say?

Praveen Kutty: No, don't be fooled by it. See our customers are self-employed customers. They are your normal people, the normal retailer, merchants, you know those are the kind of customers that we have. We have

some unique products whereby the money the proprietor puts in his current account is swept into savings account. So, while the customer is a self-employed customer, he's got a current account, he gets a benefit of moving money into a savings account and gaining whatever the savings account rate applicable for his account. So, even though we open current accounts, the customer gets some benefit out of it. For us, yes, it's not a zero percent current account, but it's definitely not a high interest TD account as well. So, large proportion of a savings account is coming from these kind of customers and proprietors don't keep the kind of money that you need to keep in a savings account to get 8%. Usually they don't. They use it normally for their transaction purpose rather than for "investment purpose." It's money on the flow. It is not money which is kept there to earn something. By the way, while I am keeping it there, we're earning something. That's the kind of product and that's the kind of customer base that we have on the savings book.

Jai Mundhra: And also on treasury gain, right? So, of course, this quarter is very, very strong. Is there any component which is not realized also because now RBI allows you to book a notional profit also. I mean, just because the amount is so huge, I just thought of asking.

Praveen Kutty: I do not know whether that is publicly available news or not, publicly substantiated information or not. But the fact is, I wouldn't even look at that 205 as much as I would look at 139. Because you are looking at repeatable, sustainable kind of growth. And for us 114 to 139 is a good enough indicator of what the potentialities are and I believe that we could crack it. On a separate note, if it's not UPSI information, I am sure our Investor Relationship Unit can get back to you with relevant information. So, you can drop in a mail and they can give you further, if domain is publicly available.

Jai Mundhra: And lastly Sir, is there any update on the promoter infusion of \$10 million?

Praveen Kutty: Yes, fine. Good that you asked the question. So, we are kind of dotting the i's and crossing the t's on that. So, there is some documentation which is being asked for. So, we are providing all

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that. So, getting that loop. We are almost at the tail end of it. While it's not substantial in itself, it is symbolic, so it'll be good to see that happening. If you ask me, it'll happen in Q3.

Moderator: Thank you. The next question is from the line of Gaurav Kochar from Mirae Assets. Please go ahead.

Gaurav Kochar: Just a couple of questions to persist on the NIM and fee because there is a very strong traction in this quarter. Just to understand a little more, the core fee income to asset is currently at 83 basis points. And you mentioned, I think, some bit of it is also some shift from the NIM line to fee income line. So, let's say now that it is structured. And you know, this 83-basis point, what is the potential maybe not immediately and given that second half is typically better for fee income and then the first half we have done 83. Is there scope to increase this in the second half? And let's say for FY26 given that all the structures are in place, can we expect something like 1% for fee income to asset going forward?

Praveen Kutty: So, on the fee front, what I would like to tell you is that the core fee income which we are seeing is primarily coming from repeatable sources. The only negative to that is that some of them are attached to the cost that we have. So, I would tend to think that this is on a sustainability scale this kind of trajectory is possible. We are looking at a full year ROA of 1% in the year 25-26. That is what we are gunning for. We have to fix a few things. One was the fee. I think on a steady state basis a 1% fee is very much possible. I am just

discounting the 1.23% which we got

now, not for any other reason, but on an overall basis, on a four quarterly average basis, the 1% I think is very much possible with the franchise that we have. We have some work to do on the OPEX and I've talked about it in the earlier calls as well, at 275 cost to average assets it's on the higher side, that definitely is a 10 to 15 bps improvement which we can see in the next 2-3 quarters which we can affect. The current provision is at 27 bps may not be the right indicator. We're still getting the benefit of the restructured assets having a higher provision either going away or staying with us and there's a provision write back as per the guidelines or becoming NPA and need not having to take the incremental provision or need to have taken only the lesser incremental provision as a case maybe. So, there's a bit of a tailwind on that. The 30 bps, 35 bps seems like the right thing for the particular model to come through. NIM at 329 is possibly at the lowest end. We probably would not have too many one offs coming in there. So, I think from the 0.93 which we have today of ROA there is a distinct possibility that we could steadily build up to a 1% ROA and that's not a milestone in itself, I mean that's not an end of journey by itself. I think that's a way to go and which will take us to our next phase of growth. So, that's the way the management team is thinking about the revenue cost and provisional dynamics.

Gaurav Kochar: And just specifically on the liquidity, if I look at the overall balance sheet growth was much higher than loans and deposit growth which essentially we have borrowed and kept at higher liquidity on the balance sheet. So, just wanted to understand, is it because of the revised LCR norms or is it more of an opportunistic ally some treasury option that you would have done, despite that the borrowings have gone up?

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Praveen Kutty: There are few things you need to look at. I want you to look at the cost of funds. Your cost of funds went up from 7.14 to 7.19, not in the current period. I want to look at the previous period. Between Q4 24 and Q1 25, the cost of funds went up from 7.14 to 7.19, page number 31. Can you see that?

Gaurav Kochar: Yes.

Praveen Kutty: So, that's a 5-bps increase?

Gaurav Kochar: Yes.

Praveen Kutty: What is the cost to deposit increased by during the same period? 2 bps, 708 going to 710. Do you see that?

Gaurav Kochar: Yes.

Praveen Kutty: So, what does it indicate? It indicates that while the cost of deposit was increasing at a lower rate, the cost of fund was increasing at a higher rate. What is the difference between cost of funds and cost of deposit? It primarily is borrowing. So, what we did is we went back and reworked our borrowing strategy and ensured that the cost of funds is more or less in line with the direction the cost of deposit takes, which is why you are seeing a correlated movement of cost to funds and cost to deposit happening in this quarter, 719 coming to 717 and 710 coming to 709. So, that

is, so we worked on the borrowings. We worked on the refinance. We have tried to ensure that the overall cost of funds of the bank decreases. So, we have done multiple things on this front. We also done some CDs, short-term CDs to match with the short-term assets that we have. So, we looked at it from an integrated perspective to bring the overall cost down. And more of it will be coming in the future anyways.

Gaurav Kochar : Just last question if I can squeeze in. In the current portal value indicated that these are probably bottom margins at 327. And you have mentioned in the presentation that the business model is designed for a 365-375 basis point kind of steady state margin. I know the situation is a little more challenging on the macro front. You have to slow down on MFI, etc., which is leading to

some compression. But by when do you expect to see the normalized NIM traction, is it like, I mean, expectation, not a guidance for sure, but expectation, is it like 4Q when you start to see that margin to move towards that 365, 375?

Praveen Kutty: See, there are two things which is very important for you to know. One is that for the foreseeable future, the structural movement from NIM to fee of penal charges is given and it's not going to come back. It is very unlikely it will come back. That is one. Number two, the MFI environment I would tend to presume will take a year at least to get back to normal. I could be wrong. Okay, but that's just an educated, rather uneducated guess. So, there are two elements. So, that being the way it is, I don't see ourselves rushing headlong into high yield MFI assets which would have otherwise done. So, that would be a no-go area and whatever microfinance or similar kind of loans that we will be doing will be to meet our small farmer, marginal farmer target or the agri

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PSL target if we so desire. At the current moment we have met all these subsegmental PSL numbers. So, there will be an impact on yield because of these two particular reasons, but it's better to take a yield hit than take an NPA hit, obviously. It goes without saying. Right? So, but on the other side, what you are really asking us is how quickly can you ramp up the LAP as compared to home loan? How quickly can we get the overdraft over TReDS engine working? Believe me, we are working as hard as possible, as quickly as possible to make those changes happen. That's a very integral part of our action plan to make the next full financial year an average 1% ROA year.

Moderator: Thank you. We will move to the next question, which is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: One question was pertaining to the slide number 11. The margin guidance that we have is around 40 bps higher and if you look at the ROA numbers, it's increasing by around 7 bps as we are guiding. So, what is happening in between? So, are we expecting that, because cost to asset number also if you look at, it is kind of falling by around 25 bps approximately. So, if you can just briefly if you can take us through this margin movement to this ROA movement.

Praveen Kutty: So, you talk about the journey towards 1% ROA ?

Rakesh Kumar: Yes. So, basically the increase in margin that we are looking at is around 40 bps from the current quarter. And the ROA movement is that we are looking at around 7 bps. So, in between like, what is changing so much?

Praveen Kutty: So, there are two ways of looking at that ok. I will explain to you in two ways. So, one is the ROA for this quarter is 93 bps correct? So, that is 7 bps short of 1% ROA. That if you convert it into a PBT is 9.46 bps before tax. Right so far?

Rakesh Kumar: Correct.

Praveen Kutty: So, as a management unit, we have to find somewhere close to 10 bps across 4 different lines. I still want to say that the 27 bps of credit cost, we would go to 30 because that's what the model is about. Between 30 and 35 is where the model is about. On the cost side, 275, it's only a matter of time before we see it coming down. There is a bit of slack there. It's an investment for the future. If it doesn't happen, we have the liberty to cut the cost. It's not like a sunk cost which kind of hangs around on the neck. So, there is an ability for us to move it. That will be a last ever option. I mean, I really wish we wouldn't come to that pass at all. Our idea is the investments that you have made in people succeed, and we make it happen. And that's a way to build the business. And we are reasonably confident about that. These kind of one-off windfalls plus the momentum that we had in this quarter, that gives us the time to rebuild the proposition, li

ke I

told others also before, of our OD proposition, of our LAP to HL proposition, of the higher ticket size proposition within the framework. These are time to build that up. That's the cost that we're incurring. So, once we get that moving, you will see the 10 bps can come practically entirely from the cost to income, cost to average assets reduction. The second way of looking at it is we

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look at a 3.4 % NIM to total assets , not average assets , consistent fee income of 1.1% , you would reach possibly somewhere around 4.5%. Cost to average assets of about 260. You would land up with something like 1.9%. Take a slightly exaggerated provision of 45 bps. You come to 1.45. And if you reduce a tax, you'll be somewhere between 105 to 108, somewhere around that. And these are in my mind achievable. The NIM movement, just by passage of time, and some of the actions that come into execution mode will help us reach there. The key to achieving all this is in my mind getting the OPEX as a percentage of average assets to close to 2.6%. And that's what the Management Team is focused upon, really, really working upon it to improve the efficiency and output with the same number of people. And if that works, then we would probably require very, very little investments of manpower in the time leading up to the next year.

Rakesh Kumar: Just one last question. This was pertaining to credit yield thing , credit yield number that has come down to 11.4%. So, I don't know if I have missed it. Had you given the reason , what was the reason for the fall in the same?

Praveen Kutty: So, the NIM reduction is primarily because of the yield advance reduction , is entirely that. So, you see the cost of funds is stabilized. It's actually not just flattened, it has come down slightly, but leave it as it is. The yield and advance reduction is primarily on account of the one -off, primarily on account of the movement from penal interest to penal charge, primarily on account of us being conservative on the MFI portfolio much before the smoke started turning out into fire, in certain areas at least, if not all. So, that's the impact on the yield and advances. So , the way forward, and I was telling some other caller also, is that the improvement in NIM will come from improvement in the yield and advances.

Rakesh Kumar: And that one -off number is contributing how much to that?

Praveen Kutty: The individual case, reason why split, I don't think we will be able to give. But these are four items. We are aware of it and we are working on it. So, that's where it is. But what we are working on is to ensure that the yellow bar next time around is at a higher level.

Moderator: Thank you. The next question is from the line of Kartik Solanki from Elara Capital. Please go ahead.

Kartik Solanki: My question was on the lines of net interest margin. You had earlier stated to one of the questions that it is due to a one -off in Quarter 1 and Quarter 2 . Sir, can you just throw some light on the same?

Praveen Kutty: So, Reserve Bank of India had sent a communication to banks, I think banks and NB FCs, I could be wrong, but definitely to banks, where interest charged to customers, to customers who had taken loans should start from the time the demand draft was handed over to customers. So, there are many cases where customers, the demand drafts are made and customer for whatever reason, the home loan agreement not coming into play, the seller traveling, a variety of avoidable and unavoidable reasons did not take handover of the demand drafts. And I understand completely

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where the Central Bank is coming from , because the draft is with the bank, the funds are with the bank, even though the capital is allocated to it. The funds are with the bank, and therefore the directive was , you can

start charging the customer only from the time the demand draft has been handed over. So, that we fixed it in middle of Q2. So, from April 29 to the middle of Q2, the bank took a hit, and rightfully so, because it's more customer friendly in that perspective, and I understand that, and I also advocate the same. So, that's the right thing to do. But the fact is that it did take a P&L hit. I think it's impacting NBFCs also, but banks definitely I can tell you.

Kartik Solanki: And if possible, can you please quantify the bps impact? Can we have that number handy ?

Praveen Kutty: Whatever did not quantify, we did not communicate that, so it is not publicly available. But what is publicly available is that , that issue is a non -starter now. It doesn't exist now.

Kartik Solanki: And this ROA target of 1% which you gave a clear ROA tree as well.

Praveen Kutty: Milestone, rather than a target, Kartik. It's a pit stop before we start up our next journey.

Kartik Solanki: So, this 1% ROA is like with factoring any rate cuts or without factoring?

Praveen Kutty: I am seeing it the way it is because if you were to factor it with multiple things then what's the point in committing, right? So, effectively, you have to manage it. There will be environmentally there will be some tailwinds, headwinds coming in. Some are unavoidable, some are avoidable.

But I think we will have to , however , manage that.

Moderator: Thank you. The next question is from the line of Rishikesh from RoboCapital. Please go ahead.

Rishikesh: My first question is the Q oQ Rs. 60 crores growth in the fee income. Can you provide a broad break up? Where is it coming from?

Praveen Kutty: It's coming from two separate items. One is a core fee income and others. So, if you look at

commission exchange and brokerage in page number 37, it's a steady kind of growth. Have a look at the commission exchange and brokerage . 97 going to 98 going to 118 going to 114 going to 139. Do you see that?

Rishikesh: Yes

Praveen Kutty: So, that's the kind of quarter -on-quarter growth that we have managed. This is the core fee income that you see there. The profit of sale of investment was a Rs. 52 crore s benefit that we got which is in the second line and there are some exchange transactions and others. So, the big mover here is the commission exchange and brokerage of Rs. 139 crores and that's what we're looking at from a repeatability and sustainability perspective. Profit and sale of investment happens when opportunities arise. So, does exchange transactions.

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Rishikesh: So, most of the incremental is coming from sale of investment, right?

Praveen Kutty: You can say that. We used to get somewhere in the teens, 14, 11, 17. That's gone up to 52 last quarter. What we are, what we are happy with is the sustainable first line. Now that we are unhappy with the second, but definitely the kind of growth that we achieved on the earlier line is what we are trying to sustain going forward.

Rishikesh: Also on the cost to income part, could you guide for coming quarters Q3, Q4, what cost to income do we foresee?

Praveen Kutty: Actually, not for Quarter 3 and Quarter 4, but for the next full year, what we want to be is around 2.6%. Right, and I think it's achievable. 15 bps reduction from today on cost to average assets, I think it is well within our grasp. And I was not going to dodge Q3, Q4. The reason I was talking about the four quarters of next year, next financial year, is because whether this is a cost or investment, all of us will get to know soon. We are very confident that this is an investment. That this investment is mainly in people and also in technology, not to forget the fact that we have upgraded three out of the four core banking systems. We have upgraded our AML system, we have upgraded our behavioral biometric fraud detection system,

we have upgraded our SIEM

system. Right, leaving all of this aside, I think on the people front the investment that we made, we're beginning to see the benefit of that. Hopefully Q3 and Q4 will enhance that and that will result in us getting to the 2.6% average on a full year basis, April to March next year.

Rishikesh: Also, if you could share what is our home loan and LAP mix currently?

Praveen Kutty: On the stock 50-50, on the incremental, we are trying to ensure that the BL is more than the HL and that has turned around.

Rishikesh: Could you share any targets that we have for the target mix?

Praveen Kutty: We don't have a target mix as such. Like I told you, the NIM is where it is currently. In our view, it can only go up and we are working hard on that by multiplicity of ways. One of which is by focusing on higher yielding product. Having said that, at the same breadth, let me tell you, the management team here took a collective call, not to do high yield microfinance business pretty much early in Quarter 2, pretty much early. And you can see that from an 18% contribution that has come down to 16%. So, we're not averse to taking a hit on growth if we believe that that's not the right way to grow the topline.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal: One question on the loan growth. We have been now consistently delivering healthy loan growth. 20% is what we are looking at sustainably. Certain segments which were declining earlier there has been a sharp like pickup in the disbursement in those products like especially if

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you look at the CV, the corporate there is a sequentially there is a strong pickup on disbursement.

And so how are we looking at this contours of overall loan mix going into the next year?

Praveen Kutty: First of all, I want to tell you, Nitin, that our corporate book has declined and has not grown. If I remember right, Rs. 100 crore less than what we started the year with.

Nitin Agarwal: So, I'll just quote the disbursement number was like Rs. 475 crores in the previous quarter, which is now Rs. 634 crores this quarter, like 30% plus jump on a sequential basis.

Praveen Kutty: But what I would suggest is look at the overall pie chart on Page number 21 and compare it with the pie chart of last quarter, you would see that the corporate banking book in Q1 is less, Q2 is definitely less than March, if I am not mistaken. In absolute terms, I know the number. It's about 100 or less than what we started off the year with. Maybe more disbursement happened, must be short-term loans. Must be short-term loans that have been given. But otherwise, no change in strategy. In fact, we're less than March is.

Nitin Agarwal: And likewise in CV also, that was like more of a defocused product. And this quarter that has

shown some pickup. So, how are we looking at this segment now?

Praveen Kutty: So, these are more of opportunistic lending given to certain existing CV customers, because one of the things that we found out, which should have been apparent earlier, is that the performance of the book improves significantly if you were to keep it going. So, it's a small book, we just keep it going. I don't see that rapidly increasing. It's not like a target segment in itself. But the real movement is getting your mortgage and OD. That SME book which you see there, frankly, we are trying to convert it into a full overdraft product, a full engagement product, which will, similar to what we spoke about earlier also, converting that to a complete branch-led, digital-led engagement process.

Nitin Agarwal: And secondly on margins now, as the rate cycle turns in the coming quarters, how do you see the trajectory moving into the 1H? What sort of pricing power are we looking at in this sort of risk-averse environment?

And how much downside risk do you see further to the NIMs?

Praveen Kutty: See, I don't see a downward risk happening because cost of funds is, the deposit market continues to be challenging, like it has been for the last six months. So, when it's challenging that way, it is very unlikely that you will have a yield drop happening on any of these products, very, very unlikely. But like MFI, for example, we budgeted for something much more. That's not going to happen because for obvious reasons, right? So, that will get compensated by some other secured products which will not give you a similar kind of yield. So, that kind of dampening will happen. But much more importantly, the productivity that we will have of secured lending products like SME and LAP and even Home Loan will more than compensate for the rate drop in specific portfolios which we will not be really going after hard. So, to sum in substance, I think NIM is at one of the lowest which we can foresee.

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Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Praveen Kutty: Thank you for your patience. It's been late in the evening. Good thought provoking questions. I hope you got answers for that. If you haven't, please send an email to our Investor Relationships team. They'll be more than happy to respond to your queries and look forward to meeting you again or speaking to you again in Q3. Thank you very much.

Moderator: Thank you. On behalf of DCB Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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DCB Bank Limited

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Ref. No.CO:CS:RC:2024 -25:227 October 29 , 2024

BSE Limited

P J Towers,

1st floor Dalal Street.

Mumbai 400 001 National Stock Exchange of India Limited

Exchange Plaza, 5th floor, Plot No. C/1,

G Block Bandra – Kurla Complex,

Bandra (East), Mumbai 400 051

Scrip Code: 532772 NSE Symbol: DCBBANK

Dear Sirs / Madam,

Re: Transcript of Earnings Conference Call held on October 24, 2024

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Conference Call held on October 24, 2024 with respect to the Financial Results of DCB Bank Limited ("the Bank") for the 2nd quarter and half year ended September 30, 2024. The same has also been uploaded on website of the Bank and can be accessed at the link given below:

<https://www.dcbbank.com/upload/pdf/DCB-Bank-Q2FY25-Earnings-Call-Transcript-October-24-2024.pdf>

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubi Chaturvedi
Company Secretary &
Compliance Officer

Encl: As stated above

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"DCB Bank Limited Q2FY25 Earnings Conference Call "

October 24, 2024

MANAGEMENT : MR. PRAVEEN KUTTY - MANAGING DIRECTOR & CEO,
DCB BANK LIMITED
MR. SRIDHAR SESHADRI - WHOLE -TIME DIRECTOR , DCB
BANK LIMITED
MR. RAVI KUMAR - CHIEF FINANCIAL OFFICER , DCB BANK

LIMITED
MR. AJIT KUMAR SINGH - CHIEF INVESTOR RELATIONS
OFFICER , DCB BANK LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to DCB Bank Limited Q2FY25 Earnings Conference Call.

Joining us on the call today are Mr. Praveen Kutty – Managing Director & CEO ; Mr. Sridhar Seshadri – Whole -Time Director ; Mr. Ravi Kumar – Chief Financial Officer ; Mr. Ajit Kumar Singh – Chief Investor Relations Officer.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to the management. Thank you and over to you.

Praveen Kutty: Thank you very much and good evening everybody in this call. I want to tell you that we have had a steady Quarter 2 .

Our growth trajectory both on assets and on liabilities remain in the same curve. We have grown the balance sheet by 19.49%. Similar kind of percentage growth in advances and deposits. On the deposit front, the growth of 19.86% YoY has been recorded in reasonably tough times of liquidity, I should say. And what is heartening is this growth is in a scenario where our top 20 depositors remain at a very comfortable 6.89%, very similar to the 6.88% we had last year . The structure of the deposit franchise remains the same. We continue to look at small ticket, build it the hard way, small brick -by-brick, and then to get the kind of growth which we have achieved in the last one year augurs well for the future as well. Similarly on the advances side also, the ticket size is consistent. In fact, we will be happy to even increase the ticket size going forward. But it's a very steady growth on advances deposits and balance sheet.

One of the things I want to tell you is that our CASA ratio has marginally improved from 25.04 to about 25.61 in the year. But that may be unremarkable as it is, but what is remarkable is our savings growth. Savings has grown by 27% year -on-year clearly showing the effort leading to the desired result.

Another area where I want to highlight is our core fee. I've spoken about engagement as a big idea, even in the last quarter. We want to have engagement as the key differentiator from the way we were to where we want to be. And that translates to doing products which are less of fill it, shut it, forget it, and more of customer interaction, electronic, as well as normal, traditional face-to-face. And a big element of that is CASA, specifically savings account, and on the asset side, overdraft accounts.

Now, we made a good beginning and this good beginning has also seen the core fee increasing from Rs. 114 crores last quarter, which was a high in itself for Quarter 1 , to Rs.139 crores in Quarter 2 . This along with benign NPA numbers, Gross NPA coming down from 3.36 % to

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3.29% over the last one year and Net NPA shedding 11 bps, 1.28% to 1.17%, has resulted in an overall profit of the bank in excess of Rs. 155 crores.

I want to draw your attention to two things here :

- One is that it is on our area of focus, which is NIM. Our NIM is down to 3.27% and primarily because of 3-4 elements, some which are uncontrollable and some which are controllable , we have had an extension of some of the one -offs, which I said would happen in my Q1 call also, where we had to do some reverses that continued into July. So, those one -offs we have taken on the NIM. Going forward, those types of one -offs will not happen.
 - Second is that we kind of foresaw the weakening microfinance environment and we have gone slow on it. And going slow on microfinance also means that the earnings that you would have got from that book also dropped, this is a high yield book. So, the
- re
- has been a bit of drop on that count as well.
- Thirdly, on the NIM front, we have done some opportunistic co -lending activity during the quarter, which comes at a lower yield , albeit at a lower cost also, as compared to our organic business. So, some of these activities give us time to build the kind of structure that we want on a steady state go forward basis. And I am repeating what I told you earlier , to build a strong overdraft proposition, to build a higher ticket size

mortgage proposition, marginally higher than what is currently today within the risk framework that we have.

- And the third point is improve the LAP to home loan ratio. We made some strides on it, but there's more way to go. So, these are three key areas that we are working on. All this gives us the time to build it as we go along.

Our cost to average asset is at 2.75%. So, we have put in the people, we have put in the technology, and I'll talk about both. And over the next six quarters, we should see the increased sweating of both the people and the technology that you have invested in. The bank has upgraded Finacle system, the transaction banking system, the lending system, FinOne, the treasury management system from TCS, the SIEM system for cyber security, a compass system for AML, behavioral biometrics. We have put in the hard yards on technology over the last 12 to 18 months, and we will see the benefit of that on a go-forward basis. Likewise, we have about 12,000 odd people in the bank currently. 11,901 to be precise, as of September 30th and we will see the benefit of that increased manpower resulting in a higher organic business.

So, I believe that the cost to average asset is more of investment in nature, the benefit of which we will see over the next few quarters. Having said that, it is important to know that the cost income ratio quarter-on-quarter has reduced by almost 3%, from 67.8 or to 64.3. Net-net, we have had 11 bps improvement in ROA. In our journey where the next stop is a yearly ROA of 1%. Our ROE has moved from 10.93% in Q1 to 12.65%. So, you are seeing some of the effort converting it to result, and you'll be able to see more of it in the not-too-distant future.

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That's my brief summary, and I look forward to questions and clarifications from your side. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: My first question is, you mentioned in the opening remark that there was some impact due to one-offs in the NIM. So, if you can broadly touch upon how much impact would that be and going forward do you feel that this is almost bottom of the NIM and we can see the improvement from here on. And my second question is regarding the OPEX. So, obviously we are doing investments on the people side and as well as technology side, but it has grown almost 26% year on year whereas our top line is growing at 20%. So, when do you see that our topline will grow faster than the cost or when do you see the cost going up slowly?

Praveen Kutty: On the first question, let me tell you this. The one-off we had to have was based on a particular RBI circular, and that has been taken into effect fully between Quarter 1 and Quarter 2. So, that is done and dusted. So, that impact is not going to happen in the future. There has also been some structural change which has happened where some part of the penal interest is now coming in as penal charges. That's the second component which also has resulted in a slightly higher core fee and a slightly lower NIM. The second part will continue the way it is. The first part is done and that's over. When would you see the OPEX coming down? You have seen some benefit of it coming through on the c

ost to income ratio decrease. What we are working on is to ensure that the incremental manpower that is put in we're sweating it out to ensure that there is better login and better conversion to disbursement happening on the ground. We're also working to ensure that this, the average ticket size which currently hovers around 28 lakhs to 30 lakhs is hitched up to between 40 lakhs to 50 lakhs. So, there is work happening on that ground. And third item is, if you see the stock of mortgage book that we have, it's almost divided half and half between home loans, which is low yield and LAP, which is higher yield. So, that engine is turned and you are seeing a higher business loan coming through the door. We want to increase that so that the percentage of throughput would see a higher LAP as compared to home loan. So, having put all these people in, we will see the benefit and we're very confident that we will see the benefit of it coming through in Q3 and Q4.

Dixit Doshi: And just a follow up. Historically we have always maintained that our business model is around 3.65 to 3.75 kind of NIM in the longer run. So, due to this change in the penal interest regulation, do you feel that structurally that range will come down?

Praveen Kutty: Like I told you, you can't charge penal interest anymore, so it will come as penal charges and as soon as you collect it, you will get it. So, you will have a single digit bps change happening between NIM and fees

Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

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Rohan Mandora: Just on the MFI piece, if you can just let us know, what is your total exposure there?

Praveen Kutty: If you have the investor presentation, then for the benefit of you and all other people on the call, you could go to page number 22. 16% of the AIB book is MFI plus BC and that book is 25% of the overall book. So, you can do the math yourself, 16% and 25%. And I'll tell you how to read this. You look at the previous investor presentation and see what the MFI and BC percentage was and I'll tell you what it was. It is actually 18%. That 18 has come down to 16 now. So, that gives you an idea of what the book was a quarter back and how we have reduced it over a period of time.

Rohan Mandora: And if you can share the asset quality trends in this portfolio for us?

Praveen Kutty: So, publicly what we share is what you see in page number 26. So, you could possibly see that, you know, the momentum changes on AIB. So, not so far 322 to 333, that's not a big movement yet.

Rohan Mandora: Sure, nothing much in the early delinquencies also. That would be a fair assumption.

Praveen Kutty: Look at it this way. We took the call on this pretty much early. Sure. And that's why you are seeing a drop in the pie chart, right, it is not a late movement happening and the environment is what it is. Right. So, we are also hopeful for this. The book size also you have seen how it is, so how material and significant it can be.

Rohan Mandora: And Sir, on the same slide 26, the mortgages GNP As have been rising in the last two quarters. So, what is the reason for this uptick? Like, some customer behavior point of view?

Praveen Kutty: No, actually, our sourcing in '23 was not the quality that we aspire for. We have made some changes. And the new vintages are behaving better. But specifically, within home loans, the mortgage sourcing in 12 to 24 month bracket was not the kind of quality that we wanted it to be.

Rohan Mandora: But what were the kind of issues that we are trying to correct in that? Just to get an understanding. We had seen certain segments of portfolios like CV, gold loans earlier, where we had seen a spike up on NPAs and then normalizing.

Praveen Kutty: So, in mortgages, we have made some changes on our LTV and income assess

ment norms for

certain segments. So, that change we made about four to five months back. But the errors that we made earlier will have an impact. And we will have to go through it. So, there will be a delay, but I don't think there'll be a denial.

Rohan Mandora: And lastly, Sir, on the CEB, Commission Exchange and Brokerage Revenue, the core fee income, what will the contribution from the penal fees?

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Praveen Kutty: Like I said, the person who called earlier, the net structural change between NIM and fee would be single digit. So, what used to be penal interest earlier becoming penal charges now, which is an incremental change because of the norm, will be single digit basis points.

Moderator: Thank you. The next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Praveen, just a first question on the margin side or the NI line side. If you could tell us on a like-to-like basis, how much is the NI kind of growing at adjusting for these penal interest charges changes?

Praveen Kutty: Mahesh, there are four components to the difference between the NIM of September and NIM of say March. So, there is a penal interest to penal charges conversion, which is a single-digit basis point. You have a reduction in the MFI sourcing, which is you are getting a much higher yield, which has been compensated for by other products. The third is, there is an increase in co-lending disbursements, which comes at a lower yield albeit a lower cost. And the fourth element of the lower NIM was one-offs, which you had taken in Quarter 1 and in Quarter 2. So, these are four components which has resulted in the NIM reduction. The last item will not occur in the future going forward. The penal interest, penal charges will continue on an ongoing basis, that will be on a continuous basis. We don't expect the organic book to pick up at a faster pace than a co-lending as we go forward.

M.B. Mahesh: Just to continue on this point, if I look at the interest expense line, that is still kind of growing at a pace much faster than the loan growth, suggesting that the cost of funds is still kind of inching up. Just trying to understand, how does this move from here onwards?

Praveen Kutty: Mahesh, I want you to look at a cost of deposit page and a cost of fund page. I can read it out. It's on page number 31. So, this is pretty much in line with the predictions that we made in the previous quarter and also in March that by September we should be able to see a stabilization. So, cost of fund is kind of flattened out at 7.19 coming down to 7.17 and cost of deposit is 7.10 coming to 7.09. I don't see this falling off. I mean even now if we have to look at the way the liabilities, the deposit market is, the reduction happening in the cost of deposit. So, probably we will see a longer play of similar lines. The good news you want to look at it is that it has flattened finally. There's no reason to believe that it will go up also because if you see the kind of growth

that we have got in the quarter, it has been 19% based on whatever results I've seen is at the higher end of growth. So, that kind of growth trajectory, if you are able to get at the kind of stabilized kind of cost, which is here, you would possibly see the cost of deposit is pretty much at its peak. Now it's a question of improving the yield to get the NIM back to where it belongs .

M.B. Mahesh: Second question, Sir, on the asset quality line. There are a couple of banks and NBFCs, who are kind of starting to highlight, saying that there is stress now starting to emerge in the SME portfolio as well. Do you kind of concur with this view based on the data that you are seeing? Or you say that, look, it's still too early to say that?

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Praveen Kutty: Not really, and I'll tell you why.

Look at the collection efficiency chart , for bucket zero and for all buckets put together. That's a very revealing chart. Okay, that is page number 28. Yes, yes. Right, I'll tell you why it's so revealing. You look at bucket zero behavior. Bucket zero behavior across three big products, I am not including SME in it, but 54 %, maybe 55% of the entire book is there in these three lines. This basic ally determines our overall performance. So, bucket -zero performance has been fairly steady. So, between 98.9 to 98.5, you had a deterioration of four bps. And in home loans, you have a deterioration of 3 bps. I would tend to take that as business as usual and not as a harbinger of a problem. So, we haven't seen that really coming through. Having said that, if you look at the overall efficiency, we are seeing that some of the restructured, particularly restructured book has kind of had a problem in September. But I would tend to think of it as a one -off rather than as an indicator of things.

M.B. Mahesh: And this final question on the OPEX line, which is currently running at about slightly higher than 20%, it continues at these levels or you think yo u can extract a little bit here as well ?

Praveen Kutty: Are you talking about OPEX?

M.B. Mahesh: OPEX, yes.

Praveen Kutty: You have seen the cost to income decreasing. The 275 is frankly unsustainable. And if you see most of our efforts are in , we are thin king it's investment. Time will tell if it's investment or cost. A lot of work is happening in the bank and bulk of our focus is going into ensuring that this money that has been put in is giving us outcomes. The easy thing to do will be to cut the cost. It's really simple to do. It's not very difficult. But that's not the whole idea. I mean, we want to continue growing at this kind of pace for the foreseeable future. We see a good enough market for it. And the question is h ow do you make these guys success ful rather than how do we go by the fast route .

Moderator: Thank you. T he next question is from the line of Aditya Khandelwal from Securities Investment Management. Please go ahead.

Aditya Khandelwal: I have a question on our NIM s. So, this quarter we had an impact of that one -off reversal. But going forward with increasing share of LAP in our mortgage book and increasing the proportion of OD in place of spreads and with the cost of deposits and funds stabilizing for us , would it be fair to say that the NIMs have bottomed out in this quarter and should be in an improving trajectory going forward?

Praveen Kutty: Yes, you succinctly put it, yes. I would like to say what you said. So, the one -offs being gone and some of our executions starti ng to show results, I strongly believe that we are at the bottom end of the NIM and cost to d eposit s is continuing to hold at the current levels. We don't have any indication to believe it is going to go up or go down in the future. It's remaining where it is.

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Aditya Khandelwal: And second question was on our fee income. So, year-on-year, I understand there has been a big jump because of classification from penal charge and penal interest. But even on a Q oQ basis, the fee income has increased by mor e than 20%. So, if you could just understand what has led to this big jump ?

Praveen Kutty: See, I want you to look at the last five continuous quarters of core fee income growth. It is somewhere in this book. It is page number 34. Core fee income was 107 g oing up to 124 to 136 to 143 to 205. Such quarter -on-quarter for five continuous quarters, that kind of rise does not happen by coincidence. It is because of specific actions that we have implemented on the ground while you are seeing the growth happening on the overall fee line. On the core fee line also, you see 97 going to 98 going to 118. In Q1, which is traditionally a very difficult low performing quarter

, 114 going to 139. So, effectively what has happened is since March and I can say even since Q4 of last year, we really worked on getting engagement going big time in both assets and liabilities. There was a tendency for the bank to be more, for want of a better phrase , fill it, shut

it, forget it kind of mode with 55% of our book being mortgages, LAP and home loan where opportunity to interact with customers also is limited and also retail term deposits on the other hand, retail and bulk also for the matter where interaction with the customer is fairly on the lower side. But when you are seeing a savings account, Y oY savings growth of 27%, we are seeing the beginnings of the overdraft strategy coming to light, there is far more engagement the bank has with its customer. And one area where it's really seeing the light of the day is in the core fee income. Our ability to cross-sell has improved. Is it where we want it to be? No. I think there is a further strong long play involved. But we, as in me and the management team, strongly believe that this focus on engagement resulting in products which demand engagement will result not only in the core fee income increasing, but also in terms of better retention and a stronger bond with the bank. TPD has got a big play in it. We have launched our wealth distribution vertical still early days. These things have helped the bank, get a better grip on the fee income. And this is traditionally a weak, it still is an area of improvement for us honestly if I were to ask myself. And we are making some progress on it.

Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: First on this fee income only, the Y oY growth looks very impressive on the core fee side. And it is clearly higher than the loan growth and assets growth. Is there any, there's no one -off here, right? I mean, there's no one -off and ideally one would expect that fee growth to be higher than asset growth. Is that the way to think about this?

Praveen Kutty: The way to think about is look at the core fee income growth. That is where you need to focus upon and that's where we are really focusing upon this that is much more repeatable, sustainable linked in. There is there are some core fee income here, which also has some leg on the cost side. The classic example is something like a processing fee. Your volume goes up, your processing fee goes up, but there's a sourcing cost that you are going to pay for it. But having said that, even after taking that into consideration, there has been improvement in the margin between the fee that we get and the cost that we may have to incur on those slides. But much
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more importantly, the third-party distribution system is kicking in. I am repeating, the wealth distribution setup that we have put up is starting to work. The overdraft product that we are looking at, which brings in slightly higher ticket size by itself. The one we're looking at is slightly higher ticket size, but look 30 lakhs going to 50 lakhs is frankly a 66% improvement on productivity, whereas it is very well within the risk framework that we have. So, there are multiple things that's happening which is helping us improve our core fee income. And honestly, yes, you are seeing the result of it, but there is much more to come.

Jai Mundhra: And Sir, the SA growth that we have seen is very impressive, defining the industry growth and even the previous trajectory at our bank, fair to say that, you know, part of this is driven by your differentiated SA rates or this is something else that you would like to say?

Praveen Kutty: No, don't be fooled by it. See our customers are self-employed customers. They are your normal people, the normal retailer, merchants, you know those are the kind of customers that we have. We have

some unique products whereby the money the proprietor puts in his current account is swept into savings account. So, while the customer is a self-employed customer, he's got a current account, he gets a benefit of moving money into a savings account and gaining whatever the savings account rate applicable for his account. So, even though we open current accounts, the customer gets some benefit out of it. For us, yes, it's not a zero percent current account, but it's definitely not a high interest TD account as well. So, large proportion of a savings account is coming from these kind of customers and proprietors don't keep the kind of money that you need to keep in a savings account to get 8%. Usually they don't. They use it normally for their transaction purpose rather than for "investment purpose." It's money on the flow. It is not money which is kept there to earn something. By the way, while I am keeping it there, we're earning something. That's the kind of product and that's the kind of customer base that we have on the savings book.

Jai Mundhra: And also on treasury gain, right? So, of course, this quarter is very, very strong. Is there any component which is not realized also because now RBI allows you to book a notional profit also. I mean, just because the amount is so huge, I just thought of asking.

Praveen Kutty: I do not know whether that is publicly available news or not, publicly substantiated information or not. But the fact is, I wouldn't even look at that 205 as much as I would look at 139. Because you are looking at repeatable, sustainable kind of growth. And for us 114 to 139 is a good enough indicator of what the potentialities are and I believe that we could crack it. On a separate note, if it's not UPSI information, I am sure our Investor Relationship Unit can get back to you with relevant information. So, you can drop in a mail and they can give you further, if domain is publicly available.

Jai Mundhra: And lastly Sir, is there any update on the promoter infusion of \$10 million?

Praveen Kutty: Yes, fine. Good that you asked the question. So, we are kind of dotting the i's and crossing the t's on that. So, there is some documentation which is being asked for. So, we are providing all

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that. So, getting that loop. We are almost at the tail end of it. While it's not substantial in itself, it is symbolic, so it'll be good to see that happening. If you ask me, it'll happen in Q3.

Moderator: Thank you. The next question is from the line of Gaurav Kochar from Mirae Assets. Please go ahead.

Gaurav Kochar: Just a couple of questions to persist on the NIM and fee because there is a very strong traction in this quarter. Just to understand a little more, the core fee income to asset is currently at 83 basis points. And you mentioned, I think, some bit of it is also some shift from the NIM line to fee income line. So, let's say now that it is structured. And you know, this 83-basis point, what is the potential maybe not immediately and given that second half is typically better for fee income and then the first half we have done 83. Is there scope to increase this in the second half? And let's say for FY26 given that all the structures are in place, can we expect something like 1% for fee income to asset going forward?

Praveen Kutty: So, on the fee front, what I would like to tell you is that the core fee income which we are seeing is primarily coming from repeatable sources. The only negative to that is that some of them are attached to the cost that we have. So, I would tend to think that this is on a sustainability scale this kind of trajectory is possible. We are looking at a full year ROA of 1% in the year 25-26. That is what we are gunning for. We have to fix a few things. One was the fee. I think on a steady state basis a 1% fee is very much possible. I am just

discounting the 1.23% which we got

now, not for any other reason, but on an overall basis, on a four quarterly average basis, the 1% I think is very much possible with the franchise that we have. We have some work to do on the OPEX and I've talked about it in the earlier calls as well, at 275 cost to average assets it's on the higher side, that definitely is a 10 to 15 bps improvement which we can see in the next 2-3 quarters which we can affect. The current provision is at 27 bps may not be the right indicator. We're still getting the benefit of the restructured assets having a higher provision either going away or staying with us and there's a provision write back as per the guidelines or becoming NPA and need not having to take the incremental provision or need to have taken only the lesser incremental provision as a case maybe. So, there's a bit of a tailwind on that. The 30 bps, 35 bps seems like the right thing for the particular model to come through. NIM at 329 is possibly at the lowest end. We probably would not have too many one offs coming in there. So, I think from the 0.93 which we have today of ROA there is a distinct possibility that we could steadily build up to a 1% ROA and that's not a milestone in itself, I mean that's not an end of journey by itself. I think that's a way to go and which will take us to our next phase of growth. So, that's the way the management team is thinking about the revenue cost and provisional dynamics.

Gaurav Kochar: And just specifically on the liquidity, if I look at the overall balance sheet growth was much higher than loans and deposit growth which essentially we have borrowed and kept at higher liquidity on the balance sheet. So, just wanted to understand, is it because of the revised LCR norms or is it more of an opportunistic ally some treasury option that you would have done, despite that the borrowings have gone up?

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Praveen Kutty: There are few things you need to look at. I want you to look at the cost of funds. Your cost of funds went up from 7.14 to 7.19, not in the current period. I want to look at the previous period. Between Q4 24 and Q1 25, the cost of funds went up from 7.14 to 7.19, page number 31. Can you see that?

Gaurav Kochar: Yes.

Praveen Kutty: So, that's a 5-bps increase?

Gaurav Kochar: Yes.

Praveen Kutty: What is the cost to deposit increased by during the same period? 2 bps, 708 going to 710. Do you see that?

Gaurav Kochar: Yes.

Praveen Kutty: So, what does it indicate? It indicates that while the cost of deposit was increasing at a lower rate, the cost of fund was increasing at a higher rate. What is the difference between cost of funds and cost of deposit? It primarily is borrowing. So, what we did is we went back and reworked our borrowing strategy and ensured that the cost of funds is more or less in line with the direction the cost of deposit takes, which is why you are seeing a correlated movement of cost to funds and cost to deposit happening in this quarter, 719 coming to 717 and 710 coming to 709. So, that

is, so we worked on the borrowings. We worked on the refinance. We have tried to ensure that the overall cost of funds of the bank decreases. So, we have done multiple things on this front. We also done some CDs, short-term CDs to match with the short-term assets that we have. So, we looked at it from an integrated perspective to bring the overall cost down. And more of it will be coming in the future anyways.

Gaurav Kochar : Just last question if I can squeeze in. In the current portal value indicated that these are probably bottom margins at 327. And you have mentioned in the presentation that the business model is designed for a 365-375 basis point kind of steady state margin. I know the situation is a little more challenging on the macro front. You have to slow down on MFI, etc., which is leading to

some compression. But by when do you expect to see the normalized NIM traction, is it like, I mean, expectation, not a guidance for sure, but expectation, is it like 4Q when you start to see that margin to move towards that 365, 375?

Praveen Kutty: See, there are two things which is very important for you to know. One is that for the foreseeable future, the structural movement from NIM to fee of penal charges is given and it's not going to come back. It is very unlikely it will come back. That is one. Number two, the MFI environment I would tend to presume will take a year at least to get back to normal. I could be wrong. Okay, but that's just an educated, rather uneducated guess. So, there are two elements. So, that being the way it is, I don't see ourselves rushing headlong into high yield MFI assets which would have otherwise done. So, that would be a no-go area and whatever microfinance or similar kind of loans that we will be doing will be to meet our small farmer, marginal farmer target or the agri

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PSL target if we so desire. At the current moment we have met all these subsegmental PSL numbers. So, there will be an impact on yield because of these two particular reasons, but it's better to take a yield hit than take an NPA hit, obviously. It goes without saying. Right? So, but on the other side, what you are really asking us is how quickly can you ramp up the LAP as compared to home loan? How quickly can we get the overdraft over TReDS engine working? Believe me, we are working as hard as possible, as quickly as possible to make those changes happen. That's a very integral part of our action plan to make the next full financial year an average 1% ROA year.

Moderator: Thank you. We will move to the next question, which is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: One question was pertaining to the slide number 11. The margin guidance that we have is around 40 bps higher and if you look at the ROA numbers, it's increasing by around 7 bps as we are guiding. So, what is happening in between? So, are we expecting that, because cost to asset number also if you look at, it is kind of falling by around 25 bps approximately. So, if you can just briefly if you can take us through this margin movement to this ROA movement.

Praveen Kutty: So, you talk about the journey towards 1% ROA ?

Rakesh Kumar: Yes. So, basically the increase in margin that we are looking at is around 40 bps from the current quarter. And the ROA movement is that we are looking at around 7 bps. So, in between like, what is changing so much?

Praveen Kutty: So, there are two ways of looking at that ok. I will explain to you in two ways. So, one is the ROA for this quarter is 93 bps correct? So, that is 7 bps short of 1% ROA. That if you convert it into a PBT is 9.46 bps before tax. Right so far?

Rakesh Kumar: Correct.

Praveen Kutty: So, as a management unit, we have to find somewhere close to 10 bps across 4 different lines. I still want to say that the 27 bps of credit cost, we would go to 30 because that's what the model is about. Between 30 and 35 is where the model is about. On the cost side, 275, it's only a matter of time before we see it coming down. There is a bit of slack there. It's an investment for the future. If it doesn't happen, we have the liberty to cut the cost. It's not like a sunk cost which kind of hangs around on the neck. So, there is an ability for us to move it. That will be a last ever option. I mean, I really wish we wouldn't come to that pass at all. Our idea is the investments that you have made in people succeed, and we make it happen. And that's a way to build the business. And we are reasonably confident about that. These kind of one-off windfalls plus the momentum that we had in this quarter, that gives us the time to rebuild the proposition, li

ke I

told others also before, of our OD proposition, of our LAP to HL proposition, of the higher ticket size proposition within the framework. These are time to build that up. That's the cost that we're incurring. So, once we get that moving, you will see the 10 bps can come practically entirely from the cost to income, cost to average assets reduction. The second way of looking at it is we

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look at a 3.4 % NIM to total assets , not average assets , consistent fee income of 1.1% , you would reach possibly somewhere around 4.5%. Cost to average assets of about 260. You would land up with something like 1.9%. Take a slightly exaggerated provision of 45 bps. You come to 1.45. And if you reduce a tax, you'll be somewhere between 105 to 108, somewhere around that. And these are in my mind achievable. The NIM movement, just by passage of time, and some of the actions that come into execution mode will help us reach there. The key to achieving all this is in my mind getting the OPEX as a percentage of average assets to close to 2.6%. And that's what the Management Team is focused upon, really, really working upon it to improve the efficiency and output with the same number of people. And if that works, then we would probably require very, very little investments of manpower in the time leading up to the next year.

Rakesh Kumar: Just one last question. This was pertaining to credit yield thing , credit yield number that has come down to 11.4%. So, I don't know if I have missed it. Had you given the reason , what was the reason for the fall in the same?

Praveen Kutty: So, the NIM reduction is primarily because of the yield advance reduction , is entirely that. So, you see the cost of funds is stabilized. It's actually not just flattened, it has come down slightly, but leave it as it is. The yield and advance reduction is primarily on account of the one -off, primarily on account of the movement from penal interest to penal charge, primarily on account of us being conservative on the MFI portfolio much before the smoke started turning out into fire, in certain areas at least, if not all. So, that's the impact on the yield and advances. So , the way forward, and I was telling some other caller also, is that the improvement in NIM will come from improvement in the yield and advances.

Rakesh Kumar: And that one -off number is contributing how much to that?

Praveen Kutty: The individual case, reason why split, I don't think we will be able to give. But these are four items. We are aware of it and we are working on it. So, that's where it is. But what we are working on is to ensure that the yellow bar next time around is at a higher level.

Moderator: Thank you. The next question is from the line of Kartik Solanki from Elara Capital. Please go ahead.

Kartik Solanki: My question was on the lines of net interest margin. You had earlier stated to one of the questions that it is due to a one -off in Quarter 1 and Quarter 2 . Sir, can you just throw some light on the same?

Praveen Kutty: So, Reserve Bank of India had sent a communication to banks, I think banks and NB FCs, I could be wrong, but definitely to banks, where interest charged to customers, to customers who had taken loans should start from the time the demand draft was handed over to customers. So, there are many cases where customers, the demand drafts are made and customer for whatever reason, the home loan agreement not coming into play, the seller traveling, a variety of avoidable and unavoidable reasons did not take handover of the demand drafts. And I understand completely

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where the Central Bank is coming from , because the draft is with the bank, the funds are with the bank, even though the capital is allocated to it. The funds are with the bank, and therefore the directive was , you can

start charging the customer only from the time the demand draft has been handed over. So, that we fixed it in middle of Q2. So, from April 29 to the middle of Q2, the bank took a hit, and rightfully so, because it's more customer friendly in that perspective, and I understand that, and I also advocate the same. So, that's the right thing to do. But the fact is that it did take a P&L hit. I think it's impacting NBFCs also, but banks definitely I can tell you.

Kartik Solanki: And if possible, can you please quantify the bps impact? Can we have that number handy ?

Praveen Kutty: Whatever did not quantify, we did not communicate that, so it is not publicly available. But what is publicly available is that , that issue is a non -starter now. It doesn't exist now.

Kartik Solanki: And this ROA target of 1% which you gave a clear ROA tree as well.

Praveen Kutty: Milestone, rather than a target, Kartik. It's a pit stop before we start up our next journey.

Kartik Solanki: So, this 1% ROA is like with factoring any rate cuts or without factoring?

Praveen Kutty: I am seeing it the way it is because if you were to factor it with multiple things then what's the point in committing, right? So, effectively, you have to manage it. There will be environmentally there will be some tailwinds, headwinds coming in. Some are unavoidable, some are avoidable.

But I think we will have to , however , manage that.

Moderator: Thank you. The next question is from the line of Rishikesh from RoboCapital. Please go ahead.

Rishikesh: My first question is the Q oQ Rs. 60 crores growth in the fee income. Can you provide a broad break up? Where is it coming from?

Praveen Kutty: It's coming from two separate items. One is a core fee income and others. So, if you look at

commission exchange and brokerage in page number 37, it's a steady kind of growth. Have a look at the commission exchange and brokerage . 97 going to 98 going to 118 going to 114 going to 139. Do you see that?

Rishikesh: Yes

Praveen Kuttu: So, that's the kind of quarter -on-quarter growth that we have managed. This is the core fee income that you see there. The profit of sale of investment was a Rs. 52 crore s benefit that we got which is in the second line and there are some exchange transactions and others. So, the big mover here is the commission exchange and brokerage of Rs. 139 crores and that's what we're looking at from a repeatability and sustainability perspective. Profit and sale of investment happens when opportunities arise. So, does exchange transactions.

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Rishikesh: So, most of the incremental is coming from sale of investment, right?

Praveen Kuttu: You can say that. We used to get somewhere in the teens, 14, 11, 17. That's gone up to 52 last quarter. What we are, what we are happy with is the sustainable first line. Now that we are unhappy with the second, but definitely the kind of growth that we achieved on the earlier line is what we are trying to sustain going forward.

Rishikesh: Also on the cost to income part, could you guide for coming quarters Q3, Q4, what cost to income do we foresee?

Praveen Kuttu: Actually, not for Quarter 3 and Quarter 4 , but for the next full year, what we want to be is around 2.6%. Right, and I think it's achievable. 15 bps reduction from today on cost to average assets, I think it is well within our grasp. And I was not going to dodge Q3, Q4. The reason I was talking about the four quarters of next year, next financial year, is because whether this is a cost or investment, all of us will get to know soon. We are very confident that this is an investment. That this investment is mainly in people and also in technology, not to forget the fact that we have upgraded three out of the four core banking systems. We have upgraded our AML system, we have upgraded our behavioral biometric fraud detection system,

we have upgraded our SIEM

system. Right, leaving all of this aside, I think on the people front the investment that we made, we're beginning to see the benefit of that. Hopefully Q3 and Q4 will enhance that and that will result in us getting to the 2.6% average on a full year basis, April to March next year.

Rishikesh: Also, if you could share what is our home loan and LAP mix currently?

Praveen Kuttu: On the stock 50-50, on the incremental, we are trying to ensure that the BL is more than the HL and that has turned around.

Rishikesh: Could you share any targets that we have for the target mix?

Praveen Kuttu: We don't have a target mix as such. Like I told you, the NIM is where it is currently. In our view, it can only go up and we are working hard on that by multiplicity of ways. One of which is by focusing on higher yielding product. Having said that, at the same breadth, let me tell you, the management team here took a collective call , not to do high yield microfinance business pretty much early in Quarter 2 , pretty much early. And you can see that from an 18% contribution that has come down to 16%. So, we're not averse to taking a hit on growth if we believe that that's not the right way to grow the topline.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal: One question on the loan growth. We have been now consistently delivering healthy loan growth. 20% is what we are looking at sustainably. Certain segments which were declining earlier there has been a sharp like pickup in the disbursement in those products like especially if

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you look at the CV, the corporate there is a sequentially there is a strong pickup on disbursement.

And so how are we looking at this contours of overall loan mix going into the next year?

Praveen Kuttu: First of all, I want to tell you, Nitin , that our corporate book has declined and has not grown. If I remember right, Rs. 100 crore less than what we started the year with.

Nitin Agarwal: So, I'll just quote the disbursement number was like Rs. 475 crores in the previous quarter, which is now Rs. 634 crores this quarter, like 30% plus jump on a sequential basis.

Praveen Kuttu: But what I would suggest is look at the overall pie chart on Page number 21 and compare it with the pie chart of last quarter, you would see that the corporate banking book in Q1 is less, Q2 is definitely less than March, if I am not mistaken. In absolute terms, I know the number. It's about 100 or less than what we started off the year with. Maybe more disbursal happened , must be short -term loans. Must be short -term loans that have been given. But otherwise, no change in strategy. In fact, we're less than March is .

Nitin Agarwal: And likewise in CV also, that was like more of a defocused product. And this quarter that has

shown some pickup. So, how are we looking at this segment now?

Praveen Kutty: So, these are more of opportunistic lending given to certain existing CV customers, because one of the things that we found out, which should have been apparent earlier, is that the performance of the book improves significantly if you were to keep it going. So, it's a small book, we just keep it going. I don't see that rapidly increasing. It's not like a target segment in itself. But the real movement is getting your mortgage and OD. That SME book which you see there, frankly, we are trying to convert it into a full overdraft product, a full engagement product, which will, similar to what we spoke about earlier also, converting that to a complete branch-led, digital-led engagement process.

Nitin Agarwal: And secondly on margins now, as the rate cycle turns in the coming quarters, how do you see the trajectory moving into the 1H? What sort of pricing power are we looking at in this sort of risk-averse environment?

And how much downside risk do you see further to the NIMs?

Praveen Kutty: See, I don't see a downward risk happening because cost of funds is, the deposit market continues to be challenging, like it has been for the last six months. So, when it's challenging that way, it is very unlikely that you will have a yield drop happening on any of these products, very, very unlikely. But like MFI, for example, we budgeted for something much more. That's not going to happen because for obvious reasons, right? So, that will get compensated by some other secured products which will not give you a similar kind of yield. So, that kind of dampening will happen. But much more importantly, the productivity that we will have of secured lending products like SME and LAP and even Home Loan will more than compensate for the rate drop in specific portfolios which we will not be really going after hard. So, to sum in substance, I think NIM is at one of the lowest which we can foresee.

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Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Praveen Kutty: Thank you for your patience. It's been late in the evening. Good thought provoking questions. I hope you got answers for that. If you haven't, please send an email to our Investor Relationships team. They'll be more than happy to respond to your queries and look forward to meeting you again or speaking to you again in Q3. Thank you very much.

Moderator: Thank you. On behalf of DCB Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

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DCB Bank Limited

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BSE Limited

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Exchange Plaza, 5th floor, Plot No. C/1,

G Block Bandra – Kurla Complex,

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Scrip Code: 532772 NSE Symbol: DCBBANK

Dear Sirs / Madam,

Re: Transcript of Earnings Conference Call held on January 24, 202 5

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Conference Call held on October 24, 2024 with respect to the Financial Results of DCB Bank Limited ("the Bank") for the 3rd quarter and nine months ended December 31, 2024. The same has also been uploaded on website of the Bank and can be accessed at the link given below:

DCB Bank Q3FY25 Earnings Call Transcript January 24, 2025.pdf

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubi Chaturvedi
Company Secretary &
Compliance Officer

Encl: As stated above

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"DCB Bank Limited Q 3FY25 Earnings Conference Call "

January 24, 202 5

MANAGEMENT : MR. PRAVEEN KUTTY - MANAGING DIRECTOR &
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Moderator : Ladies and gentlemen, good day and welcome to DCB Bank Limited Q3 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Praveen Kutty – MD & CEO , DCB Bank Limited . Thank you and over to you sir.

Praveen Kutty: Thank you very much. Good evening. Ladies and gentlemen, thank you for logging in. Let me take you through some of the "Key Highlights " of our Q3 Results :

To set a context, these are very challenging times. Demand is softening. There are headwinds on certain areas, specifically unsecured lending, MFI lending, etc.

Given this context, I am happy to note that the Bank has recorded a growth of 20% plus on customer deposits on a Y-o-Y basis. 22% on loans and advances , and 20% on balance sheet as well. We have been , over the last 4 -5 quarters , consistently growing at anywhere between 18 % to 20% range and this growth is something which we believe will continue in the key segments and products going forward as well.

Our yield on advances has shown an uptick . It is going in a descending mode till now, but in Q3 we have seen an uptick on the advances and while the cost of funds continues to inch up contrary to our expectation and what I told you earlier , the NIM has arrested its slide and has changed directions. Against the 20% top-line growth our NIM has grown by 15% Y-o-Y . And this is after quite a number of quarters that you have seen a double -digit growth in NIM .

We are reasonably satisfied with our fee momentum and more so with our core fee momentum, which is continuing its upward trend.

Like I mentioned earlier in the last quarter , the discipline on productivity and cost control is an area where we are focused on and while it is still early days we believe that we will be able to demonstrate this in the future as well.

I will take you to some "Key Highlights " and then keep the field open for questions :

- Our growth rate of 20% on deposits has been achieved while keeping the top 20 depositors at less than 7 %. They are 6.97%.
- Our savings account growth has been upward to 17%.
- 141 crore s of core fee income is the highest -ever so far.

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- Our capital adequacy is now 16.29% with the advent of Tier -2 capital during the quarter.

- We have 457 branches. Six added in the last quarter .
- We have been very conscious on improving the productivity and that you can see in the reduction of manpower quarter -on-quarter as well.
- Our gross NPA is now 3.11% and the net NPA is flat 1.18%.

So, these are the main highlights . Now I will open up the call for any questions that you may have.

Moderator: Thank you very much . We will now begin with the question -and-answer session. The first question is from the line of Hardik Shah from ICICI Securities. Please go ahead.

Jai: Congratulations on a steady and good set of numbers. A few questions Sir. First, it looks like the growth in this quarter from the pie chart that you gave on the loan breakup, it looks like that majority of the growth has come from co-lending and the share has now jumped to 11%. If you can share some more color and it looks like it is clubbed in retail. So, what are those products where we look co -lending and is the observation right that most of the growth has come from co-lending.

Praveen Kutty: Jai, so good to hear from you and you have been very generous. Thank you so much. On Co-lending , let me tell you, we have our growth excluding co-lending has been as good

as the previous quarters. But what you said about growth is, the growth in co-lending is correct. One of our biggest partners have on co-lending has started originating business again after a brief respite and when our partner started the origination of their loans, it also helped us to co-lending .

As far as your second question is concerned, we have a wide variety of partners in co-lending, various products that we do in no particular order are home loans, school finance, unsecured business loans, gold loan, SME, and commercial vehicles. These are the various types of co-lending products that we do with more than seven or eight co-lending partners.

Jai: So, but this quarter it looks like that or this time around it looks like it has majority it would have come from gold loan, right that is the understanding that is the delta.

Praveen Kutty: That is not a factually correct understanding. While the co-lending definitely has increased, that is the incremental that you see. Usually, we grow about 18% to 19% the last few quarters. The surge to 22.87% from normal growth has come from co-lending.

Jai: Secondly, you have two types of channels for microfinance, one is your own and then through BC. Is there any claw-back through BC and if you can share some more detail it is like industry practice of having the claw-back at around 5% or is there something different here in the MFI business.

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Praveen Kutty: First of all, we don't have two channels. We have direct lending through certain MFI institutions, yes. And then we have lending through our business correspondent channel. So, these are two business es that we have and what you said 5%, we don't have such a condition.

Jai: But is both MFI lending is actually to institution or to individual borrowers?

Praveen Kutty: The business correspondent lending is to individuals. The microfinance loans are given to MFI institutions. So, there are two different things.

Jai: On asset quality, non-gold slippages seem to have risen as you mentioned in the PPT also. If you can share some more details here, it is mainly because of the unsecured, but that portion is very less for you. So, what is causing this kind of a slight increase?

Praveen Kutty: We still have over 4% book on microfinance and that is going through a similar kind of pain that the industry is going through. We are no different from industry, so there is hit on that. I don't know how long that will continue, but it is that small component which we have is giving higher NPA.

Jai: Lastly, if you can also elaborate a few banks have already said that for unsecured MFI which is relevant for you they provide maybe by formula either 25 or 50 or some banks actually provide 100% in the same quarter, if you can highlight what is your policy.

Praveen Kutty: Internal policy Jai is internal for that particular reason so will not be able to kind of reveal the internal policy. What you will know is that you can see the overall provisioning how we are vis-à-vis credit provision that we do. So, that's the only thing we can say.

Moderator: Thank you. Next question is from the line of MB Mahesh from Kotak Securities. Go ahead.

MB Mahesh: Just one question on this quarter recovery has been on a little bit on the lower side, credit cost has been a little bit on the higher side, just some clarity around that.

Praveen Kutty: Yes, that's right. The recovery is on the low and in absolute sense that is true, but we have had more than normal slippages happening because of the BC/MFI book and some small unsecured DA books that we had. So, while it's anticipated, it's higher than normal.

MB Mahesh: Praveen that is on the slippages side, but on the recovery and updates.

Praveen Kutty: Recovery has been similar to what has been in the previous quarters, whereas the incremental

slippage that happened is on the microfinance book usually what happens is that when you have slippages happening on a normal book you get recoveries also within the first one or two months, so the pattern is like this. Either you recover it in the first 2-3 months, or you wait for the judicial order for any secured asset which you have to take possession. These are the two types when you get bulk of the recoveries through. Whereas in unsecured that first component is we are

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seeing a higher once MFI is slip into NPA, there is no immediate recovery happening from that book.

MB Mahesh: My second question is with respect to the segment that you are lending towards today is that business fully recovered, they are growing, what is happening on the ground?

Praveen Kutty: See the ticket size that we are in we are seeing that there is enough demand in the market. On gold loan, I don't know true this is, but our interpretation is because of the microfinance slowdown, there has been a surge in in gold loan and that's helping both the natural organic book as well as a co-lending book. For our kind of business with a relatively low base growing upwards of 20%, it's not that much of a problem in the chosen segment that we have. There is enough demand for that. So, that's the way I see it.

MB Mahesh: Praveen, just to step in, the question is more so in the sense that is there recovery in business for the people on the ground just trying to understand that part in credit demand?

Praveen Kutty: There is enough credit demand in the segment. Clearly there is no slowdown there and we are

able to pick and choose.

Moderator: Thank you. The next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: My question is on if you look at the mortgage NPA's for the last two quarters, they continue to rise. So, if within the LAP book, can you give some color firstly, the reasons around that and secondly, some color around the average ticket size and LTV on the LAP book.

Praveen Kutty: Mona, have a look at our slide where we show in the incremental slippage and recovery for mortgages and just compare two numbers for me. One is Q2 slippages and Q3 slippages. One is 46 crores that is Q2 and then Q3 it is 37 crores. So, in absolute sense, the slippage is decreasing.

Is it where we want to be? No, definitely not. But are we getting better than the previous quarter?

Most likely, yes. I will tell you which page number to look at. Page number 26, just look at Page number 26 and you do the math 569-532 versus 532-486. So, you are talking about 37 crores versus 46 crore. So, it's getting better but having said that, we will never be happy. We really want to drive that down.

Mona Khetan: No, but if I look at the overall size, last quarter also there was a sharp increase and this quarter also the NPA has increased by 7%. So, and that's not something we are seeing for the industry as a whole so can we say that more it is pertinent to you that causing the higher slippages.

Praveen Kutty: Not really. Let me put it this way, we are not happy with the fresh slippage happening on the mortgage portfolio but quarter-on-quarter we are seeing progress happening on that. Our current bucket bounces are looking better. I will take you to the last one of collection efficiency pages.

Have a look at it, they give you a good indication of how things are. Just kindly go to Page number 28 and look at bucket 0 collection that will give you a good indication of how the future

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is going to look like. So, 99% recovery on LAP, 98.9 on home loans so that is the way it's progressing. Specifically, when you spoke LAP, we touched 99 for the first time, while it's only a decimal place movement, but the current book bucket -zero

book is a large book. So, how does

that behave? I am sure I am preaching to the converted, but even a small decimal place movement there has got impact, either positive or negative on future flows. So, we are pretty much happy with the lower absolute slippage happening on a larger portfolio, not percentages, and we are reasonably comfortable with the direction in which our bucket -zero collection efficiency is moving.

Mona Khetan: And is it possible to get some color around the average ticket size and LTV in the LAP book in particular?

Praveen Kutty: See, we are always in the 25 lakh to 27 lakh loan range. So, that's where we are. LTV number is something which I don't know whether we publish, I don't think we publish LTV. It is very conservative.

Mona Khetan: Higher write-off during this quarter, were they mainly on account of MFI portfolio or CV as well?

Praveen Kutty: No, CV that that story is over. So, we had a lot of bad NPAs still remain. Whatever is left in the organic book remains there. The DA Book is much better, so we don't have too CV flows into NPA?

Mona Khetan: Mainly MFI that is got higher write-off this quarter.

Praveen Kutty: Yes, relatively speaking, but if you look at absolutes, mortgage is something which we are working on in curbing, reducing while going forward. Directionally, we are happy with slippage.

If you ask, are you happy with the 37 crores slippage? No, not really so, but 37 is better than 46.

Mona Khetan: And I am just finally on the margin front, margins have been trending much lower than what you have been guiding for so what are the levers to margin here on?

Praveen Kutty: Theoretically, the levers are your yield in advances, yield on investment, and your cost of funds and your NPA's. Theoretically, there are only four elements to that. Again, I am talking about the direction. Directionally, I am reasonably happy that the NIM reduction, the descend has stopped, and we have an uptick, right. We have 3 bps better and this coming on the wake of yield on advances going to 11.44% as against 11.38% in the previous quarter. And three months back, I thought the cost of funds should stabilize, it hasn't. It's increased by 3 bps. But the net result of it is that we are better off by 3 bps on NIM, 11.44 of interest yield 11.38 previously, 7.20 of cost of fund 7.17 previously. And on NPA, you see net NPA still at 1.18 so it is like flat so I am taking it out of the equation currently.

Mona Khetan: I try to understand versus your earlier expectations a few quarters back to now, the 20 bps or 25 bps lower NIMs that you assume today that's driven by if I could understand maybe 5 bps by

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higher cost of fund and what are the other things that not panned out as per expectation which led to the....

Praveen Kutty: Broadly, the number 1 villain there is cost of funds and number 2 is that our interest yield was descending. If you were to see Page number 31 let's have a look at that. The uptick yield on an advance is a very important factor. It is more than the cost of funds increase. So, these are two critical factors. But Mona let us put it another way, look at this way, our top-line growth has been 20%, for the first time in three or four quarters NII is double-digits. It is actually 15%. For the NII growth to be representative of the top line growth, if you have to grow by 20%, when will the NII grow by 20% that story is something which we are targeting. So, if you do from single-digit you move to 15%. Going forward our ambition and the work that is happening in the Bank is to ensure that even though with a lag, your NII growth reflects the top line balance sheet growth.

Mona Khetan: Just finally, was the status on the capital infusion from promoters.

Praveen Kutty: I have been saying this repeatedly. There are some

minor information that we have to provide to

Reserve Bank of India on the capital infusion and once that happens, it could happen anytime.

But that's what I said last time also, we are expecting it to happen frankly anytime. Hopefully, next review you probably will ask this question, we will not be answering this question.

Moderator: Thank you. Next question is from the line of Akshat from SM IFS Capital. Please go ahead.

Akshat: Congrats on a strong set of numbers. The first question is on cost, is it just due to headcount reduction or is it actually we are already seeing some productivity benefits coming? Further you changed the cost guidance target in the presentation from 60% CTI or below from 55% earlier and in terms of cost percentage asset at 2.5% -2.6% from 2.4 %-2.5% earlier. Is there some change in strategy on that front?

Praveen Kutty: On the question. I will tell you how the cost has worked. It's a combination of two, three things.

There has been a productivity increase, there has been a selection and deselection. We have ensured that the performers taken care of and the non-performers are groomed and all that work which happened over the nine months period is giving us some benefit. And somewhere where we failed, where we did all our effort, and it is still not working out that has resulted in a headcount reduction. Headcount is only one part of it. We are also assessing working on the other expenses as well. So, there has been a series of cost measures that have been undertaken by the management team, which hopefully should give continued discipline on the cost front. So, our effort on productivity will continue. And leaving productivity aside, on the other expenses there is a discipline that we have put in which should see a similar kind of trend line emerging in the future as well.

Akshat: Yes. So, change in cost guidance questions.

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Praveen Kutty: On the changes what we thought of as we break up the milestone into smaller bite sized pieces so that we overachieve that rather than give a number which is far too distant which we really haven't done for the last few quarters. So, if you were to see cost increase for one from 64.8, we are now looking at about 62.4. We are trying to bring that down, even though the focus much more is on cost to average assets. So, getting it under 260 was key internal milestone for us. Now we are to get it on to 255 kind of mode. It is not going to be easy especially with the kind of growth momentum that we are targeting. But then again, it's not an easy job anyways. Right. But there is a lot of work going around towards that. On the NIM front also if you notice what you mentioned about cost is true, we have looked at slightly more revised numbers which we would like to get to. And to give you a bit of color on how DuPont would look like possibly I am kind of making your next question redundant. 350 kind of NIM and then a 1.1 kind of fee, we are currently at 1.04. We are 1.23 last quarter, but on core fee income you were to see, a good performance on core fee income this quarter. It's like 1.04, so it's a bit of an ask to get to 1.1. Get to a 255 kind of number, we are 259. We are in a touching distance right? It is not a low-hanging fruit, but it is a touching distance is doable 255 and credit cost currently were 38 but for time slot number, every quarter we have been saying we are in the 45 to 50 kind of range, so that's how if you were to look at it $3.30 + 1.1 - 2.55 - 50 \times 0.74$. If you were to do the math, it probably would come at 1% ROA.

Akshat: Thanks for answering. Another question is on CD ratio it jumped roughly 3% and while it's still lower than many of the private banking peers, is there some change in strategy on level or like some deployment of extra liquidity like from CRR account or something else?

Praveen Kutty: No, simple answer we got some Tier -2 capital during the quarter and that came in and because that came in and we looked at cost of funds, we looked at a bit of borrowing even though customer deposit if you see has also grown handsomely. But we did a bit of a mix to get the cost also into play, which is resulted on the CD ratio going worst, but that's not a direction we want

to take. We are not particularly happy with. We always want to grow deposit more than loans. We want to bring it back. So, there's no strategy change in that direction at all. In fact, if anything, it just reiterates of our strategy that we should get the CD ratio back to lower levels.

Akshat: If I could just squeeze in one small question, yield on advances uptick, is it related to co-lending growth or more of a function of increase in LAP versus retail mortgage loan? As in has it moved substantially from roughly 50:50 demarcation which you had guided like earlier. So, how fast are you planning to ramp up this proportion of business loan, which would probably help offset the impact of anticipated rate cuts at some point this year.

Praveen Kutty: Essentially you are right, it is because of the change in the mix. Co-lending cannot give you that benefit to that degree, right? So, that that's not it. We have moved HL to BL. I want to tell you this that may not be the way it will be continuing in the future and the reason why we are relooking at it and revamping that the thought process is because of the advent of PMA Y. The current PMA Y is hitting the sweet spot of the home loan which DCB Bank does, 25 lakhs, there is 5 year the book stays with you, upper cap of 11.5% interest rate. If the customer becomes delinquent, then the customer ceases to get the subsidy. The subsidy is spread over 5 years. So,

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these are wonderful principles which just make it so much of the kind of loans that we want to do, and obviously it comes in a low risk weighted asset. So, we may once the final PMA Y guidelines come up, relook at this ratio business. We may even ramp up the home loans because at 11.5% max, which meets all this criteria, there is an onus for the customer to make the home loan the last loan, he or she will default. So, probably we will give that home loan once PMA Y may come in or affordable home loan the impetus that it deserves, but till then the BL will continue to dominate over HL.

Moderator: Thank you. Next question is from the line of Aditya from S IMPL. Please go ahead.

Aditya: Sir, my question is on co-lending. So, we have stated in the past that we would like to keep this at 8%-9% of total advances. So, this quarter, this constitutes now around 11% of advances, so is it just a one-off or there is some change in the strategy of the Bank?

Praveen Kutty: So, see, I am not too sure whether we have said that the co-lending will be explicit percentage, at least in public. I don't think we have said that, but having said that as a Bank, there are reasonable caps that we have at our product segment location level, which we don't want to burst because of inherent risk reasons. But as far as co-lending is concerned, we are pretty much comfortable with the kind of book growth that we are getting. We are comfortable with the yield that we are getting, the book growth that we are getting. I will tell you some of the philosophy on co-lending is very important that we should articulate that. We want to do co-lending with partners who are either not in the product that we have or not in the segment that we have or not in the location that we have. So, we are very clear who we want to do co-lending with and for what, right. Tomorrow, after getting a experience of this unknown product, unknown segment, unknown location will we go into it, that probability exist, but the fact is we want to keep

keep

extremely clear Chinese walls to ensure that the partners are in a way we were non-territory in that level. This comes with low or very little operation cost. It is a cost income ratio. At the right yield and at the right risk framework, it is a good partnership to get into as long as you have chosen the partners right.

Aditya: And sir, as you mentioned that co-lending would give you lower yields, but should have a lower OPEX as well, so on the return perspective, does this product give us a targeted ROA of 1% or is it lower a bit higher, any perspective you can share on the same?

Praveen Kutty: Unfortunately, I wish I could, but I can't. We don't do product-wise ROA, but obviously the kind of business that we do has to be accretive in nature. Otherwise, why will you do business? It has to make sense for both sort of parties if you are going to do a scale up business.

Aditya: And sir, next question is on your cost of funds, so a deposit growth has been pretty good as compared to the industry because of it, the cost of fund has seen some increase because of liquidity concerns in the system. So, do you think the cost of funds has peaked now or they could increase further?

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Praveen Kutty: Look, last quarter also, I said I expect this to be stabilizing in the next quarter and that has not proven true. And it is not because we took a Tier-2 capital, which usually is a slightly higher cost than normal deposit. That contributed, but that is not the only reason. There is a tightening which is there. Maybe, who knows, Q1 could tell us a real story, but I have been proved wrong last quarter. So, frankly, I don't know whether that opinion really matters, right. So, what we are looking for is to ensure that we get the right components, get retail deposit, small ticket size as

far as possible, and small businesses, get the conscious rights that are LCR norms are well and truly and very comfortably met, but on cost of deposits, one really can't tell. All we can say is that the deposit that we used to book 3 years back when it gets repriced, it is fairly a similar kind of rate. So, it is not a question of repricing the stock which is creating an increase in the cost of fund. It is undeniable that there is a tightness of deposit of the margin. You know that from the industry published figures as well.

Aditya: And sir, our targeted ROA 1%, so there are three levers, so one was cost to income and other income. So, on both of these aspects, we are even touching these things of a targeted range, but on the NIMs part, that is one area where we are pretty far from a targeted range. So, going from around 3.2% -3.3% NIMs to around 3.5% -3.6% NIMs, how long do you think it will take us to reach that level to achieve the targeted ROA of 1%?

Praveen Kutty: So, this is what I was telling Mona who asked a question earlier. If you were to look at the last 3 quarters, the topline was leading, we were around 18%-19% consistently, but the NII was lagging and therefore the bottom line also was lagging, single digit growth. Now, you are seeing NII growth at 15% Y-o-Y right, there is a 15% Y-o-Y increase on a 20% growth in the topline. You will see the NIM benefit actually coming through when the volume benefit translates in entirety to the NII growth. I am not saying it is 20%, but let us say, it is a 20% top line. And when the topline grows at 20%, the NII also grows by similar 20% Y-on-Y. So, that is where you would see us inching closer to the 3.3 kind of NIM that we are targeting, but having said that every second decimal point improvement, whether it is cost to average assets or fee is a fight. So, there is a lot of work happening on that count to get that moving. And also remember, our credit cost is 0.38 whereas the guidance is around 0.45. So, we have to cover for

that also because the steady

state scenario is around 0.45-0.5 kind of number. So, you have to cover it for that also. So, the management team is aware of it, they are working on it. How well we execute and how fast we execute will tell the story. I think directionally we are going right and what we are watching is how are we moving directionally is every quarter directionally better than the previous quarter.

Moderator: Thank you. Next question is from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal: One question I have is on margins which are the key metric for us to achieve 1% or higher ROA and so how confident are we to improve NIMs to 3.6 -3.65 especially as the deposit markets remain tight, liquidity remains in a deficit and going ahead with potential rate cuts, yields may get further impacted. So, how do you look to drive this? And any color that you can provide around the incremental disbursement yields and the book composition in respect to the repo and MCLR linkages, so covering this entire piece, if you can provide some color because this is very key to for us to reach 1% ROA?

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Praveen Kutty: I will tell you first what we are not doing because that is very important. In the chase for higher NIM, we are not going to move out of the risk framework or the business strategy framework that we have put for ourselves. And the reason for that is we have seen the bloodletting that the market does. The market, frankly, is red in its tooth and the claw. It bites you back very badly during tough times, so that is something which we will not be kind of exploring. So, within the risk framework and the business strategy framework, we are reassessing our portfolio because if you were to look at the portfolio, you have all kinds of level, at low level, we are working out strategies to improve the ROA and ROE for the loan. How do we improve that? First diagnosis is very easy, right? Rs. 47,000 crore of loans, which are the ones you are cutting it, which are the ones you are not cutting it, we know that. That is the easy part. The difficult part which we have embarked upon is where those loans are not cutting it. How do we ensure that we get additional revenue through a variety of products the Bank has, and mostly it will lead to increase in fees, specifically core fee income. You can't negotiate and get a higher rate of interest, but what you can do is you can get higher revenue. And we have started doing that already and you are seeing some benefit of that in the improvement in the core fee income over the last 3-4 quarters, right. I am not saying all of it is because of the good work that you have done. It is really arduous task, it is not easy to go back and cross-sell various products that we have. We have more than 50% of our Rs. 47,000 crore book is mortgages. Mortgage for us, it has always been a low engagement product. Now, we are unashamedly, shamelessly going back to the customer, finding out ways in which we can offer something he or she wants in the financial market, which would help him or her, and also would help us get revenues from the second or third product that we are offering. Tough task, not easy, difficult, but that is how we are planning to improve the ROE at the loan level. It may not increase your NIM, but it definitely will improve your overall revenue from the customer. At the end of the day, frankly, it doesn't matter to us because stickiness increases the second product. There are so many other benefits that come through. A lower cost of fund provider will not be able to take that customer away from us. So, theoretically, there are a lot of benefits, but practically how well the team and I implement this

will mean how fast we get to the desired ROA. Sorry, long answer, but it is very important that we share with

you what our thought process is.

Moderator: Thank you. Next question is from the line of Gaurav Jani from Prabhu Das Lilladher. Please go ahead.

Gaurav Jani: Just one question, on the MFI front, what kind of a timeline you envisage in terms of the pain that could be recognized in the upcoming quarters, any color on that?

Praveen Kutty: I wish I could tell you an answer. I wish I knew myself, but what we are seeing in the industry when you go to credit bureaus, etc., is that every subsequent month looks like worse than the previous month. So, that is a very pessimistic answer. But I wish we see an improvement happening, but right now the honest answer is we don't know.

Gaurav Jani: And sir, if you could just sort of also give out as to what kind of steps already been recognized of the overall MFI portfolio, if you could just show out the numbers, please?

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Praveen Kutty: I think it is all mixed up in the others, so you probably get a sense of how that is moving. See, because it is a small portfolio, so it is getting kind of submerged in that others column. So, it is not big enough for us to show you separately.

Gaurav Jani: And sir, just wanted your sense on the normalized credit cost, right? Before COVID, if I had to look at your historical numbers, we were at somewhere between 60-80 basis points. Now with credit cost normalizing for the system and other banks, what sort of levels could we envisage after this MFI PMAY is entirely recognized?

Praveen Kutty: Having said that MFI is a small, in the overall context of things, for us it is a very small percentage of the pie, the 16%-18% credit cost is actually unreal, and I will tell you why it is unreal. Because we had a large restructured book and the restructured provision was taken for these customers.

Gaurav Jani: 60-80 basis points pre-COVID?

Praveen Kutty: I am not too sure whether it is right, but somebody can check this out. My understanding was that I will have a look at March 2020 or even March '19 that will be a good number. Let me see whether you are right. If you are right, then I probably don't have an answer, but I think you are not totally correct. We will check out, because 2019 is a good time to check, right, because March 24th, 2020, we already had declared COVID, and we had taken incremental provisions. Most banks had; we also did. So, 2020, March may not be the right year to look at. We will have a look at 19 and see where we were.

Gaurav Jani: Yes, I am looking at the numbers. So, 19 was about 64 basis points. That is, provisions divide by average loans and it was 77 basis points in 18, so?

Praveen Kutty: I will tell you in a moment, but let me answer the second part of the question. Where do we see this? We see normalized credit cost somewhere between 45-55 bps. That is what the model usually supports and the reason why we have been consistently lower and even in Q3, we are lower is that we are getting a diminished return benefit on the restructured book being there. So, I will have a look at March '19 and get back to you. Somebody is furiously searching for it. We are just checking. Let me see if I can provide you an answer right now. Otherwise, I can send you by e-mail after checking whether this credit. What I will do is we will get to send you a trend line of the annual credit cost for the Bank for '18, '19, '23, '24 and now. Let us have a look at it. Based on that, we can revisit this question if that is okay with you.

Gaurav Jani: I am done from my end.

Praveen Kutty: But if you don't hear from us, please call. I am not sure you will hear it, but happy to take this question. I am happy to come online with you and talk to you, giving you the answer for this as well.

Moderator: Thank you. Next question is from the line of Amit from RoboCapital. Please go ahead.

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Amit: Sir, my first question is on the profit and sale of investment. So, if I look at the last year for FY24, the number was I think Rs. 33 crores and the first 9 months, you booked about Rs. 100 crores plus and this quarter is also healthy, I think around Rs. 35 -Rs. 40 crores. So, what should we forecast that number for FY26 and FY27? Broadly, what is the run rate there, annual run rate?

Praveen Kutty: I won't be able to comment on that because what we do is we forecast the core fee income, internally also we look at the core fee income and have a clear plan, a clear goal on whatever is core. And then we look at one-off which can happen both at the opportunity front and the risk

front. So, that is how we plan our budget for 3 years go forward, but to answer your specific question, it depends upon how the interest rate movement happens. In fact, what I will do is I would request Ajit Singh, who heads Treasury, to kind of give his views also.

Ajit Singh: Amit, actually it is easier to predict at least for 12-month horizon for rate of interest. But please note that for sale of investment, a decent portion would come from equities by way of IPO. For that it is very difficult to make a projection for coming one year. We don't know how equity market will evolve and what kind of IPO will be there, what kind of premiums will be there on that. It is very difficult to, but generally for a rate of interest, we understand that going ahead, like interest rate should decline. This is a fair projection. It is a question of time, like somebody may be predicting for one quarter, it may take two quarter or so, but it is very difficult to predict for equity, actually how IPO market behaves. So, we are not able to give you the precise number for that. It will be a little unfair on our part to give guidance to the market on that.

Amit: Sir, but my understanding or my interpretation from outside was that whenever there is a one-off on the cost side, maybe, some treasury profits can be booked to set up that one-off, so that some run rate can continue. Is that a fair assessment or it is not like that?

Ajit Singh: Your assessment in the sense that please note that we are typically NIM centric Bank and although we do book one-off income, we have a calculation on how our yield on existing assets will behave going ahead. Part of the income, we may be booking but it is not that everything that is available on the plate, we finish it off. This is the way, but interest rate, we believe that there could be decline and Bank may be booking say trading income and in the present regulatory environment, only 5% of HTM book is there. One-off, like during the first quarter it is not available. So, that is what we can, if we decide to book, we can book, but it will be unfair to give a projection for the coming financial year because we don't know how equity will be.

Amit: I have second question on, I think I joined the call a little late, so apologies in case this was discussed earlier, there is a write-off about, I think Rs. 80 crores odd, so can you share some details on that?

Praveen Kutty: So, last year, write-off, if I remember right, was about Rs. 69.3 odd crores, maybe slightly shorter, Rs. 70 crores. And this year, the write-off was about Rs. 71 crores is in line with the normal write-off or way which we take. So, that continues as normal and so it is a mix of various products which we have kind of gone through and the residue which remains is written-off, but

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for the frontline it is business as usual. They continue to collect, and we continue to get recognized income on collection of these on a go forward basis

Amit: Was there a one-off there because in December quarter there was a bump there, right

? But on an

annual basis, you are saying there is no one-off if you let it down? Is my understanding correct?

Praveen Kutty: No, it is a normal one. Ravi, you want to comment on that?

Amit: If I look at December, the Q3 numbers, I see Rs. 84 crores there on Slide number 26.

Praveen Kutty: So, that includes write-off, haircut, sacrifices, OTS, all put together. So, we give up a complete download on all kind of sacrifices that we have taken during that particular quarter.

Amit: So, again, out of that, if microfinance contributing large portion out of that 84, is there some color available of that 84?

Praveen Kutty: No, it is a combination of accumulated, Microfinance problem and NPA is a new phenomenon. We don't want to give it up this early. We will continue our multiple levels of collection strategy, including legal, including fee t on street, including calling, all the works before we write-off anything. So, these are not necessarily MFI, at least not currently. Maybe two years down the line, possibly some of microfinance also could come in.

Moderator: Thank you. Next question is from the line of Raghvesh from JM Financial. Please go ahead.

Raghvesh: What I wanted to understand is how the average ticket size expansion works in terms of that one mix, our understanding is maybe yields were too lower, there is the cross-sell income higher than lower cost initially does it compensate our sacrifices on and how does that?

Praveen Kutty: First of all, the higher ticket size thing hasn't shown any appreciable material movement, at least not enough material movement to create a dent in the cost or improve the productivity. That has not happened yet. And also the yield will have a slight impact had it gone higher. So, we still are trying, but that really hasn't caught fire so to speak. So, why we want to get in the segment is that overdraft product 50 lakhs is something which we have an inherent advantage over the type of competition that we deal with, which is mostly NBFCs. So, that is why we are going slightly higher ticket size within the same framework, but to say it is working, no it is still very much WIP. We are not particularly happy with the kind of movement that has had. And so therefore, it is definitely not the reason why the cost income is improving or the reason why cross-sell income is improving. The cross-sell increment is improving primarily because we are going after the old customers who have not been gone after. We have been reaching out to asset customer s. In the branch business, there is much more of transaction, digital as well as physical to enable

cross-sell. On the asset side, primarily on the mortgage side, we have been kind of pretty dormant about it. There is one or two interaction during the tenor and then whenever the customer closes the account, closes the home loan that is the interaction. So, we are trying to change that reaching DCB Bank Limited
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out these customers and they have the same financial requirements as just about anybody else.

So, there we are seeing a slight uptake happening on the cross-sell-related fee income.

Raghvesh: But that is what we are seeing now. So, if we are able to double the ticket size, so in that segment, will the yield be low?

Praveen Kutty: So, obviously that is an opportunity for us from a 27, if you were to go to even 45, that is at least a 60%-70% improvement in productivity. So, we still are at it and theoretically will it result in a reduction of yield, maybe, but the net revenue will definitely be positive for the Bank rather than negative because the price differential between 45 lakh and 27 lakh or 26 lakh is hardly anything.

Raghvesh: And sir, how is the total mix in our mortgage business, entirely in-house or are we dependent on the DSA for large portion?

Praveen Kutty

: We continue to be partly dependent in the big cities. There is dependence in the smaller towns, we are fairly doing things on our own. So, the ratios have not changed too much.

Moderator: Thank you. Ladies & Gentlemen, that was the last question.

Praveen Kutty: Neerav, thank you very much.

Moderator: Sir, would you like to give any closing comments?

Praveen Kutty: We are back to the drawing board, back to putting our nose to the wheel. It is a challenging market out there. It is not easy. But we have a task on hand and we are just taking fresh guard and facing the next ball. That is where we are.

Moderator: Thank you very. On behalf of DCB Bank Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2025

DCB Bank Limited

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Ref. No.CO:CS:RC:202 5-26:028

May 01, 2025

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P J Towers,

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Mumbai 400 001 National Stock Exchange of India Limited

Listing Department,

Exchange Plaza, 5th floor, Plot No. C/1,

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Scrip Code: 532772 NSE Symbol: DCBBANK

Dear Sirs,

Re: Transcript of the Earnings Conference Call held on April 25, 2025

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Conference Call held on April 25, 2025 with respect to the Audited Financial Results of DCB Bank Limited ("the Bank") for the quarter and year ended March 31, 2025. The same has also been uploaded on website of the Bank and can be accessed at the link given below:

184. DCB Bank Q4FY25 Earnings Call Transcript April 25, 2025.pdf

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubi Chaturvedi

Company Secretary &

Compliance Officer

Encl: As stated above

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DCB Bank Limited

Q4 & FY25 Earnings Conference Call

April 25, 2025

MANAGEMENT : MR. PRAVEEN KUTTY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DCB BANK LIMITED

MR. SRIDHAR SESHADRI – WHOLE TIME DIRECTOR –
DCB BANK LIMITED

MR. RAVI KUMAR – CHIEF FINANCIAL OFFICER –
DCB BANK LIMITED

MR. AJIT KUMAR SINGH – CHIEF INVESTOR
RELATIONS OFFICER – DCB BANK LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the DCB Bank Limited Q4 and FY25 Earnings Conference Call. Today we have with us from Management, Mr. Praveen Kutty, Managing Director and CEO , Mr . Sridhar Seshadri, Whole Time Director, Mr. Ravi Kumar, Chief Financial Officer and Mr. Ajit Kumar Singh, Chief Investor Relations Officer.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Praveen Kutty, Managing Director and CEO. Thank you and over to you, sir.

Praveen Kutty: Thank you. Good evening, everybody. I will give you a very quick brief on the Q4 financial performance of DCB Bank. In continuation of the trend of growth momentum, we have seen a balance sheet growth of 22% for the year. Deposit growth was a healthy 22 % and the loans growth was 25%.

This growth was achieved with our savings account growth being 19% and our top 20 ratio declining over the quarter to 6.61%. But it is not all about growth alone. From a NIM perspective, the NIM is stabilizing at 3.28% from 3.29% in the previous quarter. The bank had a total fee income of Rs.751 crores for the year and the core fee income for the quarter was never before high of Rs.161 crores coming in on a previous high in the previous quarter.

The efforts the bank has put into technology and productivity enhancement, it started to show signs of results. Our cost to average assets for the quarter came in at 2.54%. For the first time in four years, the growth rate of operating income over operating cost, we saw that the jaws were widening. The growth rate of the operating income was higher than the operating expense. In an environment which is challenging, I am happy to share with all of you that the provision cost has come lower for the year.

We have seen that we have come at a full quarter provision cost of 0.33% on average assets and we have seen that the slippage ratios in Q4 have come down at the lowest in the last five quarters. Or the bank always has had a healthy recovery over fresh slip page. Q4 has 83% of the fresh slippage.

You have seen that the recovery to slippage ratio is at 83% for Q4. We closed the year with a gross NPA just under 3% at 2.99%, much lower than what we started the year with at 3.28%. There have been no write -offs during this particular quarter.

Net NPA comes at 1.12%, one basis point higher than what we started the year with, despite inclement weather with regard to unsecured lending which we do not do too much and

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microfinance loans where we do in as much as we need to do agri -PSL and small farmer, marginal farmer, PSL categorization.

The PCR is healthy at 74.48. All in all, we are reasonably happy with the growth momentum, the improvement in portfolio quality and also the path that we have set in terms of cost and operating leverage. It sets a platform for the next few quarters to come . That's my opening remark.

Happy to hear questions from you. Happy to hear thoughts from you. So operator, if you can open all the lines and in sequence, if you can have the queries and questions, we are happy to take them.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aksh at Agarwal from SMI FS Institutional Research. Please go ahead.

Aksh at Agarwal: Good evening, sir. Thank you for the opportunity and congrats on a good set of numbers.

Praveen Kutty: Hi, Akshat. Good to hear from you.

Aksh at Agarwal: Sir, my first question is on NIM. It's

great that you have been able to achieve a stable NIM trajectory with just one bps decline . Can you help us understand how are we thinking about the margins from 4Q exit time of 3.29% to a possible path towards business model NIM of 3.5% to 3.65% next two years? And is the strategy of moving from retail loans to business loans still in place, which could offset the rate cuts impact at least to some extent?

And was this a driver of 10 bps yield on advances expansion this quarter? That was my first question. So I will ask a few more.

Praveen Kutty: Thank you. So, on the NIM, what I want to tell you is that while there is NIM's compression and to some degree of NIM stabilization, this is not exactly where we want to be. But to get to where we want to get to, I don't think we will be moving away from our strategy of secured assets, granular deposits and granular loans.

So that's sacrosanct. So within that particular framework, there has been some work which has already happened on immunizing the impact of a rate cut through reduction of savings account rates. So to some degree that we have kind of absorbed the hit on account of repo rate cuts. There is work happening on reducing the cost of deposits. The bulk rates have come down quite substantially since March 31st. On retail term deposit rate also, there is a reduction, not very high, but there is definitely a reduction which is being affected.

So on the cost of funds, there is some bit of action that has happened and I don't have to tell you. The impact of that will happen over a period of time. So that's what's happening on the cost of funds mode. On the yield, we have been consistently tweaking our fresh sourcing within the framework that we have towards high yielding product.

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We are pretty much happy with the LAP to home loan ratio in mortgage now as compared to what we were a year back and also as to where we were about a quarter back. So there is a momentum shift that is happening.

I would tend to think that going forward, how we are going to address this is that the percentage growth of co-lending based products where the yield is slightly subdued will be actually on par with the balance sheet, whereas we could have the organic book growth contributing significantly more than what has been contributing till this time. So there is a product mix in terms of organic versus inorganic, and also within organic, higher yield products is where we are focusing upon. The journey which we have taken about at least 4-5 quarters back, that is continuing and that momentum is there.

Lastly, just to repeat, are we going to get into unsecured lending or higher yield product outside the framework of what we have? Very, very unlikely. Does that answer your question, Akshat? Hello.

Moderator: Mr. Akshat, we are unable to hear you.

Praveen Kutty: Can we go to the next caller then?

Moderator: As there is no response, we will move to the next question which is from the line of Aditya from Securities Investment Management. Please go ahead.

Aditya: Hi, sir. Thanks for the opportunity and congratulations on a good set of results.

Praveen Kutty: Thank you, Aditya.

Aditya: So my first question is on Net Interest Income. So you answered it partly in the previous question, but if I could understand, so NII growth has been trailing advances growth for some quarters now. We saw 15% growth last quarter, but this has dropped to 10% this quarter. So when do you expect to see both of them converging considering the rate cuts also being undertaken by RBI?

Praveen Kutty: So in a way, we are happy with the trend line. The aberration or the impact that you see of 15% coming down to 10%, some part of it is definitely due to the rate cut which you alluded to. While we have tried to address that through lower cost of fund, obviously, the impact on cost of fund will tr

ail the repo cut action on an ongoing basis.

So when would the Net Interest Income match with the top line growth? The effort that like I told you in the previous question, the effort that we have taken on the cost of fund will be a slow burn fuse, whereas the yield improvement within the framework that we are currently doing, you will be actually seeing the benefit of that happening. I just want to take you through a trend line, which will give you some indication of how the momentum is going.

If you were to look at the growth in terms of balance sheet growth at 22% and 15% is the increase in net interest income. This was 20% last quarter, but if you were to see the trend, and if you

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were to extend it to March '24, you are moving from single digits in March '24, June '24 and September '24 to 15% and 10% in the last two quarters. And the 10% impact is primarily brought in by the repo cut.

So from a trend perspective, underlying perspective, we are happy with the way the momentum growth is happening, and the yield and cost of fund activity that we are undertaking would help us get into a convergence mode more than where it is today.

Aditya: As per everyone's expectation, we are expecting one or two more rate cuts. So this convergence of loan growth and NII growth, this would have a lagging effect. So this would take a little bit more time to converge because of these rates cuts. Would that be a fair assessment?

Praveen Kutty: That would be a fair assessment, but I have to tell you, if more rate cuts were to happen, our ability to pass on that by reducing the savings account, etc will be limited. So as of now, its okay. But any future rate cuts, the ability to reduce instantaneously the cost of fund by reducing the savings account rates, that option would be limited for us.

Aditya: So consequently, I targeted ROA of 1%. So NIM was a big piece to help us get to that 1% ROA. So would it be fair to say that that ROA target would also get delayed? Or do we have any other levers in the P&L to offset that?

Praveen Kutty: I have a look at two levers or maybe three other levers which are there. But we have a fee to average assets of 1.18 for the quarter and 1.09 for the full year, which is higher than the indications that were given on what our fee income will be. Within the fee income also, the core fee income is a never before high and consistently that has been on a higher level. In our mind, that's a lever which had remained stable at a very low level for a very long period of time. But let me take you through the last five quarters of core fee income growth, starting from March '24. Rs.118 crore s, Rs.114 crore s, Rs.139 crore s, Rs.141 crore s, Rs.161 crore s.

Last three quarters have been our highest ever and the next quarter has been kind of eclipsing the previous quarter. So I am not even talking about the total non-interest income. We are talking about the core fee income only. Similarly, on non-interest income, 136, 143, 205, 184, 219. To my mind, that is some level of consistency. So that lever is something which we believe we have lifted from the averages of the last two years or three years if you were to see.

And there is enough belief within the system that the momentum will continue. The second point which we need to consider is one of provisions. As a bank, we have always said that our model sustains 45 bps to 55 bps of provision cost. While I myself have said that, that is the way it would be. We are closing this year with close to 31 bps of credit cost and the quarter with about 33 bps of credit cost. So even in an environment where MFI loans that the bank has is going through its problems, we cannot deny that.

But the fact is, despite taking accelerated provisions, the overall provision number is healthy at 33 bps for the quarter. So that definitely is a second lever which is working.

The third lever is

obviously when NIM compression happens, what can you immediately do to curtail the

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impairment issues that we have? And that evidently is cost. There has been a consistent reduction in our cost to income as well as our cost to average assets. Cost to average assets for the quarter has come at about 2.54%.

The goal to which we have spoken about albeit in a yearly sense is about 2.5%. So these are within touching distance of where we want to be. Fee to average asset is higher than what we had predicted. Provision cost to average assets, we are lower than what we had projected ourselves to be to reach a 1% ROA. Cost to average assets, we are at 2.54% for the quarter. 2.5% is where we want to be. So in one area in the NIM, there is an impact. But on the other three, the bank has been punching above its normal averages, which has been demonstrating for the last few years.

Over the last five quarters, you can see there is a visible movement in a positive way in all the three lines across the last four quarters ...

Aditya: Sir next question is – was on loan growth. So yes, our loan growth has been around 24%-25% this year, while our ROA is around 12%-13%. So, sir by when do you expect you will need to raise capital considering our current capital adequacy? And secondly sir, secondly our share price is currently below our book value. So if we raise capital at current valuations, it would be diluted to existing shareholders. How do you plan to address the same?

Praveen Kutty: I just want you to look at our CRAR. In a year where the bank has grown its advances by 24.7%, the capital utilization during the same time period, if you were to see our capital adequacy ratio has moved from, Tier 1 has moved from 14.53 to 14.30, 23 bps utilization for a 25% advances growth. And even now, obviously, if you were to look at 14.3, it is well above what we believe is a good capital kind of mark.

On a total capital basis, you are at 16.77. So there is enough in the tank for the growth ambition and consistent growth of a similar nature. If we can continue to do it, we are very cautious about the capital consumption, which is why your RWA is well within 50%. I mean, well below 50% also for the last few quarters. So yes, would you want to raise capital? Yes, at some point in time, you have to raise capital. Would you want to raise it at this particular level?

Perhaps not. We have three consecutive good quarters under our belt. Maybe we will have a few more consistent good quarters under the belt when we go to the market. And we probably will

go to the market at a rate which is more reflective of the intrinsic strength of the bank than what it currently is today.

Aditya: Understood, sir. Thank you, sir, for those many questions. I will come back in the queue.

Moderator: The next question is from the line of Apurv Parikh from Equirus Securities .

Apurv Parikh: Sir, I think you already touched upon and if I heard you correctly, you said on co -lending that the percentage growth of co -lending products would be subdued as compared to the balance sheet growth.

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Praveen Kutty: Right. As compared to the current, like next year, the co -lending growth will not be at the same level as the previous year.

Apurv Parikh: Okay. So can it be considered that does it have some bearing of the current RBI guidelines on the co -lending where a weighted average rate should be applied? And how, and subsequent to the guidelines coming into place, how do we see the whole product dynamics for us or the profitability getting impacted? Is it because of that guideline that we are going slow on to the co-lending or it is just that we want to grow organically to organic capabilities?

Praveen Kutty: It is basically NIM, right? Look at it this way. If you were to do a

loan originated by somebody

else, you necessarily have to give a sacrifice. And that sacrifice usually is net interest margin.

So and we make our budgets pretty much early. And there is not a reaction to what RBI has come up with. Where the strength of the bank is in its origination in this portfolio quality, while co-lending helps.

The way we look at co -lending honestly is that you get into a segment that you do not otherwise get into, you get into a geography that you do not otherwise get into, or you get the product that you do not otherwise get into. It's a very good petri dish to do your experimentation and to figure out what works, what does not work. And it also helps boost up some revenue in that sense, specifically if your quality, the credit underwriting template is good.

So that 's the reason why we do co -lending. It helps us understand things very well on a risk sharing basis. And it also helps the overall growth. But to depend upon it for your balance sheet growth may not be a great idea because while it is very cost accretive, it may not be great in terms of NIM. So philosophically, we had decided in a budget also that we would grow at the same rate as what we want to grow the balance sheet, not more.

Seasonal variations may happen. There will be some quarters will be growing higher, some quarters will be growing lower. But over a period of the year, the inorganic growth should be ideally in line with the organic growth.

As regards to the RBI guideline, I think we should wait for the final guideline to come in before commenting on it. Let us see what it comes through. If you are asking my personal opinion, I think anything which benefits the customer is beneficial for the lending institutions. So it will expand the market on the blended rate. It is a good thing to happen.

If that will allow lots more of customers to come into the organized fold, and maybe I am talking only from a gold loan odd perspective, it will help much more customers to come in on board and the customers also can take the benefit of a blended rate. That is the way I personally see it. But honestly, let us wait for the final guidelines to come in before we comment on what really would happen on the implementation of the final guidelines.

Apurv Parikh: Sure, sure, sir. And the second question is on the NIM . So obviously, we are into a trade cycle . And as earlier gentlemen kind of suggested that market is expecting one or two rate cuts to

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happen. So, we brought the , I just want to understand that how the ROAs and obviously you explained the levers to a certain extent.

But if you look at that you're already taking a 25 basis cut on your savings account. But still, obviously, you mentioned that retail term deposit rate cuts might be in place. But up till this date, I don't think that they have been announced. While all the other banks, they've already taken a retail TD cuts on to this and then all the larger banks.

And considering the fact that TD is an integral part of maybe our liabilities acquisition process, how do you see and as you already mentioned that there might be limited scope of reducing savings if the repo cuts are consistent. So how much -- so what is the strategy we be going for the year on the TD acquisition? If this rate were to absorb into the NIM protection -- what is the NIM protection will be the priority?

Praveen Kutty: So first of all, out of a 50,000 crore book, there is only a certain segment of the book, which is

EBLR linked and floating. So the impact is there, of course, it is there, but it is limited to a sliver of the portfolio or not to the entire portfolio. That 's point number one.

Point number two, we have already made rate cuts on our savings account. Otherwise, why would the NIM fall only by one basis point in quarter four? There's some immunization actions that we've already

taken. Will we continue to drop the savings account rate just to accommodate any future repo rate cuts? Very unlikely.

But what has happened is that we have reduced our non -callable retail rates, the bulk term deposit rates have already been reduced, which has got immediate impact. Retail is a slow burning fuse.

So any cuts that we do today, you will have a benefit of that coming through over a 12 to 15 month period.

So there is an action plan. There is a game plan on that, which has already been implemented from the time the previous rate cut happened when 650 went down to 625. Will the playbook remain the same for future rate cuts? Obviously not, because there is a limit to which it can bear. The rest will come in when the TD maturities happen.

You will see the , we hope to see the reduction happening structurally. And we are confident that similar growth to what we are seeing will happen. So I don't think growth will have a problem, because there is a conscious southward movements for the deposit rates going forward.

But the key is this, at which point in time will the next set of rate cuts happen? The later it happens, the more beneficial it will be for the bank. The earlier it will happen, the less beneficial it will be for the bank.

Apurv Parikh: Sure, sir. Can you help quantify your maybe floating rate book mix , if that's possible?

Praveen Kutty: I'm not too sure that's public information. So it's not just floating rate book alone. You have MCLR, EBLR , even old BP base rate. So there is a multiplicity, albeit in small quantities. And you also have within that floating and fixed . So there's a whole variety of benchmarks, which DCB Bank Limited

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are still continuing in the system. But suffice to say that, it is something which the bank monitors is very conscious about but it's not publicly announced.

Apurv Parikh: All right. Thanks. Thank you, sir.

Moderator: Thank you. The next question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das: Thanks for the opportunity. I joined a bit late. Just to re -come from the first question, did I hear it correctly that you were saying that your margins have more or less peaked in this cycle? And hence, probably, I mean, with the rate cut, next year margins and year after the margin s could moderate from the current levels?

Praveen Kutty: Hi, Suraj. So good to hear from you. Let me just tell you what we articulated earlier. The NIM for this quarter comes in at 3.29 as compared to 3.3 for the previous quarter. And during Q4, repo rate cut of 25 bps happened from 6.50, we lowered it down to 6.25. Despite that, we have had the impact. It's not a full impact, but the impact on the book has been about one basis point so far.

Why is it only one basis point? It's only one basis point because it has impacted part of the portfolio and not the whole portfolio. And the second bit is that there are some affirmative actions the bank has taken to ensure that margins are protected.

What were the actions taken? We had proactively reduced some of the savings account rate around the time the rate cut happened so that simultaneously there is a save on the margin. In the future when there are rate cuts, can you continue to do this?

Perhaps not. Or perhaps not to the same degree as what we did earlier. So the stabilization, what we talked about is that if you were to see the trend line of NIM, it was on a downward trend.

Now what you are seeing is that it is kind of.

Let me tell you what the NIMs were looking like in the last five quarters. 362, 339, 327, all down. Then 330 and 329. So that's why I said there is a stabilization happening. As far as the future is concerned, the bank is doing two things. We have already spoken to you about what has happened with savings account rates, which got an instant benefit on the cost of funds. And secondly, o

n bulk rates, bulk deposits mostly are 12 -month in nature.

So there has been a fairly cut to the bone on the bulk deposit rates. And on retail rates, on specific retail rates, we have seen a downward movement. But the last part, which is our largest book is a retail book. And we are happy to have a retail book which is that large.

But the impact of any interest rate cuts that we have done and we are going to continue doing in the future will have a slow burning fuse. You will not get the immediate margin benefit of that right away. You will get it as the book matures and rebooking h appens. So that's on the liability

On the asset side, there is focus on two things. There's a product mix change. If you were to see the last year, we've got almost a Rs.7,000 crore s co-lending book. We built up a Rs.7,000 crore s co-lending book, roughly about 100% growth in co -lending for the matter. That's not going to happen in the future. We will have a more in line with the balance sheet growth happening on co-lending also.

That's about in line with a doubling of the balance sheet in about three and a half years' time. So that will be the kind of growth rate that we'll be seeing on the balance sheet as well as on the co -lending book.

Where will the incremental growth come from if there is, if a similar kind of co -lending is not going to come? It is going to come from organic products. Organic products by definition have a higher yield than the co -lending book and we believe it will not come with higher incremental costs because those results, those incremental organic loans will come from the existing set of people that we have. That will come from enhanced technology deployment that we have done and also improved p roductivity.

So it will have a marginal cost impact but not major cost impact. So that's one product exchange. The second product exchange is that there is a needle movement from home loan to LAP. Mortgage is the largest book. Incremental sourcing of home loans is less and of business loans is higher.

Business loans will give you anywhere between 150 to 250 basis points higher yield. So that's a journey we started about five quarters back. We're seeing the results of it now. We're happy with the way things have moved not only over the last one year but also over the last one quarter. So these are the various fixes that we are doing which will help us improve our NIM. Not just maintain but improve our NIM. And how well we execute, you'll get to know over the next two three quarters.

Suraj Das: Sure sir. Thank you so much for the elaborate answer. Sir, on that mortgage home loan to LAP, that journey is still on, right? There is still room. I mean in the sense that probably on the outstanding book your home loan share would be higher versus the incremental disbursement your home loan share is lower, right? So that journey will still give us some benefit in terms of margin. Is that a fair estimate?

Praveen Kutty: There is enough ceiling room available to do more of LAP and less of home loan with the same number of people. There is enough more to do. And while incremental disburses are skewed in favor of business loan, over a period of time you will see the portfolio also going into that particular level.

It has a capital impact , but then you see your risk weight is very conservative at less than 50%. So there is enough, the benefit you get of higher yield really offsets the incremental capital requirement you will have for LAP , which is higher than that required for home loans.

Suraj Das: Sure. And sir, on the core fee, I mean as you were speaking that core fee obviously we have seen sequential improvement for last 4, 5 quarters continuously. Right now I think fourth quarter it is something like 95 basis point as a percentage of your

assets.

So the question is how far you can improve it and if there is still room to increase, I mean what are the levers, I mean which products or from which area you will think that the core fee can further improve?

Praveen Kutty: For whatever it is worth, quarter 4 is always a good quarter for third -party distribution and it has been a good quarter for us from a third -party distribution perspective. Having said that, will you be able to replicate Q4 in Q1 on third -party distribution? May not be.

But will it be better than the previous quarter 1? Content to think so, because there is robust momentum that is being built up. So third -party distribution is a very key element. When we have met also we have spoken about engagement being key, overdraft, transaction accounts being key, wholesome banking of meeting all the banking needs of a customer rather than just a product per customer is the key.

So, what we are seeing the beginnings of is that the greater engagement is resulting in greater transaction, is resulting in a higher opportunity for fee income. We haven't even scratched the surface on this, Suraj. I really , think there is more to come. But you are seeing the beginnings of that coming through trade fee income. You are seeing incremental processing fees coming

through.

And also there is a structural advantage we got where NIM suffered and fee increased on account of penal interest being replaced by penal charges. But at the end of the day you still have to collect. So you are seeing that momentum happening.

On the non-core fee income, yes, we have had a good treasury year. So, the flip side of the NIM compression possibly is a potentially higher treasury gain if it were to happen. But then honestly our energies are going into ensuring that the core fee income consistency and growth continues like it has for the last 4, 5 quarters, keep that going. That is renewable, that is predictable. That consistency is what we are aiming for.

Suraj Das: Sure. I understand. And the last question, I mean, in terms of this capital raise, I think due to some unfortunate events, the plan got delayed. I think now you are doing the paperwork again.

So I mean, do you think this can happen this year or it might take longer?

Praveen Kutty: I am so happy that your window has moved to a year and not a quarter right? Yes. So that activity, that paperwork activity has happened. Possibly. I mean, we are looking at quarter 2 for that incremental money to come in. But what is more heartening is that, look, any business which can grow by 25 % with 23 bps usage of capital, I think that is a fairly efficient capital efficient model.

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And this includes a proposed dividend also, right? It includes a proposed dividend also. So that is it. Including the proposed dividend, you are talking about 23 bps when you are growing by 24.7% year-on-year.

Suraj Das: Right. Fantastic. Thank you so much. That's all from my side.

Praveen Kutty: Not at all. Thanks, Suraj.

Moderator: Thank you. The next question is from the line of Varun Bang from Bandhan Life Insurance. Please go ahead.

Varun Bang: So firstly, as you start focusing on higher ticket LAP, I think we'll have more competition from larger banks and we can't compete with larger banks on yield. So, how do you find niche areas for ourselves? And secondly, when you when we talk about better yield on advances, would that mean the risk profile of business will also change?

Praveen Kutty: The risk profile will not change. We are conservative. We are proud to be conservative. We really believe that the hallmark of a bank is the ability to manage its portfolio health. So that's a very clear answer. Right. So we don't expect us to dilute credit quality for anything, including NIM. That's not going to happen. So that's one.

Second part is, where is the competitive a

dvantage? More than 50 % of our loans that we get and

the loans that we lose out in terms of balance transfer happens to NBFCs and Small Finance Banks. It doesn't happen to normal private sector banks. It doesn't happen to big banks, like you said. It doesn't happen, at least in a material way, to public sector banks.

So, 50% of where we get the customers from or where we are customers, we lose our customers to on the asset side or on the instalment lending side is to NBFCs. If that is the way it is, what is the mode that we have? And the mode that we have is clearly, how do we move from a fill it, shut it, forget it kind of product to a customer engagement product? What is it that DCB Bank has which this 50 % of the customers or 50 % of the competition does not have?

And the answer to that is neither innovative nor mind blowing. It is something which has been there in the industry for ages, overdraft accounts. We are going hard on overdraft accounts as a solution for deficit needs of our small and medium business owners.

Why overdraft? Because our customers intrinsically, instinctively understand interest paid versus interest rate. Because you have the mote of an OD facility, you can charge a higher rate of interest, because the customer can park surplus funds in those particular accounts and enjoy a lower interest cost to himself or herself.

This customers understand very well. We are really going big time on business loans, which are of an overdraft nature. Customers are liking it. They are benefiting from it more importantly.

And if we continue on this journey at a similar kind of growth rates over the next few quarters, maybe even years, we will find that as matters stand, the relative white space that we have would continue.

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You can compete with the largest of the largest NBFCs, because you have the mote of an overdraft product. So clearly, where is the contested area? What can you do to make it easier for

your frontline and for your customers? What is the specialization that you can build in? I tend to think it is overdraft.

The other benefits, since you already asked about it, the other benefits of going in the strategy is that our customer attrition levels get lower. Overdraft creates engagement, which creates transactions, which creates cross-sell benefits, which improve our core fee income, renewable core fee income.

It also shows that the lifetime of the loan, the life currency of the loans with us improves significantly. There are multiple benefits that we get out of this. So I'm glad that you asked the question and we are very clear about it in our strategy of what we are pursuing with whom, so that the competitive advantages come to the fore.

Varun Bang: Got it. And one question on opex. If I see last 4, 5 years, the opex per branch has increased from 2.5 crores to 3.5 crores. So just want to understand what investments have we incurred and what is the right way to look at it? At least while the advances and deposits per branch have seen material improvement, the profitability has not improved because of higher opex per branch. So if you can just help me understand what is the right way to look at it?

Management: You're talking about the overall operating expense?

Varun Bang: Yes. So simple math, total operating expenses divided by number of branch?

Praveen Kutty: That's not necessarily a metric that we look at. So, the way we look at it is there are two big items there. There is an employee expense and there is other expense, mainly within the other expense are technology related expenses that we incur, which have long term benefits. And I want to spend some time on the employee expenses.

If you just spend some time on employee expenses of Q2, Q3 and Q4. If you don't have the figures right there, let me tell you, it's Rs.235 crores in Q2, Rs.231 crores in Q3 and Rs.232 cr

ores in Q4. During this time period, the bank has been growing roughly Q-o-Q 5%, actually more than that.

So what we've done, and I don't know if you remember this, when the Q1 results came out or Q2 results came out in a similar kind of discussion meeting, I had said that the number of people we will have in the bank will not exceed the current levels for the rest of the year, as well as for next year. And we're very clear about that. When we ended the year, we had 11,057 customers which is lesser than this, very customer centric the employee centric. So, 11,057 employees which is lower than the number of employees that we had during the course of the year.

There will be some increase in the current year, but it will still be less than the number of employees that we had, the maximum number of employees that we had in the last year. So this reduction of number of employees, not reduction in growth of employees, reduction, absolute

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reduction in the employees, why is it happening? Two legs to it. One is productivity increases happening.

Two is where we have tried and worked out improvement and we've seen that not happening.

We fail faster. We move on from them quicker. And the third is there is so much of tech improvement happening, both from an offering perspective and much more importantly from an adaption from the customer's perspective, which is resulting in a lowering of cost.

Just one single example, statementing or any kind of paper stationery going out in the market is getting, not only is getting, has gotten replaced by electronic communication links, my docs where the information is being stored, all is helping us improve our optics.

But there is technology spend, there is cyber security spend. We are spending quite a lot on improved customer-facing technology, better backend technology and also in terms of enhancing the cyber security. And this will continue in the future as well.

Moderator: Thank you. The next question is from the line of MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh: Hi, good afternoon. In FY25, what was the full impact of the penal interest fees that you have recorded?

Praveen Kutty: Mahesh your voice is kind of coming in. Can you kind of repeat yourself or come closer to the speaker, to the mic? Mahesh, can you hear me?

MB Mahesh: Yes, I can hear you. Can you hear us?

Praveen Kutty: Now we can hear.

MB Mahesh: Sir FY25, what is the full-year penal interest fees that was collected?

Praveen Kutty: Let me put it this way, Mahesh. There is a 5 bps reduction of NIM and a similar 5 bps improvement in the fee to average earnings, which has happened. The absolute amount is actually in line with the balance sheet growth, which you usually see. There is no real difference between 2023-24 and 2024-25.

As far as the fee collection is concerned, it's in the same proportion, but in fact, slightly less I'll

tell you why? Because earlier penal interest was accrued. You didn't have to collect, but now with penal charges, unless you collect, you cannot account for it. So it is slightly on the lower side, but if you want, I don't know if it's publicly available.

MB Mahesh: No, that's fine. That is fine. I just wanted to understand the materiality of this.

Praveen Kutty: That is hardly anything.

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MB Mahesh: So second one is that, if I heard you correctly, your commitment is that - your observation is that over the next couple of quarters, despite yields moving down, margins will improve, led by cost of deposits. Is that how you're saying this?

Praveen Kutty: No, it will not. Any further repo rate cuts will hurt the bank. What we have, we have managed, but the later the repo rate cut happens, the better it will be for the bank. If it were to happen immediately the impact of what we are

doing on the portfolio, what we've done on the portfolio will realize over a longer period of time. So the later the rate cut, the better it will be for the bank, from a margin perspective.

MB Mahesh: Okay, so just to confirm, we've done 50 so far, but your expectation is that in the base case, we should be able to hold on to that margin?

Praveen Kutty: To the current level of margins, yes.

MB Mahesh: Sure. Okay, that's fine. The final question, you said co-lending is a bit margin dilutive. Is it also ROA dilutive?

Praveen Kutty: I don't think we give individual ROA.

MB Mahesh: No, I'm just trying to understand, if you're reducing co-lending, does it improve ROA or does it reduce ROA, that's it?

Praveen Kutty: Theoretically, I'm not talking about the DCB Bank at all. Let's talk purely theoretically. If you're talking about co-lending and you're talking about a fairly secure co-lending where provision will not come and hit you, then it will be ROA accretive. And with a product which requires less capital or low capital, it is hugely ROE accretive.

MB Mahesh: Okay, perfect. Thank you.

Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Yes. Hi, sir. Good evening. Sir most of the questions have been answered. I just wanted to check on your -- I mean, we have a small proportion of MFI loans, either through BC or direct. Was there any slippages in contribution to this quarter and hence, with - yes, so the question is sir with situation improving, do you see some delta coming from MFI slippage as we move into FY26?

Praveen Kutty: Honestly, I don't see any improvement. At least our portfolio, there is no improvement. It's a small portfolio, so we are okay with it. We have taken accelerated provisions on it, but I don't see any improvement.

Jai Mundhra: Okay. And, sir, on gold loans, is there any change in the way you are doing business after this RBI circular and possibly tighter scrutiny or there is no change as such?

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Praveen Kutty: Absolutely no change. Whatever was mentioned in some form or the other or perhaps even higher, we are - for organic book, okay, I'm not talking about co-lending at all. I hope you're not referring to co-lending guidelines. On the gold loan proposals, we are on our organic own book. It's pretty much the same.

Jai Mundhra: Okay. And is there any changing on the co-lending side, sir? I mean, because the guidelines are very comprehensive. They also talk about.

Praveen Kutty: There is a draft guideline which has come in with about 15-18 points. Jai, I would suggest let's wait for the final guidelines to come in to see what changes have to be made or what the impact, positive or negative, it will be. Currently, it's draft guidelines. At some point in time, I'm sure the draft guidelines will become proper guidelines and then probably we'll have a conversation on that front.

Jai Mundhra: Sure. In the treasury income, so this year, of course, the treasury department seems to be having a very good job. Was there any one-off? Do you include, I mean, is this only trading gains or you include some forex-related activity here and is it likely, I mean, is there any offset available within this treasury income or you think that it can sustain as if I look at as a percentage of assets around 20 basis point, is there any more details there?

Praveen Kutty: Usually and I'm giving you a general answer here. Usually, when you are in a rate cut

environment, NIMs suffer and you make gains on your investment usually. So I'm sure treasury has done a reasonably good job, but the environment has also been favorable. So while you take the stick on the NIM compression, there is some benefit you get on the investment piece as well. Will it continue in the future? If rate cut continues, if bo

nd yield drops, I mean, we can't predict

it, but frankly our focus is more on the core fee income. We are happy with the treasury gains and we welcome it. But even within treasury, the yield on investment is a very, very important factor more than the – not more than as much as the gains that we make on the fee line basis. The second part of that is that, yes, fine, treasury has contributed. I'm not grudgingly accepting it. I'm wholeheartedly generously accepting it, but you just see the core fee income growth. And that's over a period of and don't look at it over last quarter or the quarter before last. Look at it over the last five quarters. See the consistency of that core fee income growth, which is coming in. And these are trends. So it's on us to keep improving the trends and we welcome windfall gains as it comes in. But the key is, of course, the core fee income.

Jai Mundhra : And sir I think last quarter we were still awaiting this PMAY 2.0. I think during the quarter the final guidelines have come in. Would you have any comment on the implementation of those guidelines? I mean, how those guidelines benefit the core mortgage business?

Praveen Kutty: We're very happy with it for multiple reasons. One is that the max interest rate on that is 11.5%, which if you were to look at it is almost on par with the yield and advances that we're currently getting at 11.54%. Secondly, the book stays with you, the customer stays with you for at least

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five years is guaranteed. Thirdly, the incentive for the customer to remain current, non - delinquent is very, very high because the subsidies spread over equally over the five -year period. So from a priority perspective, he or she will default this as the last loan and not otherwise. Because the subsidy that you get is substantive. Fourth, this is a loan which has got max size of 25 lakh and that is like the sweet spot for us, the middle of the bat kind of area for us. So it's something which we know, we understand.

And we are very comfortable with new to credit customers. Correct? We do rely on bureaus, etc. But the bank is very, very comfortable with assessing new to credit customers, first time home buyers. We've gone through two, maybe three credit cycles, good times, bad times, ugly times, and they've all rebounded, mostly.

So it's an area of skill for us. It's an area of expertise for us. And we will be continuing to focus on it. And you'll see that we're promoting it big time. So you'll see PMAY being a very integral part of our growth plan for the next foreseeable number of years.

Jai Mundhra: So the only flip side is, sir, does this tilt the balance in favor of mortgage, I mean, the home loan versus LAP or this is just an enabler and you are confident that even the LAP growth will be higher than this home loan growth?

Praveen Kutty: Just think about this. If you were to replace a chunk of the current home loans with the PMAY loans, you will have a yield enhancement coming through. You will have lesser collection cost.

You will have lower provisions. You will have lower capital cost. And you will have a, you know, you will have a customer longer with the bank for a longer period of time with the bank. Right. And I think most likely, and this is our belief, we are done. We just started this exercise. Our belief is because subsidy comes in. And just imagine for an Indian, normal Indian middle class person, owning a house is the ultimate destination. It is the height of purpose for most people. I mean, that's like a revelation for most people, right? And here is a bank which is helping you get, you are funding a house and you are getting a subsidy for that. It is a big leg up. And that is perhaps the only asset he or she will get, will make during his lifetime. And it is definitely the single most prized position the person will have. So, and if

you are a banker, who

is giving that particular loan, for life, he or she will be your first port of call for any of the financial needs, surplus, deficit needs, insurance needs, trade needs. Don't forget all, most of our customers are SME customers, right?

And trade, insurance protection, these are things that they definitely will want to have. And combine it with what I spoke to you, not to you, in general earlier, engagement is key to the bank. Why this overdraft is a less contested area, why it is a moat area is because we will do the engagement. And for this PMAY customers also, it's not, this whole engagement concept is not limited to overdraft or to CASA. It is the way we do things.

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It will be the DCB way of approaching, engaging a customer. So that is the way we see this. It is not that LAP will suddenly go down and most of it will get replaced with PMAY. No.

Jai Mundhra: Sure, sir. And lastly, sir, if I may ask, while you mentioned that in this quarter, we have made some affirmative action on, and we saw that the savings rate was also cut in the month of Feb, but still the cost of deposit has gone up at a pace which is slightly higher than the earlier quarters. I would have thought that because you have cut SA rate, I mean, what explains this rising still cost of deposits? Is it only CD or the re-pricing is still higher? How should one look at it?

Praveen Kuty: Maybe you should look at it as an opportunistic move rather than a strategic one. You had a 24.7% increase in advances. These advances were coming in with, they are accretive to ROA, even if it meant that it was being funded by higher cost deposits. Is that the way we will go?

Perhaps not. I am not particularly happy with two consecutive quarters where the advances growth has been higher than the liabilities growth.

That's not the way we want to run this bank. Not that the CD ratio is alarming, it is at 85%, but the fact of the matter is that it is important, even at a higher cost, to get these liabilities going because the assets that we are getting were truly accretive in a cost sense, in a credit sense, and in a customer sense. So, is that the way the trend line? No, that's not the way the trend is going to be.

So, it's an opportunity which we had in the last two quarters and I do not think that is the way we will be growing the bank.

Jai Mundhra: Sure. Sir, I actually wanted to highlight one thing. You had the lowest SA rate across all banks, up to 1 lakh, you were offering 1.75. Now, you have brought it down to 1.50. Of course, you would have seen the behavioural thing, etc. But it looks like that you may be achieving only a few basis point, but you run the risk of having the lowest star offering by any bank, possibly in the last few decades.

I do not know. Does it -- is this substantial or you think the people have become very inelastic, absolute inelastic, to offer such low rate of star in the initial bucket?

Praveen Kuty: There are two sets of people that we cater to in a savings account. There are people who use savings account for their basic transactional purpose. If you were to take a statement of a savings account customer, your statement or my statement, three, four years back, you would find there are few transactions. Now, it will run into four or five pages, because there is a huge amount of UPI transactions happening.

So, customers need a savings account for transactions. That's one set of customers. Then there are other set of customers who have huge chunk of surplus money, which they want to park for an uncertain number of days, waiting for an opportunity, waiting for an investment, waiting for something to happen. So, that is actually a term deposit masquerading as SA. It looks like SA, it talks like SA, it walks like SA, but it is not SA at all.

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It is a term deposit artificially sitting in this and boosting our CASA ratios, etc. It happens in most banks, it happens in our bank also. As long as customers are using it for transactional purpose, and that's why again, I am coming back to engagement and transaction. Use a bank account for the purpose for which the bank account is being made, for making your payments, for getting your receipts, etc etc.

Those set of customers, they are price inelastic. But if you are the same breadth, you have customers who are using, who want to utilize their investment, and we are happy with that. I mean, there is nothing wrong. I am not passing a value judgment here. But you are catering to both sets of customers, and how are you doing that? By having a spectrum of rates, which is as low as 1.5 currently, and perhaps even as high as 7.98. So, basically, what does the customer want?

We are catering to that customer's need. Are you the lowest rate at the lowest end? Why now only? You look at our savings account, the lower end of the savings account rate, over the last two years, we have been there. Why would you even lower it further unless we had some experience?

Jai Mundhra: Right. No, no, fair point, sir. And I think this, now I acknowledge your point of people using savings account, not for saving, but for transactional, and hence, this is okay. Great

Praveen Kuty: I mean that's what we want. I mean, you have UPI transactions. You need the facility of instant transfer. You need a safety factor that comfort that your money is safe, the fact that there is instant transmission happening in case there is an issue that you're able to solve quickly, you're not caught in a web book, phone banking labyrinth, where you can come in, you can't get out, right?

That kind of chakraview situation, you can't have you need, people can speak to this whole

element of service element to the whole segment things go right is great. But when things go wrong, how fast you respond. These are very important factors in customers' life. And most people are intimidated by finance. So that's the customer base that we are catering to. And for that customer, a lot of things are important, and interest rate may not be the highest amongst that.

Jai Mundhra: Sure, sir. Thank you and all the very best.

Moderator: Thank you. The next question is from the line of Prashant Kumar from Sunidhi Securities & Finance. Please go ahead.

Prashant Kumar: Yes. So my question is on technology front. Although the bank has shown some details on digital initiative. And can you give just some more color on technology upgradation, and what is the percentage cost incurred on technology development to total operating expenses?

Praveen Kutty : I'm not sure that we can answer the second question. We have the numbers, but we probably can't answer that, Prashant. But let me give you a flavor of what we're doing on the technology

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front. Let's talk about some less , what's the right word , less sexy stuff. We'll go core banking system, okay? It's functional. It has to be robust. It has to be -- have the capacity.

We have upgraded our core banking system, Finacle a year before last. Last year, we upgraded our instalment letting program FinOne . It's the state -of-the-art, one which we have implemented now. Third item is our treasury management system. TCS, we upgraded it in June of last year. We have totally 4 core banking systems, 3 of them are up and running. There's not like -- we're not in a flashy advertising kind of stuff.

This is like back end, which has to work, which ensures that what we all take granted happens. So the core -banking system happened across the bank, big-scale movement is around on the storage complication , infrastructure piece which we have up and running.

The second piece I want to talk to you about is on customer -facing

technology, both on the loans

okay, there are 3 areas which we'll focus upon, maybe 4, but the 3 key areas are deposits , loans and payments. You may want to subdivide payments into domestic payments and international payments, but broadly payments.

On the deposit side, the account opening is for individuals which is paperless. There is virtually no paper happening. It's cut down the fraud cost. It has cut down the , it has cut down our courier cost. It has cut down the supervision cost significantly. Most of the customer acquisition is straight through. A large proportion of the amendments to the account is straight.

Second part is on the loans piece. MFI lending, which we do is entirely digital. This , right from the customer information coming into the bank to disbursement going into the customer's own account. The entire journey is electronic. Why are we choosing to give an MFI example?

Because you're talking about volume, large volume entirely goes as electronic.

Third piece, on secured lending, a lot of progress is being made in terms of digitization perhaps with the only exception of title search and physical valuation, which continues to happen on an offline mode, it's not technology -related . But as and when titles become digitized in India, you will see a scenario where secured lending also goes through a STP process. And remember, 54% of our book is mortgages. And that's a key element in terms of digitisation which happened to us.

The usage of RPA within the bank has significantly reduced the manpower. Now the rate of growth of manpower is what we're talking about. The actual number of people in the bank has reduced constantly over the last 3 quarters, partly from the advent of usage of technology.

Let's talk about technology of a different kind right now. It is about probabilistic modelling , it is about using GenAI to ensure that higher accuracy and lower operating cost comes into play . On phone banking, we have , instead of writing our SQL query, which only a few people possibly have the ability to , you can write in English and write what you want, and then you will be able to extract information.

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Suddenly, information is not within the preserve of a few , if you're able to identify cuts by writing general English. And that's improving every time there's an error . So there's a built -in ML billing. I'm giving you one small example of what's happening on GenAI implementation within the bank. We are using a high-quality analytics to determine pursuing of which particular customer for what makes more sense than others.

Simple example that are customers in collections, for example, there are some customers who anyway will pay. There are some customers who anyway will not pay. No amount of effort into

those two is going to result in incremental gains for the bank because of people who can't pay , can't pay anyways. And the people who will pay , will pay any ways, wasting phone calls and activation on them is not going to make any sense at all. So the entire firepower resources of focus goes into the middle bucket, the se are cu stomers who can reprioritize.

So our ability to predict improved and more importantly, is improving as we go out. So I'm giving you three very different scenarios on the user technology. One, the traditional ensuring the core part of technology works, right? Where what we take for granted happens time after time, day after day. There is enough DRDC movement happening. There is enough redundancy being built in. There is cybersecurity.

I forgot to tell about it. Our SIEM, again, we upgraded last year. So you have invested extremely heavily on the back end to ensure things work normally. There is the computational power have gone up, the storage powers have increased significantly. There's computational powers have gone up, the storage powers have increased significantly, th

at's one part of it. Cybersecurity, the second part of it.

Third part of it is customer -facing technology where paper is banned, right? Significant reduction in paper is happening. Fourth is usage of technology to make better decisions. So these are 4 elements of technology, which is coming into play, which is helping the bank, have we leveraged is enough? No way. Is the best yet to come? Of course. Do you have the people? Do you have the people skills to leverage it? Without a doubt.

Prashant Kumar: Yes. So going ahead on improvement in productivity due to, I mean, technology, especially on mortgage and all processing side, so do we think the cost to average asset ratio , kind of 2.4% or 2.45% is achievable in near to medium term on a sustainable basis?

Praveen Kutty : We are working very hard. It's a part of the agenda. You see how the last -- look at the cost to average for the last 4 quarters. Because...

Prashant Kumar: Already you have, sir, mentioned that...

Praveen Kutty : Wait a minute, wait a minute. And look at it next quarter also, usually Q1 is when the cost to income is at the nadir right? That gives an indication. I mean the trends usually forecast the future.

Prashant Kumar: Okay, that's it from my side.

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Moderator: Thank you. L adies and gentlemen, that was the last question for today. I'd now like to hand the conference over to Mr. Praveen Kutty for closing comments.

Praveen Kutty : Thank you very much , you have been extremely patient , for your questions, and we hope to ensure that we continue to be consistent, predictable and boring. Look forward to meeting you next quarter with hopefully an d even better set of results. Thank you for all your questions, and look forward to meeting you may be next quarter.

Moderator: Thank you. On behalf of DCB Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

DCB Bank Limited

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Ref. No.CO:CS:RC:202 5-26:133

August 05, 2025

BSE Limited

Listing Department,

P J Towers,

1st floor Dalal Street.

Mumbai 400 001 National Stock Exchange of India Limited

Listing Department,

Exchange Plaza, 5th floor, Plot No. C/1,

G Block Bandra – Kurla Complex,

Bandra (East), Mumbai 400 051

Scrip Code: 532772 NSE Symbol: DCBBANK

Dear Sirs,

Re: Transcript of the Earnings Conference Call held on July 31, 2025

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Conference Call held on July 31, 2025 with respect to the Unaudited Financial Results of DCB Bank Limited ("the Bank") for the quarter ended June 30, 2025. The same has also been uploaded on website of the Bank and can be accessed at the link given below:

244. Transcript of the Earnings Conference Call held on July 31, 2025.pdf

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubini Chaturvedi
Company Secretary &
Compliance Officer

Encl: As stated above

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DCB Bank Limited

Q1 FY 2026 Earnings Conference Call

July 31, 2025

MANAGEMENT : MR. PRAVEEN KUTTY - MANAGING DIRECTOR &
CEO, DCB BANK LIMITED
MR. SRIDHAR SESHADRI – WHOLE TIME DIRECTOR –
DCB BANK LIMITED
MR. RAVI KUMAR – CHIEF FINANCIAL OFFICER –
DCB BANK LIMITED
MR. AJIT KUMAR SINGH – CHIEF INVESTOR

RELATIONS OFFICER – DCB BANK LIMITED

DCB Bank Limited
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Moderator : Ladies and gentlemen, good day, and welcome to the DCB Bank Q1 FY '26 Earnings Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “* ,” then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Praveen Kutty, Managing Director and CEO. Thank you, and over to you, Sir.

Praveen Kutty : Thank you very much . Good evening, everybody. I will give you a short commentary on the results and then we are happy to take questions.

I want to tell you that in keeping with our ethos of consistent, predictable, and sustainable performance, I am happy to inform that we have grown the deposits by 20% and assets by 21% Y-o-Y. This is the fourth consecutive quarter where we have grown the balance sheet by 19% to 20% Y -o-Y. What is even better is that the bottom -line is also growing in line with the top -line, the bottom -line is growing by 19.72% in Q1.

This is a quarter where we had many firsts. Our operating profit of Rs. 327 crores was highest ever and not just highest ever in Q1, but highest ever in any given quarter. Our fee of Rs. 236 crores is again the highest ever. Of course, it had some one -timers, but what is of equal interest is that the core fee income has registered Rs. 124 crores, a 17.5% increase from the previous Q1. Our operating revenue growth of 28% and our operating cost growth of 13% has shown that the jaws that we command, the operating leverage that we command of 15%, is the highest in the last four years. Going ahead, we thought it was prudent to take accelerated provisions during this quarter. The entire NPA stock of March 31, 2025 , of MFI and unsecured DA has been 100% provided in Q1.

We are also happy to inform you that despite the three rate cuts across this year financial year, adding up to 100 basis points reduction, our NIM reduction over Q4 was 9 basis points. Some seriously good work has happened on the cost of fund and cost of deposit front.

On the improvement side, our slippage ratio has crept up. This is on account of three items, two of which were obvious. And one which was kind of surprising. There has been a higher slippage on MFI and unsecured DA, both of which we were aware of and that is not a surprise. What really was a surprise was the small ticket secured DAs that we have taken, have taken a higher -than-normal flow into NPA. As you all know, we do DA and PTCs, DAs more as an experiment to figure out, it is a sandbox to us. We figure out what works, what does not work. And then it gives us the ability to test, validate and either reject or go ahead with a preposition. School finance that the bank launched was an ideal example of that.

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So, that exactly is where we are on the commentary on Q1. Happy to take questions.

Moderator : Thank you very much. We will now begin the question -and-answer session. First question is from the line of Akshat Agrawal from SMIFS Institutional Equities. Please go ahead.

Akshat Agrawal : Good evening, Sir. Thank you for the opportunity. The first question is on asset quality. Aside from the MFI and unsecured DA, there seems to be uptick in gross NPA ratio for mortgages as well. So , is it from the legacy mortgages in FY '23 where sourcing was not very good which were flagged in previous quarter?

And do we see credit cost to be maintained around like current levels at 60 basis point, or will it go back to 45 basis point s to 65 basis point s? Further on PCR, provision coverage ratio, it fell down by 3%. And so is it just all these expected provisions and bad loans or is something else?

T

hat is my first question, sir. I have a few more. Thank you.

Praveen Kutty : Hi Akshat. So, let me answer the first question first. The bank has taken accelerated provision , primarily on MFI and the unsecured DA and the secured DA also. So, the secured DA frankly shows up in mortgages. So , if we had not taken our accelerated provision, our credit cost would have been in line with what we demonstrated in December ' 24 and March '25, so it will be in the same range itself. So , the reason why the accelerated provision has taken is that we thought it would be more prudent. I am not sure about the MFI recovery ability , so it makes sense for us to cover the exposure that we have through accelerated provisions in the beginning of the year itself.

The second part on the PCR, the reduction is primarily on account of write -offs that we have

done. Every year we write off somewhere between Rs. 100 crores, Rs. 200 crores. Last year I guess it was about Rs. 120 crores of write-offs that happened this year I think it is about Rs. 173 odd crores of write-off, technical write-off, let me clarify, technical write-off that we do, which is the reason why the PCR has come down. What is of equal relevance is that our PCR otherwise is 74.04% for the quarter, a 44-bps reduction from what it was in March of this year.

Akshat Agrawal : Right, sir. So, on the credit cost, just a bit, any guidance.

Praveen Kutty : Yes. Akshat, on the credit cost, thanks for reminding me. On the credit cost, what will the future look like? The future, it will neither be 60% nor will it be within the 45 basis point to 55 basis point, we expect it to be below 40 basis point.

Akshat Agrawal : Great, Sir. Thank you. In terms of core fee income, while it is a Y-o-Y growth, it has declined sequentially. And in last eight quarters, there like for seven quarters it had a sequential expansion. So, is there some seasonality now which is creeping in where 1Q is weak versus the rest of the quarters? And what is the average fee run rate we should look at? Is it like Rs. 135 crores this quarter or more like Rs. 160 crores which was in the last quarter? Thank you.

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Praveen Kutty : I will answer the first part and leave the second part, because I do not want to comment on the immediate next quarter what the number is. But what is important is that the core fee income has got third-party distribution gains, it has got processing fees. So, these are two of the parameters. Usually Q4 of a year has got a significantly higher contribution from third-party distribution.

Also, the net disbursements in Q1 are usually less than the net disbursements in Q4, resulting in PF being of a lower nature. So, the right indicator for that is compare the quarter with the corresponding quarter of the previous year. I am not sure that it is really quite feasible to replicate the Q4 TPD income in the subsequent Q1. So, core fee income, we are very confident, should grow in line with the balance sheet, slightly less than the balance sheet.

And secondly, treasury incomes and one-time incomes are not forever. So, we have a solid plan on ensuring that the trade-free income, which is recurring in nature and sustainable in nature, will over a period of time cover for the one-timers as and when they vanish.

Akshat Agrawal : Right, Sir. Thanks for that. And just one, if I can squeeze in a question or two. For costs, the bank continued to perform well on costs, with PPI now at 60%. Our employee expense sequential growth was elevated despite headcount reduction. So, if you can provide some insight on that. And in terms of branches, there was only one branch addition during the quarter, what is the plan for the rest of the year? And are we seeing any productivity benefits besides the headcount reduction and slowing down of branch expansion? That was my question. Thank you.

Praveen

Praveen Kutty : Thanks, Akshat. So, on productivity increases, clearly between last year and now, we have reduced our headcount by about 800 odd people. And we have been growing by 20%. So, effectively that is resulting in higher productivity. Plus, there are a lot of technology gains, etc. So, our front-end LOS systems across multiple products have not only been modernized, but also been made into mobile. So, quite a lot of non-productive work has gone away with the advent of technology. So, that is helping us reduce the operating cost.

Why has the staff cost gone up? Well, people do deserve a hike and a bonus, and that happens in Q1. So, obviously, it will be on the higher side. But remember, we have brought down the cost to income ratio by over 700 bps, corresponding quarter to the current quarter of last year. So, that is a 7% reduction, which you see on the cost to income ratio. On the cost to average assets, we are at 2.52%. The stated objective is to be below 2.5%, and we can clearly see a roadmap to that.

Akshat Agrawal : Thank you for that. Sir, last question on loans growth. Sequential loans growth is coming from actually co-lending, gold loans, corporate banking, as well as mortgage under AIB. You are looking to slow down co-lending to balance sheet growth, and corporate lending is generally not a focus for you. So, if you could provide some insight on what will be the major drivers of growth going forward?

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Praveen Kutty : I would like you to take Page Number 21, update on advances. There you can see that we have done IBPC of close to Rs. 1,500 crores. So, had we not done the IBPC, you probably would have seen an asset growth in excess of 25%, 26%.

Akshat Agrawal : Right, Sir. But I am just wondering to just follow up on that, the co-lending growth, I mean, is there a plan to slow down that?

Praveen Kutty : So, on co-lending, the co-lending book will be 15% of the bank's book, that we are very clear on. What we have done in Q1 is clearly to focus on shorter-term loans, fixed rate loans. And the

reason for that is very simple , with rate cuts coming through, we wanted to focus more on short tenor loans and on fixed rate loans, which basically meant that we could do the 15 -year, 20 -year loans post the impact of the full rate cut of what we currently know.

So, in April and May, there has been more focus on gold loans and co -lending . And after the entire 100 basis points has been passed on, you would see that there is incremental uptick on the longer -term loans that the bank gives. Most of the corporate loan disbursal that you see, compare it with the actual growth , the actual growth is only Rs. 200 crores , even though disbursal is about Rs. 1,200 crores , okay? So, we are focusing on the shorter term in the first quarter, but that will change. That is a very practical move at the time of multiple rate cuts coming through on what is essentially a floating rate book.

Akshat Agrawal : Thank you very much for answering all my questions. All the best. I will rejoin the queue.

Praveen Kutty : Thank you.

Moderator : Thank you. Next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora : Good evening, Sir. Thanks for the opportunity.

Praveen Kutty : Hi Rohan.

Rohan Mandora : Hi, sir. Just touching upon the asset quality piece. The slippage that we have taken this quarter on the segment that you alluded to , is there any overdue book which is still pending to slip in second quarter? And overall , at a bank level, how should one look at the slippages for the rest of the year?

Praveen Kutty : So, the way you should look at it is that the DA book which the bank has is a limited book. And within that, the small ticket size book, the Rs. 2 lakh to Rs. 6 lakh loans, given a secured lending, is an extremely small book. So , if the same trend

were to continue, then the impact on the overall credit cost, like I said in the previous discussion, would be low.

On the unsecured book, just want to repeat in case you have not heard it earlier, we have taken 100% of the provision of the unsecured book, which basically is the MFI book and the unsecured DCB Bank Limited

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DA that we have as of March 31 st. So, incrementally aging provision on that will not come in. What fresh flows happen in Q2 and Q3, there is a possibility of that book flowing through. But because the volumes are not large, the impact of the credit cost will not be much.

The DA book that we have is actually for experiment, it is where we try out different things. We do unsecured business lending, we do school finance, we do various things which we do not do, there is a component of commercial vehicles. So, there are multiple asset products that we do under the DA program. It also tests the locations as a understanding of the business and understand the credit behavior of certain geographies where we are not present.

So, that is a logic of doing DA. What is surprise for us is that for the first time you are seeing the small ticket secured lending, not organic, organic has absolutely we do not have that book so we do not know. But in the small ticket DA lending we see the pains coming in, which is very similar to the unsecured lending book and the MFI book.

Rohan Mandora : Sure. But just to understand the thought process here, see , if we go back into history last five, six years, we have experimented with several products and we have seen asset quality slippage s coming in from those segments which are disproportionately higher than the overall book that we see. And as you rightly alluded to, the core book has been performing fine. So, why are we keeping on experimenting on these things when it keeps hurting us on a recurring basis?

Praveen Kutty : So, we have a KCC book, which is about 3 % , 4% of the entire book. The industry has got practically double digit NPA. Ours is a very, very well run book. We have a school finance book which is close to about Rs. 700 crore s book, which is again an extremely well run book. So, these are different products that we have benefited from.

And I think that is the right way to go instead of going it like the way we did with CV. We went headlong into commercial vehicles and took up a beating on that. So, the right way to do it is test, validate and scale or ditch based on DA performance , because you are doing small, you are doing originations which are in different locations and then using that, pick up the ones which are working very well and building on it.

Rohan Mandora : Sure. Sir, what were your total outstanding under DA book?

Praveen Kutty : I do not think that is something which is shown . What you see on page number 21 is what is being shown.

Rohan Mandora : Okay. Sure. So, second was on your movement on yield on advances. So, the ratio has come off by 30 bps Q -on-Q, but if you look at the interest on advances, that is up 3.3% , despite loan group being sort of flattish this quarter. So, how do we reconcile these numbers?

Praveen Kutty : So, on the first part, the flattish loan book, you just look at page number 21, there is been an IBPC of Rs. 1,500-odd crores. So, that does not make it so flat , right.

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Rohan Mandora : So, this IBPC of the entire amount happened towards the fag end of the quarter?

Praveen Kutty : It happened during the quarter. Actually, the majority of it happened during the quarter. So, it is not flat. What was the second question?

Rohan Mandora : Sir, the yield compression that happened of 30 bps Q -on-Q. And if you look at the interest income in absolute terms, it has gone up by 3.3%. So, the delta is almost 6% if we adjust on the yield and the interest earned. So, how do

we reconcile these two numbers?

Praveen Kutty : What you are seeing as flat is not flat , flat is two endpoints. So, you make money on the assets that are there during the quarter.

Rohan Mandora : Got it. And on the repo transmission, how much of that has been passed on to the borrowers?

Praveen Kutty : Whatever is legally supposed to be transmitted has been fully transmitted.

Rohan Mandora : So, we do it on a T -plus one basis?

Praveen Kutty : We do it as per norm .

Rohan Mandora : Yes. Right. So, like some banks do it on T+1, someone one -third, one -third every month, and some on the end of the, say, quarter or something like that. So, what is our transmission policy?

Praveen Kutty : It is a standard policy. There are four calendar quarters, and based on which we pass it on. Pass it on or hike it up depending upon how the rate movement is.

Rohan Mandora : Sure. Got it. And finally, any guidance on the loan growth and NIMs for the full -year?

Praveen Kutty : See, the last four quarters we have been growing by what you have seen and that is the reason why it should not be any less than that , both on the deposit side and the loan side.

Rohan Mandora : Okay. Sure. And anything on NIMs?

Praveen Kutty : We are very happy with the way that we have managed in NIMs so far, despite the yield going down by what you said, despite the repo rate cuts of three tranches , there has been a 9 bps drop.

Will that continue? We are doing what it takes on the cost of fund and cost of deposit front to ensure that the NIM impact is minimized. So, that work is continuously on and it will continue happening whether there is a future rate cut or not. And we still are growing the liability book by 20% and we still are keeping the top 20% well below 7%.

Rohan Mandora : Got it, sir. Sure. Thanks a lot.

Praveen Kutty : Right.

Moderator : Thank you. Next question is from the line of Sanjay from Bastion Research. Please go ahead.

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Praveen Kutty : Hi Sanjay.

Sanjay Ladha : Hi sir. Yes, hi sir. Thank you so much. Sir, my question would be on loan book side. So, over the last 10 quarters, sequentially, we have grown our loan book by approximately 5% Q -on-Q.

And you have explained that because of IBPC, the growth was not there. So, could you explain more on to that, what has been changed ? And does it has a BT out in our case or a pre -payment sort of thing ? Or I am thinking on a wrong line, then can you explain me on that side?

Praveen Kutty : Essentially, IBPC is used to ensure that the NIM impact is managed better. We have, basically, PSL as well as non -PSL IBPC is there. We get a very decent rate on it and which helps the NIM in the IBPC tenor. So, that is the reason why we did it. The important thing at that point in time was to use all the means to reduce our cost of deposit and cost of borrowing. So, one of the items that is on the agenda was IBPC , it will come back at the end of the tenor. So, it made the perfect sense for us , and the price was right, so we are comfortable with it.

Sanjay Ladha : Sir, since we are saying that over the years, we will grow at 20%, that is excluding IBPC?

Praveen Kutty : No, when we say we will grow, we will grow. There is no excluding, including. We will grow.

Sanjay Ladha : Okay. And, sir, my another question would be on, as you already said that the credit cost would be in the range of 40, 45 , below 45 basis points, or 40 basis points over the year, below 40 basis points over the year. And this impact has been, so the Q1 has been, you have largely included all the MFI and unsecured loan books. So, over the years, over the quarters, there will be no further incremental cost which are incremental provision moving on to that book? Right?

Praveen Kutty : Going forward, theoretically, you will have because there could be fresh flows happening. And to that fresh flow, you will have to ta

ke the incremental provision which is required. What I want

to clarify is , in Q1 we have taken full provision for all unsecured and all MFI book, all unsecured DA and all MFI book as of March 31, 2025. So, there are incremental flows going to happen in Q2 or Q3 or Q4, we will have to take incremental provision for that.

Sanjay Ladha : So, sir, largely, sir, in the previous con call we have said that since we are a secured private lender, and largely our book, the recovery over the quarters has been quite strong once things have been taken into the slippages part of this. That thing you are saying for after two quarters

or beyond that, or this book has been quite lumpy on that side, and could not comment right now? What is the sense we should take on?

Praveen Kutty : The sense I want you to look at is that we are not changing our guidance on overall credit cost. What we usually say is between 45% to 55%. I am saying that going forward, we should be below 45% on credit cost for the next oncoming quarters.

Sanjay Ladha : Right, sir. And, sir, on the fee income, we are already saying that as we are moving up, it would be upwards of 1% of the asset side, right?

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Praveen Kutty : Average assets?

Sanjay Ladha : Yes, yes.

Praveen Kutty : Yes.

Sanjay Ladha : Okay, sir. Thank you. I will come back in the queue. Thank you.

Praveen Kutty : Anytime.

Moderator : Thank you. Next question is from the line of Chetan Ginjodia from Mahindra Manulife Mutual Fund. Please go ahead.

Praveen Kutty : Hi, Chetan.

Chetan Ginjodia : Yes. Hi, sir. Sir, I just wanted to understand , what is the total quantum of this DA book ? And also, the total unsecured exposure we have ? The unsecured exposure is just the MFI part, or is there any other unsecured MFI portion?

Praveen Kutty : So, the entire asset the bank has, Chetan, is given on Page number 21, okay? So, you can have a look at it. That gives you a good understanding of what are the various products that we have.

And by looking at the Name itself, we can figure out which one is secured and which one is unsecured.

If you want to be specific, MFI, we have a Rs. 625 crores book, which is lending to MFI institutions. We have an Rs. 500 crores book, slightly less, maybe Rs. 499 crores book, which is lending through BCs, these are to JLG customers who are being given to the business correspondents that the bank has. Then we have a personal loan book on retail banking of Rs. 271 crores, right . And there is a mixture of that in the others, which is the miscellaneous we will have about , all the others are clubbed into that, some very small portion will come there.

Broadly this is the book which is unsecured in nature. And a proportion of this, whatsoever was NPA as of March 31st , we told it was prudent to take it. We had a choice not to take it also, but we said, look, it makes sense, it is more prudent to take it. And if recoveries come in, work is continuing to happen, if recoveries come in, great , it helps going forward.

Chetan Ginjodia : Okay. Got it. And those fresh slippages that have come this quarter, can you help us quantify which segment, what quantum of slippages we are getting ?

Praveen Kutty : So, I will give you a kind of a broad -brush understanding. Mainly it has come from MFI, which is understandable, unsecured DA which we had kind of geared up for. What is a surprise for us is that within the secured what you see in the mortgages book, there is a secured DA book of Rs. 2 lakhs to Rs. 6 lakhs and Rs. 6 lakhs to Rs. 10 lakhs also. These are areas where organic lending does not happen, where we are seeing pains.

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So, these are originated by somebody, by certain NBFC /HFCs, where we have done a DA with them. And we are finding that, that is a bit of a surprise that there is a deterioration . And these

a

re cherry pick pool, mind you, these are hand -picked, cherry -picked customers, which are in the DA book, where the performance has deteriorated in the last quarter.

Chetan Ginjodia : Okay. And is there an incremental risk of this particular section to further escalated and give us more slippages in the coming quarter?

Praveen Kutty : It may, but the fact is, like I mentioned in the call earlier, I do not expect the credit cost to be at the higher end of our guidance also.

Chetan Ginjodia : Okay. Got it. And just lastly, any plans on capital raising? Because given our aspirations for growth rate, we will be consuming our Tier 1 , so any changes that have happened around that front will be helpful .

Praveen Kutty : Chetan, this may sound flippant, but it is a fact, okay. It may sound flippant to you, but it is an absolute fact. In the last one year, we have grown 21% assets. And our Tier 1 has increased by 20 bps. Are you with me?

Chetan Ginjodia : Right.

Praveen Kutty : So, we are super stingy when it comes to cost and when it comes to capital, right . But having said that, our ambition, our hunger, our growth ambition is far higher. At some point in time, we will need to get capital. What we are hoping for is, one is to take capital when it is available.

The other is , to ensure that keep doing what you have been doing for the last three, four quarters, which is consistent performance, top -line as well as bottom -line. Keep doing it. Keep doing it in Q1, Q2, Q3. At some point in time, the price would reflect the actual value. And that probably is a time wh en we will go to the market.

Chetan Ginjodia : Got it. Perfect . Thank you. Thank you, and all the best.

Praveen Kutty : Thank you very much.

Moderator : Thank you. Next question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Praveen Kutty : Hey, Suraj, how are you?

Suraj Das : I am good, sir. How are you, sir?

Praveen Kutty : I am very good.

Suraj Das : A couple of questions. I have actually quite a few questions.

Praveen Kutty : We have all the time. You can go over all the questions.

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Suraj Das : Right. No, I think beyond what you mentioned in terms of this MFI and DA transaction, I think there is increase in the gold slippages as well. So, anything to look into that? Or it is just probably one-off or something like that?

Praveen Kutty : I would not look at it if I were you. It is hardly anything. Gold, you are talking about gold, right?

Suraj Das : Gold, gold.

Praveen Kutty : No, no, no, not at all. It is Rs. 35 crores of NPA on a pretty large book, Page number 21. Gold book is how much? It is about almost , yes, it is a pretty large book. So, hardly anything.

Suraj Das : Right. No, but if I look at your slippages slide, Slide 28, so your overall slippage has increased by 4.6 basis points.

Praveen Kutty : Okay. You are right. Overall slippage is 4.6, and 3.1 is the non -gold slippage. We are looking at that. So, slippage ratio is high in gold, but there it is a question of delay, because you are dealing with customers who are Rs. 2 lakhs kind of average balance. And most of these are OD customers. So, you have that Novem ber 12 circular, where if the customer does not pay, where the manual payment over the previous 90 days is less than the interest debited during the previous 90 days, then it will be deemed an NPA. So, customers, the slippage is there, but it does not result in loss rates.

Suraj Das : Superb, sir. Understood. And sir, when you give this number of 3.1, is this only including the retail gold or including the AIB gold as well?

Praveen Kutty : Everything, everything. Basically, non -gold means non -gold.

Suraj Das : Okay , understood. And the second question is, sir, on the DA part, DA, and IBPC part . So, this IBPC that you have done, would it be fair to assume that it would be mostly

in mortgage, because

your mortgage growth this quarter is quite weak .

Praveen Kutty : It is everything. And mortgage growth is not weak. I mean, it is weak compared to Q4, yes. But otherwise, it is okay, it is not something to write home about, but it is a decent thing. So, the IBPC mostly consists of secured assets. See, whichever way you look at it, 54% of the book is mortgage d. So, there will be a large component of mortgage in the IBPC also.

Suraj Das : Right. The reason for asking that question is, I mean, if I look at your mortgage growth quarter after quarter for last, I think, for several quarters, it has been 4% to 5% or 6% range. This quarter, it has been only flat or hardly 1% Q -o-Q growth. So , is anything changing in your view, I mean, on the mortgage book side going ahead? I think given that you are also seeing some stress on this small ticket kind of mortgage segment that you were mentioning.

Praveen Kutty : Okay. On the small ticket, it is not impacting us at all in the organic side because that is not a segment that we are into, okay. We are not present there at all, so it does not impact us. But in

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mortgage, in April and May, we focused more on other assets which are short -term in nature, which are fixed rate in nature, primarily to ensure that, look, in a demand and supply equation the customer is willing to give a rate.

And then within a period of, let us say, a month or even less, there is a reduction which is going to happen. And then you have to hold it for a long period of time. So, we upfronted most of April and May with short -term loans which comes up for renewal quickly, or fixed rate loans.

Mortgage is pushed to the last month, where the impact of future rate cuts, at least which we consciously know, is lesser. You got that, Suraj ?

Suraj Das : Right, right. I got that.

Praveen Kutty : So, that is one point. And secondly, Q1 usually there is lower disbursal than Q4. Q4 is a, you get a much, much better thing. And that is also reflecting in the processing fees.

Suraj Das : Right, right. And sir, last question, I mean, in terms of this small ticket mortgage that you were mentioning, Rs. 5 lakh or less, that segment would be primarily sitting in an agri and inclusive banking book, right? Not in the retail, right?

Praveen Kutty : Actually, it is a part of a DA book , so it is neither retail nor agri , so it is a bought out book. So , I actually do not know the answer where we put it. But it is not an organic book, right , it is not a self-grown book. So, the entire thing probably is sitting in -- let me ask the finance people. Is it in retail? Yes, it is put in retail, sorry. But that is immaterial to the rest of the book, right?

Suraj Das : Understood, sir. And sir, last question in terms of this mortgage, that journey that we were on, in terms of that LAP to home loan , home loan to LAP, that journey is still on or you will be saying that we are there, there in terms of incremental disbursement and outstanding book as well?

Praveen Kutty : Why do we think that the 3 repo rate cuts is resulting only in a 9 bps reduction? A lot of it has got to do with caution deposit. A whole lot of it has got to do with the kind of assets that we have put in. Also, it has got to do with the product mix also, so there is quite a lot of LAP in this.

Suraj Das : Sure, sir. So, I mean, the mix of LAP in the outstanding book is still increasing ?

Praveen Kutty : Yes, yes, every month, month after month.

Suraj Das : Okay. Sure. Thank you, sir. That is all from me.

Praveen Kutty : Not at all. Thanks.

Moderator : Thank you. Next question is from the Jai Mundhra of from ICICI Securities. Please proceed.

Praveen Kutty : Hi Jai, how are you?

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Jai Mundhra : Yes, good. I am good, sir. Thank you. Sir, few questions. First on this asset qu

ality and DA book

only. So , is that fair assume that MSI loan is given to institution , so ideally that would not have caused you trouble, right, in terms of slippages ?

Praveen Kutty : So, far, no, not at all.

Jai Mundhra : Okay. So, then if I exclude that, then Rs. 500 crores, Rs. 499 crores, Rs. 271 crores, Rs. 954 crores, Rs. 600 crores, Rs. 20 crores is roughly around Rs. 2,500 crores. This quarter we have seen slippages rising from Rs. 366 crores to Rs. 580 crores, so roughly around Rs. 200 crores plus increase. I would believe that MFI slippages would have only increased marginally, right , so a lot of this seems to be stemming from DA unsecured book, right?

Praveen Kutty : Sorry, Jai, that is not a right assumption. There has been a flow through in MFI also. So, you had a MFI flow . Actually, even gold the flow was higher, even the net impact is low. There has been a higher slippage and higher recovery. But clearly across multiple lines. That is why in my commentary also I said, we are not happy with this high slippage. 4.6 is not a good slippage ratio, right? Our non -gold 3.1 is not good . We want to get it down to a 2.5 kind of level.

Jai Mundhra : Right. Okay. So, sir, what I am trying to understand is that, I mean, see, what we have seen is , whenever any product segment starts to show some deterioration, it does not end in one quarter until unless there are some very drastic measures that are there, or there were some event -specific things which deteriorated, right?

So, for example, so what have you done, let us say, in the last 90 days that will make you believe that incremental credit cost will only be 40 basis point s? Because it looks like what has caused the trouble in this small ticket DA , either you would have stopped them doing, that is number one, or you have some very strong recourse from the DA partners that will insulate you . Or how is it that , this is the first quarter or maybe the beginning of the deterioration in this segment, the outstanding book is also around Rs. 2,500 crores , then how do we get the confidence that incrementally it will only be 40 basis points credit cost ?

Praveen Kutty : So, let us go by this. One is from a slippage perspective and secondly from a credit cost perspective, okay? The confidence that which we have as management is based on the fact that the pool is small, okay . The second is, imagine a situation whereby we were not prudent and did not provide 100% on the MFI book and the unsecured DA book , we probably would have had a credit cost similar to what we had earlier. So, we would have had higher slippage and similar credit cost.

So, credit cost, I am not considering it . Just that we had accelerated the provision, taken it to a 59 odd bps level. So, even if you had done nothing, just by not taking the incremental provision our credit cost would have been the same. That is why there is confidence that next few quarters also will be of a similar nature. So, I do not have anything .

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All we have to do is not do any accelerated provision and the credit cost will remain at the kind of levels that we have. That is why we have a confidence to commit in the public what we think

the future credit cost will be. So, are we doing anything special to do that? No, we are not doing anything special to do that. Normally our credit cost will be that. Anyway, we will have a discussion when the next quarter results come in, I will remember this conversation, you see what the credit costs are.

Jai Mundhra : Right. Sir, my point is, unsecured NPA you have to provide 100% within four quarters, within a year. So, it does not matter if you accelerate, do not accelerate, within the year you have to provide if there are slippages. Now, this is the first quarter where you have seen slippages rising in the unsecured DA book. You may choose not to provide

fully, but within FY '26, if there are

slippages, you will have to provide 100%, right? So, I mean the point is, if the slippages does not stop, then your credit costs cannot remain at 40 basis points.

Praveen Kutty : Jai, only assuming that there is an unlimited quantum of unsecured DA and MFI, it is a very limited amount. We have a limited amount. So, that is why, even if the worst -case scenario if we were to estimate, it will be below 45 bps credit cost is what I am saying. Had we had a 10% or 9% or 8% unsecured DA and MFI book, then what you say probably is true. But since the universe of such loans are small, even in a worst -case scenario, if you repeat or even worsen, your credit cost will still be lower than what it otherwise is.

Are you with me? Or should I explain again?

Jai Mundhra : Yes. No, no, that is fine. Even if the situation remains like this, you are confident that slippages, I mean, credit cost will be business as usual.

Praveen Kutty : If we increase by 8 bps again, if it becomes 45, we are still okay.

Jai Mundhra : Yes. Correct. And sir, do you have any recourse? Because this would be originated through partnership when you have such, let us say, it looks like a very high -single -digit kind of a slippages here, do you have any recourse or not meaningful ?

Praveen Kutty : Okay. We are following things which we do, and we have actually done. One is, we look at the collection efficiency of the originator. We look at whether the same customer is paying other loans and not the originator. These are things which are in our capability. And added to it, it is a question of speaking to the originator and telling them where the gaps are. But guess what, the collection focus on this will be very limited because it is a small book. We do not have that, neither do we have the ambition or the ability to over focus on that because it is a small book.

Jai Mundhra : Right. Okay. So, I will take that there is no recourse, right, it is a business -as-usual thing that we would have entered into ?

Praveen Kutty : We will soon see. We will soon see because we have taken 100% provision, you will see write -backs coming through.

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Jai Mundhra : Right. No, sir, actually I am not worried about the write -off because 175, right, I mean, we have been very miniscule write -off.

Praveen Kutty : No, not write -offs. Write -backs. Whatever provision we have taken, the write -back of the provision.

Jai Mundhra : And sir, on the fresh stress formation at the bank level and maybe within these products, the quantum is small, maybe 5%, 6% of the overall bank. But are you seeing anything trend or, I mean, you mentioned that the slippage is able to remain here or increase also, it is under control.

But I am saying, how should one look at the trajectory only? Is this like that the slippages, like in MFI, we have had last three, four quarters cycle, right, now banks are saying that the slippages from second quarter onwards should improve materially. What is your sense in this unsecured DA book, how quickly or shortly or longer can that be the cycle? If you have any comment there.

Praveen Kutty : My personal opinion is that the pain in microfinance will continue. It will take at least two, three quarters. Just because overall at the industry level from 6.8 it has come down to 6.2. 6.2 itself is a big number. So, I do not know. I do not have very positive view on the microfinance industry at this point in time.

Jai Mundhra : Right. Sure. Okay, sir. And changing track, sir, on your cost of deposit, really a good job on the funding cost and this thing. Now you have cut the SA rate, sir, I mean, the month of July also.

Any ballpark number of rupees crores saving ? Because you have cut in the multiple buckets and it is very difficult for us to calculate how much interest savings would that be. If you have any

b

allpark number that basis the current balance this could be the

Praveen Kutty : I think you should just compare the periodicity and the quantum of the rate cuts and see its impact on NIM. And you can compare it with our competition also, when a rate cut of this magnitude happens, how much is the NIM impact for competition, how much is it for us? And then look at it for this quarter, look at it for next quarter, look at it for the quarter later, you will see the efficacy of the management action coming there.

Jai Mundhra : No, I am not doubting that. I am saying, sir, if you have any rupees crores number for cost of

savings, I mean, benefit because of the cost of saving cut across card rates.

Praveen Kutty : It is recalculated, but how does it matter when the NIM is the real indicator, right?

Jai Mundhra : Right. Okay.

Praveen Kutty : I am not even saying cost of fund or cost of deposit, the NIM is the true indicator of how that is behaving. So, see, look, you took a hit of 30 bps on yield and advances, right , and 16 bps has been covered by deposit rate cut. And just think through this , the real impact of the term deposit rate cuts you will get over a 13, 14, 15-month period only. So, what you are seeing now is only one small part of the iceberg. Because ours is a long -term term deposit, you know that. Our sweet spot in a term deposit is some 15 months or 18 months or somewhere there. So, this benefit

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is going to flow through to the bank all through to Q2, Q3 of next year. So, it is a space we are closely monitoring and managing.

Jai Mundhra : So, if I were to summarize this, sir, so then assuming there is no further rate action by RBI, you are fairly confident that NIM should not deteriorate too much , should be stabilized here, right , at least in the very near -term. Is that the message? Assuming no rate cut, no rate action.

Praveen Kutty : No, that is not the way to look at it, Jai, because in the first quarter, at different points in time we have had a rate cut. The full impact of that has not really been taken into account, because some rate cut happened on June, some happened in April, and I am giving you hypothetical dates and numbers. So, it all did not happen on April 1 , so it happened at various points in time. So, for you to know, not for me to know, for you to know, it will take you one more quarter to really get to know what the full impact of the rate cut has been. And then, with every passing month or day, we see incremental benefit of TD rate cuts coming through.

Jai Mundhra : Correct. Okay. No, sir, I was saying, sir, of course there will be yield impact, and you have also cut the SA rate, and you have managed, let us say, the balance sheet, IBPC fairly well. So, the outcome should be that, if there are no more rate action from RBI, ideally, the NIM should stabilize. Is that the correct thesis or not?

Praveen Kutty : I am saying, no, that is theoretically not correct, because you have not seen the full impact of the rate cuts, because some rate cuts had a two and a half months impact, some had a one-month impact. So, you have not had a three full months impact, because the governor has done a three -tranche rate cut. Are you with me?

Jai Mundhra : Yes.

Praveen Kutty : Not for us, but for everybody else also, for the industry also. See, had all the rate cuts happen on April 1, what he says is true. The rate cuts happen over a period of time, the three separate rate cuts. So, the full impact of the NIM, I do not think is seen in the industry yet, but in Q2. Definitely in Q3 you will get to know the real impact of the rate cut and its impact on the yield and advances.

Jai Mundhra : Right. Understood, sir. Yes , that is it, sir. Thank you so much for answering all the questions.

Praveen Kutty : Not at all, Jai, always a pleasure.

Moderator : Thank you. Next question is from the

line of Varun from Bandhan Life. Please go ahead.

Praveen Kutty : Hey Varun, how are you doing?

Varun Bang : I am doing fine. Thank you. Thanks for the opportunity. Just which are the areas in which employee count is falling and how should we look at it?

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Praveen Kutty : The fall in employees primarily on the frontline and the way you should look at it is that, I mean, I consider them a wrong hire , we should not have hired them in the first place. So, effectively, these are non -producers which we take time in understanding. The 45 -minute interview or a one -hour interview does not allow us to see that , so we run with them for three to six months, and then after various interventions we figured out that that does not work. So, what we have done is, we have cut down hard on non -producers and have ensured that there is a revised hiring process that is been put into place, which also includes AI based on demographic details. So, we have enough goods and bads.

One good thing about this exercise is, we know the profile of the good performer , and also equally importantly the profile of the not so very good performer. Based on which we have been able to get an employee score, which we use for interviews. And now it has resulted in far more delicate cherry -picked employee hiring and greater success in terms of hiring them for frontline. So, that is the way you should be looking at it. The main cuts have all come in the frontline sales . But we should be seeing an increase happening. We still have growth ambitions, and we cannot forever keep cutting and expect to grow. We will increase it. I do not see us being in the 10,800 kind of levels for going forward. But I remember you were in the call in September 2024 when I said we are at 11,910 people. I do not see us crossing this line either this year or next year, hold

on to that.

So, maybe about 600, 700 or more people we can expect to see being hired in the company. They will be across assets and liabilities. Some of them will be for the new branches that we are opening. But the process of selection has improved significantly, and machine learning has certainly helped.

Varun Bang : Got it . And secondly, how is our thought process evolving around branch addition? Because last couple of years, if I see , the bulk of the growth is coming from existing branch network. So, at some point, do we have to go back to branch expansion phase to maintain the growth rate? I mean, how should we look at it?

Praveen Kutty : See, at least for some time, addition of more people to the existing branches will give us the growth that we want. So, while we are saying we will be people -centric, we will need to hire people, it makes so much of cost sense and franchise sense to have more feet on street working on the existing branches. Anyway, most of the deposits come from the 10, 12 top cities. And most of it is digital. So, why you need new branches if you want to go to newer cities?

But having said that, we expect another 25 odd branches to come in this year. Ideal number would have been 35, so that we can close the year at 500 branches. But I would tend to think that we would be closing around somewhere around 485 to 490 branches this year.

Is that critical for growth? Perhaps not. I still believe that more people in existing branches will help us grow. Unless you want to go into a completely new state, if you want to go into an Assam

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or a Jammu, for instance, and put up new branches there, probably. But otherwise, we are fairly well-distributed.

And think about this, field force is what we really require because with ULI coming in, and DC B Bank is a part of Unified Lending Interface, right , land record systems are digitized in seven states so far. So, there is less and less need for paper, and the bank i

s going more and more

towards paperless. You still will require an office space for employees to be and reach out.

So, it may make sense to have a third floor, fourth floor space where you can have retail asset folks sitting in there and soliciting customers for loans. For deposits, honestly, you do not require more branches. For fee income, third -party distribution income, we are well -represented in the big cities , we do not require. For assets, mortgages, etc., we do require. But at the present moment in time, it will be more people in existing branches , that will more than happily satisfy upwards of 20% growth demand.

Varun Bang : So, probably 5 to 10 branches on a yearly basis?

Praveen Kutty : 20 to 25, that would be a more realistic number. Last year we did about 20 branches if I remember right. And we should continue around that. 465 would look like 485 to 490.

Varun Bang : And just what would you highlight as your top priorities from next two to three years ' perspective ? And what are the major challenges that you see going forward for DCB?

Praveen Kutty : The number one challenge is to change the mindset. We have been playing this game like NBFC . It is high time we stopped doing that. We have been doing home loans, LAP. We have been doing CA, SA, TD. Somewhere not remembering that these are self -employed customers who have surplus needs, deficit needs, risk protection needs, and trade finance needs.

We have kind of labeled them as HL customer, LAP customers. We have been running like a fill it, shut it, forget it business. It is high time we change that. These are customers who have given their life their life 's biggest aspirational assets, which is their self -occupied home as a collateral to the bank. But when he shuts down his shutters in the night and goes from his Kirana store, the surplus balance is not kept with us.

He may need some money at some point in time because of inventory reasons or because there is somebody chasing him. He takes a hand loan or takes it from an NBFC , why would not he come to us? India is a very episodic country , some earthquake happens, some fire happens, something happens, accident happens. Risk protection, not done through us. Everything that he has is either imported from China by his wholesaler or by himself , the trade transaction is not done through us.

I think it is high time that we change the way we did business in our bank to becoming a full - financial solution provider for the self -employed customer, which will cover his surplus needs ,

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you can read it as CA /SA. His deficit needs, you can read it as overdraft facility. His protection needs, you can call it TPD. His trade finance need, exactly trade finance.

And these customers willy -nilly will bank with us if you were to ask for it. The only problem is , organizational structurally and mindset -wise we are still in the nature of thinking customer as a

product and not as a full -fledged customer who has normal needs like you and I have. And once we do that, we will be a very different bank . Because we are not concentrated in one state like many other banks , not a single state we have more than 20% representation in terms of assets. So, we are very well -diversified. And if we just convert our mindset and that work is happening, that is my single -minded focus. The second is , we want to eliminate paper. And I am frankly allergic to paper. I believe paper is a cost for offsetters, turnaround time issues, hands -offs, cost. Paper is a sin. And I want to eradicate paper from our bank. That is my second priority in life. Apart from these two, I do not have any other priorities.

Varun Bang : Sure. Thanks for answering my question.

Moderator : Thank you. Next question is from the line of MB Mahesh from Kotak Securities. Please go ahead.

Praveen Kutty : Hi, Mahesh.

MB Mahesh : Hi,

sir. How are you?

Praveen Kutty : Very good. How are you?

MB Mahesh : I am doing good, sir. S ir just kind of running through some numbers , just let me know if I am going wrong.

Praveen Kutty : Sure.

MB Mahesh : Of the 300 , let us say the incremental slippages that you have done this quarter , is it fair to assume that maybe about Rs. 120 crores extra has come from the gold loan portfolio?

Praveen Kutty : It is a very difficult question to answer, Mahesh, on the spot right away . Because in gold loan what happens is, I will give you a classic example. It slips in April, we do nothing. It slips in May, we do nothing. Some of it will recover, and then it again slips in, so the April recovery will slip again in May, and then it goes back. So, you have a moment happening where up and down moment of gold loan happens. If I were to look at it, can you tell me what the co-ending slippage is?

MB Mahesh : Sorry, before you answer that, I am just going to go with your presentation numbers. 4.59% slippages for 1Q, and 3.1 % excluding a gold loan. When you work the numbers backwards, using the loan base with gold loans and without gold loans, the number which comes out is

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roughly about Rs. 150 crores of extra slippages as compared to the last quarter. For example, last quarter your slippages was about Rs. 78 crores in gold loans, and this quarter it is about Rs. 200 crores in gold loans. The delta in slippages, offset Rs. 215 crores , roughly about half that comes from gold loans. Is this number right or not?

Praveen Kutty : Mahesh, the number is Rs. 196.34 crores.

MB Mahesh : Yes, okay. So , I do not have the second number , so let us go with this number. So, offset Rs. 215 crores, you said while this unsecured DA, mortgages, etc. has contributed, the delta contribution of this is roughly about Rs. 100 crores. Is that a fair way to see this?

Praveen Kutty : Would that be fair? Yes . Once again, I will just recheck this. Yes, Rs. 190 crores is gold.

MB Mahesh : Rs. 190 crores, yes. So, roughly about Rs. 95 crores to Rs. 100 crores incrementally have come from these DA assignments, etc.

Praveen Kutty : From the others, from all others. The surprise element for us is the secured DA.

MB Mahesh : Which is all part of this Rs. 100 crores?

Praveen Kutty : It is part of it.

MB Mahesh : And this entire, most of it, you have provided this quarter?

Praveen Kutty : No, no. This quarter slippage, we have taken what is required. What we have done is, all NPA stock as of March 31, which are currently NPA, is 100% taken as long as they are unsecured DA or it is MFI.

MB Mahesh : Perfect. Let us go with the next question then. See, i f gold loans are seeing higher slippages, why is disbursement under gold loans also very strong this quarter? What is it that your consumers are demanding gold loans and yet slippage is high? I understand the credit cost argument.

Praveen Kutty : So, there is a Rs. 8 crores increase in your gold loan NPA, right, Rs. 27 crores becoming Rs. 35 crores .

MB Mahesh : No, no, I am asking for , when you are seeing disbursements in gold loans being so strong for this quarter as well , and you see slippages also higher on the other side, I am seeing consumer segment is exceptionally weak today. That is all I am just trying to, just trying to coordinate what is happening.

Praveen Kutty : There is a slippage in that segment and the repayment happens at the threat of auction, which is why the repayments are coming through and your net NPA is the way currently it is. Are you with me, Mahesh? Or should I explain again?

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MB Mahesh : No, it is okay. I am just trying to see, is the consumer really in a very bad position and that is why you are seeing this gold loan demand going up ? Just trying to correlate that part of it.

Praveen Kutty : So

, you should look at the slippage and the recovery, right? See, on a portfolio which is pretty large, there is an Rs. 8 crores incremental NPA happening. The gold loans, the gross NPA for gold loans has moved from Rs. 27 crores to Rs. 35 crores in the quarter, that is an Rs. 8 crores increase.

MB Mahesh : Perfect. Perfect, sir.

Praveen Kutty : So, the right answer to your question, and there is a conjecture because I have not thought about it in that way, is that there is high slippage, high recovery happening on gold. Whereas, on unsecured DA or on MFI, similar movement back is not happening. And a lot of the reason why we will have a problem in the slippages is because of the famous November 12 circular.

So, is it an inability of that customer, is it an inherent weakness of the customer? I would rather say it is the discipline of the customer because most of our customers come from the Muthoot's and the Manappuram's and the IIFL's, where they are looking at bullet loans which they repay, supposedly, in nine to 12 months. And then they come here, where interest servicing has to happen quite regularly, which is not something that they are quite used to. So, it takes time.

MB Mahesh : Okay. Thank you, sir. This is very useful.

Praveen Kutty : Right.

Moderator : Thank you. Next question is from the line of Gaurav Kochar from MLP. Please go ahead.

Praveen Kutty : Hi, Gaurav.

Gaurav Kochar : Yes. Thanks. Hi, sir. Good evening.

Praveen Kutty : Good evening.

Gaurav Kochar : So, just a few questions, I think just taking cue from what Mahesh was speaking about. So, going by this, the ex-gold slippage at least, we believe, should start moderating from Q2 onwards. Bulk of it has come in this quarter. And is it fair to assume, given that the size of the book is pretty small, as you highlighted, that the trajectory of slippages should start normalizing in the coming quarters?

Praveen Kutty : Yes, we believe two things. One, the slippage ratio by itself has to improve. And the second is, for the first time in many, many quarters we saw the recovery as a percentage of the fresh slippage going down to 70%. That is not something which we quite like. So, there are two areas where we are currently focused upon in Q2, from a portfolio quality perspective. One is to rein

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in the fresh slippage, and the second is to improve our recovery to fresh slippage percentage also.

Gaurav Kochar : Okay. Understood. So, at least the normalized run rate of Rs. 350 crores, Rs. 400 crores that we were seeing, we should revert back to that from next quarter onwards. Is that a fair understanding?

Praveen Kutty : I am sorry, Rs. 350 crores, you are referring to us?

Gaurav Kochar : Yes. Got it. Second question is with respect to the margin. So, I understand that the rate transmission on your loan customers could have happened at different point in time in 1Q, but so has the cost of deposits. So, your deposit repricing also, at least on SA, was also done in phases in this. So, full benefit of that will also come in the second quarter.

So, the question is that the delta change that we saw, and I mean you managed in this quarter pretty well, if I go by 9 basis point kind of margin moderation. And going forward in 2Q, we believe, based on our calculations now, correct me if I am wrong, that the bulk of the benefit of your liability repricing, which is your SA repricing, will come in the second quarter. And if there are no further rate cuts in, let us say, the next quarter, is it fair to assume that the delta change that we saw in this quarter on your margins, second quarter, we should be better than this?

Praveen Kutty : I am not going to give you a yes or no answer, but I am going to give you some numbers, let us think through this. We have about Rs. 48,000 crores term deposit book, okay, and let us say Rs. 14,000 odd c

rores of savings book. Current account, we will leave out in the discussion, because there is no point in discussion, that is been as flat as ever. So, savings account, we have done something, and you have seen that impact happens at the exact time we impact the change. The term deposit, typically, if you were to look at the bank's sweet spot in terms of highest rate, and that is an indicator of where quite a lot of the deposit concentration could be. It is somewhere between 15 months, 18 months, 24 months, okay? It changed over a period of time, but it is somewhere in that region. Now imagine, over the next few months some of those 15 months will get over and will come

up for repricing, every month something will come up. So, just humor me on this, instead of 48,000, for ease of calculation let us take 45,000. 45,000 divided by 15 months is 3,000, right? 3,000 will come up for renewal this month, 3,000 will come for renewal next month. Likewise, for the next 15 months, 3,000 will come up for renewal, theoretically speaking. Each of the repricing will be at the new rate as compared to what it was 15 months back. The difference between 15-month rate, 15 months back, and the rate currently, you can either guess or you can go back to the records and find out. And that will be a good enough way for you to see how the impact will be, assuming there are no further rate cuts and no further management actions on the cost of deposit. So, that is why I said I do not want to give a yes or no answer, but this is a good way of figuring out. In fact, that is what we also do to estimate and forecast.

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Gaurav Kochar : Right. So, I will try to ask this differently that of the 100 basis point rate cut that has been that RBI has done, is it fair to assume that the 75 basis point rate cut that we have done in this quarter, is it fair to assume that more than half of it is done or less than half of it is done?

Praveen Kutty : I would not be able to comment. But just look, when were the dates in which the announcement was made? That will give you some sort of indication as to what it will be. There was a 25 basis points, there was another 25 basis points and there was a 50 basis points at different points in time. So, obviously, the full impact of that has not happened in Q1, which is obviously everyone knows because June 6th is when the announcement happened. So, the full impact, you will see that happening over a period of time.

Gaurav Kochar : All right. Shifting to the disbursements in this quarter, if I look at on the mortgages, not just quarter-on-quarter but I am looking at Y-o-Y numbers, the Y-o-Y number was down in mortgages. So, is it a conscious sort of a call that because you are trying to do more of LAP within mortgages and perhaps slowing down home loan within that, is that a conscious strategy? And if that is the case, then by when do you expect the absolute number to kind of start seeing growth?

Praveen Kutty : Is it a conscious thought? Yes, it is a conscious thought, but not for the reason that you said. So, what we have done actually is that we have upfronted, or we have brought forward to Q1 short-term loans and fixed rate loans, okay, we try to do more of that. And I am not saying we want to do less of mortgage, but the whole idea was, just look at it this way. In April you do a 15-year mortgage, right, and then there is a known rate cut of 25 bps happening and another 50 bps happening in the shape, in the nearby future. Even if it is a semi-fixed loan, two years later, 75 bps will get reduced.

If the same loan, the same demand and supply prices, price is a product of economics of demand and supply, the customer is willing to pay that money. We thought that after the rate cuts have been passed fully, or after the big rate cuts have been passed fully, if you are willing to

take on

board the customer, then those customers do not have an impact of the rate cut. So, what the customer is willing to pay is what the customer continues to pay. So, effectively in a very crude way, most of the co-lending and gold were done in April and May, and towards June more of the mortgages were done. So, there is less of disbursement of mortgages in Q1 of this year as compared to the Q1 of the previous year.

Gaurav Kochar : Got it. So, from here on, it is correct to assume that this will pick up from second quarter onwards?

Praveen Kutty : Yes. And to your other question of LAP versus home loans, steadily we have been improving, improving is the wrong word, we have been doing more of LAP loans from a sourcing perspective. But it is a large universe, right, the percentage of a month's sourcing to the total book, it will take time for it to convert it into the total book. But for the last maybe even nine, ten months, I think three, four quarters, three quarters definitely I see an increased LAP percentage on the new sourcing.

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Gaurav Kochar : Right, right. That is good to know. And just last question from my side, on the overall 1% ROA guidance that you have given, apart from credit cost moderating to under 40 bps, as you had guided, what are the other levers we see? I think OPEX you have controlled quite well, it is down to 2.54% on assets this quarter. Is there further dues left? And if yes, apart from credit cost, any other line item where you think we need to work on to get to that 1% ROA? And by when can we expect the 1% ROA?

Praveen Kutty : So, I will tell you four parameters, two of which are within arm's length, sorry, and one which is a bit of a guesstimate, okay. So, let me take you through that. We closed NIM at 2.99% on average assets, so that is why there is a difference, right, 2.99%. I expect that to be 3.2%, okay?

Fee would be, in our opinion, there will be, the one -offs will go away at some point in time. So, over the full -year, probably a 1.1% is a right number to go with. Are you with me so far?

Gaurav Kochar : Yes.

Praveen Kutty : So, total revenue, 4.3% is a number which we think is realistic, right? I have taken a lesser fee as compared to Q1, okay? Now, cost to average assets, I think 250 is a good number to get. In reality, it will be probably even lesser than that. But let us take 250, okay? So, if you take 250, then you are at 430 minus 250 gives me 180. On 180 please reduce 45 bps, okay , you are at 135. 135 into 0.74, you are thereabouts 1, okay?

Gaurav Kochar : Right. Got it.

Praveen Kutty : Let me complete , I will just close the loop. The only unknown variable with regard to time is the NIM, okay? The rest, I have absolutely no doubt. I think they are near there, thereabouts, some better. So, three out of the four parameters, one is very sure of.

On the first parameter, as you can see, we are working, and we are working quite hard and we are getting some results in terms of managing the NIM, right? So, I do not want to make more forward -looking statements, but this is exactly where we want to take it to. You were in the call last year also, and we promised you that we will bring the cost to average assets below 250. I think that we are seeing that on provision costs, 45 bps is a good number to go with.

On fees, there are a few one -timers, I know, but there may be even a few one -timers coming forward as well, that is still okay. But overall, 1.1, I think, is well within grasp. It is actually , we are ahead of the game right now, but for the full -year, 1.1 is there. The question to us is, how well can we control our cost of funds and manage the yield, get the right kind of product mix to ensure that the NIM goes back by about 21 bps from 299 of to day to 320. Genuinely, is it achievable? I think so.

Gaurav Kochar : Right. Perfect. Pe

rfect. Thank you so much for answering all my questions, and all the very best.

Praveen Kutty : Thank you very much.

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Moderator : Thank you. Next question is from the line of Akshay Badlani from HDFC Securities. Please go ahead.

Praveen Kutty : Hi, Akshay.

Akshay Badlani : `Hi. Thank you for taking my question. So, as you were indicating that we are moving towards more short tenure and fixed book , so if you could just help with your EBLR, MCLR and fixed rate mix. And how it has changed in the past few quarters?

Praveen Kutty : Okay. I can tell you that has not changed much , okay, that I can tell you. But we cannot reveal what fraction is what. See, this short and long tenure discussion was primarily a pre -rate cut discussion. Now that all the rate cuts that we know of has happened already, life will go back to the normal stuff. We will still do long tenure loans. In an ideal world, we will be doing a two -year, perhaps a three -year, semi -fixed loan. It will be linked to EBLR. And that is the way life will continue because that is the way life has already been there also , we are very comfortable with it.

This whole doing the short -term in April and May was a very tactical kind of thing, so that when it comes to renewal, we will be able to charge what the customer can pay. It will be pure economics in terms of demand of loan versus supply of loan. That is why we focused on three months, six months kind of loans.

If you were to look at the disbursal chart, it is there in one of the investor slides. You will see that corporate loans, Rs. 1,200 crores of disbursal has happened. You may wonder, we are not very effusive in terms of corporate , we always sa y it will be about 10% of the asset book, etc. That is what you always get, 10%. But the fact is Rs. 1,200 crores in one quarter, look at the growth. It is a Rs. 200 crores growth. Corporate book has increased only by Rs. 200 crores. So, what are we doing? We are doing a short tenure kind of thing . Because when it comes to repricing, you still are able to command a decent pricing. But had it been a longer -term loan, then by law, by nature, you have to pass on 100 basis points if you are on EBLR.

Akshay Badlani : Got it. Okay.

Praveen Kutty : So, it is a very short -term tactical activity. That is not the way we will grow the bank. Our normal 50%, 54% of the book will be mortgages. SME will be the way to go. The only change I am really, really looking at and driving is to be a complete banker to the customer. That is our opportunity. Let us say some law comes in that you cannot add a new customer , we are absolutely okay , we should be able to meet our balance sheet growth numbers as well as a P&L number just by focusing within, there is so much of wealth within.

Akshay Badlani : Got it. And just my last question was on around the deposits. So, like a CASA has dropped to 23% now. And with the rates that we have cut , probably we will see the impact of that going

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forward. So, how confident are we of still accruing that deposit volume that we need for our credit growth which is 20% or so? So, how elastic do you think our deposits are with the rates? Praveen Kutty : So, it is not easy, but I am not looking at CASA per se, but we have a plan on bringing down the cost of deposit, okay? Let me give you a simple example. One-time treasury gains, there is a chance that it will not be there next year, okay? Let us assume let us play a hypothetical game, let us assume it is not there. Where will that come from, where will the incremental bottom-line come from, I do not think it will be from cost income because this year is about cost to average assets get to 250, that is the stated area. 45 bps to 55 bps provision is a stated area we are there. When the only game in town is NIM, and t

he biggest level we have there is the cost of deposit.

I think the bank has matured enough to attract and acquire liabilities without having to be the highest or one of the highest interest rate provider in the industry. We have reached that level of maturity is my belief. So, I really think that not for this year, but for the coming years, the '27, '28, and beyond, we would be clearly demonstrating that you do not need premium pricing to grow 20% on our kind of balance sheet size, that is an availability that we are developing. You have seen a glimpse of it in the cost of deposit reduction in Q1. Swallow does not make a summer, but we would probably, I am also seeing it, I was closely watching it. If we continue to do to grow the same way to bring down the COD in a calibrated manner over the next few quarters, then the belief will come well within the system, as well as outside the system. So, primarily cost of deposit reduction is a very important factor for us, we are driving it. CASA is not what CASA used to be, CASA is not a really good indicator of low-cost funds. CA probably is, but SA is not, because at the higher end, it is so easy to get large ticket term deposit equivalent lying in SA and boosting up the CASA to a higher level. I think cost of deposit is the truth, CASA are not necessarily the truth.

Akshay Badlani : Got it. Thank you. Thanks so much for answering the question.

Praveen Kutty : Not at all.

Moderator : Thank you. Next question is from the line of Aditya from Securities Investment Management. Please go ahead.

Aditya Khandelwal : Yes. Hi, sir. Thanks for the opportunity.

Praveen Kutty : Not at all.

Aditya Khandelwal : Yes. So, firstly, while we rationalized our employee base, so what the loan growth has been majorly coming from co-lending and assignment. So, in the last one year, if I look at your loan book, more than 50% of the growth has been contributed by co-lending and assignment. So, just wanted to understand, are we really seeing improved productivity? Because you do not need many employees to grow your co-lending and assignment book. And now as you grow your
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organic book, would OPEX costs now mirror loan growth, or they would be lower than advances growth?

Praveen Kutty : That is not necessarily true. In fact, I would like you to re-look at that. On a small base, co-lending has increased year-on-year about 1.5x. That I completely agree with you. But our organic growth has been significantly high. What you can do is, which page can we look at?

Page number 21 is a good indicator for you. You can have a look at it and you can compare it with what we gave in the corresponding quarter. You will see that there is a significant increase, much more than significant increase in organic book growth. And that is where the benefit is coming from. Co-lending book, it is a good book to have, but that does not drive our campaign. Okay, leave that aside. Our co-lending book, at the end of the year, will be 15% or less of the total asset book. So, 85% will be non-co-lending, normal organic kind of book. And co-lending will be about 15% odd.

Aditya Khandelwal : Understood. And now, yes, so, and now one of our steps to improve our NIMs and ROA was to improve the share of working capital and OD loans. But now if I look at the SME book, that has been stagnant for a year, year-and-a-half. We have talked about the advantages of OD product. As I was saying, it cannot be offered by competitors NBFCs. So, ideally, the scale should have been quite fast in this segment, but that does not seem to be happening for us. So, if you could just help us understand what issues are we facing in scaling this SME book, and when do you see it picking up?

Praveen Kutty : Okay. So, it is not a vertical takeoff. So, effectively, I know we have been speaking about this, we have hired a pers

on who is looking at the SME segment, who is also going to look at a segment of Rs. 3 crores to Rs. 10 crores, because a lot of customers in SME is graduating to a higher exposure level, and we saw that there is a gap where our corporate banking is too big for

the customer to come into, and our MSME book is not equipped enough to handle it. So, because of the erosion happening, that is a gap which we want to fill in, and so that area is going to see an action coming, we have a full-fledged team, six city locations where Rs. 3 crores to Rs. 10 crores of fully secured SME will be handled. So, that erosion, because of exposure, will go away, that is number one.

Number two is that we have changed the structure in the company to ensure that close to 100,000 plus mortgage customers are being given an OD facility, out of the 100,000 odd people, the eligible customers are being given an OD facility. So, it may not come in the SME book at all, because it is a separate book by itself. So, it will come in mortgages itself.

So, there are different action plans happening. I am happy with the speed of growth, I am not very happy with it, that is why in the previous, if you heard that when I spoke to a previous person, when he asked me what are my three priorities, I could tell them only two. One is to get this moving, it is not easy because anybody you hire from the market or anybody who's in the DCB Bank Limited

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system are a product of the system which is a vertical field, which is based on I am a LAP RM, I am an HL RM, no one looks at it as a RM for a self-employed.

So, it is taking time, I do not see that giving us big results right away, but over a five year-time frame, that will be bigger than the mortgage book that we currently have. It is a huge preposition, it will take its own time, and if you were to take a 10-year view of the bank, this would be the game changer for the bank.

Aditya Khandelwal : Understood. Thank you, sir. And also, one question on construction finance, so we have not seen strong growth in this book for the last few quarters, so if you could just elaborate what is attracting you to this segment, and what kind of controls are we building here, because I believe these would be bulky loans, as against our focus on more granular loans. So, how are you trying to balance the risk and return in this segment?

Praveen Kutty : So, we have built up this capability over a period of time, we are very comfortable with the levels of NPA, the level of DCCO in this particular segment. The construction finance book that we have is primarily looking at a smaller ticket size compared to our kind of loans. Sorry, can I ask you, are you in Bombay or elsewhere?

Aditya Khandelwal : I am in Bombay.

Praveen Kutty : You are in Bombay, right? So, the kind of construction finance that we do is similar to a South Bombay home loan, okay? Genuinely. I know you are trying to joke. So, these are peak exposure about Rs. 10 crores, Rs. 12 crores, which is typically what a Bombay single home loan will look like. We have an expertise in it. These are in the periphery where we enter at a stage where there is comfort.

One-off cases, we have NPAs we work out of it, but there is an expertise we built over a six-, seven-year period. We have been through two credit cycles. We have been through pandemic with this CF book. Comfortable with it. There is expertise in sourcing and also in remedial management. Our recoveries of NPAs within the CF book has been decent. So, I am bullish about it. Would be happy to even to get the book to grow by, let us say, 30% odd. It is something which we are reasonably comfortable with.

Aditya Khandelwal : Thank you, sir. So, just last two questions. First, on the funding infusion by the parent, what is the status? And secondly, sir, PSLC income. So, we had good amount of PSLC income coming two year

s back. So, do you expect it to come going forward? So, how's the market for PSLC?

Praveen Kutty : The PSLC for small farmer, marginal farmer is good, but we are not in surplus. So, it is more a pain area for us than a happy area. So, on general PSL, the demand is pretty low because most people have it. There is not too much of money made on it. Even on agri PSL, it is better than general PSL, but on agri PSL, the rates are not something which can give you substantial fee income.

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But on the small farmer, marginal farmer, definitely there is an opportunity. Do you want to grow your microfinance book at this point in time for that opportunity? Perhaps not. So, if you were to ask in the short-term, are we going to get some PSLC income? Do not think so for the rest of the year or even for the next year.

Aditya Khandelwal : Okay. And sir, fund infusion by the parent, what is the status?

Praveen Kutty : Okay. We had to submit, okay. Let me tell you the full story. We had submitted a whole host of papers to Reserve Bank of India, and at that time, we had the untimely and unfortunate demise of the key individual behind the promoter company. The promoter company being Aga Khan Fund for Economic Development.

And the key person behind it was the Aga Khan, Aga Khan the IV. He passed away last year, and then there was a succession, the new Aga Khan has come in. So, we had to redo the entire process, we completed the full set of activity, now the ball is in the Reserve Bank 's court, they are expecting approval to come in. Hopefully, before our next conference call of September results, we should not only have the approval but also have the moneys in hand.

It is a small number, but it is a good symbolic thing to happen because it will be the first time in close to 20 -odd years that the promoter is infusing money. And secondly, it probably will take the promoter contribution to above 15%, both of which are symbolically a big thing.

Aditya Khandelwal : Awesome. Thanks for answering my questions, sir.

Praveen Kutty : Not at all.

Moderator : Thank you. Ladies and gentlemen, due to time constraint, we will take this as the last question for the day. I would now like to hand the conference over to Mr. Praveen Kutty for the closing comments.

Praveen Kutty : Thank you very much. Thank you for all those questions, relevant, all as usual, relevant, thought - provoking. I hope we have been able to provide you with candid answers on all the questions that you asked. If you still have any doubts on questions, feel free to email or reach out to Meenakshi, Ajit, Ravi, or me. Happy to answer. If you want to kind of chew over this and come back, happy to answer any questions that you may have, provided they are not UPSI with a caveat.

So, look forward to the next meeting in about three -odd months ' time. And if you meet up in any of the analyst meets, you could come back with any of the questions that you probably have on our account. Thank you very much. Look forward to meeting you. Bye -bye.

Moderator : Thank you, sir. On behalf of DCB Bank, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Oct 2025

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October 24, 2025

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Dear Sirs,

Re: Transcript of the Earnings Conference Call held on October 17, 2025

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Conference Call held on October 17, 2025 with respect to the Unaudited Financial Results of DCB Bank Limited ("the Bank") for the quarter and half year ended September 30, 2025. The same has also been uploaded on website of the Bank and can be accessed at the link given below:

<https://www.dcbbank.com/api/dcb/assets/2025-10/DCB-Bank-Q2FY26-Earnings-Call-Transcript-October-17-2025.pdf>

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubik Chaturvedi

Company Secretary &

Compliance Officer

Encl: As stated above

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DCB Bank Limited

Q2 FY 2026 Earnings Conference Call

October 17, 2025

MANAGEMENT : MR. PRAVEEN KUTTY – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER, DCB BANK LIMITED

MR. RAVI KUMAR – CHIEF FINANCIAL OFFICER, DCB
BANK LIMITED

MR. AJIT KUMAR SINGH – CHIEF INVESTOR
RELATIONS OFFICER, DCB BANK LIMITED

MR. SRIDHAR SESHADRI – WHOLE TIME DIRECTOR,
DCB BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the DCB Bank Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

We have with us from the management, Mr. Praveen Kutty, Managing Director and CEO; Mr. Sridhar Seshadri, Whole Time Director; Mr. Ravi Kumar, Chief Financial Officer; Mr. Ajit Kumar Singh, Chief Investor Relations Officer.

I now hand the conference over to Mr. Praveen Kutty, Managing Director and CEO, for the opening remarks. Thank you, and over to you, sir.

Praveen Kutty: I'm happy to announce the quarter 2 financial results. The key highlights include total deposits, which has grown by 18.79% y-o-y to INR 64,777 crores. The total advances have also grown by 19.14% y-o-y to INR 52,975 crores. This signifies a consecutive 5-quarter pattern of high growth in line with our stated strategy.

Post the repo cuts, one of the questions I've been constantly asked is how our NIM would stack up. And I'm happy to inform you that our total interest income y-o-y has increased by 16.22%. While in comparison, our total interest expense has increased y-o-y by only 15.79%.

The management action implemented has ensured that our growth has come with a cost to deposit decrease from 7.12% to 6.96% between Q1, Q2. That's a 16 bps decrease in cost of deposit. It softened the impact of our rate cut to a much better degree than what was anticipated earlier.

For the similar period, the cost of fund also decreased by 17 bps. We have reduced our higher cost of borrowing and also our lower-cost investments further aiding to the better margins. And that is also the reason why our balance sheet growth is marginally lesser than the assets and deposits growth. All these actions, in addition to a strong showing in credit cost has ensured that our NIM has increased from 3.2% in June to 3.23% in September quarter.

Our fee momentum continues to be strong, despite the tailwind of treasury gains reducing A strong display in third-party distribution and trade is helping our core fee income growth. It gives me pleasure to inform you that the tightening that you see is not limited to the cost of deposit and/or the cost of borrowing alone, but it's percolating across the bank. There is a higher ask on productivity, a greater focus on technology, both of which resulting in better cost control.

One year back to the day when the Q2 results of last year was announced, I made an assurance that the number of employees that we have would come down not only for that financial year, but also for the year ahead. I also announced that the cost to average assets will come down.

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We have grown our advances and deposits by about 19% y-o-y, despite having 1,118 employees less than what we had a year back. That's a 9% reduction of the employee base, while growing 19% on our advances and deposits. Suffice to say, the advances and deposits still continue to maintain a structure. Our top 20 has not altered, our greater than INR 3 crore loans have not altered.

The net output is that the cost to average assets is now at 2.43%, lower by 32 bps over the same quarter last year. This is the fifth consecutive quarter of lower cost to average assets. Another comment I made at that time -- this time, not a year back, but when the last quarter results were announced, was that I do not expect the overall credit cost for the year to cross the 45 bps mark. I'm very proud to say that the team has delivered a credit cost of 31 bps for this quarter. And if you were to look at both the quarters combined, the credit

cost for the half year is about 45 bps.

We continue to make optimal use of our capital. Our Tier 1 capital, including the profit for the period has increased, yes, increased for the second consecutive quarter despite the 18%, 19% growth to 14.85%.

Another query that we used to get on many of these calls, in many of our interactions is that of promoter stake increase. I'd like to inform you that as committed the promoter capital has been received post the RBI approval. But it happened post-September 30. And as of October 10, it's at 16.27%, including the profits for the year.

Finally, the bottom line is that our profit after tax for the quarter has grown to INR 184 crores, This is the highest ever quarterly profit in the history of our bank. We signed off the quarter with the highest ever EPS of 5.84 and a book value of INR 180.41 without including the promoter

capital, which came post the results. Our ROE for the half year at 12.39% is the highest first half for our bank in this decade.

With this, I thank you for your patience in listening, and I'll open the floor for your comments, observations, queries and clarifications. Operator?

Moderator: Yes, thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Akshat Agrawal from SMIFS Institutional Research.

Akshat Agrawal: Congrats on delivering a very strong set of numbers. Sir, my first question is on asset quality. We saw a very benign credit cost this quarter with at just 31 bps. Do we expect this to continue?

And secondly, sir, on fees, if you could provide more color on the increase in fee income and sustainability of key drivers?

Praveen Kutty: Yes. So our credit cost for the year -- for the full year, I'm reasonably confident that we will not cross 45 bps. The model seems to suggest 45 to 55 generally, but we are very confident that we'll be below 45.

The second question on the fee income, Q1 had the benefit of treasury fee income. Exceptional treasury fee income, Q2 did not. Our core fee income at INR 158 crores is coming on with a

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strong showing in third-party distribution, trade finance, cards. So these are contributing reasonably heavily.

And our belief, our management conviction on this is that we have enough repeatable core fee income, which offsets the one-off that we got on treasury in Q1. And that's demonstrated in Q2, and probably you'll see that in Q3 and Q4 as we go along.

Akshat Agrawal: My next question is on margins. Have NIMs turned around finally? And what kind of expansion do we expect going forward? How much repricing of deposits is already complete? And how much is like qualitatively left for next quarter? And what led to CASA ratio expansion this quarter? Is it finally, has it finally turned around?

Praveen Kutty: Okay. So, we'll go one by one on this. One on the NIM, has it turned a corner? I think we have turned the corner unless there is more rate cuts coming up, okay? How much of expansion can it happen? I'll just give you 2 parameters to think about, and you can extrapolate from there on. 13 bps reduction in yield of the stock and 17 bps reduction in cost of deposits, right? That gives you an indication as to what can come. And also remember this, the pass-on is instantaneous, but the benefit on cost of deposit is complete only when the cycle -- the duration of the term deposit gets over, right?

And the third question -- and typically, 13 to 14 months is an average duration, maybe even 15.

So, you can use that as an assumption to kind of extrapolate until when you will get the cost of fund benefit going through.

Akshat Agrawal: Very well, sir. And just if I could squeeze in one more question. Can we understand drivers of loan growth going forward, while headline growth is very strong? It seems to be driven by co-lending with mortgage b

eing very weak and SME is negative. MFI seems to have increased Q-o-Q? So that was my question, sir.

Praveen Kutty: Yes. So going forward, at the end of this year, our co-lending book will be less than 15% of the overall growth. And as far as overall growth is concerned, we have -- there is reason to believe that over the next 3 years, 3.5 years, we'll be doubling our book. So, you've seen the growth happening over the last 5, 6 quarters.

I would tend to think that in a similar kind of fashion, the growth would continue. If you look at the mortgage pie chart, it is 54% of the book a year before, even a year before that, even now it is 54% of the book and we'll continue to be in that range going forward.

Moderator: Our next question comes from the line of Mona Khetan from Dolat Capital.

Mona Khetan: Congratulations on a good quarter. So, my first question is on the opex bit. So you've been guiding for 2.5% to 2.6% kind of opex to assets, we are already below that. So from a quarterly perspective, of course, so could this kind of improvement sustain or further improve what's the broader thought for this year?

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Praveen Kutty: Probably we'll, we will settle around the 2.4, 2.42 mark. And the reason I'm saying that is that the number of employees that we have, have dropped down to 10,700 odd. We still are in line to open about 20 more branches. So, we'll have more people coming in on the deposit side.

We'll also be increasing our staffing to, on a few products like the INR 3 crores to INR 10 crores secured SME business, educational institution finance. These are critical elements where we are

putting resources behind that. So, the number of people, which we'll have at the end of the year will be -- will be slightly higher than what we have today.

So, you will find a slight increase in the overall total, in the total cost, of course, offset by the balance sheet size also over the next two quarters. So, I would tend to think that we should be somewhere between -- somewhere around 2.42, 2.43, we should be stabilizing there.

Mona Khetan: Okay. So, the similar level of cost of assets could continue, what we have in this quarter?

Praveen Kutty: It should. It should.

Mona Khetan: Okay. Secondly, if I read it right from the previous comment, is it fair to say that margins have bottomed unless assuming that there are no further rate cut?

Praveen Kutty: Yes. If further rate cuts are not happening, then you would see NIM expanding in.

Mona Khetan: Okay. Again, on the direct assignment book, just wanted to get a sense, how big is this portfolio out of the 53,000 kind of loan book in your case? How big is the direct assignment book?

Praveen Kutty: Single-digit percentage. I don't think we'll reveal it, but it's a single-digit percentage.

Mona Khetan: Okay. And this includes the products across the board, including secured, unsecured and...

Praveen Kutty: Correct.

Mona Khetan: Across products within that.

Praveen Kutty: Absolutely correct.

Mona Khetan: Okay. And just finally, on the ECL circular, if you could just give us some thought as to what will be the impact for DCB Bank. And also, in case you could share the SMA 1 and 2 book in your case, so that you get some better sense, how the ECL producing to play out?

Praveen Kutty: So right now, we are evaluating it. We do a retro calculation of this to see how things are. And at an approximate basis, I think the bank is -- it will not cause a ripple in our bank. And as far as SMA 1, 2, we don't reveal it now. But yes, there is a possibility that we may even be putting it forward. If slippage ratios can be given and the NPA recovery upgrade is also given then yes, maybe we can look at that.

Mona Khetan: Prima facie, assuming the draft circular comes in the current form, draft circular is executed the way it is, you don't anticipate much im

pact on additional provision in your case?

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Praveen Kutty: Unlikely. Very rarely, unlikely. I mean, no, not worth -- nonmaterial.

Moderator: Our next question comes from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: Congratulations. Just 2 questions from my side. On disbursement, there is some slowdown that we see in the mortgages side? Just some color on that, sir.

Praveen Kutty: Yes. So, see, it's a culmination of what I've been speaking for the last year and a half or so. What we have done in mortgages, and thankfully, we did that in mortgages is that we increase the ticket size, we moved up the ladder on the ticket size, number one.

Number 2 is that we have not compromised on the yield, so we have tightened up the yield considerably and also the product mix when we spoke, when, like Q1 and Q2 of last year, we were running at a 50-50 HL BL kind of ratio. Now we move to 65-35 in terms of fresh sourcing of mortgages.

And obviously, LAP has a far higher yield than home loans. So that has resulted in the volume being lowering, but it has significantly helped us get higher profitability going in. Fourth element, it was in expenses, a large amount of our mortgage sourcing was coming from the DSA. We are really, really ramped it up, tightened it, as if, we've tightened multiple things. One of the things that we have tightened up on cost is a payout to DSAs. And that has resulted in a lower volume.

In my opinion, that's a good thing to do because from a long-term perspective, it is important to have operational efficiency coming in and own sourcing capability coming in. So in a nutshell, higher LAP as compared to home loans more organic sourcing, higher demand on productivity and better yield.

These 4 things have contributed to slightly lower volumes, and I'm sure the volumes will pick up as we pick up the, as we increase our front-end FOS. And this is not a theme only for mortgage Mahesh. Across the bank, we have, we are leaving less on the table. We're leaving less in the table on cost of deposits. For every stakeholder, we are renegotiating things. There is a tightening across.

Moderator: Mahesh, sir, your line is again unmuted.

M.B. Mahesh: Sorry, I think I got briefly disconnected, sir. The second question was on the margins, which you kind of alluded to, if you start improving. From the cost to deposit side, how much more leverage you have in terms of it reducing? And how fast do you anticipate that you can get to now to, closer to 3.5% in terms of timeline?

Praveen Kutty: So, Mahesh, you'll have to do the extrapolation, I'll give you the ingredients, average duration of our term deposit in a bank is about 14 to 15 months, okay? And you can start from April

onwards. We have , our cost of deposit has gone down by 16, 17 bps. Cost of funds have gone down by 17 and cost of deposit by 16 bps, right? And that's 1 quarter.

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And you have maturities you know what a CASA ratio is 23 %-odd. The rest is term deposit. So it comes up from a maturity. And then on renewal, you do get the benefit coming through. So the bank is betting reasonably well on the renewals for the next 3, maybe 4 quarters more. So, you can guestimate how much can come from NIM on that front.

M.B. Mahesh: But one question, sir, is the pricing pressure on the asset side more than what you're anticipating, or it doesn't seem to be -- how are you seeing on the asset side?

Praveen Kutty: As an , are you asking whether there's going to be more yield pressure coming in the asset side? Is that the question, sorry?

M.B. Mahesh: I think you talked from a stress perspective or from a downward pricing perspective.

Praveen Kutty: So I tell you how the math works. On the new sourcing, there is very little impact. The new sourcing continues at a similar level.

The rate cut impact is hardly any there. But on stock

portfolio, which used to be a hybrid every month, some portion of the h ybrid, which is partly fixed, becoming floating at the end of two years or three years.

Every month, some portion of that for what we source two years back, three years back, will come into the floating point. And at that time of the floating, you will have a reduction of rates. So, to that degree, there will be every month, some sort of reduction in the yield. But on fresh sourcing, no, very low impact.

M.B. Mahesh: Perfect. Okay.

Praveen Kutty: All right.

Moderator: Our next question comes from the line of Rohan Jitendra Mandora from Equirus Securities.

Rohan Jitendra Mandora : Sir, on the NIMs question. Because of this hybrid portfolio, would it be fair to assume that the improvement of NIMs that we will see over the next three , four quarters, assuming there's no rate cut, would it be lower than some of the other banks, which are having a good portion of external benchmark -linked portfolios?

Praveen Kutty: You see the quarter 2 of our bank. I haven't seen the quarter 2 of other banks. You compare our reduction with other banks reduction and extrapolate.

Rohan Jitendra Mandora : I don't see other back quarter.

Praveen Kutty: Wait for Q3 to come in and see what our performance is and then you compare with other banks.

Rohan Jitendra Mandora : Because, sir, this quarter for them, the transmission was there of the repo, explain to that?

Praveen Kutty: Every bank. For ourselves, it is there. So there are 2 ways of doing it. You look at the Q2 results of us versus others, look at our Q3 results compared with our Q2 or compare our Q3 results with their Q3 results, you'll get the answer.

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Rohan Jitendra Mandora : Okay. But sir, possible for you to give a broad indication of how much is it hybrid portfolio?

Praveen Kutty: We're extremely confident. I can't talk about others, but we know exactly what is going to happen next quarter and the quarter after that.

Rohan Jitendra Mandora : Sure, sir. Sure. Any contribution that can be done on the hybrid portfolio? Broad range or ballpark range?

Praveen Kutty: See, you have to compute what the monthly volume of loans a year back. So we have been giving disbursal volume by product in our investor presentation. You go back to two-year-old investor presentation, you will get a sense of how much was there. And then assuming that those customers stay with us and some don't, they close and go. It will give you an indication of how much it will come every year, every year or every month.

Rohan Jitendra Mandora : Got it.

Praveen Kutty: You understood , there is a disbursement by product that we give in investor presentation, right?

So some will be two years, some will be three years, but it'll give an indication. But what you need to know is that our , the play that you have on the renewal of term deposit is much higher than whatever asset which will come from fixed to floating in any given month.

Rohan Jitendra Mandora : Got it.

Praveen Kutty: For no other reason, I mean look at the liability base, the liability basis is at some 64,777, whereas the asset base is 52,000 -odd, right? So even assume that all with 1 by 12s have all come in, the save that you have on one is higher than the save you ha ve on the other. The spend on the other.

Rohan Jitendra Mandora : Got it. And sir, second one is on this draft norms on the risk weights, which has come out. Since we have a high mortgage book, we would have, I think, a reasonably good benefits on the release

of capital. So, any estimates there?

Praveen Kutty: Yes, we should have. But that's not what we're looking at. I mean, look, let's look at what has happened over the last 1 year. Between Q2 of last year and Q2 of this year, the bank has grown its advances by 19 %-odd, right, 19.14% and

our Tier 1 capital, including profits, without

including new capital that is come in , promote r capital come in has increased.

And that's the kind of control you're keeping on capital. So yes , so whatever comes through risk - weighted asset benefit is a benefit. That's okay. But the model is so tight, right? We run a very tight ship on this.

Rohan Jitendra Mandora : Got it. And sir, during this call, you indicated that you were adding resources in INR 3 crores to INR 10 crore s secured SME business. So is this a segment where we are going to incrementally focus aggressively? Or how should one look at your presence in this space?

Praveen Kutty: See, just like education institution finance, now you built it up over a period of time. This also we'll build it up. It's a part of our strategy to go slightly higher ticket size, keeping in mind the

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secured nature of it. As a bank, what you're looking forward is for go away from single product sales to all product , all financial solutions providing institution. That's a challenge.

So, one of them that we are, one of the activity we are doing on the 3 to 10 is to capture the cash flow of the customer entirely. We are doing similar kind of things on our existing mortgage book. We're trying to get their CASA accounts, their insurance , their trade finance needs, et c. So, it will take time before you see the results of it happening.

It's just like , bit like a cost to average assets, which I spoke to 1 year back. You haven't seen the benefit of it. But maybe a year, year and a half down the line, you'll see the benefit of that happening where we want to be the full banking provider for the customers that we currently have. And 3 to 10, we think, fits in very well with that strategy, right?

Trade finance , surplus in our CASA accounts, getting the customer to transact with us. That's the way we want the entire set of customer base to be in an ideal world. Today, most of our mortgage customers do not transact with us. Their operating accounts are with somebody else. They take insurance from somebody else. They do the trade finance from somebody else.

So, what we are doing right now, which is not visible in the outside world, we are really working hard to ensure that we are a single source , all financial solution provider for our existing customers. So, this fits in very well with that concept.

Moderator: Our next question comes from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: Congrats on a very good quarter. Congrats on a very good quarter.

Praveen Kutty: Thank you very much. Very generous.

Nitin Aggarwal: Absolutely, very strong performance. And I have a few questions. Like one is on the operating leverage that you talked about that bank has been exerting a very tight control and utilizing the existing infrastructure. But any sense as to how long we can continue to pursue growth before we start increasing headcount, branches and where should the cost ratios be in a year from now?

Praveen Kutty: Ideally, we would want to , we would have to increase that. See, 10,700 is a good enough base. We don't want to go anyway lower than this. We want to increase it. But this increase will come with increased volume.

I mean, just look at this, about INR 1,600 crores of I BPC is still there. It's not accounted for in that sense of the word, right? You can see that Page Number 21 maybe, right? That is there. So there is an asset opportunity. There's a liability opportunity coming in there. It's already there.

So -- but if you were to look at it, we still are a people -dependent business. Much as I don't want to add the people. The reality is it is still an FOS driven company. So we will need it. We are building it up. So cost , overall cost will increase, but the bet that we're taking is that the denominator will grow at a faster pace than the top lin

e or at least in a stable base. So we're very

comfortable being under 2.5 and definitely comfortable at below 2.45 as the year goes by.

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Nitin Aggarwal: Okay. And second is on the ROA. Now we are in the striking distance of 1% ROA with upcoming like margin expansion and these cost efficiencies further improving. So will you like to talk about as to what kind of medium -term ROA that the bank can deliver in FY '27 and beyond? What is the aspiration that you have?

Praveen Kutty: I think we should close the financial year '26 - '27 with an ROE of 13.5% and close the financial

year '27 - '28 with an ROE of 14.5%. And there is capital coming in between that will be adjusted for the capital.

Nitin Aggarwal: Right. And ROA, as in , the, what kind of number you're looking at over these 2 years?

Praveen Kutty: Even we can reverse calculate like that. So why I'm talking about ROE is that's what we would like to go in for. And I'll tell you where it's coming from, more importantly. We've done so much of work over the last year and a half , two years. And now we have the confidence that the effort that we are putting is really translating into results.

So I know there are external issues can happen. Things we don't know can come from behind the corner. But from what we know, I think there is a reasonably good chance that we will be 13.5% ROE for the coming year , coming full financial year and 14.5% the year after.

Nitin Aggarwal: Okay, sure. And lastly, just a small clarification. On the Tier 1 number, how much did you say after this promoter infusion, what the new Tier 1 number is ratio?

Praveen Kutty: You go to Page Number 40, and it's in very small font, but you can -- I'll just read it for you, Page Number 40. It is post -issuance, promoter shareholding as on October 10, 2025, stands at 16.27%. So that's the promoter contribution. And on Tier 1 , , we are at 14.85% without the capital. And with the capital, add another 21 bps, so 15.06%.

Nitin Aggarwal: Okay. So very, very comfortable position.

Praveen Kutty: Right. I mean you've seen that happen time over time. Our RWA is now under 49%, maybe even 48% -- under 48% also possibly. So there is enough gain. But that will increase because we will bring the core lending book, which is primarily gold below 15% or at 15%. So there will be more usage of capital in Q4.

Moderator: Our next question comes from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Sir, on SME book, right? So it looks like this book has been degrowing or at least has degrown this quarter on a both y-o-y, q-o-q basis. And we, of course, had this aspiration of providing the check -in account of CC facilities to gain market share here. What is happening, sir? Is this a bit of a worry on the tariff -related thing, or what is leading to subdued outcomes here?

Praveen Kutty: It's a very simple answer. So we didn't have a good experience in Q1 and the previous Q4 on our unsecured experiments, okay, in Q4 and Q1, right? And because of that, we cut down on TReDS.

So primarily DA was a problem, the unsecured co -lending was a problem. But since we saw that happening, we have cut down on TReDS significantly. What you see here in the SME book is

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the OD/CC book as well as the TReDS book. So the TReDS book has come down as a part of our action only.

The, see, let me put it other way around. The bank has declared war on high cost borrowing and low-cost assets, okay? I'm taking this conversation slightly away from the question you asked, but I'll come back to it. Have a look at our cash, have a look at our interbank balances, have a look at other assets, have a look at borrowing, the significant reduction happening. So we are tightening.

There is no , for every stakeholder, we are tightening the bet because the depositor is going

to be

less easy, increasing the yield, lowering the cost of deposit, renegotiating with all types of AMCs and various vendors, running a tight ship both on credit and capital.

So, on SME book, we decided we're not going to be waning on top line. It is okay. For us, the asset has to sweat. So, it's okay to give up on TReDS , lower it. And on the second question, I'm coming back to your direct question, how are we progressing on the multiple product strategy?

So, we have something called a no to singles.

So we don't want a single customer in our bank who has got only a single product. So that campaign has started. Are we happy with the progress that we have made? Not really, but it's going in the right direction. And these things take time. You got to nurture it and let it happen, let it grow.

Over a , you'll see the result of it, I think, only in about two to three years' time. But that doesn't mean that we will not focus on it. It's a very, very important initiative for us. We'll drive that.

And it's not just about SME loans and OD, OD and CC. It is about making mortgage customers transact with us, getting their current account with us. And then the whole world opens up of using them for trade, using them for the deficit need, using it for the surplus needs. So that's the story very much is centre plate for us.

Jai Mundhra: Right. Sure. And sir, on this ECL, right, so while I agree that you may be , you're very comfortably placed. But I wanted to check, sir, we have a specific PCR, which is less than -- which is around 60%, while the LGD for our bank has been much lower given the secured nature of NPA. But do you sense a need to increase the PCR from current levels by the time we transition to ECL, or you believe the 60% PCR is reasonably good even if we were to move to ECL?

Praveen Kutty: Jai. I'll tell you what is my single biggest priority as far as portfolio quality is concerned. It is neither gross NPA nor PCR. It is slippage ratio, okay? I want to fix the slippage ratio. It is unnecessary waste of time. You don't collect one EMI when you have , when you can collect 1, and then you go ahead and collect four EMIs when the customer becomes NPA. It is a complete waste of time. It is just an increased opex cost. It shows wrong lead indicators, while it doesn't impact the credit cost. I want to fix that slippage ratio. That's my number 1 priority.

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Otherwise, we are very comfortable at 45 bps of credit cost, right? That's really not the issue. Why slippages and recoveries are a problem is that it just increases the opex , right? You're going and collecting , you saw , I don't know if you saw this, but 81% is your recovery as a percentage of slippage, right?

Why wouldn't we do that upfront? It begs the question. So that is the real priority. Fix that in the front. And as far as the sourcing metric is concerned, template is concerned, underwriting is concerned, frankly, no issues. This is a decent business with good LGDs.

Jai Mundhra: Sir, on slippages part, well this quarter slippages, let us say, is around 3% annualized. Is this number is good 3.17%. Is that number a decent number or I mean, how , considering the business model, how should be the gross slippages in rough range?

Praveen Kutty: We want to make it somewhere below 2%.

Jai Mundhra: Okay.

Praveen Kutty: Okay. 2.5% it is without the gold, right? We would like that 2.5% to come down to 2%.

Jai Mundhra: Right.

Praveen Kutty: Yes.

Jai Mundhra: Okay. And this 60% PCR , sorry, just because we would have to make a transition, right? Because this PCR on existing Stage 2 , Stage 3 loans would have a bearing on the net worth adjustment and maybe the ROAs that you make over the next seven , eight quarters. Would this 60% number suffice, or you need to increase it to 70%, 75% as per the system level? System is around 75%. So I was chech

king on that number as well?

Praveen Kutty: See, essentially, if your business model is built on unsecured loans, which has a higher loss given default, you will have to. Just look at where our NPAs have stacked up, right? You've got the product -wise NPAs are , you see where the growth is coming in from. INR 23 crore s growth in AIB is the highest. And that is partly driven or rather significantly driven by the MFI book, which they have, the BC MFI book that they have, right, in AIB. That is where the issue is coming in.

Other all secured assets where there is marginal growth coming through. So we're very, very comfortable with the kind of loss given default we have in our system. I don't expect it to be anything more than that. If anything, the new model will suggest slightly lower than the current provision that we take. But obviously, it will be the higher of the two.

So one doesn't see too much a change happening there. The real story, the real need to address is to ensure that the focus that we have on the later buckets is brought right upfront so that opex comes down. It is not about credit cost, at least in my opinion, for the products that we have.

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Jai Mundhra: Okay. Sure. And sir, last quarter, we had some higher, let us say, higher slippages in unsecured DA and small ticket LAP. This quarter, of course, the gross slippages have improved sharply. But is there any seasonality element also, or do you believe that the issue , whatever issue we had in unsecured DA and small ticket LAP is clearly, clearly behind in terms of gross slippages also?

Praveen Kutty: See, in retail banking, nothing gets over in a quarter. So there is always a long tail. So, this quarter is better than the previous quarter, but the next quarter will be better than this quarter.

So, it goes on like that. It just doesn't stop, right? So, we have that. There is , though that's not , it's not a great book; it's not a book that we are very proud of. But the impact of that book is decreasing as we go along. So is with the MFI, right? The MFI fresh NPAs are progressively getting smaller and smaller.

Jai Mundhra: And the same is the case with unsecured DA and small ticket LAP ? That book is improving. ..

Praveen Kutty: Yes.

Jai Mundhra: And lastly, sir, the co -lending share as a percentage of overall is still around 16%. How should one look at, let's say, as you end the FY '26 and maybe beyond?

Praveen Kutty: The way to look at this is it's currently 16.22%. You add INR 1,575 crores of IBPC to the bottom

line, 16.22% will automatically look like 15.75%. And that 50 bps , 75 bps reduction will happen in quarter 4 because of the following reasons. One, new technology will come into play. There will be a blended rate on co-lending, which will happen.

And there will be a handshake time frame where things may not flow at the same seamlessness as current. And I'm just imagining this. And if that is the way it is, then you will find a lower volume coming through automatically.

Otherwise, what we'll do is we will ensure that the incremental book remains at the 15% level of what we think the March 31 advances book is going to be. But in Q4, you'll find changes happening. Blended rate is one, CLM 1 technology interface is the other. So these , all these things will come in. And usually, when these kind of new rules come in, you'll find some bit of hiccups coming in.

So in that sense, you could say that we have upfronted it, kept some fat and then we will be releasing it as we go into Q4. If it doesn't happen, great. If it's seamless and continues to happen the way it is great. We'll stop instead of stopping it in March, we'll stop it in February and keep it to that particular level.

Moderator: Our next question comes from the line of Aditya from Securities Investment Management.

Aditya: Sir, firstly just a clarification -- Sir, ju

st one clarification, sir, was there any one -offs in NII, like IT refunds or interest reversals, or anything of that sort?

Praveen Kutty: Sorry, run off in non-interest income.

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Aditya: One-off.

Praveen Kutty: One-off, nothing which is worth material we were speaking about. No.

Aditya: Okay. Sir, secondly, one metric which we used to track was the deposit rate of DCB as compared to other banks. So that gap used to be pretty high. Now with the recent cut in term deposit rates, has that gap been maintained or we have tried to lower that gap?

Praveen Kutty: We have a number in mind in terms of cost of deposit and cost of borrowing. And we have tasked the team to the growth rate that we want based on that, on the targeted cost of deposit, and the team is reacting very, very well, as you can see with the results, right?

So partly, it has been achieved through reduction in the savings account rates, which has got an instantaneous benefit coming in. But that petted out in Q1 because you , I mean, there's only a limit to which you can cut it. In Q2, most of what you see has come from reduction in term deposit on the renewal of deposits and also on the new deposit, it is coming at a lower rate.

CDs, which mature and are getting new CDs which are coming in are coming at a lower rate. Borrowing, we've reduced a lot of borrowing and incremental borrowing, which has been taken has come at a lower rate. So it's a combination of multiple factors, which you're seeing in both cost of deposit play as well as cost of fund play.

But what I can tell you is cost of deposit play will continue into the coming quarters because we are, as a bank, we , our sweet spot on deposits is more than one year. So for every month of renewal which comes in for , at least for the next nine to twelve months, we should be able to see some benefit of cost of deposit coming through if you're able to retain the customer.

Aditya: Understood. Sir, just to go further from a strategic focus standpoint, now most banks have taken rate cuts of 80 to 100 bps in the term deposits. Would you say that we try to match that sort of rate cuts or is it an opportunity for us to increase the rate cuts like 110 or 120 bps? Do you think there is an opportunity for us or it is only possible because it would affect our deposit growth going forward?

Praveen Kutty: I think what we are attempting to do in the bank, and I'm seeing the success of it coming, is to bring in a culture of growth with the constraint of cost, okay? I genuinely believe with the hindsight of Q1 and Q2 that we were giving more than what we need to give for the kind of growth that we need to get. That is true for cost of deposit. That is also true for other operating cost.

So from a cultural perspective, the bank is tightening its belt. You're beginning to see the results of that happening in cost of deposits. You're seeing that in cost of funds. And we've been seeing it in cost of operating the bank, cost to average assets. You see that 5 continuous quarters of one way, one direction movement. So it's a cultural thing that we are attempted.

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And as a bank, I think if a bank has to be reckon with, we have to find the ability to find low - cost liabilities. It is time to demonstrate that. And that will have, over a period of time, salutary

effect on not only the asset growth, but also on the asset quality.

So cost of deposit is something which we are focused upon. And it doesn't mean that it's mutually exclusive. Lower cost of deposit does not necessarily mean lower growth. And that's a challenge, and our team is bearing the challenge very, very well.

Aditya: Sir, next one on co-lending, so in our earlier commentary, co-lending book used to be majorly gold loan dominated. Would it be fair to say that it would still be the case now

as well? And if

you could just give a rough indication of the share of gold loans in our co-lending book?

Praveen Kutty: Very high. Upwards of 90%.

Aditya: Understood. Got it. And sir, lastly, now if I look at the core fee income growth, which earlier used to be equal to a higher than our advances growth, but now it has been trending below advances growth for the last 2 quarters with Q2 we've seen a 14% growth as against advance rate of 19%. So how should we look at this core fee income growth going forward? So should it meet our advances growth, or it should, it would be below our advances growth?

Praveen Kutty: The better way of looking at it would be look at core fee growth histogram, okay? Just see the way the bars are stacking up on core fee income. The INR 158 crores, which we achieved in September 30 is the second best in the last 5 quarters. That's Page Number 33, right? Do you see that?

Aditya: Yes, sir.

Praveen Kutty: Yes. So as, if you look at quarter-by-quarter, if I can see that kind of improvement happening, we're very comfortable with it. I'll just read out to INR 139 crores, INR 141 crores, INR 161 crores, INR 134 crores, INR 158 crores and INR 158 crores is not too far from INR 161 crores anyways. And March is traditionally a very, very good quarter for most banks. And in September, if you can touch INR 158 crores then and it's, that's the way you have to look at it. I wouldn't correlate non-interest income with asset growth because a substantial chunk of our core fee income comes from third-party distribution, trade fee income, credit, sorry, card fees and of course, processing fee for loans also. So just to pick up one part of the balance sheet and check it may not give you -- may not be the right indicator. What would be the right indicator is look at the core fee income by itself and see how that is progressing.

Aditya: Understood. But sir. One of the things which you had earlier mentioned was that fee income growth should be higher than our advances growth going forward. It was one area where the bank was lower index as compared to other banks. So ideally, if we have to improve the fee income as a percentage of assets, the fee income growth should be higher than our loan growth. So that was the whole point of asking the question?

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Praveen Kutty: Yes. But what I want to clarify is a significant portion of our fee is coming not from assets. It is coming from branch banking, okay? It is coming from third-party distribution. So it is coming from branch banking, forex. It is coming from our cards, which is DCB Bank Niyo Card, which is being used in multiple countries abroad that nothing to do with assets.

So that is where the core fee income is coming in. And what we're looking at is how do we -- I mean if we keep increasing the core fee income the way we are increasing it currently, it will help us meet the guidance that we set for ourselves for the years -- for the next year and the year after.

Moderator: Our next question comes from the line of Sanjay from Bastion Research.

Sanjay: Sir, just wanted to know, our cost to average asset has been going down, while in terms of, when we look at cost-to-income ratio, that is not the case. How should one look at that metric? Because in the past, we have guided that it would be also slowing down as well. So how should...

Praveen Kutty: So, let's take it forward, let's take the cost question forward. I would request you to look at the cost-to-income ratio in Q1. It is not there in this investor presentation, but in a laptop, it should be there. It is about 67.8%, okay, in Q1 of last year. That 67.8% has come down to 59.97% in Q1, okay?

Sanjay: Right. Right.

Praveen Kutty: So, let's look at the September quarter. It was in 64.23%, it has come down to 61%. So, if you're shaving off 700 basis points in 1 quarter, sha

ving off another 300 basis points in the next quarter, you're very happy with that kind of shaving off.

Sanjay: Okay. Understood, sir. Sir, my next question would be, we are saying in the last quarter only that we will be targeting INR 3 crores to INR 10 crores SME segment. Just wanted to understand how are we progressing there? What are our strategy on that side? And if you can guide on medium term, what is the percentage of loan book we are targeting on that side? If you can share some things on that side from a longer-term perspective, I'm not asking from a quarter-on-quarter

perspective?

Praveen Kutty: I don't know. Maybe first year, we'll lose some INR 200 crores, INR 300 crores. We just test it, see how good it is and then build it up from there on. So for us, we don't want to enter in a big bang, rush in there and then repent in -- at leisure, build it slowly. Like we build the educational institution finance, it's a INR 1,000 crore s book, they're doing extremely well. Like we did the gold loan book, right? It's now a INR 3,000 crore s book, organic book.

So likewise, we build slowly build the capabilities, get the right kind of people, align the ducks and then results , output will happen. So, get it right, don't get into a , we want to ensure that we get the ingredients right. As a bank, we suffered badly by delving into things like CV, doing hobbies and then getting our hands burned.

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So we're not doing it for immediate balance sheet growth purpose. It is to build a franchise, a proposition, which will last for the next decade and more. So maybe INR200 crores, INR300 crores, maybe INR400 crores we'll do in the first year, build upon it, pick and choose. And then maybe in over a 5 , 10-year time frame, it will be a very good proposition to have. But over the next one and half years, we will see -- the pie chart will look more or less the same, only in the pie increase.

Sanjay: Okay. Understood, sir. Sir, my another question would be on , as you already highlighted your guidance on slippage side from 2.5% to 2%. And currently, we are hovering around 3%.

Praveen Kutty: Sorry, that's not a guidance. That is an ambition, okay? It's not a guidance. The only guidance I said is that in the year -- in the financial year next year, we want to get to an ROE of 13.5% and then move it to 14.5% the year after. All the rest are ambition, I mean, we'd like to get there.

Sanjay: Yes, incrementally things if we have to look at from that perspective, so incrementally, I'm assuming that the slippages cost would go down. And I'm not saying for a year , within a year, you are saying that for 2.5% or so that number. But incrementally, we are looking reducing quarter -on-quarter basis. That's the point to look at. Is that the right thing to work on?

Praveen Kutty: See, in the overall scheme of things, it's not such a high priority. But within the credit cost environment where we're doing reasonably well on the credit cost, that is one of the priorities.

So from a focus sense, just by getting the slippage down, our credit cost is not going to go down.

Sanjay: Okay.

Praveen Kutty: Credit cost will be around the same level only, but opex will go down. But look at opex , I'll tell you where the bigger opex is. The bigger opex is on the people productivity, okay? It is on the new branches that we're putting in. Those are the products we will be focusing our torchlight on. If the slippage continues to be at 2.5% non -gold, it is an irritant, but it's not a showstopper. As long as the credit costs are low, we are okay with that.

But in terms of , at some point in time, yes, we need to bring it down. But right now, getting the productivity up, the incremental employees that we're going to put up, how well do we get the bang for the buck for those investments that we make of people, that will take over the management

's focus and attention in a priority sense more than getting the slippage ratio down because that has, frankly, very little impact on the credit cost.

Moderator: Our next question comes from Saumil Shah from Paras Investments.

Saumil Shah: Sir, my question is basically on our capital requirement. So do we require any more Tier 1 or Tier 2 capital in next, say, maybe 1 or 2 years because...

Praveen Kutty: No. We don't have to require.

Saumil Shah: Okay. So we , I mean for the next couple of years, we are not going to raise any capital?

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Praveen Kutty: For the rest of this year and the next year, I don't see a reason why we need to raise capital.

Saumil Shah: Okay.

Praveen Kutty: And the raising capital will be dependent on the price movement than on real requirement for capital in that sense.

Saumil Shah: Yes, correct. Because.

Praveen Kutty: When that opportunity arrives at the right kind of price, maybe we'll look at it. But honestly, look, 19% growth in advances and the Tier 1 has increased, right? And then RBI has been kind enough for reducing the risk weights in some of the products that we are , which is significant and big for us. That will also have a positive impact. So why would you dilute it at this point in time?

Saumil Shah: Yes. Yes. That's why the question was because just management, I mean, we wanted to know

the management thought process because to dilute below book value may not be the right time to dilute.

Praveen Kutty: I think dilute at a significant portion above the book value would make sense. Why would you do it at book value also?

Saumil Shah: Correct, sir. Okay. And sir, for the first half of this year, if I were to look at our advance's growth, so I think it's around 3% to 4% if you compare with March '25 numbers. So how confident are we to cover this in the remaining half of this year? I mean to grow at a 20% yearly run rate, now we really need to gear up for the remaining half of this year. So is it fair to.

Praveen Kutty: So look at IBPC, you look at IBPC number?

Saumil Shah: Okay.

Praveen Kutty: IBPC will come in at some point in time. So, INR 1,585 crores of IBPC is going to come back. Hopefully, it will come back. If it doesn't come back, we have a different problem, but right? So that is going to come back. And conventional wisdom is that second half of the year is much better for assets as compared to the first half. That's conventional wisdom. I'm not talking from a DCB Bank perspective, but industry -- I mean, all of us are in the industry for long enough, right?

So, second quarter, second half is a better half. There will be a, let me add to the complication that you put in. There will be a reduction possibly or a standstill on the co-lending book because we said they will not go above 15%. So that is also there. So we are comfortable with that. I think there is enough ability in the system to generate anywhere between 18% to 22% on, - for growth going forward.

Saumil Shah: Okay. So, is it fair to assume that next couple of quarters, we can have 8% to 10% Q-o-Q growth for next two quarters?

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Praveen Kutty: See usually, what we do is we comment on three to three and half years of doubling, which translates to about roughly 18% to 22%, okay. That's a band in which we'll move.

Moderator: Our next question comes from Rakesh Kumar from Valentis Advisors.

Rakesh Kumar: Just some questions on co-lending. So I was looking at that incremental credit composition of your co-lending book is around 98% for the first half?

Praveen Kutty: Yes.

Rakesh Kumar: So like most of the lending on a net basis, net addition to the loan book basis, it is entirely from the co-lending. And you said that it is like 90% or close to that number is the co-lending book is a gold book.

Praveen K

utty: Correct.

Rakesh Kumar: So, the question, what came to my mind is that if I look at your yield on advances number, like it fell from 11.54% to 11.11%. So, like such falls would not have happened, right? Because there is improvement in the asset quality number, gross slippage number and gold book has, would have supported with a higher yield, our blended yield number. So, 40 bps fall, what does that, like which number would explain that apart from EBLR?

Praveen Kutty: Repo rate cut.

Rakesh Kumar: Yes. So EBLR is the one reason. So, other than that, should have, like it's fallen so much with total addition of gold book from September to, from March to September?

Praveen Kutty: It would have. See, you've taken a hit of 100 basis points in this six, seven months. That's a lot to take, right? I know it's been compensated by some treasury income, thankfully. But that's a real hard hit to take on the yield front. So that is a real, that is the number one reason.

Number two reason is we still have an MCLR book, okay? Now because our liability team has done a fabulous job of reducing the cost of deposit, straight impact happens on the MCLR book also. So not only does the EBLR come down, MCLR also comes down. And that's good in a way because these are good customers.

We want to keep them at a, even if it's a lower rate, you will be able to hold them for longer. So, on both front, you have taken a hit from a yield perspective, right? So, it's not just EBLR alone. Our fixed rate book is not too very high. I don't think it's revealed, but it's not very high.

And like I told Mahesh earlier in this call, which I'm sure you are listening to, that every month, there is some bit of previously fixed loan, which becomes floating. While each month volume is very low, over a period of time, that also accumulates. So these are the reasons why you have a, you're taking a yield hit.

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Rakesh Kumar: And second thing, like in the Slide 22, I was looking at the disbursement trends. So in the gold in the Q1 or maybe in Q2, the way the addition on the net basis has happened because 100% has virtually come from the co-lending and the 90% of it is gold. So why it is not reflecting that kind of disbursement number in the gold in the stack like that you have given for Q1 and Q2?

Praveen Kutty: I'm so sorry, I'm not sure whether I understood you.

Rakesh Kumar: No. So, 100 virtually 100% of net addition to loan book has happened from the co-lending, and 90% of it is gold.

Praveen Kutty: So, there is, there are multiple things that have contributed to our asset growth. You're talking about disbursement or are you talking about growth?

Rakesh Kumar: Disbursement. I'm talking about disbursement.

Praveen Kutty: You're talking about disbursement. Okay.

Rakesh Kumar: So, disbursement number, which is given in the slide 22.

Praveen Kutty: Okay. Look, the disbursement is only organic disbursement. That's the reason.

Rakesh Kumar: Okay. Okay.

Praveen Kutty: I understood the question now, sorry.

Rakesh Kumar: The only request is that now co-lending book is 16%, and it is now like in the first half, the entire contribution is from the gold co-lending. So just if we can add maybe 1, 2 slides on the co-lending itself, that would give us some more clarity and comfort that what could happen maybe 1 year down the line. So that, some visibility, some understanding.

Praveen Kutty: Maybe if you want to look at Page Number 21 and Row Number 2, it gives you what the co-lending book is and what has grown over the year and over the quarter, right? That shows you where you are. And I don't know whether we have enough time for it, but I'll be very quick on this.

Our co-lending book dramatically dropped in the first half year of last year. That is because one of our partners had an embargo on fresh sourcing. And our

book from somewhere around INR

3,000 crores became somewhere around INR 1,200 crores. I'd be slightly wrong in these numbers, but it dramatically dropped.

I'm talking about a 60%, 70%, 80% drop happening because co-lending did not happen at all. It is in Q3 and Q4, it picked up. So, what you're seeing essentially is a base effect. And that base effect is going to go away when you look at the Q3 and Q4 number of this year.

Rakesh Kumar: Got it. Okay. And the co-lending book, particularly for gold loan, what would be the yield differential from the blended yield on advances and this book yield on advances?

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Praveen Kutty: That's something we don't reveal because we have multiple partners with whom we have different kind of arrangements. So, it may not be a good idea to make that public.

Moderator: Our next question comes from the line of Gopinadh from PNR Investments.

Gopinadh: Sir, we are planning to increase the book by double in three and half years and you are looking at the same time to serve the customers like one-stop shop wherein you can give all the services to the customers, which I assume that it costs a lot to build all those new services that we want to give. Are you giving this guidance of 13.5% ROE and 14.5% by the next year, including those expenses as well, considering them as well as a part of expenditure or...

Praveen Kutty: So, we have a very divergent view from you as far as this is concerned. Our belief is it will dramatically cut down our acquisition cost. It will dramatically reduce our credit cost because these are customers of the bank. We know them. We have a history with them, but we only have one product history of them.

So, our idea is, I'll give you a strawman, okay? This is a person who is a self-employed customer, has a store of his own in one of the streets of Bombay, let's say. And he has a LAP with us a business loan against the collateral of his house. But his operating account is not with us, his, whatever he imports or exports is not done through us.

His fire insurance, burglary insurance, his motor vehicle insurance is not done through us. His wholesalers and the people who supplies to not done through us. The QR code that he uses for swiping the customer's card or for his GPay, PhonePe, et c., are not done through us. His current account is not with us.

We are assuming that we have the capability to provide all these services to that customer because his single biggest asset he owns is mortgaged to us. And we are very, very competitive in all the other things that we just now mentioned. If you get that banking with us from one customer, you will be able to not only get a higher revenue, which is good, but also will be locked in the customer with us for a very, very long period of time.

So, in my opinion, Gopinadh, sir, I think it will reduce the cost and also the operational cost and the credit cost significantly. And the early success that we have proves my point and not yours.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now

hand the conference over to Mr. Praveen Kutty, Managing Director and CEO, for closing comments.

Praveen Kutty: Thank you for your patience for the questions. I hope you have clarified everything. If you have any questions, feel free to reach out to us or the Investor Relations team. We plan to do an Investor Day on the 14th of November, where if you have any questions based on what we just now spoke about or any other thing which comes in mind, happy to address. And then we're very excited to wait for the next conference call maybe in another 3 months' time. Thank you very much.

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Moderator: Thank you. On behalf of DCB Bank, that concludes this conference. Thank you for joining us, and you may now disconn

ect your lines.

Call: Jan 2026

DCB Bank Limited

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January 30, 2026

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Dear Sir / Madam ,

Subject : Transcript of the Earnings Conference Call held on January 23, 2026

Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Conference Call held on January 23 , 2026 with respect to the Unaudited Financial Results of DCB Bank Limited ("the Bank") for the third quarter and nine months ended December 31 , 2025. The same has also been uploaded on website of the Bank and can be accessed at the link given below:

<https://www.dcb.bank.in/api/dcb/assets/2026 ->

01/324.%20Transcript%20of%20the%20Earnings%20Conference%20Call%20held%20on%20January%2023%2C%202026.pdf

This is for your information and record.

Thanking you,

Yours faithfully,

For DCB Bank Limited

Rubi Chaturvedi

Company Secretary &

Compliance Officer

Encl: As stated above

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DCB Bank Limited

Q3 FY '26 Earnings Conference Call

January 23, 2026

MANAGEMENT : MR. PRAVEEN KUTTY – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – DCB BANK LIMITED

MR. SRIDHAR SESHADRI – WHOLE -TIME DIRECTOR –

DCB BANK LIMITED

MR. RAVI KUMAR – CHIEF FINANCIAL OFFICER –

DCB BANK LIMITED

MR. AJIT KUMAR SINGH – CHIEF INVESTOR

RELATIONS OFFICER – DCB BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the DCB Bank Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

From management, we have with us today Mr. Praveen Kutty, Managing Director and CEO; Mr. Sridhar Seshadri, Whole-Time Director; Mr. Ravi Kumar, Chief Financial Officer; Mr. Ajit Kumar Singh, Chief Investor Relations Officer.

I now hand the conference over to Mr. Praveen Kutty, MD and CEO, DCB Bank. Thank you, and over to you, Mr. Kutty.

Praveen Kutty: Thank you. Good evening, ladies and gentlemen. Welcome to DCB Bank's Quarter III earnings call. At the outset, I would like to run you through the headline numbers. The customer advances have grown Y-o-Y by 18.46%. Customer deposits have grown Y-o-Y by 19.54% and profit after tax has grown Y-o-Y by 22%, despite a onetime impact of INR 26.87 crores. We'll come to that in a minute.

Consistency, predictability and repeatability, I keep saying this every meeting, every interaction with all of you and as well as the management team. This continues to be a key cornerstone of our business strategy. And you've been seeing the results of this, over many quarters, now. I'd like to give you some finer details and texture on both the top line and bottom line numbers. NIM continues its upward momentum, clocking 3.27% for the quarter, thanks to reduced cost of deposit, which now stands at 6.86%, that's a 10 basis point drop in the quarter.

It's pertinent to note that the net interest income as a percentage of total assets for Q3 this year is higher than the net interest income for Q3 of last year, and Q3 of last year, remember, was prior to the rate cut cycle. The fee growth continues to be encouraging. And what's more, the core fee income at INR 182 crores led by third-party distribution, trade finance and processing fees is looking robust.

On the cost front, we have taken an impact of INR 26.87 crores on account of the new labour code. Despite this, our cost to income is at 61.84%, which is lower than Q3 of last year and cost to average assets is the same as of Q3 of last year.

I want to clarify that the quarterly incremental impact of the wage bill would be marginal.

Also, what is pertinent to note is that we have grown 18.5% in advances and 19.5% in deposits with less number of employees than we had in Q3 of last year. We had 11,339 people same time last year. We have 10,981 people now.

Our focus on organic sourcing vis-à-vis DSA source business, vendor renegotiation, impact of digitalization and improved use of AI is helping us rein in the cost.

DCB Bank Limited
January 23, 2026

The jaws are widening with income growing at 16% and expenses, including the onetime, growing at 15%. This has resulted in the operating profit growth of 19% Y-o-Y.

On the portfolio quality, our credit costs are benign at 0.37%, much below the minimum stated goal of 0.45%. What is truly heartening for us is that our slippage ratio for the quarter at 3.08% is the lowest we had in 18 quarters.

Our GNPA at 2.72% is the lowest we had, again, strangely in 18 quarters. And our Net NPA at 1.1% is the lowest we had in the last 11 quarters. The net outcome is that we have posted our highest ever quarterly profit of INR 184.74 crores, with an ROA of 0.91% and an ROE of 12.73%.

Let me talk something hypothetical. It's interesting to point out that without the one-off regulatory expense impact, our PAT would have been INR 205 crores, ROA would have been 1.01% and ROE 14.10%.

As far as the future goes, we continue to remain confident about our guidance of 18

% to 20%

growth year-on-year, and the 13.5% ROE in '26-'27 and 14.5% ROE for '27-'28. That remains unchanged.

Now I'll leave the floor open for questions or clarifications. Operator?

Moderator: Thank you very much, Sir. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Akshat Agrawal from SMIFS Institutional Research.

Akshat Agrawal: Congrats on a very good set of numbers. Apologies if I missed part of initial remarks as there was another result call at the same time. So my first question is on fee income momentum, which

was very strong at 15% Q-o-Q. So if you can provide some insight what's driving this? Is it all core? And do we think we can sustain this level of momentum?

Praveen Kutty: Mostly, the core fee income has come from a very decent third-party distribution fee income, which we got. The asset growth has been good. So the processing fee by definition looks very good. Traditionally, Q4 is a good quarter for both third-party distribution and also for loan growth. So in the short term, I see that coming through.

What we are seeing on a go-forward basis, I think a fee of 1% of the average assets is something which we should be getting through. Currently, let me tell you that we are at 1.1%, but on a go-forward basis, 1% seems very, very achievable on a consistent basis.

Akshat Agrawal: Sir, my next question is on margins. So how much of NIM expansion was related to tax refund? Was it 2 bps? And how should we think about the expansion from here in terms of residual deposit repricing, continued benefit from HL to BL transition, as well as hybrid fixed mortgage like moving to floating? And is incremental flow for BL to HL still 60% to 40%? Or has it improved further?

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Praveen Kutty: Okay, let's go one by one on this. BL continues to be a large share, even more than 60% of the incremental sourcing, okay? And I think that's a good call that we took. It is helping us, both in terms of income, interest income as well as in terms of bounce rate as well as the NPAs.

Number two, there are mixed activities happening on the margin front. The full impact of CRR is not boxed in yet. That's a positive for Q4, what is not so very positive is that the full impact of the 25 basis point repo cut has also not been boxed in, and that you will see the full impact in the coming quarters.

You've seen the 10 bps reduction in cost of deposit. You would also see our borrowings come down dramatically. And I want you to pay attention to both these items. Because we have a long duration term deposit, our belief is that until Q2 there is clear visibility of reduction through repricing. So the challenge we have is if we continue to renew term deposits, the way we do, then we'll see the benefit of it coming in all the way to quarter 2 of next year, probably even quarter 3. So that's one element.

The second element is we had a borrowing, total borrowing of INR 8,400 odd crores. Now it is about INR 4,700 crores. It is just repricing, our ability to get lower cost of deposit by giving away borrowing, which is more expensive, is coming into play very quickly. And that's also one of the reasons why if you see the balance sheet is growing only 14%, whereas clearly, we are growing our key areas of customer deposits and loans and advances at a much, much higher pace.

So, in short, we see this movement of NIM, the upward movement of NIM should continue definitely till Q1, Q2, unless some repo rate action is done by RBI in the coming, in the near future.

Akshat Agrawal: Right, Sir. So, on the follow-up on that, the tax refund part, was it 2 bps this quarter and hybrid fixed mortgage like moving to floating, how do we see about that, or all these parts, Sir?

Praveen Kutty: I mean it exactly follows, the pattern has been following for the last n number of

right over the

last 2 years. We haven't changed that. So, in every month, we see some bit of repricing happening on the fixed to floating conversion, but that's very marginal, very, very marginal, which comes in.

Akshat Agrawal: Right, Sir. And the tax refund this quarter, is it 2 bps for impact this quarter of the 4 bps?

Praveen Kutty: I'm sorry. Are you talking about taxation impact?

Akshat Agrawal: Tax refunds, sir. There's a note in the financial.

Praveen Kutty: There's INR 4 crore s of tax, interest on tax rather, not a tax refund. Yes, of course.

Akshat Agrawal: Right, sir. And my last question is, sir, on asset quality. Roughly like INR 73 million floating provisions were added this quarter. So is it all for the expected ECL implementation? And what kind of recurring impact are we likely to see with that?

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Praveen Kutty: As a Bank, we want to get to 1% or less NNPA as soon as possible. So, we are doing all that it takes to ensure that Net NPA comes down to 1% or below. And we're sure about the direction.

How soon? We'll say, we will get to know soon enough. So, if you see, it's a, bounce rate coming down, slippage coming down, gross NPA coming down, net NPA coming down. So, it's all, gross NPA is a net outcome of all these activities that you're doing.

So we're very clear. It's not meant for ECL. It's just that, you see our recoveries and upgrades as

a percentage of our fresh flow, it is 86%. That's like we have never touched that before. And we intend to not only touch, we need to continue that and maybe even go better with the improved new vintage bounces and new sourcing portfolio quality. So it's got nothing to do with ECL.

Moderator: The next question is from the line of Aditya from Securities Investment Management.

Aditya: Congratulations on a good set of results. Sir, my first question is on NIMs. So, Sir, NIM improvement has majorly, I think, come from higher CD ratio and balance sheet improvements, which you mentioned, which you have undertaken on the borrowing side. Because if I look at your spreads, they seem to have dropped Q-o-Q. So yield on advances has fallen at a faster rate than the cost of funds this quarter. So going forward with 25-basis rate cut impact going to be seen in Q4, when do you see cost of funds falling at a faster rate than the yield on advances?

Praveen Kutty: So, I want you to look at the COD, cost of deposit on a base of almost INR 65,000 crores, okay. On INR 65,000 crore base, you're dropping 10 bps, and you were to compare it with average assets, where there is a drop to, average yield drop by about 10.98%. So the momentum which we'll get will be from continued cost of deposits coming down. If you were able to see, the fall in cost of deposit is sharper than the fall in cost of funds, which basically means that the impact of cost of borrowing is much lesser.

Aditya: Yes, I understood that point, Sir. But if I look at your yield on advances, so they have fallen by 13 bps this quarter as against a drop of 10 bps in the cost of deposits. And the 25-basis rate cut impact to be seen in Q4, do you see the yield on advances falling faster than the cost of deposits in Q4 as well?

Praveen Kutty: The full impact of the 50 bps rate cut which happened in the previous quarter is taken in Q3, the full impact. So what you're seeing is a lagged impact. For the 25 basis points repo rate cut, which you saw, which has happened in Q3, the impact you will see happening in Q4. The full impact you will see happening in Q4. So it's a lagged impact which you're seeing from a yield reduction perspective.

Whereas the NIM growth is fully predicated on our term deposits and our savings account interest rate going southward. And we have clarity and we have done this playbook once, not once twice, for the last 2 quarters, we've seen this happening. And we are confident that we

will be

able to grow as we grow 19.5% at a lower cost of deposits, 6.86%.

And the third thing, which is very important, I want to tell you, is on granularity. Our top 20 has gone down to 6.61%. So it's all the three. And many of you who have been on the Investor Day DCB Bank Limited

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presentations that we, that Ravi and I did, we said that it is not 2 out of 3, or 1 out of 3, it's all the 3 together, all the time. So we are very confident that our cost of deposit will come down. The growth rate will continue in the 18% to 20% range. And in addition, we'll also be able to maintain the granularity.

Aditya: Understood, Sir. And Sir, if I look at your growth in deposits, this quarter, a large part of growth has come from bulk deposits. So should one consider this as a one-off? Or considering the rate reduction we have done on the deposit side, there has been some impact on garnering retail deposits?

Praveen Kutty: You would see that our ratio of retail to bulk remains the same at the portfolio level. And there is no reason to believe that it will be any different. So I don't see a big change in bulk deposit versus retail deposit.

Having said that, the reduction of rates on both is on par. I mean the rate of, the reduction in the rate of interest for both bulk deposits and retail deposits, Q3 over Q2 is practically the same. So you're getting the benefit from both retail and bulk deposit repricing.

Aditya: Understood, Sir. And sir, just lastly, on this advance growth, there is this others under advances book, which have grown strongly this quarter. So what is this book?

Praveen Kutty: It's INR 2,000 crore book. It's not a large book. It's INR 2,000 crore book once again, which is a mix of all things, Page number 21. So yes, some loan against term deposit, those kind of things have, the largest component here will be about INR 600 crore, INR 700 crore of loan against term deposit. So there is a mixed bag of whatever is not mentioned in the other products.

Aditya: Got it. And Sir, mortgages have been flattish now for the last 3, 4 quarters. So when do you see that returning to the normal level of growth rates, which we expect from DCB?

Praveen Kutty: I think 12.4% is our Y-o-Y growth on mortgage. We have really curbed DSA sourcing. We are running a higher organic book. And more importantly, our HL growth have been curtailed and has been, and there's far more BL that we're doing. I would tend to think that mortgage will come back to a 18% plus growth, similar to the bank growth in the next full year.

And the reason for that is simple. We have, people take time to get used to the new way of thinking and implementing that. We have done it consistently for the last 9 months. So, we would tend to think for the, and I plan for the whole of next year, mortgage growth will be higher,

equivalent or higher to the bank's asset growth.

Moderator: The next question is from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: Just a couple of questions. One on.

Praveen Kutty: Yes, go ahead.

Moderator: As there is no response from the line, we will move to the .

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Praveen Kutty: No, no, there is a lot of response. I could hear Mahesh.

Moderator: No, Sir, the person has left the queue. We'll move to the next question, which is from the line of Suraj Das from Sundaram Mutual Funds.

Suraj Das: Congratulations on the good quarter. So just one question Sir, just one question, Sir, on the RWA, it has jumped almost 80, 90 basis points Q-on-Q. Just wanted to check if this is a function of the loan mix or there are anything else?

Praveen Kutty: Our RWA is well below the 50% mark. So I don't know, one second, just hold on.

Suraj Das: I'm just guessing probably because of the mortgage.

Praveen Kutty: Yes. I think it was a scale issue because the graph ,

this movement of risk -weighted asset is INR

40,000 crore s? Yes, one second, Sir.

Suraj Das: Yes, yes. Sure, Sir.

Praveen Kutty: So I just checked this out. The RWA movement is 5%, which is similar to the overall growth of the book. So it has grown in similar terms to the asset growth, the Q-o-Q asset growth. On a 7% asset growth, we have had an RWA increase of 5%.

Moderator: The next question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Congratulations on a steady quarter. I believe, Sir, if I remove this one -off staff cost provision, then the ROA would have been around 1%, right?

Praveen Kutty: 1.01%.

Jai Mundhra: Right. So I mean, what you had said in the strategy meeting that we are very much on that 1% mark. So except for this one -off, we would have been there, right? And hopefully, margin asset quality, there's no imminent pressure as such, right? And as you said, the third -party income should be slightly better seasonality. Hopefully, NIM should also be stable, if not improving or maybe improving? So that assessment looks fair, right?

Praveen Kutty: It looks reasonably fair, but I don't want to comment on quarter 4 as much as, yes, that over the next few quarters, that's exactly the way we see it. And also secondly, in the strategy meet, I spoke more about 13.5%, 14.5% ROE and not about ROA. But the same way , 1.01% ROA also translates to 14.1% ROE in this current quarter, yes. So they are related, honestly.

Jai Mundhra: Sure. And secondly, sir, if you have , I mean, you have multiple savings rate, right? And depending on your customer profile. And those rates have also changed given the competitive dynamics. Is there , I mean do you have the blended number of, let's say, what is the blended savings rate cost for us and maybe how that has behaved versus last quarter or maybe last 2, 3 quarters?

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Praveen Kutty: So Jai, there is one way I can answer that without having to reveal more than I need to, which is, kindly look at the cost of fund reduction. Q1 to Q2, 7.18% became 7.01%. Our cost of deposit moved from 7.12% to 6.96%. That's a 16 basis point reduction. Are you seeing that?

Jai Mundhra: Yes.

Praveen Kutty: Whereas in the current quarter, there is a 10 basis point reduction. And you can imagine why. Because in Q2, we reduced the savings account rate. And savings account rate is not like every time you make that cut, you can't cut deeper than what you're cutting. Currently, we're at 1.5% at the lowest end of the scale. So , when the same , the difference, honestly, between the delta of 16 bps and 10 bps is the impact of savings account cut. So one way of looking at it for the future is that you will get the benefit from TD going forward. There may not be too much benefit coming from a SA reduction. Unless there is more repo rate cut happening in the future. You got me?

Jai Mundhra: Yes. Yes, sir. I got that. Okay. And sir, on SME book, right? So, we also have a strategy of moving towards slightly , maybe slightly bigger ticket size and capturing the OD as a tool to protect and retain and maybe acquire more SME customers. So where do I look that SME, because the SME number that were given in the product mix table, right? Is that the right number to assess that strategy because that number of INR 2,249 crores is Q-o-Q, Y-o-Y, both parameter is somehow not impressive. So which is the number should I include this along with corporate?

Or how is it?

Praveen Kutty: Yes, we are in an embryonic stage, right, where we just put in the people in various locations. We found the credit folks, we're setting up the team, right? Now it is working in four locations. There are another six more locations where it has to come in. So you'll see the impact of it happening in about, I don't know, 3, 4 quarters' time, it's a meaningful impact, I mean. So right now, it is about

getting the right people, putting the right structure. So we got the NSM, we've got the RSMs, the people in certain locations. And so it's a buildup. This is a long game. It's very clearly a long game.

Jai Mundhra: Right, right. Sure. And sir, your mortgage, what is the proportion of HL and BL broadly of this INR 28,000 crore s loan book?

Praveen Kutty: See, it used to be 50 -50. Now it is less than 50 -50, like HL is less than 50%, number one. Number two, if you were to look at our investor presentation maybe about 4 quarters back or maybe 6 quarters back, that mortgage used to be 54%. Now it has come down to 51%, okay?

So clearly, there is an increased focus on the BL, on the lower ticket, less than affordable housing segment, et cetera, there is a bit of a withdrawal, and there's more focus and growth coming in the BL. So while sourcing has really skewed in the favor of BL which is what the management action for the last 2, 2.5 years was, the impact of it, you're seeing on the portfolio now. It's becoming big enough to be visible in the portfolio.

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Jai Mundhra: Right. And sir, on your capital raising. I mean any sort of a timeline or that, I mean, you just had this \$10 million infusion. But from a capital perspective, do you have any time line in mind?

Praveen Kutty: We have both as a timeline based as well as event based. We are pretty much clear of how much we want to take and at what rate we want to take it. So right now, there is no urgency for capital. But for future growth, we require it. And the belief is that if you're able to increase your book value by INR 5 every quarter for the last n number of quarters.

And in the future also, we are reasonably confident about repeating our business in a similar fashion. I think there is, there will be an opportunity coming in. So at some point in time, I really do see us raising capital because our ambition and our growth rate will require capital earlier than later.

Jai Mundhra: Sure, Sir. Sure. And last question, sir, have you done any assessment of the ECL requirement. Now a lot of banks are -- because now it is 5 quarters away, either they have been, you have secured book, but still, have you done any assessment that if you were to transition, what kind of additional provisioning or one-time provisioning the bank may need to make?

Praveen Kutty: We've been doing it parallelly for, Ravi, how long now?

Ravi Kumar: Almost 4 years in outperformance.

Praveen Kutty: Yes. 3, 4 years, we've been doing parallelly. I don't see, I mean it doesn't keep you awake in the night. Let me put it that way, Jai, right? It's more or less in line. And with the increasing and improving asset quality, things will only get better, but you will not be able to get a benefit. You'll only, it's the higher of the two.

So we are focused on getting our portfolio quality, right, like I told the gentleman earlier also, get the NNPA down to 1% or less, right? And keep moving in the direction, right? When all these things are aligned, slippage ratio is down, GNPA is down, NNP A is down, so SMA also is down, bounce is down. So just keep getting that right and ECL will take care of itself. But honestly, when you look at it, there's hardly anything to worry about.

Moderator: The next question is from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: I'm sorry, I got dropped. But just one question. In the past, in a slightly difficult deposit environment, usually DCB had stormed it, its cost of funds kind of growing faster. We seem to be heading into one such situation again. If you could just kind of tell us how are you seeing the next couple of quarters on the deposit front?

Praveen Kutty: I'll give you a bit of a contextual answer on this, Mahesh. It is, as a bank for the last let's say, about 10, 15 years, we've been, the reason to buy has always been pr

ice. That's changing. That

has changed. So close to 3,000 odd employees in the Branch Banking system are now fighting a battle in the market where the reason for coming to us is not the pricing alone. It's not the pricing in itself.

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So people are finding it a bit difficult. But low -cost liability franchise is absolutely essential for us in the medium to long term. And I'm pretty much happy with the way the last 3 quarters have panned out because we've got all the three things right. I know I'm repeating this, but the cost of deposit, the growth and the granularity.

Getting it all right is not easy, getting 3,000 people who have always been selling based on, we are one of the highest that's kind of moving away. And I have the September data at another December data. The difference between our retail peak rate and the composite highest peak rate of six biggest banks in India is now down to 60 bps. So we're converging. So the people are learning. We're getting there. And we're not losing time or growth while we are making this change. So pretty much confident about getting this momentum going.

One last thing, I don't know, Mahesh, whether you saw the strategy presentation, which we did for the Investor Day. We have a pretty good base of Niyo customers who have come in for us, primarily for low -cost forex card purposes. We're finding that cross -selling the savings account and deposit to them is a big opportunity, 0.5 million customers we have on that base. It's not a traditional self -employed customers. So we are getting the benefit of that also slowly, but we are getting at each incremental month is a better month in terms of higher savings account balance from this Niyo customers who are primarily salaried and definitely affluent and high net worth.

M.B. Mahesh: Perfect. Second question is, on the ground, is the demand for the SME kind of product as robust as what we are seeing in the numbers? Or is this a little bit unsustainable? I'm missing on this issue .

Praveen Kutty: I think for the customer segment that we are in, there clearly is a demand, and I can see it from both sides, us losing our good portfolio customers to competition for a higher exposure or for a lower cost. So there, clearly, is demand there. In the front line, if you see our leads to conversion, we are seeing that there is real competition happening. If we don't , if you're not able to disburse in time, customers have multiple offers, and they're going away and increased login is happening.

For example, December logins are very, very similar to March log -ins. And March is usually a special month, right? We are neck to neck on that as well as the logins are concerned. Conversion still is a bit more conservative. But definitely, there is a requirement from multiple regions. It's not region specific, across India, I'm finding that there is an increased demand. And when you speak to DSAs also, you are seeing the same thing happening. In this segment, there is competition.

M.B. Mahesh: The problem which we've seen is that demand a function of , sorry, the growth that one is seeing out there, is it because the lenders are more than happy to lend or are borrowers generally wanting to see that credit coming through in their respective companies? That's the direction of the question.

Praveen Kutty: Clearly, I would tell you, it's a latter. It is that there is a requirement. There is a hunger.

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Moderator: The next question is from the line of Rohit Arora, an Individual Investor .

Rohit Arora : Sir, my question has already been answered.

Praveen Kutty: Thank you very much. If you have any more question you can ask.

Moderator: The next question is from the line of Khushwant Pahwa from KPAC.

Khushwant Pahwa: Congratulations on a good set of numbers. Am I audible?

Praveen Kutt

y: Thank you, Khushwant. Yes, you are audible.

Khushwant Pahwa: I've got two questions. One is more immediate and one is more strategic. I'll ask the immediate one first. I recall at the beginning of the year presentation when you had given this guidance for this year, you had mentioned that we should be achieving an ROE, and I'm talking about when we did March '25 results, that this year, we'll be targeting or the guidance was closer to 14% ROE.

Now when I look at what we have achieved in 9 months and I annualize it, I mean, 9 months , based on 9 -month start, we are around 9.4%. And if I annualize it, we have close to 12.5%, 12.6% ROE. So where do you see closing this year, particularly given the fact that a lot in Q4 is dependent on the fee income. Are we likely to hit our targets for this year or will we see it fell short?

Praveen Kutty: So I want to clarify, the guidance given was 13.5% ROE for '26 -'27 and 14.5% ROE for '27 -'28.

We haven't necessarily given our guidance for this current year. So as far as the progress is concerned, growth of 18% to 20%. And we tend to repeat ourselves. I mean if you see the last 3 quarters, you would have seen it's a reputational, and every quarter is similar to the previous quarter in a top line growth sense as well as in a bottom line sense.

But for next year , sorry, Khushwant, just one more thing. In fact, we do not know that there's going to be a wage bill impact. We did not know that there is going to be an impact. But still we

still posted whatever the bottom line that we posted. In the same vein, we are very confident that the 13.5% ROE, which we gave a guidance for in '26-'27, we feel reasonably confident in achieving it, similarly for '27-'28 as well.

Khushwant Pahwa: Sure. No, the reason I asked this was because March is heavy on fee income. And given the , I mean, other the usual banking business will we play out , will payout driven by growth, driven by improving asset quality and driven by repricing of term deposits. But you have , I wanted to check with you on the confidence you have on the fee income side, given the competition that exists and it's becoming increasingly more control. So any color on that?

Praveen Kuty: I really don't comment on the next quarter. But in general, the fee looks kind of robust. There is no, and NIM, you heard the story. So every quarter we should...

Khushwant Pahwa: NIM is very clear.

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Praveen Kuty: That benefit coming through. And this exceptional expense of INR 26-odd crores , yes, would look more like INR 1 crore s incrementally per quarter. So that's hardly anything.

Khushwant Pahwa: Understood. On the long -term perspective, we have seen some articles being right around and that ideally may be considering reducing the commissions that are payable on insurance product.

So given that fees is an important part of our annualized P&L. How d o you see in long term impacting us? And do you have any thoughts on this that you would want to share from a vision on 2 to 3 years perspective? Because there has been a lot of articles on this and I think some regulatory movement also.

Praveen Kuty: Yes. So third -party distribution is a big component in our fee structure. What we aim to, what we're doing is that we are building , we're using this time to feverishly build trade finance volume.

Some other investors and analysts had asked this question about the INR 3 crores to INR 15 crores in a mid -segment, SME segment that we are entering into. The whole idea is that we have to build a third, fourth string in our fee book. And I believe that TF, trade finance is an important component. So we had to build it up.

That's an area of opportunity, which we have. Because we do cater primarily to self -employed customers who have a trade finance need. And many people on this call would have heard it ad nauseam. But for a

long, long time, we have been treating customers as products, giving fill it, shut it, forget it, kind of product when we should be getting into relationship with the self -employed customers and meeting surplus , deficit insurance and trade finance need for the customer.

So that's something which we started about 6 months back. The progress is painfully slow. But in this job, you've got to be extremely patient because nothing happens overnight in retail banking, and we are primarily a retail revenue -oriented bank. So over a period of time, you will see the benefit of it happening in about 2, 2.5 years. You will see the snowball turning into an avalanche or we hope.

Moderator: The next question is from the line of Ravi Purohit from Securities Investment Management.

Ravi Purohit: Congratulations on a good set of numbers. And so most of my questions have been answered. Just one, just wanted to kind of check. We've seen a lot of increase in commodity prices generally speaking in the last couple of months.

And typically, what we've seen is whenever commodity prices see these kind of increases, you've seen working capital across the board go up. So have you kind of witnessed any on the ground increased demand on SME/MSME side on credit growth owing to this? I mean, typically, you have credit growth either due to higher capex or due to working capital requirements.

So if you could just share what do you see on the ground on credit off- take? Because after a long time, we've seen aggregate system -level credit off-take to hitting about 14 -odd percent, right, like 14.5%. So if you can just share something what do you see on the ground, it would be great.

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Praveen Kuty: So, for the SME, the self -employed segment, we are seeing uptick in the, not in the CC/OD but in installment loans. So that's where we see the movement happening. In fact, quite contrary to what you're saying, we are, in a way, struggling on the SME book, as you would have seen, it has been stuck at the INR 2,200 crores level for some time now. So, we clearly don't have a working capital problem of, in that sense of the word, but we do have a work capital problem in the sense that we don't ha ve enough of it.

But clearly, on the installment lending, there is demand happening. There is our business loan

portfolio is the kind of log-in volumes that you're seeing is indicative of a decent demand. And the performance of those customers also are reasonably good. Post pandemic, this is perhaps the best few quarters I've seen in terms of new vintage bouncing.

Ravi Purohit: Okay. And Sir, just one thing over the last 1 year, I think you've kind of mentioned at various occasions about our idea to get higher yields or in a sense, also higher employee productivity in that sense, right? So on mortgages, for example, our ticket sizes on an average, our idea was to increase the average ticket sizes. Second was, we are working on this product for merchant ODs where we had said that we were competing with the NBFCs and OD is a very, very important product.

So, if you could share, I don't know it's not generally gets covered in our presentation, but if you could share on both those counts as to what's been the average ticket size increase that we've seen on the mortgage side? And how has the traction been on the merchant OD on the product?

Praveen Kutty: Let me tell the good story first. Clearly, we're seeing an uptick in the mortgage disbursal. It is marginal, if you talk it from an average ticket size perspective, let's say, approximately INR 27 lakhs going to INR 32 lakhs. You may say it's only INR 5 lakhs. But that INR 5 lakh actually is a 19% growth, okay? Which is what the bank is growing by, right, 18.5%, 19% is what we are growing by. So we're clearly seeing that the increase in tickets size is coming through. And that's a tick box for us.

The

BL to HL has been a tick box clearly that has come through, very clearly through. We haven't been very successful on the OD part. And we didn't expect to be successful overnight also because what we're doing is we're going back to a term loan customer and then getting into the relationship. And the relationship is not built over a phone call. So these are customers who have been with us for 4, 4.5, 5, 6 years. We haven't had too much of interaction with them. We're just going and we're starting the wooing process. Some amount of relationship is happening. So it will take time. But when it works, you will get the incremental benefit coming through for a pretty long time.

So on merchant OD, on OD of all sorts, it's still in the infancy kind of area. I haven't seen real good progress happening yet. But effort is on and it's only a matter of time, right? We should be able to get the benefit of the work that we're doing. Once the relationship matures, you should be able to get the benefit through.

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And the benefit is not just OD, it is that the relationship will translate to current accounts, which are happening. It is translating a bit in trade finance and OD, which you spoke about. And it's happening very well in terms of insurance. So by the time we get the story right, I would tend to think it will take another 12 to 18 months before it becomes large enough for it to make a difference to our lives. But the effort is still on.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: Congrats, Praveen and the entire team for another great quarter.

Praveen Kutty: Thank you very much. I quite like another. Very nice to hear that.

Nitin Aggarwal: It's been a very consistent performance. So pretty happy about that. See, three questions, Praveen. One is about the fee growth, you talked about it and the effort that the bank has taken. But the growth rate that we are seeing in terms of even the sequential growth, Y-o-Y growth all looks very strong. So how sustainable is this? And can one build a fee growth significantly higher than loan growth in the coming years, how do you look at that? Fee intensity in another words.

Praveen Kutty: Nitin, it's a very important question because a lot of people ask me the question. In the beginning, I used to get totally confused with this question. Now I understand the question much better. So our fee growth is less linked to loans. It is more linked to deposits. So when earlier people used to ask me, I used to get totally befuddled by the question as to what is the correlation because I don't have experience of another bank.

But in our bank, the processing fee is a component, but look at where the other fees are coming from. You're getting fee from third-party distribution, which is more liability linked. Trade finance, largely still liability linked, FX income is DCB remit, foreign remittance, etcetera, liability linked again. Penalties and fees are processing fees like was one component, ATM fees, again, liabilities. So I'm not too sure for us, we don't even link it to the loan growth.

Nitin Aggarwal: Okay. But this quarter, a 15% sequential fee growth that we are reporting. So how should one look at this in the coming quarters? Because I believe both deposits and advances are, you are guiding to grow around 18%, 19% run rate?

Praveen Kutty: Around that, yes. So we should see the core fee income continue at a similar rate. I mean, we will see, unless there's some regulatory action happening, which one is not aware of. So unless that is happening, we should be having a fairly consistent growth coming through in terms of

core fee income. Let me put it this way. Nitin, while we are at 1.1% total income on average assets, 1% is something which at least from a template sense, 1% is what we look at.
Ravi Kumar : Fee income.

Praveen Kutty: Sorry, the fee income, we look at. Thanks, Ravi.
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Nitin Aggarwal: Okay. Okay. Got it. And the other question is on deposits. Like if I look at the CASA, while CASA I understand like SA has been going down for most banks. But even on the CA front, the mix has been like shrinking. And CA deposits over the years has been very range-bound. So I understand that the size of the bank and those limitations are there. But any initiatives that we like are working on areas which can help us to improve our CA deposits?

Praveen Kutty: Yes. So good that you asked this, Nitin. It's an area of inefficiency or opportunity depending on the way you look at it. My belief is that the lack of CA growth has an impact, of course, on the cost of deposit. But it also robs us an opportunity in a trade fee income and our SME book. So they're all interconnected. So we are aware of it. We have put up a very, very senior resource to drive the current account. And I really don't believe in the big bank, small bank thing. I mean it's about who's more hungry and who's more process-oriented, who's more digital and who can get things done.

So, and anyway, we are starting from a very low base. So getting current account moving is very, very critical for us. While the term deposit rebooking related repricing will help us, it is important to add current account to our arsenal. It has been flatlining for too long. So it's very, very high on my priority list and my team's priority list. That we haven't got an action going is another matter, but it's a real high priority. It's got multiple impact on the bank.

Nitin Aggarwal: Right, right. And lastly, on the ROA now that adjusted for this Labour Code impact, we have reached 1% ROA. So while I understand our guidance is more hinged around ROE, but can I take that 1% ROA is now kind of a baseline ROA for the coming quarters? Or do you see any risk to that?

Praveen Kutty: See, since the guidance of 13.5% is given, we would like to stick with the 13.5% guidance for the next year and 14.5% the year after. And let me try and answer your question in a slightly less straightforward manner.

We said we'd like to repeat our quarters. That's what we said when the Q2 results came out. At that time, I have absolutely no clue that there's another repo rate cut happening. We never knew that there is going to be INR 26 crore s, INR 27 crore s impact happening because of a Labour Code. We still repeated ourselves.

At that time also people asked now that you've shown this, wouldn't you be able to , so there could be some headwinds of some sort. We don't know which headwinds. Some headwind will be coming in there. But consistency, we need to , I mean the whole predictability consistency, they're not just terms and words alone, Nitin, we really want to live by it.

So is there an opportunity? Perhaps there's an opportunity. But is there some? You never know, right? So it is a bit, it's okay to be a bit conservative in terms of estimation, because the promises that -- or the guidance that you gave is sacrosanct. And unless something really, really dramatic happen, we don't want to renege on that. We don't want to go back on that. So I will still go by 13.5% and 14.5% for the next year and the year after.

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Moderator: The next question is from the line of Varun Bang from Bandhan Life.

Varun Bang: It's heartening to see the continued steady performance. One question on sourcing. Could you outline the current share of DSA sourcing in the mortgages segment? And how do you see that evolving over medium term? And in terms of investments, what investments are needed to build a scalable direct sourcing front end and the way we are looking at building it? And is there an execution risk in this? Can you share some thoughts?

Praveen Kutty: We had 18%

to 20% plus mortgage book, and we're growing mortgage with 20% in the last year.

This year, we're growing by 12.4% so far. So what is happening is while the bank is growing at somewhere between 18% to 20% on assets, we are changing the wheels of a moving train, so to speak. So we have already invested, reworked the strategy. There were three big movements, which happened in mortgages. I'm using past tense because it's already done.

Now we are seeing the benefits in some sense coming through. The first change we made was the reorientation of BL and HL. The second was to increase the ticket size. The third was to

move from -- not entirely, change the skew of DSA originated loans to own originated loans. And most of you have connects with the DSA, you can , we can check it out in the market also, you'll get to know that their sourcing , the contribution to DCB Bank has come down. With any national DSA, you can check it out. It will , you will get to know that. So we have already done what it takes. It's almost 9 months now and we're seeing the benefit of that coming through. The lower cost there is , what we're not seeing , what we've seen is a lower cost, what we're not seeing is the longevity. So we have seen that the non -DSA sourced accounts stay with you for far longer than DSA sourced accounts. In some cases, you don't even recover the cost of valuation and legal and account fulfillment by the time the customer forecloses and goes away. And with the zero foreclosure charges in many cases, there is hardly any recovery possible. So from a long -term perspective, this is the way to go. Do we reveal the DSA and organic? No, we don't do that. And it's not limited to mortgage alone, even in the other products where DSAs are involved. We're trying to , while we're keeping the relationship going, we are trying to lessen the skew towards the DSAs.

Varun Bang: Got it. Got it. And on the co -lending, we have seen a very strong growth in co -lending, is it largely led by gold loans? And are we expecting some regulatory orders in co -lending model? What is the expectation now?

Praveen Kutty: So we were 16.22% of the book in co -lending in Q2. We come down to 16%. And I publicly said that we'll, our co-lending book as of March 31 will be 15% or lesser of the total asset book. We're comfortable with 15%. There are multiple originators we work with. Of course, you're aware that from January 1 onwards, we have had this new CLM 1 new rules of co -lending coming into play. We see that this will continue , from a growth perspective, our co -lending book will grow from '26, '27 onwards at the same rate as our total book.

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So while we grew 108% last year, currently, we are at about 60%, 65%. Next year onwards, if the bank is growing by 18%, we'll grow by 18% on the co -lending. If we grow by 20%, we'll be growing co -lending also by 20%. So that's the way we foresee this. And to the question whether largely gold loan, yes, it's largely gold loan. Multiple players, but largely gold loan based.

Moderator: Ladies and gentlemen, that will be our last question for today, which is from the line of Dixit Doshi from Whitestone Financial Advisors.

Dixit Doshi: Congrats for a good set of numbers. So you have been focusing on improving the efficiency of the people we have. And if we see in last , these 9 months , we have opened only 5 branches. So going forward, where do you see , do you see that this kind of 18%, 19% growth will require new branch, or still there is a lot of scope for improving the efficiency?

Praveen Kutty: I think it's both. We will , I don't know whether we'll ever stop improving the efficiency. That's a continuous thing. No way. I mean there's no finish line there. So, we will still , I mean, for us, improving efficiency, going digital, war on paper, these are not epithets or slogan, they're real thing. These a

re like, we'll live and die by it. So it will continue. There's no two ways about it.

But having said that, we , if you see Q3 , sorry, Q2 to Q3, there has been a slight increase in the number of people, while we're still lesser than the number of people we had a year back or in March. A slight improvement has happened. So we will increase it. There will be more investment in people coming in. We will be increasing our branches. Next year, we should be touching the 500 branches mark. So that most likely will happen.

But increasingly, it is not one or the other, it is both. A large proportion of our benefits will come from efficiency improvement, from increased digitization. And , but that doesn't mean that we will not increase the number of people. We are still people dependent in terms of our growth, specifically assets. So there will be more branches put in and more people put in.

The game changer could be if something like a unified lending interface happens, where digitization of the land records happened across India. And then you could see a different kind of game coming into play. So we are involved in it. Let's see how that emerges. If ULI, is anything like ULI, we have a very interesting time ahead.

Dixit Doshi: Okay. Yes, that's it from my side. I think pre -COVID, we have doubled our branches. And even before getting the benefit of that, we were hit by the COVID. I think now the real benefit is visible in the numbers. So congratulations for that and all the best for the future.

Praveen Kutty: Thank you, Dixit.

Moderator: Ladies and gentlemen, as this was the last question for today , I now hand the conference over to management for closing comments.

Praveen Kutty: Thank you very much for your patience and hope to kind of interact with you in , at the end of March or after the March results are declared. In the meantime, let's go and go back to the grind and ensure that we continue to be predictable and consistent and boring. Thank you very much.

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Moderator: Thank you. On behalf of DCB Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2026

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